

Confidential Private Placement Memorandum

EnCap Energy Capital Fund XII, L.P.

EnCap Energy Capital Fund XII, L.P.

\$4,000,000,000

Limited Partnership Interests

This confidential private placement memorandum (this “**Memorandum**”) is being provided to prospective investors on a confidential basis for the sole purpose of evaluating an investment in EnCap Energy Capital Fund XII, L.P. (the “**Partnership**”). EnCap Equity Fund XII GP, L.P. (the “**General Partner**”) will be the general partner of the Partnership. The contents of this Memorandum should not be construed as investment, legal, or tax advice. The delivery of this Memorandum does not represent a recommendation by the Partnership, the General Partner, or any of their respective directors, officers, managers, employees, partners, members, shareholders, agents, or affiliates, to invest in the limited partnership interests in the Partnership (the “**Interests**”) described herein or an opinion as to whether such an investment in the Interests is suitable for any individual or entity receiving this Memorandum. Each recipient of this Memorandum should make such investigations as it deems necessary to arrive at an independent evaluation of an investment in the Interests and should consult its own legal counsel and financial, accounting, regulatory, and tax advisors to determine the consequences of such an investment.

No person is or has been authorized in connection with this offering of the Interests to give any information or make any representations other than those contained in this Memorandum. **Each prospective investor, by accepting delivery of this Memorandum, agrees not to make a photocopy or other copy or to transmit or divulge the contents hereof to any person other than a legal, business, investment, or tax advisor in connection with obtaining the advice of such persons with respect to this offering.** This Memorandum has been furnished on a confidential basis solely for the information of the person to whom it has been delivered and may not be reproduced or used for any other purpose. Upon request, this Memorandum and any copies hereof are to be destroyed or returned in their entirety to the General Partner.

The Interests have not been registered under the U.S. Securities Act of 1933, as amended (the “**Securities Act**”), or the applicable securities laws of any U.S. state or any non-U.S. jurisdiction, and are being offered and sold in reliance on exemptions from the registration requirements of the Securities Act and any such applicable laws. **The Interests have not been approved or disapproved by the U.S. Securities and Exchange Commission or by the securities regulatory authority of any state or any other relevant jurisdiction, nor has any other authority or commission made any determination regarding the accuracy or adequacy of this Memorandum. Any representation to the contrary is unlawful.**

The Interests are being offered and sold only to persons who are “accredited investors” within the meaning of Regulation D under the Securities Act and who are “qualified purchasers” within the meaning of Section 3(c)(7) of the U.S. Investment Company Act of 1940, as amended (the “**Investment Company Act**”) or outside the United States in accordance with Regulation S under the Securities Act. Each prospective investor will be required to make a representation as to the foregoing and, among other things, to represent that it is purchasing its Interest for its own account for investment purposes and not for resale or distribution. In addition, Interests may not be resold or otherwise transferred, unless an exemption from the registration requirements of the Securities Act and any applicable securities laws of any state or other relevant jurisdiction is available and the transfer otherwise complies with the transfer restrictions and other requirements contained in the agreement of limited partnership of the Partnership. There is no public market for the Interests, no such market is expected to develop in the future, and there is no obligation on the part of any person to register the Interests under the Securities Act or the securities laws of any

jurisdiction. Investors should be aware that they may be required to bear the financial risks of this investment for an indefinite period of time.

The Partnership will not be registered as an “Investment Company” (as defined in the Investment Company Act) under the Investment Company Act. The Partnership is currently pursuing a venture capital strategy, and neither the General Partner nor any of its affiliates has registered as an “Investment Adviser” under the Investment Advisers Act of 1940.

The Interests in the Partnership are offered subject to prior sale, and subject to the right of the General Partner to reject any subscription in whole or in part.

An investment in the Partnership involves significant risk. No assurance can be given that the Partnership’s investment objectives will be achieved. In making a decision whether to invest in the Partnership, prospective investors must rely on their own examination of the Partnership and the terms of the offering, including an assessment of the risks involved. Prospective investors should read this Memorandum carefully before deciding whether to purchase any Interests and should pay particular attention to the information under Section X – “Risk Factors” of this Memorandum. The nature of and risks associated with the Partnership’s future investments may differ substantially from those investments and strategies undertaken historically by the General Partner’s principals or any other person described herein.

The Interests are suitable only for sophisticated investors for whom an investment in the Partnership does not constitute a complete investment program and who fully understand, are willing to assume, and have the financial resources necessary to withstand the risks and lack of liquidity involved in the investment program in which the Partnership will engage.

Each offeree of the Interests is invited to ask questions of the General Partner concerning the terms and conditions of the offering and to obtain any additional information necessary to verify the accuracy of the information in this Memorandum that is material to this offering. Inquiries should be directed to Matt Crystal at +1 (713) 979-2440 (mcrystal@encapinvestments.com), Chuck Bauer at +1 (214) 244-7896 (cbauer@encapinvestments.com), and/or Kirby Richards at +1 (713) 427-5292.

The obligations of the General Partner and the limited partners of the Partnership are set forth in and will be governed by the Partnership Agreement and a subscription agreement relating to the Interests (the “**Subscription Agreement**”). This Memorandum contains a summary of the Partnership Agreement, the Subscription Agreement, and other documents referred to herein. However, the discussions set forth in this Memorandum do not purport to be complete. They are subject to and qualified in their entirety by reference to the Partnership Agreement, the Subscription Agreement, and such other documents. Copies of the Partnership Agreement and the Subscription Agreement will be provided to prospective investors, and each prospective investor and its advisors should carefully read these agreements, including any and all revisions thereto, prior to making an investment in the Partnership. In the event that the description in or terms of this Memorandum are inconsistent with or contrary to the descriptions in or terms of the Partnership Agreement, the Subscription Agreement, or such other documents, the Partnership Agreement, the Subscription Agreement, or such other documents shall control. The General Partner and its affiliates reserve the right to modify the terms of the offering and the Interests described herein.

The distribution of this Memorandum and the offer and sale of the Interests in certain jurisdictions may be restricted by law. This Memorandum does not constitute a sale, an offer to sell, or a solicitation of an offer to buy any Interests in any jurisdiction in which such sale, offer or solicitation would be unlawful or to any person to whom it is unlawful to make such sale, offer or solicitation. No action has been or will be taken to permit a public offering of the Interests in any jurisdiction where action would be required for that purpose. Accordingly, the Interests may not be offered or sold, directly or indirectly, and this Memorandum

may not be distributed in any jurisdiction, except in accordance with the legal requirements applicable in such jurisdiction. See Appendix B – “Certain Offering Legends”. **Prospective investors should inform themselves as to the legal and tax consequences within the countries of their citizenship, residence, domicile, and place of business with respect to the acquisition, holding, or disposal of the Interests, and any foreign exchange restrictions that may be relevant thereto.**

Except as necessary to comply with U.S. or other applicable securities laws, prospective investors (and employees, representatives, or other agents of prospective investors) may disclose to any and all persons, without limitation of any kind, the tax treatment and tax structure of the offering and all materials of any kind (including opinions or other tax analyses) that are provided to prospective investors relating to such tax treatment and tax structure. For this purpose, a “tax structure” means any facts relevant to the U.S. federal income tax treatment of the offering and does not include information relating to the identity of the General Partner or the Partnership, the economic terms, or other facts not relevant to the tax structure or tax treatment.

The delivery of this Memorandum at any time does not imply that the information contained herein is correct as of any time subsequent to the date of its issue. Unless specified otherwise, all statements made herein are made as of the date of this Memorandum. All monetary figures are stated in U.S. dollars unless otherwise indicated.

Certain information contained herein has been obtained from published sources prepared by other parties, which the General Partner has not independently verified and which in certain cases has not been updated through the date hereof. In addition, certain information contained herein has been obtained from companies in which investments have been made by entities affiliated or previously affiliated with the General Partner or other principals referred to herein. While the General Partner believes such information is reliable for the purpose used herein, none of the Partnership, the General Partner, or any of their respective directors, officers, managers, employees, members, partners, shareholders, or affiliates assumes any responsibility for the accuracy or completeness of such information.

The market analysis and projections presented in this Memorandum represent the subjective views of the General Partner. The General Partner’s current estimates of future performance are based on a number of assumptions that the General Partner believes are reasonable, but there is no assurance that such estimates will be realized. The projections included herein have been provided to assist prospective investors in evaluating an investment in the Partnership, but should not be relied upon as a representation of future financial results.

In considering the performance information contained herein, prospective investors should bear in mind that by purchasing Interests they will not acquire any interest in investments in other funds, that past performance is not necessarily indicative of future results, and that there can be no assurance that the Partnership will achieve comparable results. Actual future conditions may require actions that differ from those contemplated at this time, and there can be no assurance that the projected results will be achieved. There may be differences between these projections and actual results because events and circumstances frequently do not occur as expected, and those differences may be material and adverse. Actual realized value of currently unrealized investments will depend on, among other factors, future operating results, the value of the assets and market conditions at the time of disposition, any related transaction costs, and the timing and manner of sale, all of which may differ from the assumptions and circumstances on which the current unrealized valuations are based. Prospective investors are cautioned not to place undue reliance on these projections.

References to internal rates of return (“**IRR**”) and return on investment (“**ROI**”) of individual investments are presented on a “gross” basis and do not reflect the management fees, allocable fund expenses, carried interest, and taxes borne, or which may be borne, by investors in the Partnership or the respective predecessor fund. IRR represents the aggregate compound annualized return rate (implied discount rate), which has been calculated using all cash inflows, cash outflows, and estimated valuations by the General Partner or the public value of publicly-traded securities, unless otherwise indicated. There can be no assurance that unrealized investments will be realized at the valuations reflected herein. Ultimate returns will depend on the value of each investment and may vary significantly from the returns presented herein. Net IRRs and net ROIs have been calculated after all management fees, carried interest, and other allocable expenses (other than taxes borne or which may be borne by investors).

This Memorandum supersedes and replaces in its entirety any other private placement memoranda, pitchbooks, materials, or information that have been previously provided to a prospective investor, whether in writing or orally, related to the Partnership, its proposed investment program, or other matters addressed herein.

This Memorandum is dated as of February 28, 2023.

This Memorandum replaces the Partnership’s confidential private placement memorandum, dated January 4, 2023, in its entirety.

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I EXECUTIVE SUMMARY

EnCap Energy Capital Fund XII, L.P. (“**Fund XII**”, or the “**Partnership**”) is seeking capital commitments of \$4 billion to make privately negotiated equity and equity-linked investments in the upstream sector of the oil and gas industry. The Partnership is being formed by EnCap Investments L.P. (“**EnCap**” or the “**Firm**”). The Partnership will pursue a venture capital strategy, primarily focusing on providing growth equity to upstream management teams with strong track records of value creation and operational excellence. The Partnership generally expects that its commitments to each management team will be between \$200 million and \$800 million. It is anticipated that the majority of Fund XII portfolio companies will seek to build upstream businesses in known producing regions in North America that will be attractive acquisition or merger candidates for larger upstream companies. The Partnership expects to build attractive companies by first aggregating existing production and drilling inventory via a combination of acquisitions, leasing, trades, and farmouts. Subsequently, the Partnership anticipates that most portfolio companies will develop their properties with responsible and efficient application of modern horizontal drilling and completion techniques and other operational best practices to optimize overall project economics while also seeking to mitigate the environmental impact from operations. To generate returns for Fund XII limited partners, the Partnership and its portfolio companies will strive to execute business plans that support economic development and build strong cash flowing companies. EnCap believes that this approach will maximize exit optionality and ultimate value for Fund XII portfolio companies. Exits may be achieved, depending on market conditions, through a combination of full asset sales, partial asset sales, mergers into public entities, and the distribution of excess cash flow from operations over time. EnCap and its portfolio company management partners will continuously monitor the markets for exit strategies that maximize value for the Partnership. It is anticipated that the Partnership will also pursue oil and gas mineral and royalty acquisitions with select management teams. Fund XII is targeting a gross return on invested capital (“**ROI**”) and gross internal rate of return (“**IRR**”) of at least 2.0x and 25%, respectively, and a net ROI and net IRR of at least 1.75x and 20%, respectively. Please see Appendix A – “Performance Metric & Valuation Disclosures” for important disclosures regarding historical and target performance. The assumptions underlying target and projected performance are available upon request.

Founded in 1988, EnCap is a leading provider of growth equity to the independent sector of the energy industry. Over its 34-year history in energy investing, the Firm has generated strong and consistent returns by applying a disciplined philosophy that balances capital preservation and value creation.

EnCap’s day-to-day operations are led by two Managing Partners, Jason M. DeLorenzo and Douglas E. Swanson, Jr., with support from Partners Kyle M. Kafka and Brad A. Thielemann. Charles W. Bauer is also a Partner and leads EnCap’s Investor Relations efforts. The Firm’s four Founders, David B. Miller, Gary R. Petersen, D. Martin Phillips, and Robert L. Zorich continue to be active in an advisory role and also maintain an ownership position in EnCap (the Managing Partners, Partners, and Founders, together, the “**EnCap Principals**”). The EnCap Principals have an average of 33 years of industry-related experience including an average 25-year tenure at EnCap. In addition to the EnCap Principals, EnCap has a strong and stable bench of highly qualified investment professionals and support staff, including 10 professionals on the upstream Investment Staff, three professionals on EnCap’s in-house Technical Team, two professionals in Investor Relations in addition to Mr. Bauer, a professional who spearheads all ESG efforts for EnCap, and a 21-person fund administration staff, which includes 11 certified public accountants. The Firm also plans to hire an additional reservoir engineer in early 2023 to supplement the Technical Team. The Firm believes the depth, experience, and continuity of its organization are among the key characteristics that distinguish EnCap in the energy investment space.

Since its inception, EnCap has managed approximately \$39.0 billion[†] of capital commitments across 22 institutional funds. The Firm's first six funds, raised between 1988 and 1993, consisted of three reserve acquisition funds and three mezzanine debt funds. In 1994, EnCap transitioned its model to providing growth equity primarily to the upstream industry with the belief that this strategy offered a more attractive risk/return proposition and better alignment between EnCap and its portfolio company management teams. Since that time, the Firm has raised 11 upstream growth-oriented equity funds ("**EnCap Upstream Funds**") totaling approximately \$28.5 billion[†] in capital commitments before the formulation of Fund XII.

In 2008, EnCap expanded its investment platform to include funds focused exclusively on investments in the midstream sector of the energy industry. As an integral part of this expansion, the Firm partnered with Flatrock Energy Advisors, LLC ("**Flatrock**"), whose principals have extensive midstream expertise and industry relationships. Since 2008, EnCap Flatrock Midstream ("**EFM**") has raised approximately \$9.0 billion[†] of capital commitments across four growth equity funds dedicated to this strategy.

In 2019, in response to the significant expansion of economic investment opportunities in the energy transition space, the Firm recognized a need to have a focused effort on this opportunity set. As a result, EnCap retained a highly regarded industry team to manage a newly formed EnCap Energy Transition Fund platform ("**EETF**"). EETF focuses on providing growth equity to start-ups or early-stage companies investing in opportunities created by the global transition to a lower-carbon energy system. EnCap's first EETF fund closed in April 2021 with approximately \$1.2 billion[†] of capital commitments. With the track records and deep industry expertise across EnCap's three platforms, the Firm believes it is uniquely positioned as a leading investor across the energy value chain.

As of September 30, 2022, the EnCap Upstream Funds have invested approximately \$26.3 billion in 205 different companies. A total of 171 investments representing approximately \$13.9 billion of invested capital have been realized or substantially realized, resulting in approximately \$25.1 billion of value (including realized proceeds and unrealized value). These realized and substantially realized investments have generated a 1.8x gross ROI and 26.8% gross IRR and a 1.5x net ROI and 18.7% net IRR. The unrealized investments consist of 34 entities, largely within Funds IX, X, and XI, which comprise approximately \$12.4 billion of total invested capital. EnCap believes the unrealized portfolio is well positioned with healthy cash flowing businesses, compelling economic development opportunities, and top-tier industry talent leading the Firm's portfolio companies. Overall, total portfolio investments for the EnCap Upstream Funds represent a 1.8x gross ROI and 22.1% gross IRR and a 1.5x net ROI and 14.9% net IRR.

EnCap believes its track record reflects the Firm's successful and consistent ability to adapt to changing market dynamics and allocate capital to economically attractive investment opportunities. Furthermore, EnCap believes its demonstrated ability to attract high quality management teams and the resulting success achieved with these teams validates the strength and continued viability of the Firm's investment model. The following table provides summary information of the EnCap Upstream Funds—please see [Appendix A – “Performance Metric & Valuation Disclosures”](#) for important disclosures regarding historical and target performance:

[†] Includes main funds, parallel funds, and co-investment pools of capital raised concurrent with respective fundraises. Does not include managed co-investment vehicles or other pools of capital raised outside of the respective fundraises.

Eleven EnCap Upstream Equity Funds								
(As of September 30, 2022; \$ in millions)								
	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	Gross		Net	
					ROI	IRR	ROI	IRR
Realized or Substantially Realized Investments	\$ 13,853.5	\$ 24,545.8	\$ 586.8	\$ 25,132.7	1.8x	26.8%	1.5x	18.7%
Unrealized Investments	12,421.9	3,015.0	19,110.8	22,125.8	1.8	19.1%	1.5	12.1%
Total Portfolio Investments	\$ 26,275.4	\$ 27,560.8	\$ 19,697.6	\$ 47,258.5	1.8x	22.1%	1.5x	14.9%

EnCap’s most recent upstream fund, EnCap Energy Capital Fund XI, L.P. (“**Fund XI**”), closed in 2017 with \$7.0 billion in commitments from over 300 U.S. and international institutional investors and its general partner. As of September 30, 2022, Fund XI is fully committed to 22 portfolio companies and has called 74% of total commitments, or approximately \$5.1 billion¹. Based on a highly encouraging opportunity set in the current market, EnCap believes that Fund XI will continue to see significant investment activity from its portfolio companies for acquisitions and development capital out of the fund’s remaining \$1.6 billion in estimated available capital, while appropriately managing overall fund commitment levels.

The upstream oil and gas industry has undergone a drastic transformation in recent years. Between 2005 and 2017, the industry enjoyed a period of abundant access to capital (including public and private equity and a broad spectrum of debt) and supportive asset and company valuations. Public markets, in particular, rewarded high growth and a resource capture mentality, which fueled a competitive and robust acquisitions & divestitures (“**A&D**”) market. Between 2017 and 2019, investor interest and capital began to diminish due to a combination of limited shareholder returns in the public sector and aversion to supporting oil and gas as a function of ESG pressures. This forced the industry to shift its focus to generating free cash flow, improving shareholder returns, and enhancing environmental stewardship. In 2019, public upstream operators generated positive cumulative free cash flow, marking the first occurrence in over a decade. This shift corresponded with more industry consolidation via mergers and reduced A&D activity. These trends were only further accelerated by the COVID-19 pandemic as extremely low commodity prices caused severe distress across the industry. In 2022, asset and company valuations remain depressed versus historical levels, public companies are focused on shareholder returns over growth, industry access to capital continues to be very limited, and cash A&D markets have significantly more supply than available buyers. As it relates to environmental stewardship, U.S. producers have reduced greenhouse gas and methane intensity rates by at least 20% since 2017.² Additionally, most upstream entities now publish annual sustainability reports, highlighting the initiatives taken to enhance environmental and stakeholder protection.

In the current environment, EnCap believes the growth equity opportunity set is highly compelling for well-capitalized market participants due to the ability to invest and acquire upstream assets at attractive valuations in the midst of reduced competition, especially for larger assets (over \$500 million in total deal size), despite development economics being very attractive. EnCap believes that Fund XII will be uniquely positioned to capture opportunities based on these fundamentals, and the Firm expects property acquisitions to be a material part of the Fund XII opportunity set as a result. EnCap also sees a continued opportunity set via leasehold acquisitions, which includes ground floor leasing, bolt-on acquisitions, and other structures to gain access to undeveloped acreage and development opportunity, and mineral and royalty acquisitions.

¹ \$5.1 billion figure includes fund expenses and investment of recallable capital.

² Enverus ESG Compass 3Q22 Report.

After capturing assets, EnCap expects that most of the Partnership's portfolio companies will embark on development and optimization plans that seek to economically convert drilling inventory into cash flow to build attractive cash flowing businesses. As noted, EnCap believes this strategy maximizes exit optionality and ultimate value across various market conditions. In the current market, public buyers are selective and are seeking strong cash flowing assets at-scale with attractive development inventory, and EnCap is positioning its existing portfolio to meet these objectives, while also distributing excess cash flow to generate returns until compelling monetization events materialize. As of September 30, 2022, EnCap is running over 30 rigs in the portfolio focused on economic development across a diverse range of operators and basins, which makes the Firm one of the most active upstream operators in the United States on a combined basis.

Since 1988, EnCap has maintained its steadfast adherence to its investment philosophy of seeking to ensure capital investment into what the Firm believes to be the most economically advantaged and best risk-adjusted opportunities in the upstream space while also adapting to ever-evolving market conditions. The Firm believes its ability to adapt to changing markets is well demonstrated by the state of its current portfolio and the business plans of its respective portfolio investments. With Fund XII, EnCap will also adhere to the same investment principles and employ the same risk management tools that have been a key part of the Firm's success over its 34-year history. EnCap's core tenets include the pursuit of the following objectives:

- Partner with seasoned management teams that possess demonstrable track records of success and solid value creation strategies;
- Control the boards of portfolio companies;
- Align economic interests of the management teams and Fund XII;
- Rigorously assess the underlying risk of the projects that Fund XII's portfolio companies intend to pursue;
- Balance capital preservation and value creation;
- Advance capital incrementally to portfolio companies as they identify compelling opportunities and successfully execute their business plans;
- Ensure that management teams adapt to market conditions and subsequently focus on what the Firm believes to be the most economically attractive projects and areas;
- Monitor investments closely and manage risk proactively;
- Allow only prudent levels of leverage at the portfolio company level and guide portfolio companies to build asset bases and opportunity sets that will be attractive to potential buyers;
- Adhere to best industry practices regarding environmental, social, governance, health, and safety-related issues and be good "corporate citizens" in the communities in which portfolio companies operate; and
- Exit portfolio companies opportunistically into a receptive market.

As further described below, EnCap believes the consistency of its track record and the experience of the EnCap Principals are key attributes that set the Firm apart from other energy-focused fund managers. In addition, the Firm believes the unique blend of the following market opportunities and platform-specific advantages make Fund XII a compelling investment opportunity:

- **Depth, Experience, and Continuity of Leadership and Investment Staff.** EnCap believes one of the Firm's core strengths is the cohesion and experience of its leadership and staff. The EnCap Principals have an average of 33 years of industry-related experience including an average 25-year tenure at EnCap. The Firm has built its leaders from within the organization and maintained strong

continuity across all levels of its organization. Most of EnCap's investment professionals have spent the majority of their professional careers with the Firm.

- **Consistent Returns over EnCap's 34-Year History.** Since its formation in 1988, EnCap has invested and managed 22 institutional funds across multiple energy price cycles. Specific to the EnCap Upstream Funds, the Firm has invested approximately \$26.3 billion in 205 different companies as of September 30, 2022. A total of 171 investments representing approximately \$13.9 billion of invested capital have been realized or substantially realized, resulting in approximately \$25.1 billion of value (including realized proceeds and unrealized value). These realized and substantially realized investments have generated a 1.8x gross ROI and 26.8% gross IRR and a 1.5x net ROI and 18.7% net IRR. The 34 unrealized investments comprise approximately \$12.4 billion of total invested capital, and inclusive of these unrealized investments, total portfolio investments for the EnCap Upstream Funds represent a 1.8x gross ROI and 22.1% gross IRR and a 1.5x net ROI and 14.9% net IRR. EnCap believes the Firm's demonstrated ability to attract high quality management teams in the upstream industry, coupled with its consistent ability to invest capital and provide liquidity for its institutional partners over multiple decades, sets the Firm apart from other energy-focused fund managers.
- **Strong Reputation Attracts Management Teams and Generates Proprietary Deal Flow.** EnCap believes that, over its 34-year history, the Firm has established a strong reputation as a leading and value-added source of growth-oriented equity capital to the independent sector of the upstream industry. The Firm believes this provides EnCap with the ability to partner with some of the best management teams in the industry and generate proprietary deal flow. Approximately half of the capital in EnCap's last four upstream funds was allocated to repeat management teams with whom EnCap had achieved success in prior funds. With Fund XII, the Firm expects to continue this trend of making a significant percentage of total commitments to repeat teams. EnCap also anticipates that Fund XII will partner with a number of high quality new teams sourced through relationships. EnCap's investment professionals have spent their entire careers developing extensive contacts and relationships within the energy industry and energy-related financial community, thereby continually attracting new opportunities. In EnCap's view, these new teams will typically consist of highly talented individuals with strong track records of value creation and operational excellence. Additionally, the Firm believes that it has built a reputation as a highly commercial and reliable counterparty in upstream transactions, which provides more access to deal flow and enhances EnCap's opportunity set.
- **Board Control and Proactive Risk Management.** Proactive risk management is a core tenet of the Firm, and a primary enabler of risk management is board control. The Firm controls its capital and the boards of its portfolio companies in virtually all of its investments. This provides EnCap direct oversight and determination of the pace of portfolio companies' capital spending programs, capital structure, hedging policies, and exit strategies and timing. The Firm's long-standing philosophy of investing a fund over a multi-year period, while prudently hedging, has historically served to reduce overall hydrocarbon price risk by protecting its funds from overexposure to a limited portion of any cycle. Importantly, EnCap seeks to limit the amount of leverage its portfolio companies utilize to help protect capital during times of macroeconomic distress. This is exhibited by a current leverage ratio of less than 1.0x net debt to last twelve months EBITDA in its unrealized upstream portfolio as of September 30, 2022.
- **EnCap Technical Team Provides Unique Edge for Deal Evaluation and Ongoing Development.** EnCap's Technical Team includes two reservoir engineers and a geologist, all with prior upstream technical and operating experience across various North American basins. The Technical Team works closely with the Investment Staff to evaluate new opportunities and actively monitor asset performance

for EnCap portfolio companies and third-party operators. The Technical Team also has routine dialogue with the technical professionals at EnCap's portfolio companies to help refine and optimize development plans based on real-time data. EnCap, as a leading equity provider in the upstream space for multiple decades and currently one of the most active operators in the United States, has access to an expansive and proprietary dataset of well production, geologic interpretations, and operational practices across substantially all relevant resource plays in North America. The Technical Team uses its own in-house, proprietary software to integrate and efficiently evaluate this data to help inform decision making at the Firm and portfolio company level. EnCap believes the Technical Team's expertise and the critical role it plays within the EnCap ecosystem provide a leading in-house edge versus most industry operators and capital sponsors.

- **Ability to Invest and Distribute Capital through the Most Recent Market Downturn.** EnCap has managed through many periods of challenging macro energy fundamentals, including the recent period of volatility caused by the COVID-19 pandemic. Given the cyclical nature of the energy industry, the Firm has always emphasized the importance of adaptability as it relates to investment and monetization decisions. During this most recent period of volatility, EnCap believes the Firm and its teams were able to successfully navigate the challenges of the downturn, while also capitalizing on opportunities created by significant distress in the marketplace. Since the beginning of 2020, the Firm has deployed approximately \$3.8 billion of equity capital across its upstream portfolio and has generated approximately \$7.4 billion in distributions for its limited partners as of September 30, 2022³. In EnCap's opinion, the Firm's response to recent market conditions demonstrates its continued ability to adapt, invest capital in economic opportunities, and distribute capital at attractive returns throughout energy price cycles, validating its long-standing investment model.
- **Adaptation of Investment Focus to Align with Market Trends.** As the industry has evolved, so has EnCap's positioning of its investments based on its deep understanding of current market trends. During the industry's high growth and resource capture phase (circa 2005-2017), EnCap generally positioned its portfolio companies for a strategic sale with a balance of resource delineation, production, and an inventory-weighted opportunity set with substantial development potential. In the current market, company and asset valuations are depressed versus historical levels, and A&D markets are challenging for sellers, especially for assets or companies that do not have meaningful scale and/or free cash flow. In response, EnCap has adapted its approach to focus on building strong cash flowing and lowly leveraged businesses as a means to position assets for exits and generate returns, as evidenced by over 30 rigs running across the Firm's current portfolio. Importantly, EnCap has focused on ensuring that each operating portfolio company has the commercial, operational, and technical expertise to responsibly and efficiently develop its assets to convert high-margin drilling opportunities into cash flow. Additionally, since 2020, the Firm has put more emphasis on pursuing property acquisitions as part of opportunity capture given the perceived dislocation between A&D markets and developed asset value. With Fund XII, EnCap expects to continue its focus on property acquisitions in economically attractive areas as part of the overall opportunity set, and the Firm will seek to adapt to future market shifts to maximize value for the Partnership.
- **Long-Term Upstream Investment Remains Critical to Supply Global Energy Needs.** Oil and gas are the backbone of global energy supply. In 2022, worldwide demand for oil and gas is expected to be approximately 97 million barrels per day ("MMBo/d") of oil, excluding biofuels, and approximately 400 billion cubic feet per day ("Bcf/d") of gas. Since 2010, these figures have grown approximately

³ Represents the EnCap Upstream Funds and excludes co-investment vehicles or other pools of capital raised outside of the respective fundraises.

11% and 24%, respectively, and on a combined basis, oil and gas represent approximately 53% of the total global energy stack. According to the International Energy Agency's ("IEA") 2022 World Energy Outlook ("IEA 2022 WEO") Stated Policies Scenario⁴, oil and gas demand will each increase by approximately 6% through 2030. These demand projections are roughly flat thereafter through the middle of this century with oil and gas supplying 47% of global energy in 2050. Meeting these critical energy needs will require substantial capital investment, and the IEA estimates that approximately \$650 billion of annual upstream capital investment will be required on average through 2030, which is an increase of over 50% compared to the average over the last four years (2019-2022E). EnCap views the U.S. as the most advantaged country to attract upstream investment given its leadership position in environmental protection, minimized corruption, and protection of human rights. The Firm believes that the combination of long-term capital investment requirements and its investment focus in the U.S. provides an attractive investment environment for Fund XII. EnCap will adhere to its core tenets to position Fund XII in investment opportunities that the Firm believes have the most compelling risk-adjusted returns.

⁴ All IEA references and figures herein refer to its Stated Policies Scenario ("STEPS") forecast, which reflects policies that have been put into place to reach announced goals and other energy-related objectives, taking account of existing policies and measures and those that are under development.

II SUMMARY OF KEY TERMS

The following information is presented as a summary of the key terms of the Partnership only and is qualified in its entirety by reference to the more detailed Section IX – “Summary of Principal Terms” herein and to the final terms of the limited partnership agreement that will govern the Partnership.

- The Partnership:** EnCap Energy Capital Fund XII, L.P., a Delaware limited partnership (the “**Partnership**”).
- Sponsor Commitment:** Affiliates of EnCap Equity Fund XII GP, L.P., a Delaware limited partnership (the “**General Partner**”) and EnCap Investments L.P., a Delaware limited liability company (the “**Manager**”) will make a capital commitment (“**Commitment**”) at least equal to 3% of aggregate Commitments. David B. Miller, Gary R. Petersen, D. Martin Phillips, and Robert L. Zorich (the “**Senior Advisors**”) will separately make an additional Commitment of at least \$20 million. Such affiliates and the Senior Advisors are referred to as “**Related Limited Partners.**” Related Limited Partners will not bear Management Fees or Carried Interest (each as defined below).
- Limited Partners’ Commitment:** The Partnership is seeking Commitments of \$4 billion from qualified institutional investors. Investors admitted to the Partnership are referred to as “**Limited Partners**”. Limited Partners other than the Related Limited Partners are referred to as the “**Investor Limited Partners**”.
- Commitment Period:** No later than five years from the final closing (the “**Commitment Period**”).
- Term:** Ten years commencing the date of final closing, subject to two consecutive one-year extensions at the election of the General Partner and approval of the Partnership’s Limited Partner Advisory Committee.
- Distributions:** In general, net proceeds of each of the Partnership’s investments will be apportioned among the Limited Partners in proportion to their participation in such investment. The amount apportioned to each Related Limited Partner will be distributed to such Related Limited Partner and the amount apportioned to each Investor Limited Partner will be distributed:
- first, as a return of all capital contributions made by such Investor Limited Partner;
 - second, as an 8% preferred return on the above amounts;
 - third, 80% to the General Partner (referred to as “**Carried Interest**”) and 20% to the Investor Limited Partner as a “catch-up” provision until the General Partner has received distributions attributable to the Investor Limited Partner of 20% of the excess of amounts attributable to the Investor Limited Partner and distributed to the Investor Limited Partner and the General Partner over the capital contributions of the Investor Limited Partner described above; and
 - fourth, 80% to the Investor Limited Partner and 20% to the General Partner.

Management Fee:

For Investor Limited Partners admitted at, or within 60 days of, the initial closing:

- During the Commitment Period, 1.75% of its Base Amount, and after the Commitment Period, 1.5% of its Base Amount.

OR

- During the Commitment Period, 1.4% of its Commitment, and after the Commitment Period, 1.4% of its Base Amount.

For Investor Limited Partners admitted thereafter:

- During the Commitment Period, 2% of its Base Amount, and after the Commitment Period, 1.5% of its Base Amount.

OR

- During the Commitment Period, 1.5% of its Commitment, and after the Commitment Period, 1.5% of its Base Amount.

“Base Amount” with respect to any Investor Limited Partner means the aggregate amount of its capital contributions with respect to investments that have not been sold, as reduced by any permanent write-downs or write-offs.

III INVESTMENT PERFORMANCE

(As of September 30, 2022)

Please see Appendix A – “Performance Metric & Valuation Disclosures” for important disclosures regarding historical and target performance. Past performance is not indicative of future results. There can be no assurances that Fund XII will achieve its investment objective or avoid a loss of all or a portion of its capital. Market conditions and legal and contractual restrictions may limit the liquidity of investments. Accordingly, actual realized return on investment may differ materially from the values indicated herein.

EnCap Upstream Track Record

Since its inception, EnCap has raised 17 upstream focused funds. The Firm’s first six funds, raised between 1988 and 1993, consisted of three reserve acquisition funds and three mezzanine debt funds that invested approximately \$228 million in total. In 1994, EnCap transitioned its model to providing growth equity primarily to the upstream industry with the belief that this strategy offered a more attractive risk/return proposition and better alignment between EnCap and its portfolio company management teams. Since that time, the Firm has raised 11 upstream growth-oriented equity funds, the EnCap Upstream Funds, totaling approximately \$28.5 billion in capital commitments.

The following table depicts the performance of the EnCap Upstream Funds as of September 30, 2022, which have similar investment strategies to Fund XII. Within these 11 funds, EnCap has invested approximately \$26.3 billion in 205 different companies. A total of 171 investments representing approximately \$13.9 billion of invested capital have been realized or substantially realized, resulting in approximately \$25.1 billion of value (including realized proceeds and unrealized value). These realized and substantially realized investments have generated a 1.8x gross ROI and 26.8% gross IRR and a 1.5x net ROI and 18.7% net IRR. The unrealized investments consist of 34 entities, largely within Funds IX, X, and XI, which comprise approximately \$12.4 billion of total invested capital. EnCap believes the unrealized portfolio is well positioned with healthy cash flowing businesses, compelling economic development opportunities, and top-tier industry talent leading the Firm’s portfolio companies. Overall, total portfolio investments for the EnCap Upstream Funds represent a 1.8x gross ROI and 22.1% gross IRR and a 1.5x net ROI and 14.9% net IRR.

Eleven EnCap Upstream Equity Funds								
(As of September 30, 2022; \$ in millions)								
	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	Gross		Net	
					ROI	IRR	ROI	IRR
Realized or Substantially Realized Investments	\$ 13,853.5	\$ 24,545.8	\$ 586.8	\$ 25,132.7	1.8x	26.8%	1.5x	18.7%
Unrealized Investments	12,421.9	3,015.0	19,110.8	22,125.8	1.8	19.1%	1.5	12.1%
Total Portfolio Investments	\$ 26,275.4	\$ 27,560.8	\$ 19,697.6	\$ 47,258.5	1.8x	22.1%	1.5x	14.9%

The following schedule sets forth the investment performance on a fund-by-fund basis for the EnCap Upstream Funds.

Eleven Upstream Fund-by-Fund Investment Results								
(As of September 30, 2022; \$ in millions)								
	Date of Initial Investment	Total Capital Invested	Realized Proceeds	Total Realized Proceeds & Unrealized Value	Gross		Net	
					ROI	IRR	ROI	IRR
Upstream Fund XI	Jul-17	\$ 4,736.6	\$ 852.3	\$ 8,210.1	1.7x	29.8%	1.4x	18.8%
Upstream Fund X	Mar-15	6,152.4	5,630.1	13,587.1	2.2x	20.9%	1.8x	15.7%
Upstream Fund IX	Jan-13	5,327.3	6,031.8	8,811.9	1.7x	14.5%	1.4x	9.9%
Upstream Fund VIII	Nov-10	3,761.7	2,601.3	4,203.9	1.1x	2.5%	1.0x	0.6%
Upstream Fund VII	Sep-07	2,553.1	4,059.6	4,059.7	1.6x	24.4%	1.3x	14.5%
Upstream Fund VI	Aug-06	1,564.2	3,286.6	3,286.6	2.1x	32.5%	1.7x	23.4%
Upstream Fund V	Nov-04	922.4	1,970.3	1,970.3	2.1x	38.4%	1.7x	26.9%
Upstream Fund IV	Dec-01	570.4	1,485.0	1,485.0	2.6x	98.6%	2.1x	68.4%
Upstream Fund III	Oct-97	468.6	1,305.8	1,305.8	2.8x	30.3%	2.4x	23.5%
Upstream Fund II	Sep-96	114.6	142.0	142.0	1.2x	6.9%	1.1x	3.6%
Upstream Fund I	Jun-94	104.1	196.0	196.0	1.9x	31.5%	1.9x	24.8%
Total EnCap Upstream Funds		\$ 26,275.4	\$ 27,560.8	\$ 47,258.5	1.8x	22.1%	1.5x	14.9%

Set forth below is fund-by-fund detail for the EnCap Upstream Funds. These funds encompass the vast majority of EnCap's upstream investment activity during the past 25 years and collectively represent over 99% of the capital the Firm has invested in the upstream industry since inception.

Fund XI

EnCap Energy Capital Fund XI, L.P. (“**Fund XI**”) was formed in 2017 with approximately \$7.0 billion in commitments from over 300 limited partners and its general partner. This fund is fully committed with approximately \$7.5 billion (inclusive of callable capital) committed to 22 portfolio companies. Thirteen of the Fund XI portfolio companies are or were led by management teams that EnCap backed in earlier funds, and substantially all of the portfolio is unrealized to date outside of four small investments comprising approximately \$77 million of invested capital. Due to the small size of these investments relative to Fund XI as a whole, EnCap believes the separate return information is not meaningful for analysis.

In the unrealized category, approximately \$4.7 billion has been advanced to 18 remaining portfolio companies. Approximately half of Fund XI’s unrealized value resides in Permian operating companies and minerals with attractive drilling inventory and advantaged economics in the Firm’s view. Fund XI’s Permian portfolio is earlier stage relative to Fund X’s, but these operators are currently executing significant development programs, while the mineral positions are experiencing material organic growth through continued industry activity. The other half of the unrealized value is derived from maturing businesses that were built through strategic property acquisitions in the Bakken, the Haynesville, the Eagle Ford, the Uinta Basin, and the San Juan Basin. All of these companies are actively developing their respective assets, and the Firm expects each entity will return free cash flow through distributions in the coming year based on current market conditions. EnCap believes that Fund XI will continue to see significant investment activity from Fund XI portfolio companies for acquisitions and development capital out of the fund’s remaining \$1.6 billion in estimated available capital, while appropriately managing overall fund commitment levels. Inclusive of the valuations of the unrealized portfolio, Fund XI as a whole reflects a 1.7x gross ROI and 29.8% gross IRR and a 1.4x net ROI and 18.8% net IRR as of September 30, 2022.

Fund XI											
(As of September 30, 2022; \$ in millions)											
							Total Realized Proceeds & Unrealized				
Company	Date of Initial Investment	Commitment	Total Capital Invested	Realized Proceeds	Unrealized Value	Unrealized Value		Gross	Net		
								ROI	IRR	ROI	IRR
Realized or Substantially Realized Investments											
Sable Bay	Aug-17	\$ 5.9	\$ 5.9	\$ -	\$ -	\$ -					
Silverado	Mar-19	15.8	15.8	-	-	-					
Raisa III	Jun-19	13.1	13.1	7.8	0.2	8.0					
Paloma V (Solar & Wind)	May-20	41.9	41.9	37.2	7.6	44.8					
		76.7	76.7	45.0	7.8	52.8		0.7x	(25.5)%		
Unrealized Investments											
Silverback II	Jul-17	486.0	108.7	-	116.2	116.2					
Enduring IV	Jul-17	475.0	271.8	0.2	337.5	337.7					
Black Swan	Oct-17	547.5	497.7	-	913.8	913.8					
EnCap Minerals	Nov-17	599.7	599.7	205.3	986.4	1,191.7					
Forge II	May-18	474.6	265.0	-	450.9	450.9					
XCL	Jul-18	585.2	571.5	-	808.3	808.3					
Piedra IV	Dec-18	240.0	221.0	-	402.8	402.8					
Special Opportunities	Dec-20	75.0	65.6	135.8	13.3	149.1					
Arbor Gas	Feb-21	45.8	38.2	-	38.2	38.2					
Grayson Mill II	Apr-21	500.0	394.2	466.0	844.7	1,310.7					
Grenadier III	Jun-21	343.0	6.4	-	6.4	6.4					
Pegasus II	Jun-21	297.3	151.1	-	151.1	151.1					
Verdun II	Jul-21	392.0	361.2	-	810.5	810.5					
Sabalo II	Sep-21	296.5	5.9	-	5.9	5.9					
Paloma VI	Dec-21	539.0	504.7	-	842.6	842.6					
Double Eagle IV	Mar-22	900.0	236.9	-	236.9	236.9					
Tumbleweed IV	Mar-22	450.0	140.3	-	140.3	140.3					
Earthstone	Apr-22	220.0	220.0	-	244.2	244.2					
		7,466.6	4,659.9	807.3	7,350.0	8,157.3		1.8x	30.3%	1.4x	18.8%
		\$ 7,543.3	\$ 4,736.6	\$ 852.3	\$ 7,357.8	\$ 8,210.1		1.7x	29.8%	1.4x	18.8%

Fund X

EnCap Energy Capital Fund X, L.P. (“**Fund X**”) was formed in 2015 with approximately \$6.7 billion in commitments from approximately 300 limited partners and its general partner. This fund is fully committed with approximately \$7.1 billion committed (inclusive of callable capital) to 25 portfolio companies. Ten of the Fund X portfolio companies are or were led by management teams that EnCap backed in earlier funds. As of September 30, 2022, 12 of the 25 Fund X investments, representing approximately \$2.2 billion of invested capital, are realized or substantially realized and have total value (including realized proceeds and unrealized value) of approximately \$4.4 billion, resulting in a 2.0x gross ROI and 22.3% gross IRR and a 1.7x net ROI and 16.4% net IRR.

In the unrealized category, approximately \$4.0 billion has been advanced to 13 remaining portfolio companies. Approximately 75% of Fund X’s unrealized value resides in Permian operating companies and minerals with attractive drilling inventory and advantaged economics in the Firm’s view. Most of these Permian-focused businesses are generating significant free cash flow in the current environment, and EnCap believes these companies are well positioned to continue to make distributions while evaluating monetization opportunities. A significant portion of the remaining unrealized value is derived from mature and free cash flowing businesses in the Eagle Ford, Bakken, and San Juan Basin, and the Firm believes these companies are also well positioned for continued value creation. Inclusive of the valuations of the unrealized portfolio, Fund X as a whole reflects a 2.2x gross ROI and 20.9% gross IRR and a 1.8x net ROI and 15.7% net IRR as of September 30, 2022. Furthermore, based on current market dynamics, EnCap anticipates the opportunity to monetize select Fund X portfolio companies over the next 12 to 18 months.

Fund X										
As of September 30, 2022; \$ in millions)										
							Total Realized			
	Date of		Total	Realized	Unrealized	Proceeds &	Gross		Net	
Company	Initial	Commitment	Capital	Proceeds	Value	Unrealized	ROI	IRR	ROI	IRR
	Investment		Invested			Value				
Realized or Substantially Realized Investments										
Southland ^(a)	Mar-15	\$ 465.5	\$ 465.5	\$ -	\$ -	\$ -				
Amercedev	May-15	168.3	168.3	514.4	-	514.4				
Talon III	May-15	13.9	13.9	57.6	-	57.6				
Grenadier II	May-15	100.8	100.8	145.6	-	145.6				
Moda	Jun-15	112.4	112.4	172.8	9.4	182.2				
Staghorn II	Oct-15	164.9	164.9	387.4	4.6	392.0				
Felix II	Nov-15	335.3	335.3	2,588.4	38.2	2,626.6				
Raisa	Apr-16	252.7	252.7	253.7	12.8	266.5				
Royal Holly	Jan-17	26.2	26.2	8.7	-	8.7				
Fortis Oklahoma	Mar-17	161.3	161.3	78.8	92.3	171.1				
Staghorn III	May-17	276.8	276.8	19.3	11.4	30.7				
Olifant	Jun-17	76.2	76.2	11.2	-	11.2				
		2,154.3	2,154.3	4,237.9	168.7	4,406.6	2.0x	22.3%	1.7x	16.4%
Unrealized Investments										
Verdun	Jan-16	215.9	207.0	430.5	649.6	1,080.1				
Plains All American	Jan-16	280.0	280.0	120.1	339.5	459.6				
Advance	May-16	445.5	435.4	7.2	1,353.1	1,360.3				
OGX IV Quinn Ranch	Jun-16	297.1	257.6	13.0	355.0	368.0				
EnCap Minerals	Jun-16	732.0	625.1	367.2	1,467.7	1,834.9				
Novo	Aug-16	599.1	491.3	220.5	969.1	1,189.6				
PetroLegacy	Sep-16	499.5	443.3	-	877.4	877.4				
Grayson Mill	Oct-16	89.5	58.7	0.5	47.2	47.7				
Amercedev II	Mar-17	685.0	546.4	-	881.1	881.1				
Mongoose	Apr-17	283.7	136.5	-	29.7	29.7				
Enduring IV	Jun-17	475.0	271.4	0.2	337.5	337.7				
Grayson Mill II	Apr-21	250.0	196.4	233.0	422.4	655.4				
Verdun Austin Chalk JV	Dec-21	100.0	49.0	-	59.0	59.0				
		4,952.3	3,998.1	1,392.2	7,788.3	9,180.5	2.3x	20.2%	1.9x	15.2%
		\$ 7,106.6	\$ 6,152.4	\$ 5,630.1	\$ 7,957.0	\$ 13,587.1	2.2x	20.9%	1.8x	15.7%

(a) Commitment and investment amounts shown net of \$79 million bridge loan.

Fund IX

EnCap Energy Capital Fund IX, L.P. (“**Fund IX**”) was formed in 2012 with approximately \$5.1 billion in commitments from approximately 250 limited partners and its general partner. This fund is fully committed with approximately \$5.8 billion committed (inclusive of callable capital) to 21 portfolio companies. Nine of the Fund IX portfolio companies are or were led by management teams that EnCap backed in earlier funds. As of September 30, 2022, 14 of the 21 investments, representing approximately \$2.5 billion of invested capital, are realized or substantially realized and have total value (including realized proceeds and unrealized value) of approximately \$5.7 billion, resulting in a 2.3x gross ROI and 42.5% gross IRR and a 2.0x net ROI and 36.1% net IRR.

In the unrealized category, approximately \$2.8 billion has been advanced to seven remaining portfolio companies. Over half of the remaining value resides in Permian operating companies and minerals, which the Firm believes are well positioned with healthy balance sheets, attractive assets, and free cash flow profiles. The majority of the non-Permian unrealized value resides in mature operating businesses in the Eagle Ford and the STACK play, which are undergoing development and actively making distributions. The term of Fund IX’s partnership was recently extended to December 31, 2024 to provide runway for value creation in light of A&D market dynamics, and the Firm is focused on maximizing the value of the unrealized investments and positioning these companies for exit events as soon as is practical. Inclusive of the valuations of the unrealized portfolio, Fund IX as a whole reflects a 1.7x gross ROI and 14.5% gross IRR and a 1.4x net ROI and 9.9% net IRR as of September 30, 2022.

Fund IX										
(As of September 30, 2022; \$ in millions)										
Company	Date of Initial Investment	Commitment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	Gross ROI	Gross IRR	Net ROI	Net IRR
<i>Realized or Substantially Realized Investments</i>										
Paloma III	Jan-13	\$ 51.2	\$ 51.2	\$ 107.6	\$ -	\$ 107.6				
Payrock	Jan-13	66.8	66.8	305.5	3.5	309.0				
Common III	Jan-13	60.4	60.4	11.7	-	11.7				
Modem	Mar-13	128.9	128.9	30.5	-	30.5				
Felix	Apr-13	381.9	381.9	1,873.9	99.7	1,973.6				
Qstar ^(a)	Jun-13	338.5	338.5	826.7	-	826.7				
Silverback	Nov-13	292.2	292.2	915.9	-	915.9				
Sabalo	Mar-14	319.6	319.6	509.8	151.7	661.5				
Fuse	Jun-14	134.8	134.8	-	-	-				
Sierra	Sep-14	110.5	110.5	242.5	-	242.5				
OGX III VNOM Shares	Jan-15	258.2	258.2	518.3	-	518.3				
Southland ^(b)	Feb-15	310.2	310.2	-	-	-				
Phillips Energy IV	May-15	39.6	39.6	36.2	19.5	55.7				
QStar II	Apr-17	12.8	12.8	0.2	-	0.2				
		2,505.6	2,505.6	5,378.8	274.4	5,653.2	2.3x	42.5%	2.0x	36.1%
<i>Unrealized Investments</i>										
Bold III	Apr-13	232.0	232.0	-	417.0	417.0				
Montage	Jun-13	547.2	547.2	73.7	55.4	129.1				
Protégé III	Sep-13	773.2	517.0	186.2	451.1	637.3				
Excalibur	Oct-13	630.3	545.8	14.5	90.5	105.0				
Paloma IV	May-14	585.2	470.6	90.0	475.6	565.6				
Piedra III	Jun-14	328.0	302.0	166.4	729.1	895.5				
EnCap Minerals	Jan-15	221.8	207.1	122.2	287.0	409.2				
		3,317.7	2,821.7	653.0	2,505.7	3,158.7	1.1x	1.8%	0.9x	(1.6)%
		\$ 5,823.3	\$ 5,327.3	\$ 6,031.8	\$ 2,780.1	\$ 8,811.9	1.7x	14.5%	1.4x	9.9%

(a) Commitment and investment amounts shown net of \$150 million bridge loan.

(b) Commitment and investment amounts shown net of \$53 million bridge loan.

Fund VIII

EnCap Energy Capital Fund VIII, L.P. (“**Fund VIII**”) was formed in 2010 with approximately \$3.6 billion in commitments from approximately 250 limited partners and its general partner. Fund VIII is fully committed with approximately \$3.8 billion committed (inclusive of callable capital) to 23 portfolio companies. Eleven of the Fund VIII portfolio companies were led by management teams that EnCap backed in earlier funds. As of September 30, 2022, 21 of the 23 investments, representing approximately \$2.8 billion of invested capital, are realized or substantially realized and have total value (including realized proceeds and unrealized value) of approximately \$2.6 billion, resulting in a 0.9x gross ROI and (3.0%) gross IRR and a 0.8x net ROI and (6.1%) net IRR to the fund.

In the unrealized category, \$942 million has been advanced to two remaining portfolio companies that are substantially focused on natural gas weighted development. Notably, PennEnergy, which has built an at-scale business in the Marcellus Shale, represents the vast majority of remaining Fund VIII value in EnCap’s view. EnCap believes the company has a healthy free cash flow profile and extensive development inventory. The term of Fund VIII’s partnership was extended to December 31, 2022 to provide runway for value creation in light of A&D market dynamics, and the Firm is focused on maximizing the value of this investment and positioning the company for an exit event as soon as is practical.

Fund VIII was approximately 70% invested prior to the commodity price decline and major market changes in late 2014, and as a result, a material portion of the portfolio was adversely impacted. Inclusive of the valuations of the unrealized portfolio, Fund VIII as a whole reflects a 1.1x gross ROI and 2.5% gross IRR and a 1.0x net ROI and 0.6% net IRR as of September 30, 2022. EnCap views Fund VIII as challenged relative to achieving its targeted rates of return but will continue to seek to maximize remaining unrealized value to the fund.

Fund VIII										
(As of September 30, 2022; \$ in millions)										
Company	Date of Initial Investment	Commitment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	Gross		Net	
							ROI	IRR	ROI	IRR
Realized or Substantially Realized Investments										
Caiman	Nov-10	\$ 43.6	\$ 43.6	\$ 194.2	\$ -	\$ 194.2				
Common II	Nov-10	26.9	26.9	44.8	-	44.8				
Lone Star II	Nov-10	14.2	14.2	1.1	-	1.1				
Silver Oak	May-11	73.7	73.7	22.0	-	22.0				
Talon II	Jan-11	131.6	131.6	-	-	-				
Venado	Feb-11	115.9	115.9	-	-	-				
Enduring II	Jun-11	170.3	170.3	496.1	0.2	496.3				
Tracker III	Apr-11	189.1	189.1	2.7	28.4	31.1				
Dorado	Jul-11	133.8	133.8	122.7	-	122.7				
Forge	Jul-11	279.7	279.7	253.3	10.2	263.5				
FireWheel	Aug-11	224.1	224.1	213.2	4.5	217.7				
Plantation V	Dec-11	207.0	207.0	21.6	-	21.6				
Halcon	Feb-12	330.0	330.0	347.5	-	347.5				
Brigadier	Mar-12	246.1	246.1	4.1	-	4.1				
Broad Oak	Jul-12	183.3	183.3	181.6	-	181.6				
Phillips III	Aug-12	92.6	92.6	36.2	89.0	125.2				
Grenadier II	Aug-12	33.3	33.3	48.5	-	48.5				
Common III	Sep-12	60.4	60.4	11.7	-	11.7				
Marlin	Sep-12	145.9	145.9	24.4	-	24.4				
Paloma III	Oct-12	51.2	51.2	107.6	-	107.6				
Payrock	Nov-12	66.8	66.8	305.5	3.5	309.0				
		2,819.5	2,819.5	2,438.8	135.8	2,574.6	0.9x	(3.0)%	0.8x	(6.1)%
Unrealized Investments										
Montage (formerly Edipse)	Feb-11	358.2	358.2	96.8	45.4	142.2				
PennEnergy	Sep-11	584.0	584.0	65.7	1,421.4	1,487.1				
		942.2	942.2	162.5	1,466.8	1,629.3	1.7x	8.3%	1.6x	7.0%
		\$ 3,761.7	\$ 3,761.7	\$ 2,601.3	\$ 1,602.6	\$ 4,203.9	1.1x	2.5%	1.0x	0.6%

Fund VII

EnCap Energy Capital Fund VII, L.P. (“**Fund VII**”) was formed in 2007 with approximately \$2.5 billion in commitments from more than 150 limited partners and its general partner. Sixteen of the companies were led by management teams backed by EnCap in prior funds. This fund is practically fully realized, and, in total, approximately \$4.1 billion was returned to the fund on approximately \$2.6 billion of invested capital, equating to a 1.6x gross ROI and 24.4% gross IRR and a 1.3x net ROI and 14.5% net IRR as indicated by the table below.

Fund VII										
(As of September 30, 2022; \$ in millions)										
Company	Date of Initial Investment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value		Gross		Net	
							ROI	IRR	ROI	IRR
Realized or Substantially Realized Investments										
Common	Sep-07	\$ 31.9	\$ 95.4	\$ -	\$ 95.4					
Red Arrow	Sep-07	26.3	71.6	-	71.6					
Plantation IV	Sep-07	36.0	88.6	-	88.6					
Cordillera III	Sep-07	72.9	244.7	-	244.7					
Legado	Sep-07	60.4	55.3	-	55.3					
Cheyenne River	Sep-07	61.5	10.4	-	10.4					
Oasis	Oct-07	61.5	298.7	-	298.7					
Piedra	Nov-07	45.1	109.7	-	109.7					
ER Energy Group	Dec-07	317.3	6.8	-	6.8					
Earthstone	Dec-07	256.9	55.8	-	55.8					
Limestone	Apr-08	36.1	132.8	-	132.8					
RiverStone	May-08	17.4	31.3	-	31.3					
OGX II	May-08	101.0	437.8	0.0	437.8					
Bold II	May-08	47.5	54.3	-	54.3					
PetroEdge II	Jul-08	87.5	119.3	-	119.3					
Royal	Jul-08	51.5	22.6	-	22.6					
Protégé II	Aug-08	87.1	203.0	-	203.0					
Cardinal	Sep-08	149.9	280.1	-	280.1					
HVL Energy	Nov-08	31.2	8.2	-	8.2					
Unconventional Res.	Nov-08	107.7	13.0	-	13.0					
Marquette	Dec-08	41.6	223.1	-	223.1					
Cornerstone	Apr-09	95.2	11.5	-	11.5					
Tracker	Jun-09	12.6	43.6	-	43.6					
Empresa II	Jul-09	81.0	90.1	-	90.1					
Paloma II	Nov-09	124.0	423.7	-	423.7					
Enduring	Mar-10	41.7	96.7	-	96.7					
Phillips II	Mar-10	51.0	87.7	-	87.7					
Common II	May-10	27.4	45.4	-	45.4					
Caiman	Jul-10	44.3	195.1	-	195.1					
Lone Star II	Aug-10	14.2	1.1	-	1.1					
Limestone II	Oct-10	184.0	58.6	-	58.6					
Enduring II	May-11	106.2	304.6	0.1	304.7					
Piedra II	Jul-11	43.2	139.0	-	139.0					
		\$ 2,553.1	\$ 4,059.6	\$ 0.1	\$ 4,059.7	1.6x	24.4%	1.3x	14.5%	

Fund VI

EnCap Energy Capital Fund VI, L.P. (“**Fund VI**”) was formed in 2006 with approximately \$1.5 billion in commitments from more than 100 limited partners and its general partner. Eight of the companies were led by management teams backed by EnCap in prior funds. This fund is fully realized, and in total, approximately \$3.3 billion was returned to the fund on approximately \$1.6 billion of invested capital, equating to a 2.1x gross ROI and 32.5% gross IRR and a 1.7x net ROI and 23.4% net IRR as indicated by the table below.

Fund VI										
(As of September 30, 2022; \$ in millions)										
Company	Date of Initial Investment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value		Gross		Net	
					ROI	IRR	ROI	IRR		
Realized or Substantially Realized Investments										
Core	Aug-06	\$ 27.6	\$ 38.7	\$ -	\$ 38.7					
Lobos	Sep-06	51.7	86.7	-	86.7					
Marquette	Sep-06	50.0	330.2	-	330.2					
GulfTex	Sep-06	25.7	44.2	-	44.2					
GFI	Nov-06	12.0	21.1	-	21.1					
Manti	Nov-06	77.9	85.6	-	85.6					
Talon	Jan-07	135.8	368.0	-	368.0					
Earthstone	Jan-07	55.7	2.5	-	2.5					
Paloma Barnett	Feb-07	69.4	146.7	-	146.7					
Oasis	Mar-07	117.0	568.2	-	568.2					
Crimson III	Apr-07	3.9	0.5	-	0.5					
Eagle	Apr-07	83.7	152.8	-	152.8					
Grenadier	Apr-07	51.4	90.0	-	90.0					
Mediterranean	Apr-07	8.9	10.9	-	10.9					
Staghorn	May-07	9.5	24.6	-	24.6					
Phillips Energy	May-07	30.6	77.5	-	77.5					
Cordillera III	May-07	145.7	489.5	-	489.5					
Peregrine II	May-07	50.0	26.0	-	26.0					
Unconventional Res.	Feb-07	61.0	9.5	-	9.5					
Lone Star	Jun-07	19.2	76.3	-	76.3					
Laramie II	Jun-07	123.3	17.4	-	17.4					
Legado	Jul-07	64.5	59.1	-	59.1					
Red Arrow	Aug-07	26.3	71.6	-	71.6					
Renaissance	Aug-07	60.9	77.4	-	77.4					
Plantation IV	Aug-07	36.0	88.6	-	88.6					
Navidad	Aug-07	112.2	160.8	-	160.8					
Common	Sep-07	54.3	162.2	-	162.2					
		\$ 1,564.2	\$ 3,286.6	\$ -	\$ 3,286.6	2.1x	32.5%	1.7x	23.4%	

Fund V

EnCap Energy Capital Fund V, L.P. (“**Fund V**”) was formed in 2004 with approximately \$825 million in commitments from 60 limited partners and its general partner. Eight of the companies were led by management teams backed by EnCap in prior funds. This fund is fully realized, and in total, approximately \$2.0 billion was returned to the fund on approximately \$922 million of invested capital, which equates to a 2.1x gross ROI and 38.4% gross IRR and a 1.7x net ROI and 26.9% net IRR as indicated by the table below.

Fund V									
(As of September 30, 2022; \$ in millions)									
Company	Date of Initial Investment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	Gross		Net	
						ROI	IRR	ROI	IRR
Realized or Substantially Realized Investments									
Ovation II	Nov-04	\$ 9.0	\$ 1.9	\$ -	\$ 1.9				
Escondido I	Dec-04	53.7	131.7	-	131.7				
Cordillera II	Dec-04	99.5	193.2	-	193.2				
Empresa	Dec-04	86.2	337.9	-	337.9				
Enduring	Dec-04	162.2	408.9	-	408.9				
Shona (Canaol)	Feb-05	13.0	29.6	-	29.6				
Bold	Mar-05	22.8	54.9	-	54.9				
Crimson	Jun-05	27.3	35.3	-	35.3				
Savant	Jul-05	4.2	11.6	-	11.6				
Plantation III	Jul-05	6.6	13.4	-	13.4				
NCX II	Jul-05	9.0	3.3	-	3.3				
JOG	Jul-05	21.9	24.7	-	24.7				
PAA	Aug-05	15.9	78.8	-	78.8				
GFI (SMDR)	Sep-05	6.0	16.7	-	16.7				
Mediterranean	Dec-05	33.7	56.7	-	56.7				
Cornerstone	Dec-05	29.2	4.7	-	4.7				
OGX	Jan-06	32.2	90.5	-	90.5				
Riverbend	Mar-06	7.5	21.4	-	21.4				
Tracker	May-06	50.3	145.9	-	145.9				
EV Energy (Harvest)	May-06	22.5	47.7	-	47.7				
RiverStone	Jun-06	47.0	75.1	-	75.1				
Destiny	Jun-06	12.7	12.7	-	12.7				
O'BENCO II	Jul-06	35.1	70.3	-	70.3				
Phillips Royalty	Aug-06	1.5	2.5	-	2.5				
PetroEdge	Aug-06	39.4	64.0	-	64.0				
ER Energy Group	Aug-06	57.1	1.1	-	1.1				
Laramie	Sep-06	10.2	35.2	-	35.2				
Earthstone	Dec-07	6.7	0.6	-	0.6				
		\$ 922.4	\$ 1,970.3	\$ -	\$ 1,970.3	2.1x	38.4%	1.7x	26.9%

Fund IV

EnCap Energy Capital Fund IV, L.P. (“**Fund IV**”) was formed in 2001 with approximately \$530 million in commitments from 50 limited partners and its general partner. Eight of the companies were led by management teams backed by EnCap in prior funds. This fund is fully realized, and in total, approximately \$1.5 billion was returned to the fund on approximately \$570 million of invested capital, equating to a 2.6x gross ROI and 98.6% gross IRR and a 2.1x net ROI and 68.4% net IRR as indicated by the table below.

Fund IV									
(As of September 30, 2022; \$ in millions)									
Company	Date of Initial Investment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	Gross		Net	
						ROI	IRR	ROI	IRR
						Realized or Substantially Realized Investments			
Laredo I	Dec-01	\$ 14.0	\$ 70.4	\$ -	\$ 70.4				
Ovation I	Dec-01	17.8	40.4	-	40.4				
Sawtooth	Jan-02	6.7	22.8	-	22.8				
Sierra 2003	Mar-02	7.8	9.1	-	9.1				
Medicine Bow	May-02	57.3	232.1	-	232.1				
Plantation I	Jul-02	30.0	64.4	-	64.4				
Nautilus	Apr-03	30.0	44.4	-	44.4				
Laredo II	Sep-03	20.6	126.1	-	126.1				
Plantation II	Nov-03	10.0	59.3	-	59.3				
Petrohawk	Dec-03	39.1	127.8	-	127.8				
Stroud	Jan-04	27.0	83.9	-	83.9				
Tempest	Mar-04	33.9	1.1	-	1.1				
NGL	Apr-04	50.0	75.7	-	75.7				
Laramie	May-04	77.3	265.5	-	265.5				
Protégé	May-04	30.0	64.7	-	64.7				
Peregrine	Jul-04	25.0	19.5	-	19.5				
Ovation II	Nov-04	36.2	7.2	-	7.2				
Laredo III	Mar-05	24.6	104.4	-	104.4				
Plantation III	Jul-05	33.1	66.2	-	66.2				
		\$ 570.4	\$ 1,485.0	\$ -	\$ 1,485.0	2.6x	98.6%	2.1x	68.4%

Fund III

EnCap Energy Capital Fund III, L.P. (“**Fund III**”) was formed in 1997 with approximately \$410 million in commitments from 40 limited partners and its general partner. This fund is fully realized, and in total, approximately \$1.3 billion was returned to Fund III on approximately \$469 million of invested capital, equating to a 2.8x gross ROI and 30.3% gross IRR and a 2.4x net ROI and 23.5% net IRR as indicated by the table below.

Fund III									
(As of September 30, 2022; \$ in millions)									
Company	Date of Initial Investment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	Gross		Net	
						ROI	IRR	ROI	IRR
Benz Energy	Oct-97	\$ 24.9	\$ 33.3	\$ -	\$ 33.3				
Harken Energy	Oct-97	25.0	21.3	-	21.3				
San Juan Partners	Jan-98	15.6	27.7	-	27.7				
Sharpe Energy	May-98	3.0	3.7	-	3.7				
BreitBurn Energy	Jun-98	30.0	58.4	-	58.4				
Plains Resources	Jul-98	48.5	115.6	-	115.6				
CERES	Aug-98	14.6	26.1	-	26.1				
Matrix Oil & Gas (Denbury)	Aug-98	28.6	99.4	-	99.4				
3TEC Energy (Plains Exploration)	Dec-99	48.4	104.2	-	104.2				
Bargo Energy	May-99	15.0	26.7	-	26.7				
Cordillera Energy Partners	May-99	48.5	133.7	-	133.7				
Cheniere Energy	Sep-99	3.7	4.6	-	4.6				
First Permian	Jun-00	16.0	27.2	-	27.2				
American Coastal Energy	Sep-00	12.0	14.3	-	14.3				
Dallas Production	Nov-00	22.3	37.3	-	37.3				
PetroQuest	Dec-00	7.5	8.9	-	8.9				
Plains All American (Units)	Jun-01	19.9	33.3	-	33.3				
Copano Energy	Sep-01	30.0	103.0	-	103.0				
NCX Company	Oct-01	18.2	88.6	-	88.6				
Plains All American (GP/LP units)	Jun-01	36.9	338.5	-	338.5				
Total Fund Investments		\$ 468.6	\$ 1,305.8	-	\$ 1,305.8	2.8x	30.3%	2.4x	23.5%

Fund II

EnCap Energy Capital Fund II, L.P. (“**Fund II**”) was formed in 1996 with approximately \$115 million in commitments from 13 limited partners and its general partner. This fund is fully realized, and in total, approximately \$142 million was returned to Fund II on approximately \$115 million of invested capital, equating to a 1.2x gross ROI and 6.9% gross IRR and a 1.1x net ROI and 3.6% net IRR as indicated by the table below.

Fund II									
(As of September 30, 2022; \$ in millions)									
Company	Date of Initial Investment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	Gross		Net	
						ROI	IRR	ROI	IRR
Cliffwood	Sep-96	\$ 7.1	\$ 13.6	\$ -	\$ 13.6				
Sierra-Harris	Dec-96	2.3	3.4	-	3.4				
Matrix II	Dec-97	8.5	10.5	-	10.5				
MPAC II	Aug-96	96.7	114.5	-	114.5				
Total Fund Investments		\$ 114.6	\$ 142.0	-	\$ 142.0	1.2x	6.9%	1.1x	3.6%

Fund I

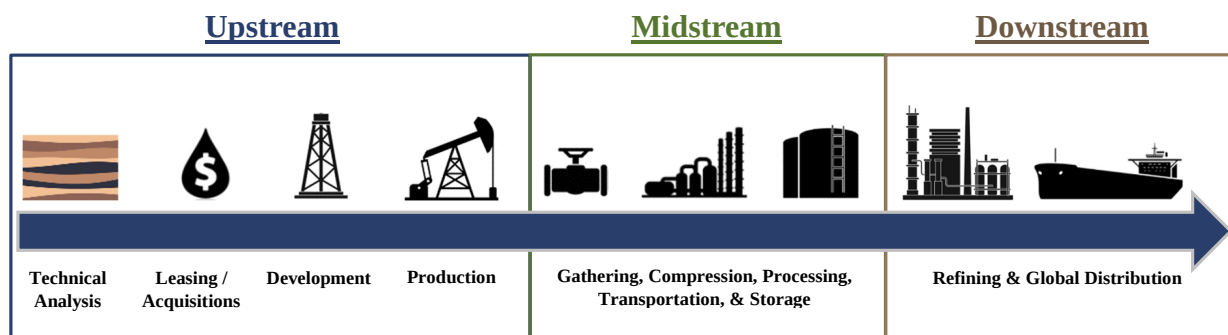
EnCap Energy Capital Fund I, L.P. (“**Fund I**”) was formed in 1994 with approximately \$104 million in commitments from 11 limited partners and its general partner. This fund is fully realized, and in total, approximately \$196 million was returned to Fund I on approximately \$104 million of invested capital, equating to a 1.9x gross ROI and 31.5% gross IRR and a 1.9x net ROI and 24.8% net IRR as indicated by the table below.

Fund I									
(As of September 30, 2022; \$ in millions)									
Company	Date of Initial Investment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	Gross		Net	
						ROI	IRR	ROI	IRR
Duck Lake	Jun-94	\$ 15.2	\$ 28.0	\$ -	\$ 28.0				
Paloma	Jul-94	3.6	7.2	-	7.2				
Sierra 1994	Jul-94	6.6	8.2	-	8.2				
ATP	Jul-94	9.6	11.5	-	11.5				
TAP	Nov-94	0.4	-	-	-				
EnerVest	Feb-95	11.5	16.8	-	16.8				
Sotex Frio	Feb-95	9.2	14.8	-	14.8				
Matrix I	May-95	7.4	12.1	-	12.1				
Double Diamond	Aug-95	3.1	4.8	-	4.8				
Future	Oct-94	9.6	14.5	-	14.5				
Sierra 1996	May-96	14.8	59.7	-	59.7				
MPAC I	Dec-95	13.1	18.4	-	18.4				
Total Fund Investments		\$ 104.1	\$ 196.0	-	\$ 196.0	1.9x	31.5%	1.9x	24.8%

IV INDUSTRY OVERVIEW

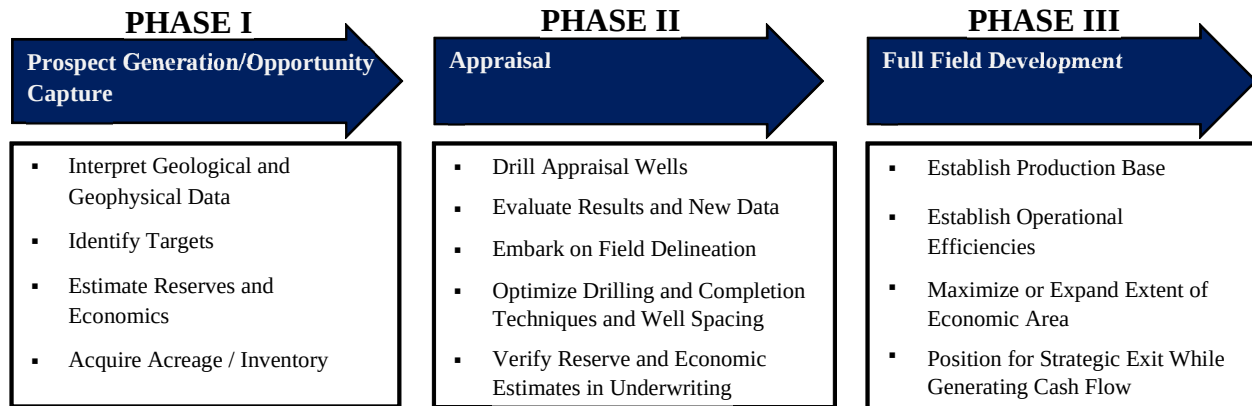
SECTION I: OVERVIEW OF UPSTREAM OIL AND GAS

The upstream sector, commonly referred to as the “exploration and production” (“E&P”) sector, involves the identification and commercial extraction of oil and natural gas reserves. E&P companies conduct engineering, geological, and geophysical analyses, acquire leasehold, and drill wells to produce economic quantities of hydrocarbons. As displayed in the diagram below, upstream companies are essential to the overall energy value chain, as they locate and extract hydrocarbons that are ultimately transported and processed into numerous derivative products that are essential for the everyday lives of billions of people worldwide.



At a high level, a general upstream company process involves three distinct phases: (i) prospect generation or opportunity capture, (ii) appraisal, and (iii) full field development. First, prospect generation involves multidisciplinary technical analysis (i.e., geology, engineering, geophysics, petrophysics, etc.) based on available data sources (such as nearby well production, logs, seismic data, and cores) to best estimate potential hydrocarbon reserves and the related economics of extracting them. Once a decision is made to execute based on a view of a project’s risk-adjusted returns, upstream operators will invest capital to capture development inventory and existing production in the targeted area through a combination of acquisitions, leasing, and other deal structures. In the next phase, appraisal, an E&P company will initiate early development and seek to prove or optimize a multitude of concepts across the previously acquired asset(s), including drilling practices, completion techniques, targeted formations, landing zones within the formations, and well spacing. These concepts have a direct impact on well results and development costs, which help determine the well economics that operators are seeking to maximize. Finally, an operator will move to large scale development, also known as full field development, once it has confidence in expected economic outcomes (as informed by early-stage development) to invest significant capital in doing so. An operator aggregating assets in a highly delineated area may have an abbreviated period of appraisal because of existing empirical data from offset wells and development patterns. Nonetheless, even in full field development, upstream companies will continue to evolve best practices based on information gathered from operated wells or other industry operators to further enhance economics.

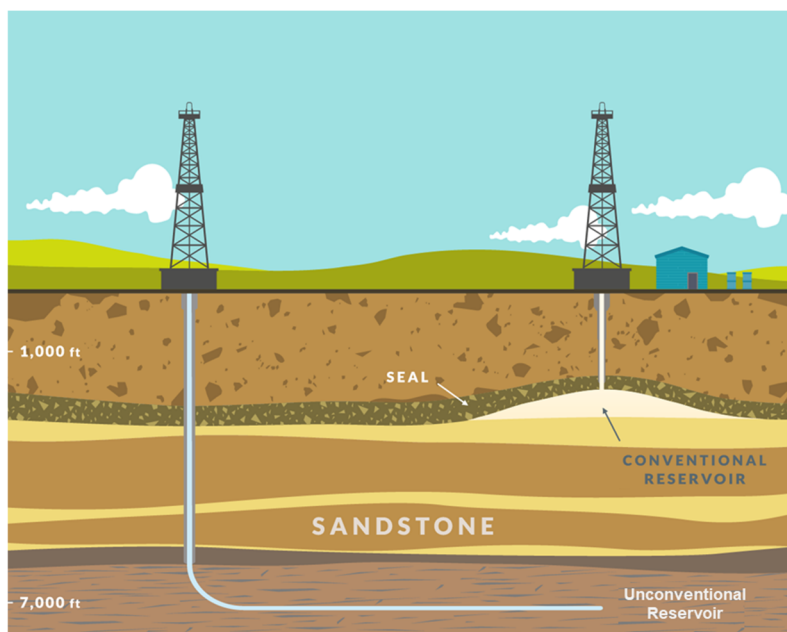
EnCap’s portfolio companies generally participate in all phases of the upstream value chain, although there may be a focus on certain phases based on several factors. First, the risk and return equation across the phases changes over time depending on market dynamics, and EnCap seeks to support strategies that balance capital preservation and value creation. Additionally, consistent with EnCap’s time-tested approach to risk management, capital is advanced incrementally to portfolio companies across the phases as a given play is de-risked and development economics are better understood. EnCap mitigates risk by being disciplined in the earlier, less delineated phases and ramping up investment upon proof of concept.



SECTION II: EVOLUTION OF DEVELOPMENT AND IMPACT OF TECHNOLOGY

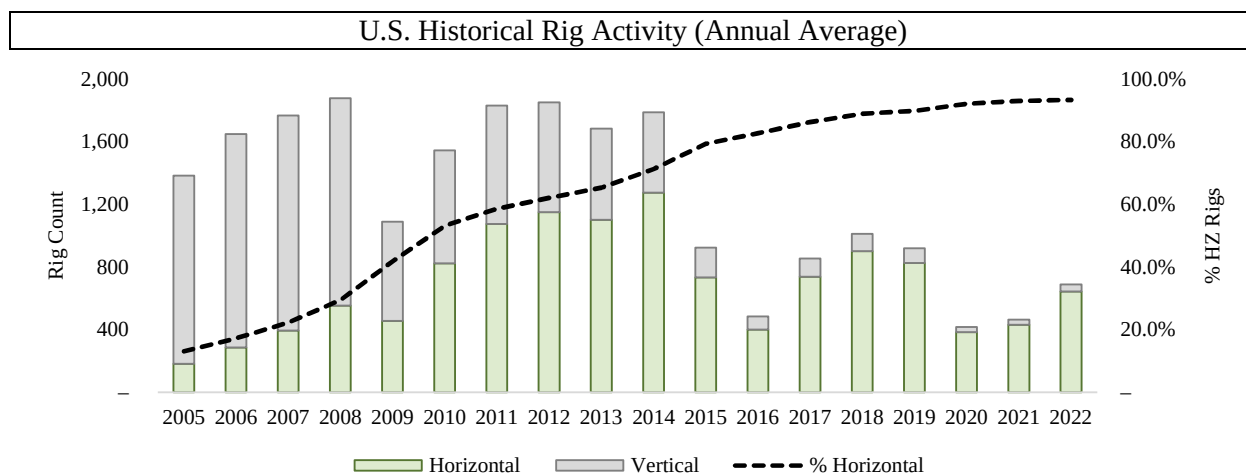
Until the advent of shale and resource plays (circa 2005), the North American upstream industry relied upon the development of conventional reservoirs, characterized by highly porous and permeable reservoir rock, to economically supply oil and gas. The hydrocarbons present in conventional reservoirs migrate from what are known as “source rocks”, which contain rich accumulations of organic matter that, given the right combination of pressure, temperature, and time, eventually turns into the hydrocarbons that are extracted in present day. Due to the highly permeable nature of the conventional reservoirs, a trapping mechanism is also necessary to keep these migrated hydrocarbons contained within the reservoir. Therefore, conventional prospects need three key characteristics to be commercial: reservoir rock, source rock, and a trapping mechanism. Operators typically developed these conventional reservoirs using vertical wellbores to access the reservoir rock that naturally permitted the flow of hydrocarbons. Over time, these prolific and low-cost conventional resources were depleted, and identifying new discoveries became more difficult and less economically viable to develop.

As a result, the industry shifted more focus to the source rocks referenced above. These source rocks are referred to as unconventional reservoirs, shales, resource plays, etc., and are characterized by lower porosity and permeability rock that, due to this lower permeability, naturally traps the hydrocarbons within the source rock itself. While not always conducive for economic vertical development, these reservoirs typically contain significant quantities of hydrocarbons in place and are more broadly extensive due to the fact that the reservoir itself contains the key characteristics referenced above: it acts as both the reservoir rock and the source rock and its low permeability functions as a self-trapping mechanism. Major technological advancements in the industry, particularly the pairing of horizontal drilling and multi-stage fracture simulation, allowed industry operators to effectively unlock these tight reservoirs for economic development and create a vast new opportunity set for identifying and developing unconventional plays in North America. These advanced drilling techniques were originally pioneered in the Barnett Shale in North Texas and quickly proliferated across other major unconventional plays in the U.S., including the Marcellus Shale in Appalachia, the Haynesville Shale in Louisiana and East Texas, the Eagle Ford Shale in South Texas, the Bakken Shale in North Dakota, and the Permian Basin in West Texas and Southeast New Mexico.



Source: Rigzone.

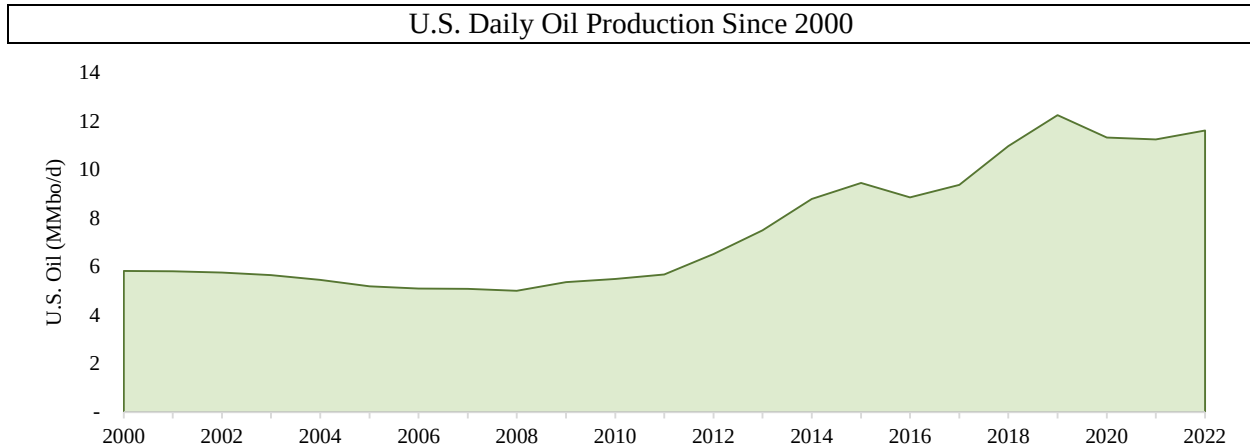
The shift to horizontal drilling and multi-stage fracturing is evident in historic rig activity. In 2005, the approximate beginning of the shale revolution, horizontal rigs comprised 13% of active U.S. rigs. Currently, this figure is 93% of the 745 active onshore rigs as of September 30, 2022. The chart below illustrates the dominance of horizontal drilling in the industry today. Due to drilling efficiencies, which are explained in more detail later in this section, a horizontal rig today can generally drill twice as many wells in a given time versus a decade ago.



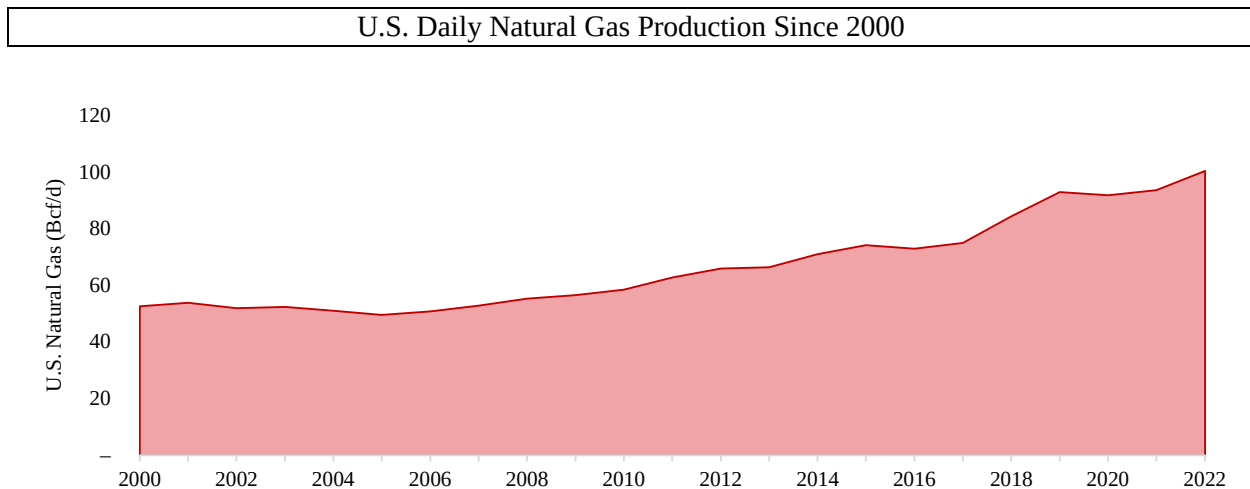
Source: Baker Hughes as of 9/30/2022; Baker Hughes' dataset includes U.S. offshore rigs 2005-2010; vertical category includes directional rigs.

The evolution of the industry has had a tremendous impact on economic development and global markets, which is clear in the growth of U.S. production since the industry shifted its focus to the development of unconventional reservoirs. In 2005, the U.S. produced 5.2 MMB/d and 49.5 Bcf/d, a stark decline from the prior peak of U.S. production of 9.6 MMB/d and 57.6 Bcf/d in 1970. In 2022, the U.S. is the world's largest hydrocarbon producer with expected production of 11.8 MMB/d and 98.1 Bcf/d according to the

November 2022 EIA Short-Term Energy Outlook, a respective 128% and 98% increase since 2005. This marks an all-time high for domestic production during a period of heightened energy insecurity worldwide.



Source: EIA. Includes crude oil and lease condensate only.



Source: EIA.

Continual Advancement of Drilling and Completion Technology and Techniques

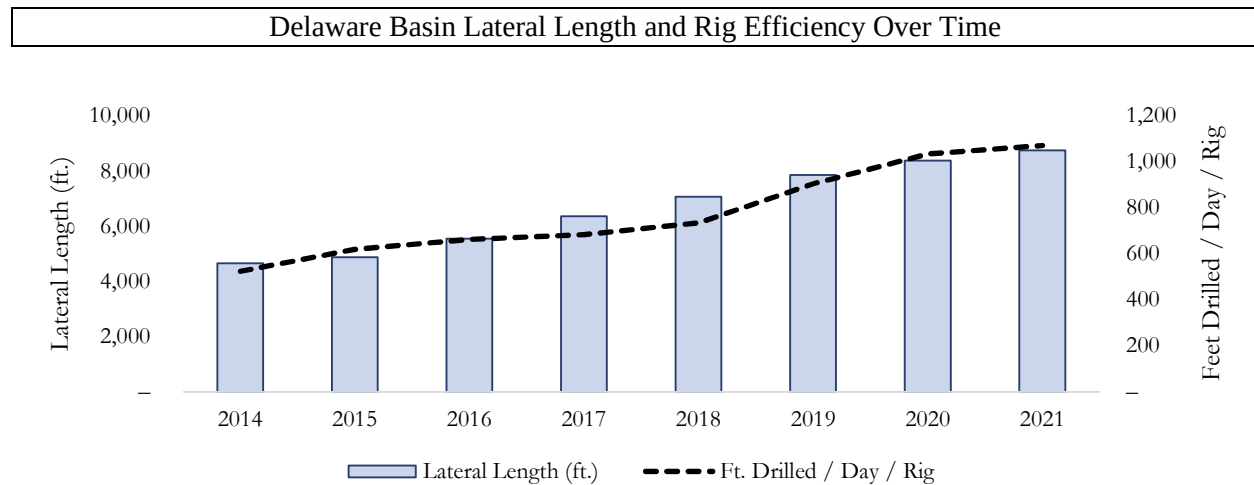
Over the last two decades, horizontal drilling and completion technology and techniques have progressed in a dramatic fashion to reduce well costs, enhance well recoveries, and optimize overall economics. Below is a general description of some of the most impactful advancements that are widely utilized by industry operators today.

Extended Horizontal Laterals and Faster Drilling Times

Unconventional reservoirs generally reside at subsurface depths ranging from 6,000 to 14,000 feet. Since each wellbore must penetrate the Earth vertically before kicking off horizontally, the vertical section of each wellbore is a fixed cost. The drilling of the horizontal section, which is later stimulated to produce hydrocarbons, is a variable cost, and generally, longer laterals result in significantly lower costs on a lateral foot basis. Drilling costs typically represent approximately 30-50% of total upfront well costs, making this a highly impactful variable for well economics, and most current industry operators seek to drill 10,000 to 15,000 foot laterals depending on lease and unit configurations. In contrast, early horizontal wells, limited by technology, had lateral lengths ranging from 2,000 to 5,000 feet.

The time it takes to drill a well has a major impact on costs, as well as total capital cycle times (from the time a well is spud to the time of initial production) that impact overall returns. The industry has adopted a broad suite of drilling technologies and practices to increase penetration rates in both the vertical and horizontal portions of wellbores to reduce drilling times. These include automated rigs, rotary steerable systems, improved drill bits, advanced fluid systems, and advanced solids control systems.

The graph below provides an illustration of how horizontal drilling has evolved since 2014 in the Delaware Basin by comparing average well lateral length and the average amount of feet drilled per day for one rig.



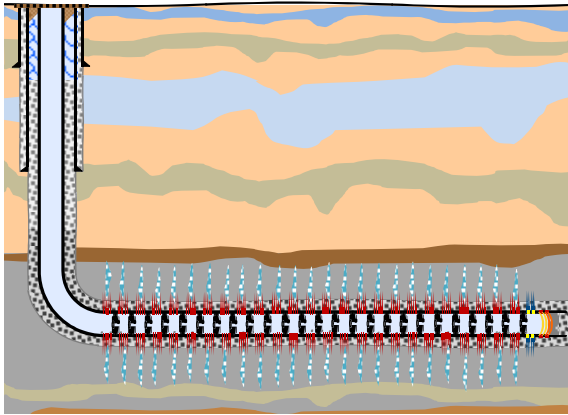
Source: Enverus.

Increased Proppant Loading and Decreased Stage and Cluster Spacing

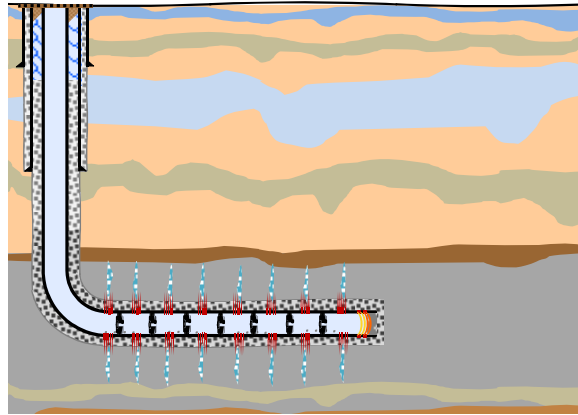
Once wells are drilled, operators will stimulate the horizontal section of the wellbore using hydraulic fracturing to recover hydrocarbons from the low permeability, unconventional reservoirs. At a high level, this process involves isolating portions of the horizontal lateral into specific stages and then creating fractures in the reservoir surrounding the horizontal wellbore through the pumping of a slurry comprised of proppant (typically sand) and water-based fluid. The proppant “props” the fractures open as pressure is reduced to allow hydrocarbons to continue to flow through them over time.

Through continual testing and empirical evidence, industry operators have refined the completion process to generate higher well recoveries and better economics. In particular, the industry has emphasized decreased stage spacing to 100 to 200 feet, or 50 to 100 stages with 15 to 20 feet between perforation clusters for a 10,000 foot lateral, and increased proppant loading to 2,000 to 3,000 pounds of sand per foot of completed lateral. While specific completion design characteristics vary by basin and by operator, the trend in most areas has been a shift towards higher intensity completions. And while these techniques are intended to increase ultimate recoveries of hydrocarbons, they are also capital intensive, and operators seek to find the right balance between completion intensity, performance, cost, impacts on offset inventory, and diminishing returns to optimize economics. The following illustration compares modern completions utilizing tighter stage and perforation cluster spacing and longer laterals to older generation fracs, which used wider stages and perforation cluster spacing along with shorter laterals.

Newer Generation Horizontal Completion

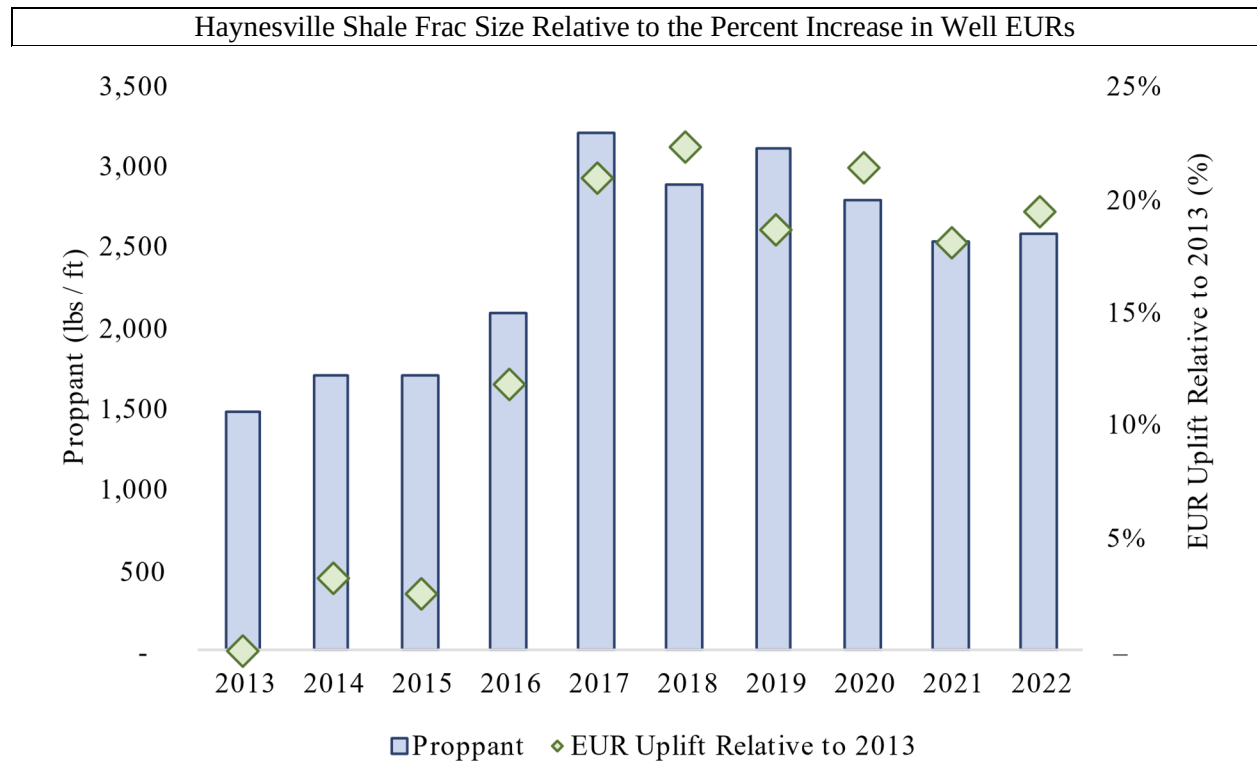


Older Generation Horizontal Completion



Source: EnCap.

The figure below illustrates frac size (proppant per foot) relative to the percent increase in well estimated ultimate recoveries (“EURs”) since 2013 in the Haynesville Shale. Completion size is only one variable of many determining well performance, but this chart clearly shows the major shift in completion size from 2013 to 2017 and the corresponding step change in EURs, followed by a period of operator optimization in more full field development.



Source: Enverus.

Landing Zone Targeting

Upstream operators seek to place horizontal wells in specific landing zone windows to expose wellbores to the highest quality rock, ensure that wellbores are spaced as intended by design, avoid drilling into subsurface hazards, and often to stay in rock that drills the fastest. As a result, landing zone targeting has a meaningful impact on well results, costs, and overall economics.

Prior to the early 2000s, operators relied on mud motors and the placement of a bent sub, a short component for connecting two longer drill collars, to steer horizontal wells downhole. This method required operators to pause while drilling at a series of set depths to reorient their drilling assembly, which lengthened drill times. In the early 2000s, the invention of rotary steerable systems, which are modern directional drilling systems, allowed operators to achieve desired lateral placement while drilling horizontal wells without having to stop drilling. These systems proved to be a time saving tool and are coupled with measurement while drilling (“MWD”) tools to provide information about the wellbore trajectory as well as other downhole data. With this real-time data, operators can effectively steer the drill bit in the desired path faster than was done in the past.

In addition to MWD, operators can also use logging while drilling (“LWD”) tools to provide real-time geologic information transmission to operators. Historically, operators would run a set of sophisticated tools to the bottom of their open wellbore at the completion of drilling. This method of open hole logging increased the time that the rig had to be on location and was also complicated and difficult depending on the geometry of the wellbore. LWD provides detailed geologic formation data to the operator while drilling and eliminate the need to gather this information separately upon the completion of drilling. The advent of rotary steerable systems along with improvements to MWD and LWD tools have enhanced horizontal drilling efficiencies for pad drilling and full unit/cube development, where many wellbores are being drilled from a centralized location. Some operators still prefer to use more conventional tools but have supplemented these tools with more data and processes to stay in intended landing zones, while also saving the expense of using rotary steerable systems.

Pad Drilling and Full Unit/Cube Development

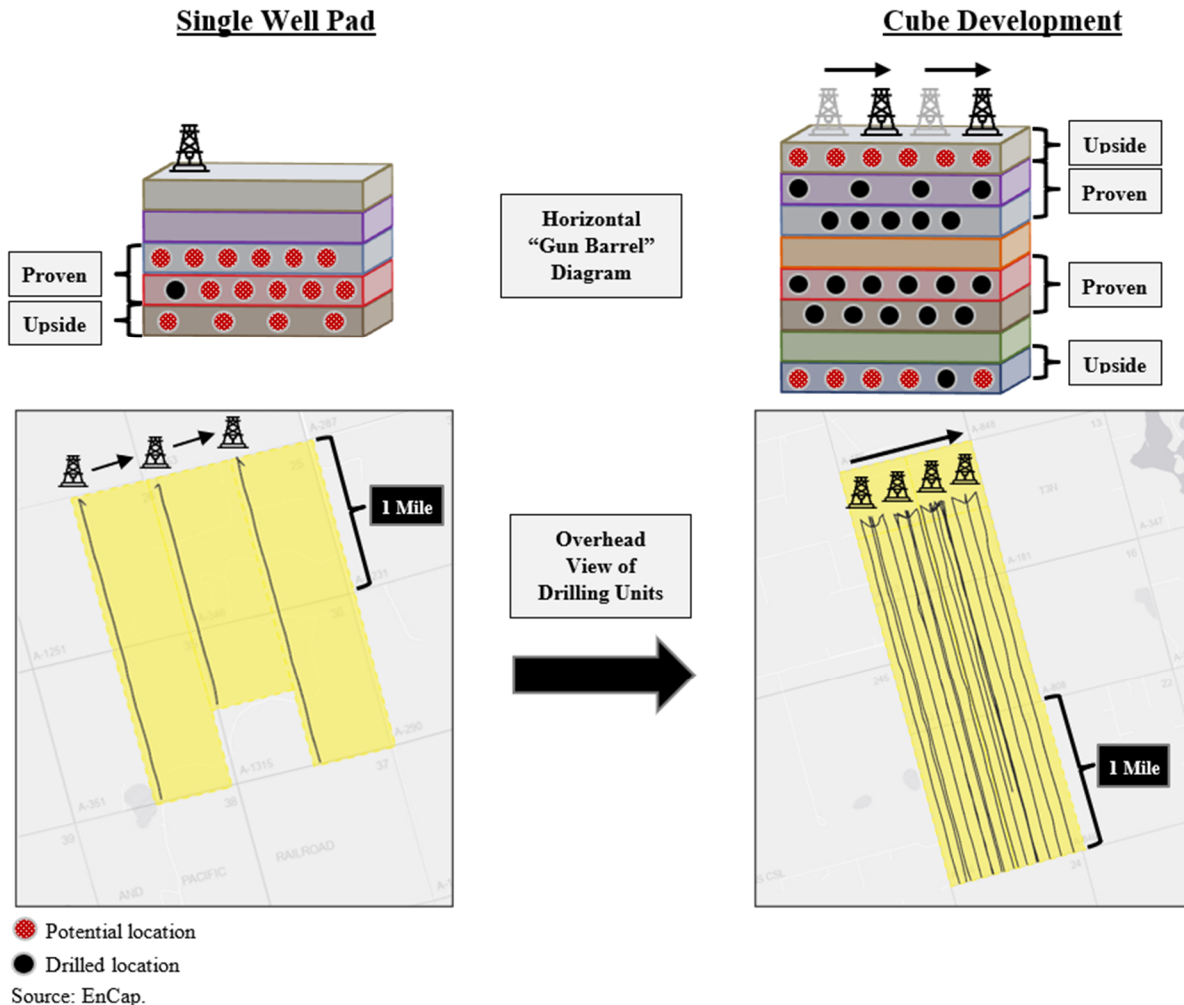
Early unconventional development emphasized the testing of resource potential and scattered drilling to hold acreage. During this phase, operators would stand up a rig, drill a single well, disassemble the rig, and mobilize it to a new drilling location (often miles away) to then repeat the process. This concept was very inefficient and increased costs per well, but it was often necessary due to other commercial circumstances including lease expirations and early appraisal programs. Over time, operators shifted to multi-well pads, whereby the operator would drill multiple horizontal wellbores from the same surface location (i.e., pad drilling). This reduced the time and costs associated with unnecessary rig mobilizations, and technological advancements in drilling rigs, such as automation and walking systems, have enabled operators to efficiently drill a significant number of wells from a single surface location. This practice provides other positive implications including the minimization of surface disturbances, increased safety with less heavy equipment mobilization, and the ability to centralize infrastructure, which also allows economies of scale and easier emissions monitoring.

In recent years, industry operators have expanded upon operational and technical learnings to shift into what is commonly referred to as full unit or cube development to maximize value within a given drilling unit. As the names imply, full unit development involves developing all economic locations in any given unit at one time, and while often used interchangeably, cube development generally refers to full unit development that involves multi-stacked pay, which lends to a three-dimensional, multi-layer development approach. In the Delaware Basin, for example, an operator may place 16 to 24 (or more) 10,000 foot

horizontal wells across 2,000 feet or more of vertical hydrocarbon-bearing rock in a standard 1,280-acre drilling unit. As operators fully develop a unit, the wells are typically drilled in succession from a single pad location, and operators may utilize more than one rig at a time on the pad to reduce capital cycle times. Once all of the wells are drilled, the operator may use one or more completion crews to complete the wells in succession before methodically placing wells into production based on technical and operational learnings to optimize production from the unit.

While development patterns vary by company, most operators are seeking to maximize the number of wells drilled and completed at one time from a single pad to drive cost efficiencies and to minimize the effects of parent/child well relationships, which is discussed later in this section. Extensive planning is required from a technical, land, operations, infrastructure, and service provider standpoint, and proper execution is critical to reap the benefits of the efficiencies gained through this level of development. This emphasizes the importance of partnering with management teams that possess the skill sets and operational talent to execute at a high level. Finally, full unit development is highly capital intensive—a 20-well pad in the Delaware Basin can require more than \$200 million of gross capital, as an example. In EnCap's current portfolio, most of the active rigs are being employed for half to full unit development.

The following figure illustrates a comparison between a single well pad and cube development for two separate areas in the Midland Basin. On the left side, an operator drilled one 10,000 foot well in Q2 2017, a second 7,500 foot well in Q4 2017, and a third 10,000 foot well in Q3 2018. Between these occurrences, the operator drilled nearby acreage with the same rig in other areas. This development pattern created inefficiencies through downtime, as well as future parent/child issues for the undeveloped inventory. On the right side, an actual cube development for an EnCap portfolio company, PetroLegacy II Holdings, LLC, is shown to highlight a 21-well pad with mostly 12,500 foot laterals targeting five different benches including four proven benches and one promising upside bench. This cube development was drilled using two rigs over a seven-month period to maximize efficiencies and to benefit from shared infrastructure, and the wells were completed and put online at the same time to avoid leaving attractive undeveloped inventory behind that would be at risk to future parent/child issues. Finally, it is worth noting that the upside target tested as part of this cube development proved to outperform expectations and has become a mainstay of the company's development plans.



Data-Driven Technical Analysis Key to Further Improvement in Well and Project Economics

Technical analysis is critical throughout the three phases of a typical upstream process. The primary functions are to properly underwrite technical assumptions when identifying prospects and capturing opportunity, shortening the initial development phase by learning as quickly and most cost effectively as possible, and excelling in full field development by continuing to evolve best practices based on results. Historically, there was less certainty in development decisions due to the vast amount of technical variables that can impact well results and economics, which spelled more trial and error and investment in testing. These technical variables include a multitude of complicated geologic, engineering, spacing, and time variables that were often hard to digest utilizing traditional technical methods.

The tremendous amount of data generated by industry operators drilling thousands of multi-well pads across various multi-stacked plays, in addition to technological advancements related to data capture and storage, has facilitated the use of data-driven methods for development optimization. Machine learning and probabilistic models can be trained using geologic, completion, spacing, and time parameters across large quantities of wells and different geologic settings in order to improve predictive capabilities, while limiting the amount of upfront capital needed for initial development optimization.

EnCap, as a leading equity provider in the upstream space for multiple decades and currently one of the most active operators in the U.S. with over 30 horizontal rigs on a combined basis as of September 30,

2022, has access to an expansive and proprietary dataset of well production, geologic interpretations, and operational practices across substantially all relevant resource plays in North America. The Firm utilizes a variety of data driven methods to analyze new opportunities and to closely evaluate well performance across the portfolio. EnCap's Technical Team has developed proprietary in-house tools and has also partnered with external companies who specialize in data analytics. With its access to extensive data and these tools and workflows, EnCap is able to make better informed data-driven decisions in conjunction with its management team partners.

Adoption of Best Practices to Increase Efficiencies and Responsibly Produce Hydrocarbons

In addition, over the course of significant horizontal development, the upstream industry has adopted best practices to increase efficiencies, improve well economics, and mitigate environmental impacts to responsibly supply hydrocarbons to the global markets. Some of these best practices are included below:

- **Understanding of Parent/Child Relationships** – reservoir pressure depletion from existing producing wells (parent wells) in a drilling unit will negatively impact the performance of offset locations (child wells). Optimizing development configuration next to existing wellbores and minimized time between drilling is critical to reducing these impacts.
- **Pressure Management of Parent Wells** – using techniques to build pressure in a parent well prior to an offset child completion can help protect the parent well's deliverability and give the children wells more pressure to frac against to mitigate parent/child effects. Operators use a variety of techniques including re-fracs, pre-loading, etc.
- **Adoption of Local Sand Sources** – many operators have stopped using expensive alternative proppants like ceramics and high-quality sand in favor of local, lower quality sand, given minimal performance impacts and greatly reduced costs. Using local sand also reduces environmental impacts associated with long-haul transportation.
- **Use of Surfactants** – surfactants are chemicals added to the frac fluid to reduce surface tension in the reservoir between the oil and rock surfaces and oil-water emulsions, which allow more oil to flow to the wellbore.
- **Tracers and Other Downhole Data** – tracers are typically added to the frac fluid to monitor how fluid flows through the reservoir. Tracers provide valuable information on stages and perforation clusters that were stimulated and allow operators to optimize completions in future wells.
- **Utilization of Real-Time Data to Inform Decisions** – deployment of real-time data capture systems in a variety of operational settings has increased efficiency. Examples include fiber optic cables along the wellbore miles under the ground, SCADA systems on producing wells, automated drilling software, and other in-field data integration software.
- **Dissolvable Frac Plugs** – frac plugs are used to isolate stages when completing the well. Dissolvable frac plugs are made of a degradable material that dissolves once the frac is completed. While more costly, dissolvable plugs have proven to be advantageous as wells with increased lateral lengths or more stages have presented challenges when drilling out the typical composite plugs.
- **Use of Water Recycling** – completions are very water intensive, and produced water that is associated with the production of hydrocarbons is costly to handle and dispose. Many operators, including several EnCap portfolio companies, have invested to build or contract with closed loop water recycling systems to reduce costs and the environmental impact associated with water usage and saltwater disposal.
- **Leak Detection and Monitoring** – new camera technology allows operators to continuously monitor wellsites to both detect and quantify fugitive emissions. Vapor recovery units (VRUs) are another technological advancement that allows operators to capture and sell what would otherwise be fugitive emissions from production facilities.

- **Electric Completion Fleets** – electric frac fleets utilize produced in-field gas to run electrically powered pressure pumps from a gas turbine as opposed to diesel, which result in both reduced emissions and fuel savings.
- **Simultaneous Operations or Zipper Frac** – to maximize efficiencies and reduce service downtime, completion crews will alternate pressure pumping and perforations on multiple wells at a time.
- **Simul-Frac or Double Barrel Frac** – an extra step beyond simultaneous operations, this involves the stimulation of two wells at the same time using one completion crew (in contrast to alternating between two wells at the same time).
- **Re-Completions** – completion of an existing, typically older vintage, well to restore productivity and offset decline; practices are most common in more mature plays such as the Bakken, the Eagle Ford, and the Haynesville.

Conclusion

Overall, advancements in oilfield technology and processes have had a tremendous impact on the ability to efficiently develop upstream assets to maximize economics during the conversion of development inventory into cash flow. However, not all industry operators have cultures that embrace innovation, data-driven decision making, and operational excellence, and this is evident in often wide-ranging well results and economics for different operators in similarly situated geographic areas. EnCap seeks to partner with teams on the leading edge of proven innovation to deliver returns for its investors, while also being leaders in mitigating environmental impacts from upstream operations. Where appropriate, best practices and experiences are shared amongst portfolio companies, EnCap's Technical Team, and EnCap's Head of ESG to help support best industry practices across the Firm's portfolio.

SECTION III: CURRENT MARKET DYNAMICS

Global Energy Needs

Global energy demand has grown approximately 16% since 2010 and is expected to grow approximately an additional 7% by 2030 and 17% by 2050 with a corresponding increase in global population and economic development, particularly in developing nations (per the IEA's Stated Policies Scenario ("STEPS")). The United Nations World Population Prospects 2022 Report estimates that the current global population, 7.9 billion, will grow to 8.5 billion in 2030 and 9.7 billion in 2050. Meeting this call for supplying worldwide energy needs will be exceptionally challenging, particularly in light of current events highlighting global energy security concerns and recent trends of significant underinvestment in the upstream oil and gas industry. The IEA estimates that nearly 800 million people worldwide do not have access to electricity, and 2.4 billion people have no access to clean cooking, which the World Health Organization attributes as a major cause of premature death for millions of people every year. EnCap believes investment in all sources of energy will be critical to fulfill both near and long term energy needs, and the Firm is committed to meeting the dual challenge of supplying vital oil and natural gas while also producing in a responsible fashion that mitigates environmental impacts and protects local stakeholders.

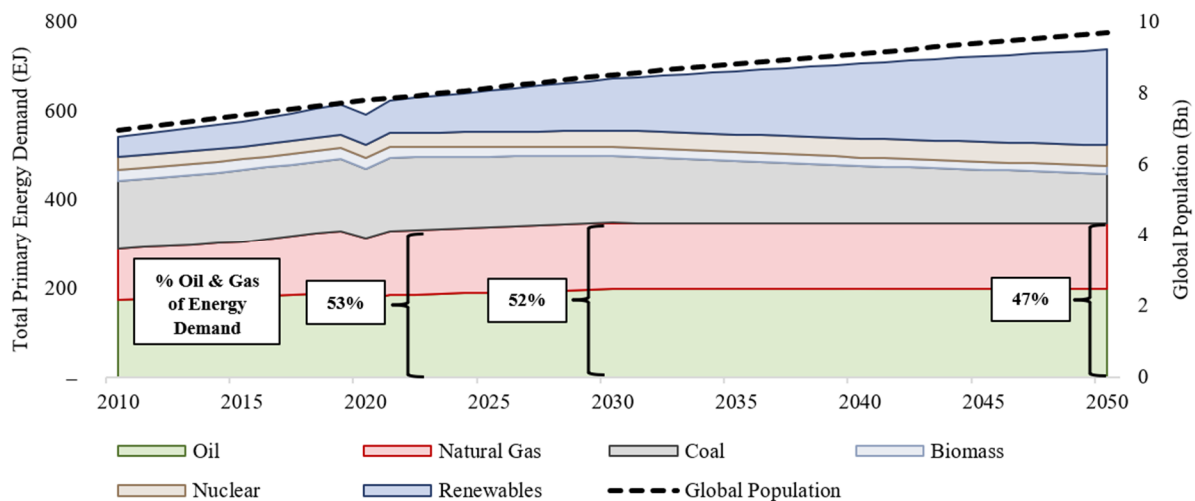
Oil and gas are the backbone of global energy supply. These affordable, reliable, abundant, and transportable sources of energy have fueled economic development and the overall improvement of human welfare over the last century. Oil is refined into a broad range of petroleum products including gasoline, distillates (heating oil and diesel), jet fuel, petrochemical feedstocks, asphalt, and other critical products. Meanwhile, natural gas is used for power generation, heating, transportation, and petrochemical feedstocks.

In 2022, worldwide demand for oil and gas is expected to be approximately 97 MMB/d (excluding biofuels) and 400 Bcf/d, respectively. Since 2010, these figures have grown approximately 11% and 24%,

respectively, and on a combined basis, oil and gas represent approximately 53% of the total energy stack (and approximately 79% with coal). The IEA's STEPS forecasts modest demand growth through 2030 (approximately 6% for both oil and gas) to 102 MMB/d and 423 Bcf/d. These demand projections are roughly flat thereafter through the middle of this century under the premise that renewables will meet the vast majority of incremental energy needs. Renewables currently comprise 12% of current energy markets and are expected to grow overall demand by approximately 48% and 174% through 2030 and 2050, respectively. Importantly, however, oil and gas will still supply 47% of global energy needs in 2050.

The IEA is just one of many sources for future energy projections but is often relied upon due to its comprehensive analysis that is publicly available. Other sources diverge from the IEA's STEPS forecasts for many assumptions including long-term demand growth for oil and gas, particularly in developing nations, and the penetration rate of renewables. The STEPS forecast assumes that global investment in renewables will grow approximately 50% from \$1.4 trillion in 2022 to \$2.1 trillion in 2030. This unprecedented growth is predicated on the economic availability of critical minerals, and critical minerals are expected to see demand double by 2030 in the STEPS model. These commodities have recently seen substantial upward pricing pressures, which poses execution risk for forecasted global investment. In addition, supply chains are highly concentrated for many key minerals, processing operations, and other critical manufacturing in countries with material ESG concerns, which poses risks in disruptions and other geopolitical matters. Significant progress and economic incentives are occurring to improve domestic supply chains and critical mineral sourcing, but these dynamics pose important considerations to the IEA's forecasts, which could ultimately result in upside on the call for conventional energy over the long term to meet global energy needs.

Population vs. Actual and Projected Sources of Energy: 2010 – 2050E (IEA 2022 STEPS Projections)



Source: IEA 2022 World Energy Outlook (STEPS); United Nations World Population Prospects 2022 Report.

Global Upstream Capital Investment

The upstream industry is extremely capital intensive. A typical horizontal well may produce roughly 25-30% of its 30-year estimated ultimate recovery during its first year online, exhibiting production declines of approximately 60-80% depending on reservoir characteristics. Drilling and completion costs for a 10,000 foot lateral well generally range between \$7-\$20 million depending on a number of factors including the basin, depth, and completion type. Conventional developments, such as offshore projects, will usually exhibit a shallower decline profile but are typically more capital intensive with significantly longer lead

times from commissioning to first production. Global annual production decline without any new investment is generally estimated to be approximately 5-7% per year. The declining nature of oil and gas wells means that significant recurring investment is required to simply keep production flat.

Global upstream capital investment surged in the first half of the prior decade with tailwinds in commodity prices and supportive capital markets. Between 2010 and 2014, capital investment averaged just under \$700 billion annually (per the IEA in 2021 U.S. Dollars) and peaked at over \$800 billion in 2014. Global oil supply increased approximately 10% from approximately 86 MMB/d to 94 MMB/d between 2010 and 2015. The U.S. represented the primary growth engine with domestic production growing nearly 5 MMB/d or over 60% during the same period with tailwinds from advancements in horizontal development and open access to capital.

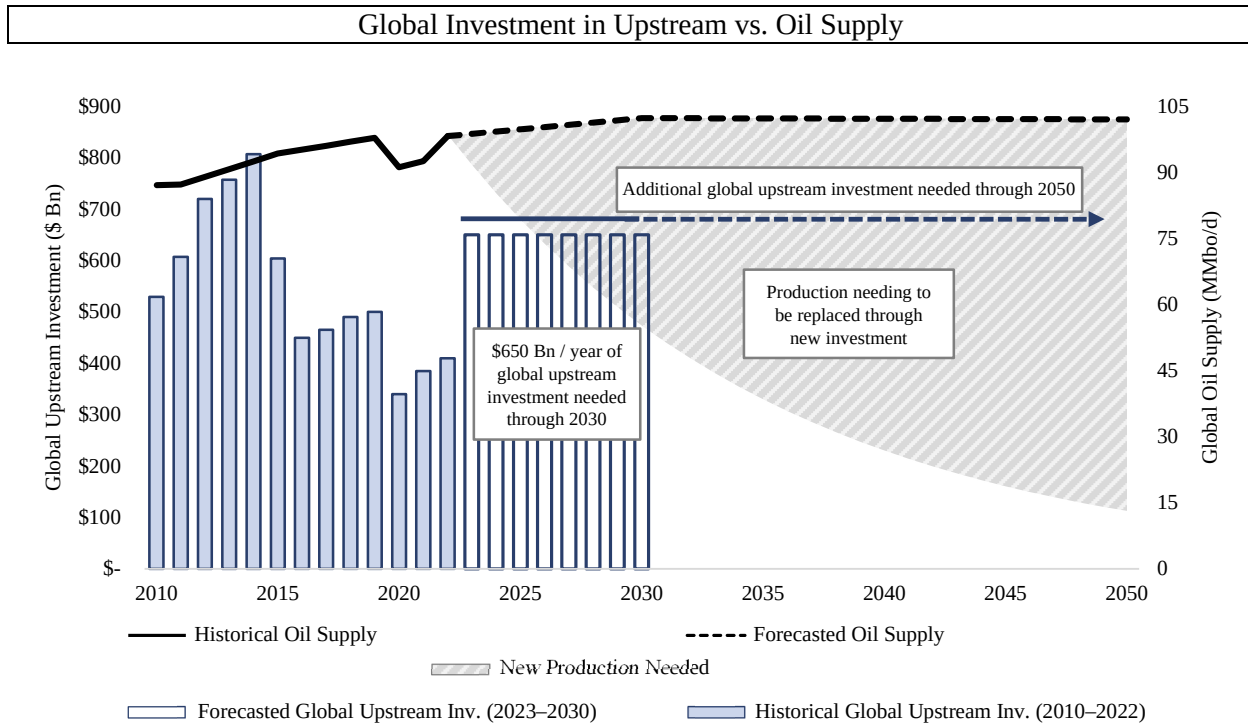
In November 2014, OPEC announced its decision to protect market share over supporting prices and forced market competition with the goal of squeezing U.S. operators to impair future growth. The aftermath of OPEC's decision to not cut production, coupled with years of high investment levels, resulted in a supply imbalance and relatively weaker commodity prices over the second half of the last decade. As expected, global producers responded to weak markets by reducing capital investment. In 2020, the COVID-19 pandemic caused significant industry distress with a period of historically low commodity prices, which resulted in the industry posting a decade-low investment total for the year. Producers increased activity in 2021 and 2022, but capital investment remains significantly below prior years.

Importantly, the IEA's 2022 STEPS model acknowledges the current state of underinvestment by highlighting that the forecast assumes "an average of almost USD 650 billion per year is spent on upstream oil and natural gas investment to 2030, a rise of more than 50% compared with recent years." The IEA does not provide a capital investment estimate through 2050, but EnCap expects similar levels of investment will be required given the depleting nature of oil and gas reserves and the IEA's forecast for 2050 demand that is roughly flat versus 2030. In EnCap's view, continued upstream investment is critical to meet growing global energy needs in the near term and long term, and there are strong tailwinds in the upstream investment opportunity set given the state of underinvestment in the industry and substantial, recurring capital requirements.

Furthermore, the Firm views the U.S. as the most advantaged to attract upstream investment given its leadership position in environmental protection, minimized corruption, and protection of human rights. U.S. operators have continually pushed innovation to not only unlock new resources and optimize economics but to also improve responsible operations. Most public upstream E&P entities now publish annual sustainability reports, highlighting the initiatives taken to mitigate emissions from operations. Since 2017, U.S. producers have reduced greenhouse gas and methane intensity rates by at least 20%.⁵ EnCap believes that the U.S. upstream industry represents the most responsible source of critical hydrocarbons for the global economy.

The following chart illustrates global capital investment juxtaposed with global production including historic production, current production naturally depleting without further investment, and the IEA's STEPS forecast.

⁵ Enverus ESG Compass 3Q22 Report.



Source: IEA 2022 World Energy Outlook (STEPS); ExxonMobil.

Oil and Gas Markets & Macro Drivers

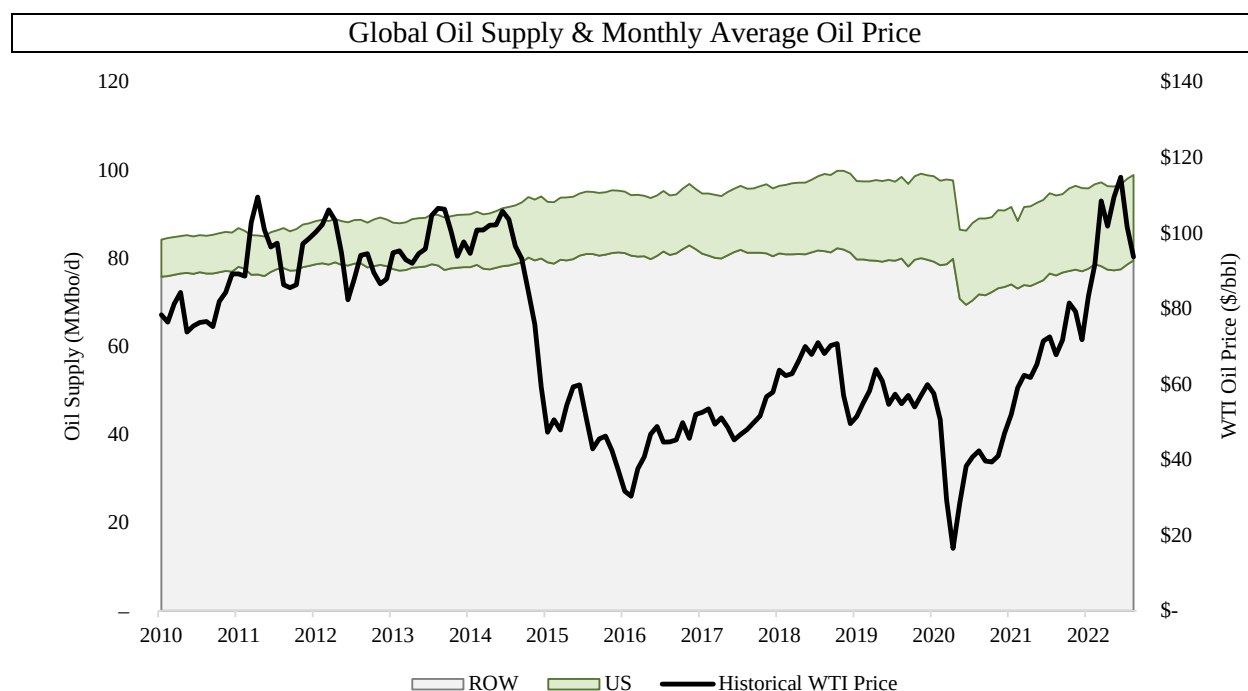
Oil and gas commodity markets are often unpredictable, as highlighted by the effects and aftershocks of the COVID-19 pandemic. It is not EnCap’s goal to predict oil and gas prices, but instead, the Firm seeks to build companies that can endure downturns and capitalize on opportunities throughout commodity cycles. EnCap believes that board control is critical for proactive risk management that protects investments during downcycles, including the oversight and determination of hedging policies, capital spending programs, and capital structure (i.e., maintaining prudent leverage). Additionally, EnCap actively seeks to avoid contractual obligations (including land, midstream, and oilfield services) that can influence a portfolio company’s ability to change capital programs and capital allocation. During favorable market settings, board control provides EnCap with the ability to accelerate capital programs to take advantage of favorable economics and to facilitate the method and timing of exits. The Firm believes its ability to be nimble and make decisions quickly provides it with a competitive advantage, particularly during times of market volatility.

Crude Oil

EnCap views the oil markets as having constructive underlying fundamentals despite highly dynamic supply and demand forces. Oil demand has recovered to pre-COVID levels even with ongoing lockdowns in China, and most forecasts, including the IEA STEPS model, project continued modest demand growth barring a global recession. On the supply side, unprecedented intervention by the U.S. government to use the Strategic Petroleum Reserve to blunt market uncertainty related to Russian oil exports and rising oil prices has provided a temporary relief valve. EnCap expects that the market will remain dynamic primarily based on a combination of OPEC+ actions, supply availability from geopolitically at-risk nations, and global economic growth. However, as discussed previously, global industry underinvestment remains a critical issue that is expected to support favorable oil prices needed to further incentivize investment.

The macro drivers dictating oil prices over the longer term include:

- Supply uncertainty from Russia with international sanctions and price caps re-routing supply flows, potentially resulting in export capacity constraints;
- Easing of Iran sanctions could increase export capacity;
- Easing of sanctions on Venezuela could allow renewed capital flows and increase production;
- Changes in OPEC+ cohesion and go-forward policies intended to protect market share or defend price levels;
- OPEC+ true spare capacity and ability to increase production over the long term;
- U.S. public upstream producers' adherence to capital discipline;
- Global population and economic growth supporting demand;
- Chinese economic growth and resulting crude demand; and
- Global EV adoption rates displacing gasoline demand.



Natural Gas

EnCap views the gas markets as also having constructive fundamentals that are supportive for natural gas prices over the long term. For several years prior to 2022, domestic (Henry Hub) gas prices were mostly range bound between \$2.00-\$3.50/Mcf, which was primarily driven by significant domestic production growth from prolific gas-prone plays (i.e., Appalachia, the Haynesville, and Permian). Given historically limited export capabilities via pipeline and LNG, U.S. gas prices have generally traded at a material discount to international pricing points including the TTF (Title Transfer Facility; the Netherlands) and JKM (Japan Korea Marker; Northeast Asia), which has provided the U.S. economy with a unique energy cost advantage over most of the world.

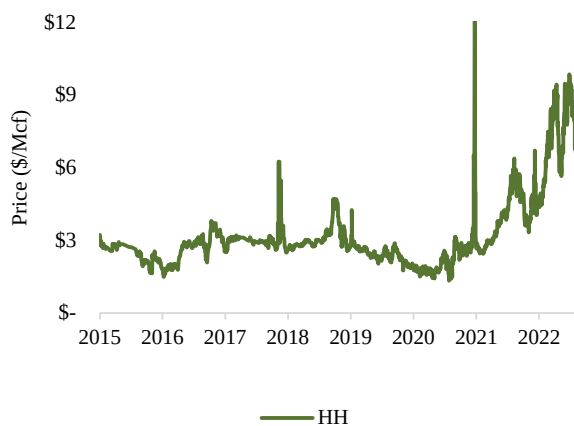
With major investments in U.S. LNG export capabilities, this dynamic is expected to shift over the coming decade with gas becoming more of a global commodity like oil. Notably, LNG export capacity has grown from essentially zero in 2015 to an estimated 14.0 Bcf/d by year-end 2022. Export capacity is expected to further grow by an incremental approximate 20.0 Bcf/d through 2027 with announced projects in various

stages of development. The full slate of these projects coming to fruition will depend on capital access and contractual arrangements, but conservative estimates of success would still be impactful to domestic gas dynamics.

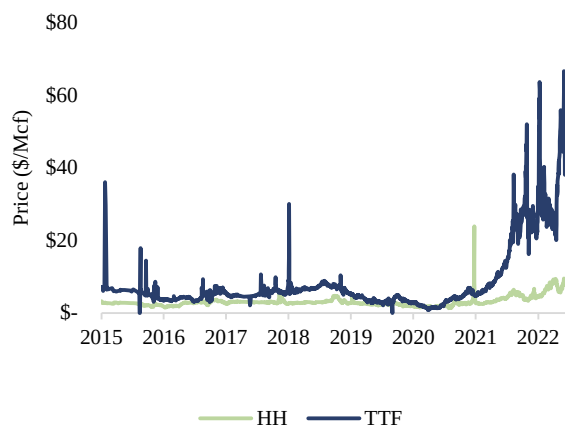
However, as meaningful U.S. LNG capacity is not expected until the second half of 2024, Henry Hub prices may experience downward pricing pressure in the interim, with forecasted supply growth and modest base demand growth expected from power and industrial uses. Nonetheless, U.S. LNG is expected to play a major role in supplying international markets over the long term, which may reduce the spread in international and domestic prices and provide tailwinds to U.S. gas prices. Also, the trajectory of U.S. supply growth remains in question with contesting forces of (i) highly prolific and short cycle gas resources that generate very attractive returns at recent price levels, and (ii) capital restraint by public producers and midstream bottlenecks in key gas supply basins.

Finally, U.S. producers and midstream providers have taken critical steps and have announced new projects that will help reduce emissions and the overall carbon intensity of domestically sourced natural gas. EnCap believes that natural gas produced in the U.S. will play a critical role in the energy transition as a reliable baseload to pair with renewables that has a significantly lower carbon intensity versus coal. The Firm expects that domestic gas markets will remain dynamic primarily based on a combination of U.S. production growth, weather patterns, and LNG export additions.

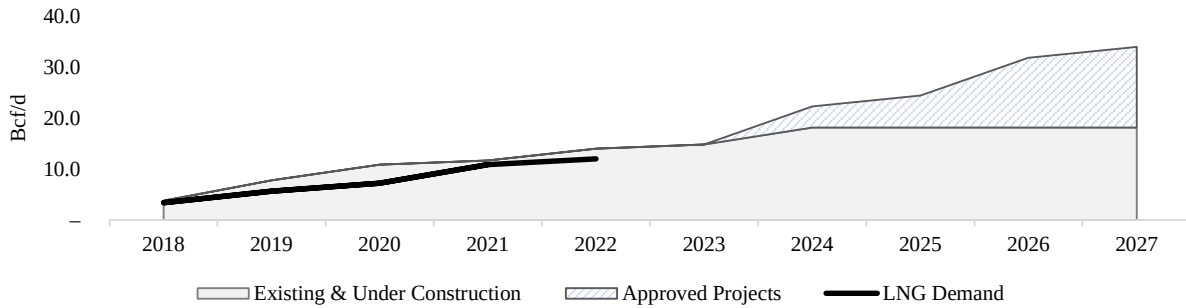
Henry Hub Natural Gas Daily Spot Price



TTF vs. Henry Hub Natural Gas Daily Spot Price



LNG Demand vs. Existing and Planned LNG Project Capacity¹



Source: EIA

1. Approved projects have been fully approved by both DOE and FERC for land-based projects or DOT - U.S. Maritime Administration for offshore projects.

The macro drivers dictating gas prices over the longer term include:

- Continued retirements of coal and nuclear power generation, spurring more natural gas demand;
- Global recognition of natural gas as a viable and lower carbon bridge fuel that can be paired with renewables to help de-carbonize the grid;
- Potential demand erosion from sustained high natural gas prices;
- Impact on Russian gas supply flows as a result of war with Ukraine and ability to sustain production;
- U.S. natural gas production growth, particularly from the Haynesville and the Permian Basin;
- Constructive domestic energy policy could help complete much needed gas take-away infrastructure in the Appalachian Basin to facilitate future production growth;
- Completion of planned LNG facilities in the United States starting in 2024—nearly 20 Bcf/d of new capacity under construction and/or approved through 2027 and potentially more thereafter;
- Trajectory of LNG growth subject to market conditions, successful financings, and offtake arrangements;
- Continued growth in pipeline exports to Mexico, as well as LNG exports from Mexico; and
- Short-term gas prices are expected to see volatility related to weather events and patterns, U.S. production reports, and the resulting impacts on storage levels.

Upstream Markets Overview (United States)

Starting in approximately 2005, the advent of shale and resource plays in North America garnered unprecedented public and private capital inflows with the prospect of economically unlocking extensive resources through horizontal drilling and hydraulic fracturing. During this era in the industry, public investors rewarded growth and resource capture, and producers enjoyed generally abundant access to both equity and debt to fund increased drilling activity and acquisitions of future drilling inventory. These factors translated into a highly competitive A&D market and strong asset and company valuations. At the same time, many operators were focused on expanding resource potential and testing new concepts, which often led to inefficiencies in development and unattractive full cycle economics.

The dramatic fall in oil prices following the November 2014 OPEC decision to defend market share was followed by optimism of a quick recovery in commodity prices. Capital markets supported balance sheet restructuring with many companies issuing equity to reduce debt and also helped fund another wave of substantial A&D activity. However, most of this capital markets activity was selective based on asset

quality and generally supported companies positioned in the most economic basins such as the Permian Basin. Companies overwhelmed by bloated balance sheets, reduced cash flow, high cost structures, and lower quality assets were forced into bankruptcy. Total upstream bankruptcy volume in 2016, inclusive of aggregate secured and unsecured debt and liabilities, approximated \$57 billion, an all-time annual high per Haynes and Boone.

Between 2017 and 2019, investor interest and capital began to dry up after over a decade of available capital flows due to a combination of limited shareholder returns in the public sector and aversion to supporting oil and gas as a function of ESG pressures. While the industry was learning to become more efficient through the adoption of technology and best practices, the overspacing of drilling units and underestimation of parent/child relationships plagued early generation cube developments in this period, resulting in poor performance and economics for many operators. These dynamics forced the industry to shift its focus to generating free cash flow, improving shareholder returns, and enhancing environmental stewardship. In 2019, public upstream operators generated positive cumulative free cash flow, marking the first occurrence in over a decade. This shift corresponded with more industry consolidation via mergers and reduced A&D activity. At the same time, producers focused on reducing greenhouse gas and methane intensity rates and took steps to improve reporting and transparency related to ESG matters.

In 2020, the COVID-19 pandemic further accelerated these trends as extremely low commodity prices caused severe distress across the industry. Operators responded by significantly decreasing activity, and the horizontal rig count bottomed out at just over 200 horizontal rigs in August 2020, a level not seen since 2005. Mergers and industry consolidation continued to position operators to weather the storm and increase scale and efficiencies. And unlike the period of distress in 2015 and 2016, essentially no equity capital was available to help stave off bankruptcies for the least prepared companies, and over \$50 billion of upstream bankruptcy volume occurred in 2020 per Haynes and Boone. At the same time, A&D activity was severely muted by a combination of limited capital availability and wide bid/ask spreads.

As commodity prices rebounded, rig activity returned, yet public operators remained focused on spending within cash flow to focus on shareholder returns over growth. Since the recent downturn, private operators have led activity increases to take advantage of attractive development margins while not being beholden to public shareholder calls for returning free cash flow. Instead, private operators are allocating capital to prioritize longer term value and to position assets for attractive exits. At the end of Q3 2022, private operators represented nearly 60% of the total horizontal rig count, an approximate all-time high.

One key theme in the upstream industry today is a lack of capital availability. Since 2018, less than \$8 billion of public upstream equity issuances have occurred. On the private side, very limited fundraising has occurred since 2019, and many generalist private investors have left the space altogether. Debt capital markets have been challenging with rising rates and limited investor interest, coupled with companies' general aversion to issue debt. Losses incurred by banks in 2020 combined with some lenders leaving the sector due to ESG pressures has led to a smaller lending universe, resulting in reduced capital depth and more selective lending practices.

Additional data illustrating some of the recent aforementioned industry trends is provided at the end of this section. Below is a general summary of the current state of E&P markets:

- Capital discipline is the industry standard—public companies are focused on reinvesting 35%-50% of operating cash flow, resulting in substantial free cash flow and shareholder returns
- The industry is remarkably healthy with leverage <1.0x (net debt/LTM EBITDA)
- Operators are achieving very compelling economics due in part to efficient cube or full field development and other best practices

- Energy has substantially outperformed all other public equity sectors since the beginning of 2021
- Public company and A&D asset valuations are at an all-time low
- Consolidation is still occurring, but at a lower rate with less motivation to combine when companies are healthy and distributing cash to investors on a standalone basis
- Cash A&D activity has rebounded since 2020 but remains well below pre-COVID levels with limited capital availability and a selective buyer universe
- For consolidation and A&D activity to occur, buyers are seeking a combination of free cash flow, scale, and attractive inventory
- In EnCap's view, substantially more assets are in the market than there are cash buyers

EnCap Response to Recent Upstream Markets

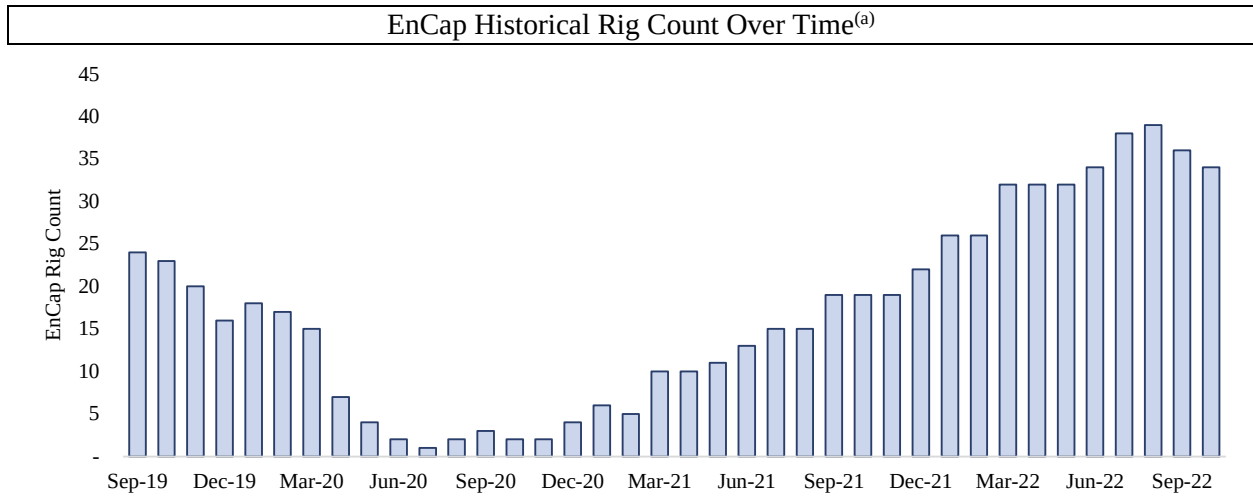
Proactive risk management is a core tenet of the Firm, and a primary enabler of risk management is board control. The Firm controls virtually all of the boards of its portfolio companies, which provides direct oversight and determination of the pace of portfolio companies' capital spending programs, capital structure, hedging policies, and exit strategies and timing. Decisions at the board level are typically made quickly after evaluating critical information and data, which allows EnCap's portfolio companies to be nimble in rapidly evolving markets. Below is a description of some of the actions that EnCap has taken across the portfolio over recent years that the Firm believes are indicative of EnCap's ability to adapt to market conditions and position the portfolio for success.

Response to Shift in A&D Markets (2017-2019). As previously described, the souring of capital flows and investor interest in the upstream industry that occurred starting in 2017 had a major impact on A&D markets and the ability to sell private assets. EnCap recognized the industry's shift to prioritize free cash flow and scale and positioned the portfolio accordingly. Over the course of two years, EnCap reduced its number of portfolio companies by roughly a third through portfolio consolidation, which resulted in a material reduction in overhead portfolio wide and the high grading of assets under management teams that the Firm believed were best suited to drive value through field development and operational improvements. EnCap believes these difficult decisions were necessary to position the portfolio for longer term value creation and to create stronger entities that could withstand uncertain market conditions.

Response to COVID-19 Impacts (2020). Prior to the onset of the COVID-19 pandemic, EnCap portfolio companies were running 18 horizontal rigs on a combined basis. As commodity prices fell, the Firm quickly halted essentially all development activity, which is evident by the reduction to one horizontal (gas) rig at the trough of portfolio activity. Overall, the EnCap portfolio greatly benefitted by entering the downturn with relatively moderate leverage, relatively low overhead, prudent hedge positions, and limited contractual obligations that enabled companies to halt capital spending and use operating cash flow to fortify balance sheets. As a result, the EnCap portfolio successfully managed through a year of severe industry distress and was well positioned to create value through development or acquisitions as the market recovered.

Response to Market Recovery (2021-2022). As commodity prices recovered, EnCap accelerated development activity to take advantage of attractive development economics. By the end of 2021, the Firm's portfolio was running 22 horizontal rigs, and as of September 30, 2022, the portfolio is running over 30 horizontal rigs, which makes EnCap one of the most active industry operators on a combined basis. Value creation through asset development is evident in strong free cash flow generation across the majority of the Firm's portfolio, which has translated to record distributions from operating cash flow over recent quarters. The current portfolio also has a healthy leverage profile with less than 1.0x net debt to last twelve months EBITDA. Additionally, as highlighted in Section V– "Investment Strategy", EnCap has taken advantage of recent market dynamics, which include industry capital scarcity and attractive asset valuations,

to execute several meaningful large property acquisitions and other material bolt-on acquisitions that the Firm believes are well positioned for value creation.



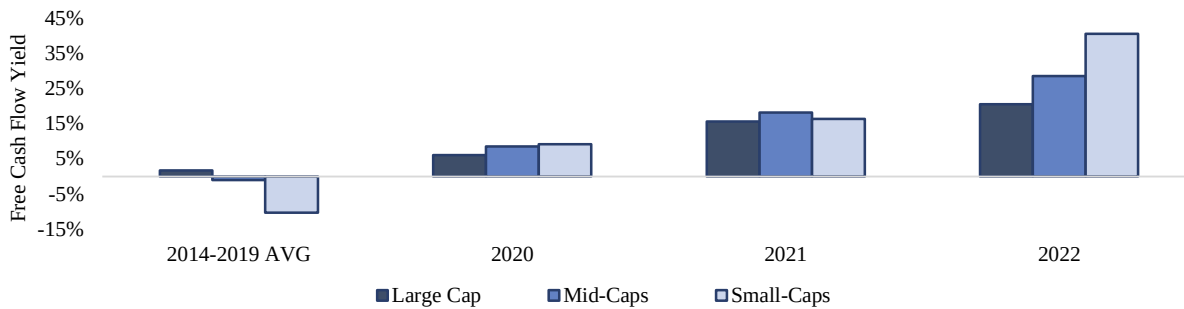
^(a) EnCap rig count excludes Earthstone Energy, Inc.

Upstream Markets Overview – Illustrative Tables

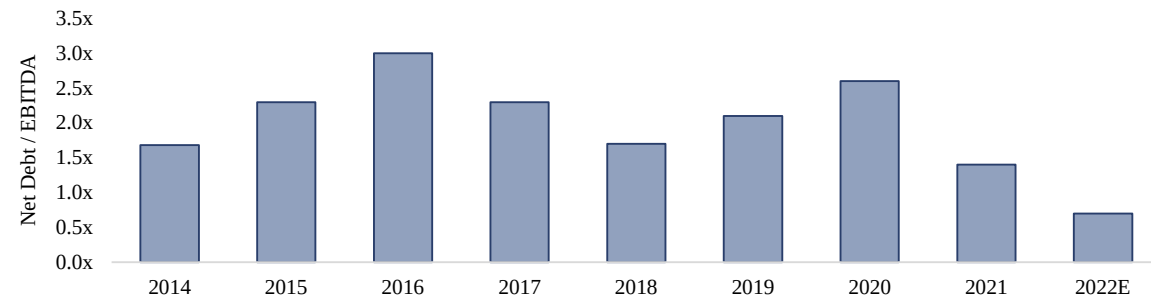
E&P Reinvestment Rates



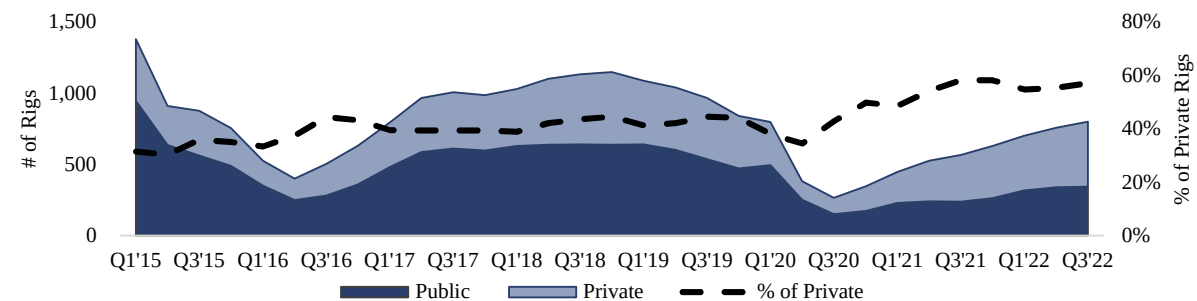
E&P Free Cash Flow Yields ⁽¹⁾



E&P Leverage Ratios (Net Debt / EBITDA)



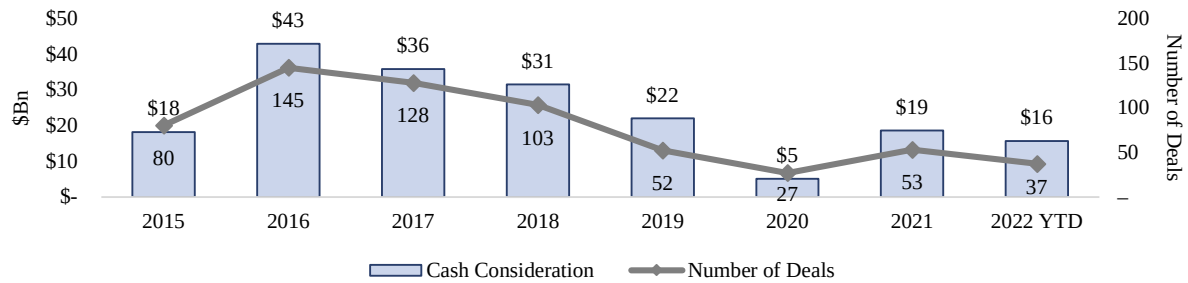
U.S. Horizontal Rig Count (Public vs. Private)



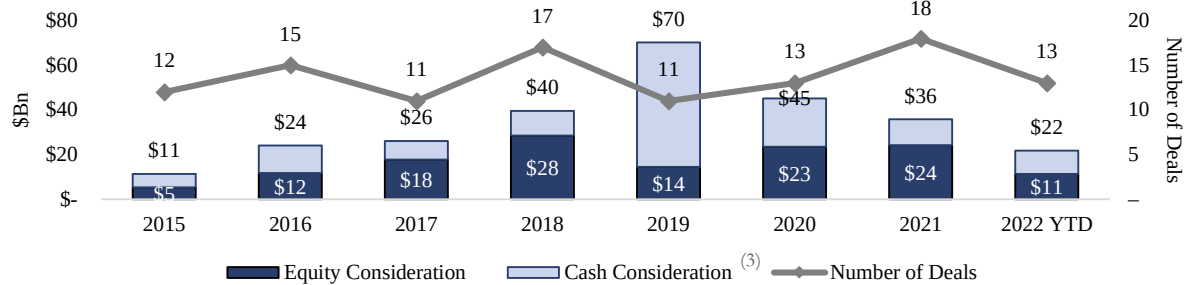
Source: RBC Capital Markets, SailingStone Capital, Bloomberg, Industry Research, Baker Hughes.

1. Large Caps defined as Market Cap > \$20 billion; Mid-Caps defined as Market Cap between \$5 and \$20 billion; Small-Caps defined as Market Cap < \$5 billion.

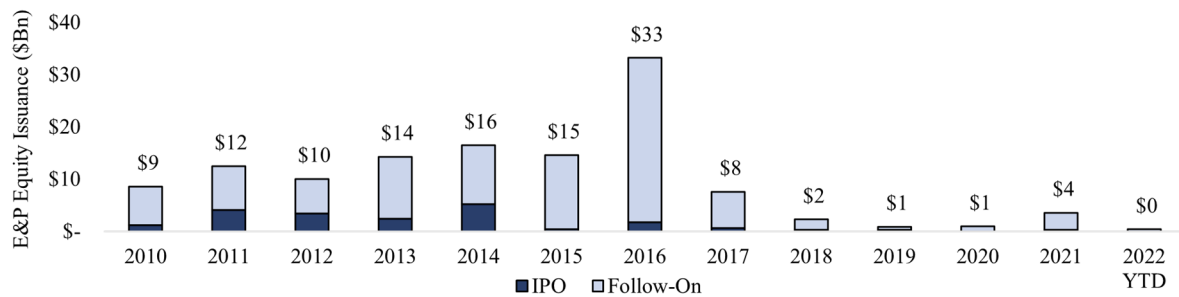
Cash A&D Since 2015 ⁽¹⁾



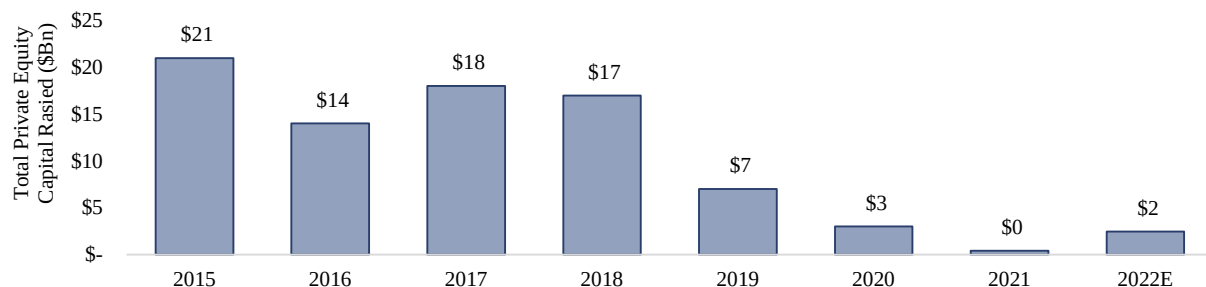
Mergers & Consolidation Since 2015 ⁽²⁾



E&P Public Equity Issuances



E&P Private Equity Funds Raised



Source: Enverus, Dealogic, Wall Street research, public filings, Pitchbook, and Preqin Pro. Market data as of 9/30/2022.

- (1) Includes any transaction greater than \$50 million and less than \$9.5 billion in which cash was the full portion of the consideration.
- (2) Includes any transaction greater than \$50 million and less than \$50 billion in which equity was a portion of the consideration.
- (3) Includes assumption of debt.

V INVESTMENT STRATEGY

With Fund XII, EnCap will continue to utilize its time-tested investment approach of balancing capital preservation and value creation, which the Firm has employed since its inception in 1988. These investment priorities result in EnCap evaluating and identifying segments of the E&P market that the Firm believes offer the most attractive risk/return profile in any market condition. As prevailing market factors change, EnCap and its management teams will look to adapt investment strategies and allocate capital to opportunities they feel provide the most attractive returns. EnCap believes opportunities are created throughout all industry cycles, and through its proactive management style, the Firm strives to ensure that its mix of investment strategies will remain sound through various economic, commodity price, and regulatory environments. EnCap expects that Fund XII will benefit from the consistency in the Firm's leadership, investment model, core tenets, and partnerships with proven management teams that have been hallmarks of EnCap in its 34-year history as a leading energy investor. EnCap also views a robust opportunity set for Fund XII based on supportive macro fundamentals, current market trends, and a lack of capital available to the industry.

Focus on Building Successful Upstream Businesses

Fund XII, in pursuing its venture capital strategy, will focus on providing growth capital, typically making commitments of \$200 million to \$800 million to management teams focused on building upstream businesses in known producing regions in North America that will be attractive acquisition or merger candidates for larger upstream companies. The Firm will seek to partner with management teams with strong track records of value creation, including those who have led prior successful EnCap portfolio companies. In order to execute at a high level, EnCap expects its operating management teams to possess the commercial, operational, and technical expertise to capture opportunity and then responsibly and efficiently develop their assets to convert high-margin drilling opportunities into cash flow.

For operating companies, opportunity capture involves the aggregation of existing production and drilling inventory via a combination of acquisitions, leasing, trades, and farmouts. Subsequently, these companies will strive to develop their properties with responsible and efficient application of modern horizontal drilling and completion techniques and other operational best practices to optimize overall project economics. To generate returns for Fund XII limited partners, the Partnership and its portfolio companies will seek to execute business plans that support economic development and build strong businesses with scale, free cash flow, low leverage, and drilling inventory upside. In doing so, EnCap believes that Fund XII portfolio companies will maximize exit optionality and ultimate value. The exits may primarily be achieved, depending on market conditions, through a combination of full asset sales, partial asset sales, mergers into public entities, and the distribution of excess cash flow from operations over time. EnCap, and its portfolio company management partners, will continuously monitor the markets for exit strategies that maximize value for the Partnership. It is anticipated that Fund XII will also pursue oil and gas mineral and royalty acquisitions with select management teams. Throughout the life cycle of any given investment, EnCap and its management teams will remain highly focused on risk-adjusted economics as part of any decision-making process.

The following are examples of the types of opportunity sets that Fund XII portfolio companies will pursue in the process of building meaningful upstream businesses that are attractive to the market.

Property Acquisitions. Property acquisitions include upstream assets that typically have a significant underlying production base from existing wells and additional inventory that can be developed in the future. In the current market, these types of opportunities are sourced from a broad range of sellers including majors and large to mid-size independents seeking to streamline portfolios and divest non-strategic assets. In

addition, private entities may sell properties to opportunistically seek liquidity or because they do not have access to the capital or expertise necessary to execute full field development at a high level. In recent quarters, several properties have been for sale in the market as a result of private equity sponsors exiting the upstream space altogether. Property acquisitions are sourced through a combination of private negotiations and marketed processes. While every opportunity is different, the post-capture path to value creation typically involves a combination of recycling cash flow into new high-margin development, reducing field operating costs, optimizing existing production, maintaining low overhead costs, recompleting certain existing wells, further expanding the asset base through additional acquisitions, and instilling a culture of excellence for in-field operations. Successful execution results in strong businesses with scale, free cash flow, and remaining inventory upside.

In EnCap's view, some of the best opportunities in the current market reside in property acquisitions. The Firm believes there is a robust inventory of these types of opportunities in the market or coming to market, and the lack of equity capital available for large property acquisitions (over \$500 million in total deal size) lends to a reduced buyer universe. The Firm believes that these dynamics provide the ability to capture meaningful and attractive platforms that possess a combination of substantial production and cash flow. Valuations can be very compelling with many recent properties transacting at or near "hard value". In general terms, this means that transaction values for many large acquisitions approximate the present value of proved developed producing ("PDP") reserves (or current production value), implying that development upside is captured at limited to no cost. EnCap has been one of the most active acquirors of large property acquisitions since the beginning of 2021 and stands out as the only sponsor to make more than one \$500 million property acquisition in this timeframe.⁶ Examples of recent property acquisitions in Fund XI include those successfully executed by Grayson Mill Energy II, LLC, Paloma Natural Gas, LLC, and Verdun Oil Company II, LLC (please see Section VIII – "Selected Transaction Summaries" for more detail). EnCap believes that the effective execution of large property acquisitions (including sourcing, evaluation, underwriting, and negotiation) is a core competency of the Firm and will be a significant opportunity for the Partnership.

Leasehold Acquisitions. This strategy involves ground floor leasing, bolt-on acquisitions, and other strategies to gain access to undeveloped acreage and inventory where there is strong conviction in the underlying well economics. Operators seek to capture the uplift of value generated by the development of economic inventory when converted into producing wellbores versus the entry cost of acquiring the drilling locations. These types of opportunities usually have limited associated existing production. New leases are typically obtained from private mineral owners who have open leases, while other leasehold acquisitions may be sourced from operators who have acreage that is stranded or not included in their near-term development plans. Additionally, capital-constrained operators may seek to divest undeveloped acreage for cash consideration. In many instances, portfolio companies will couple these aggregation strategies with complex acreage trades with offset operators to ultimately control drillable units. Successfully executing a leasehold acquisition strategy requires a management team with extensive relationships and strong commercial acumen.

After aggregating a significant leasehold position, operators will seek to convert high-margin drilling inventory into production and cash flow through the efficient and responsible development of their properties. In most instances, this involves full field development with the goal of achieving the attributes desired by strategic buyers (i.e., scale and free cash flow). Early phases of development for this strategy likely require incremental equity investment until a business achieves a free cash flow inflection point given

⁶ Enverus.

leasehold acquisitions typically have limited cash flow to start. Examples of teams primarily executing a leasehold acquisition strategy in Fund XI include Black Swan Oil & Gas Holdings, LLC and Double Eagle Energy Holdings IV, LLC (please see [Section VIII – “Selected Transaction Summaries”](#) for more detail). It is also worth noting that leasehold acquisitions are often executed after property acquisitions, or vice versa, and management teams will be opportunistic in capturing assets that form a solid foundation for a compelling business plan.

Oil and Gas Mineral and Royalty Acquisitions. Oil and gas mineral and royalty acquisitions typically involve purchasing perpetual real-property interests that grant ownership of the oil and natural gas rights under the surface of a tract of land, providing the ability to explore, develop, and produce oil and natural gas on the specified land. In most instances, mineral owners will lease the rights to explore, develop, and produce hydrocarbons to a third party industry operator, such as an EnCap portfolio company, in exchange for an upfront cash payment, known as a lease bonus. Additionally, a mineral owner will retain a perpetual royalty on productive revenue typically ranging from 12.5% to 25.0% on a cost-free basis. The cost-free nature of the royalty retained by the mineral owner means that the mineral owner will receive a percentage of revenues (after deductions for severance and ad valorem taxes) but will not be burdened by any development capital or lease operating expenses. In many cases, a lease to an operator will have a three-to-five-year initial term, which can be extended or perpetuated through development and/or production depending on the terms of the lease. If the initial lease is not extended, or if production or operations cease past the initial term, the lease will terminate, which allows the mineral owner to execute a new lease with a different operator. In other circumstances, a specific percentage of revenue may be carved off from the operator’s lease with the mineral owner, which remains in effect as long as the lease is active. This type of royalty is referred to as an overriding royalty interest (“**ORRI**”) and is prevalent across most U.S. basins. When evaluating ORRIs, acquirors seek to ensure that the royalty interests are not at risk of lapsing based on the status of the underlying operator’s lease terms.

Acquisitions of mineral and royalty interests are sourced through a combination of proprietary relationship-based deal flow, networks of land brokers, and marketed transactions. Many of EnCap’s current investments were sourced by management teams with deep relationships with private families or family trusts seeking to divest generational-type assets to a trusted partner. In many situations, EnCap and its portfolio companies’ reputations, access to capital (i.e., cash), and ability to execute quickly are differentiating factors in this segment of the upstream business.

To underwrite acquisitions, mineral acquirors are tasked with forecasting future royalty revenue payments based on a number of variables including the expected number of wells to be developed in a given drilling unit, the timing of such wells being developed in the future, and the associated production forecasts for existing and future wellbores. Confidence in development timing, which equates to the conversion of undeveloped minerals and royalties into a cash flow stream, is enhanced by on-the-ground intelligence, quality of the rock, operator economics, and an understanding of operator behavior. The underwriting process involves the combination of deep technical, commercial, and financial expertise to provide a realistic forecast for derived cash flows. In addition, the expertise and data aggregated through the management and operations of a broad range of upstream portfolio companies are highly transferrable to the mineral and royalty side of the business.

Since the earliest EnCap Funds, EnCap portfolio companies have actively acquired minerals and royalties as part of lease aggregation strategies to capture underappreciated value ahead of their own development. EnCap’s first dedicated mineral and royalty portfolio company dates back to 2006 when Fund V invested in Phillips Royalty, the first of the Phillips related EnCap portfolio companies. The company was primarily focused on value-oriented acquisitions underpinned by PDP value at a time when minerals were not a major

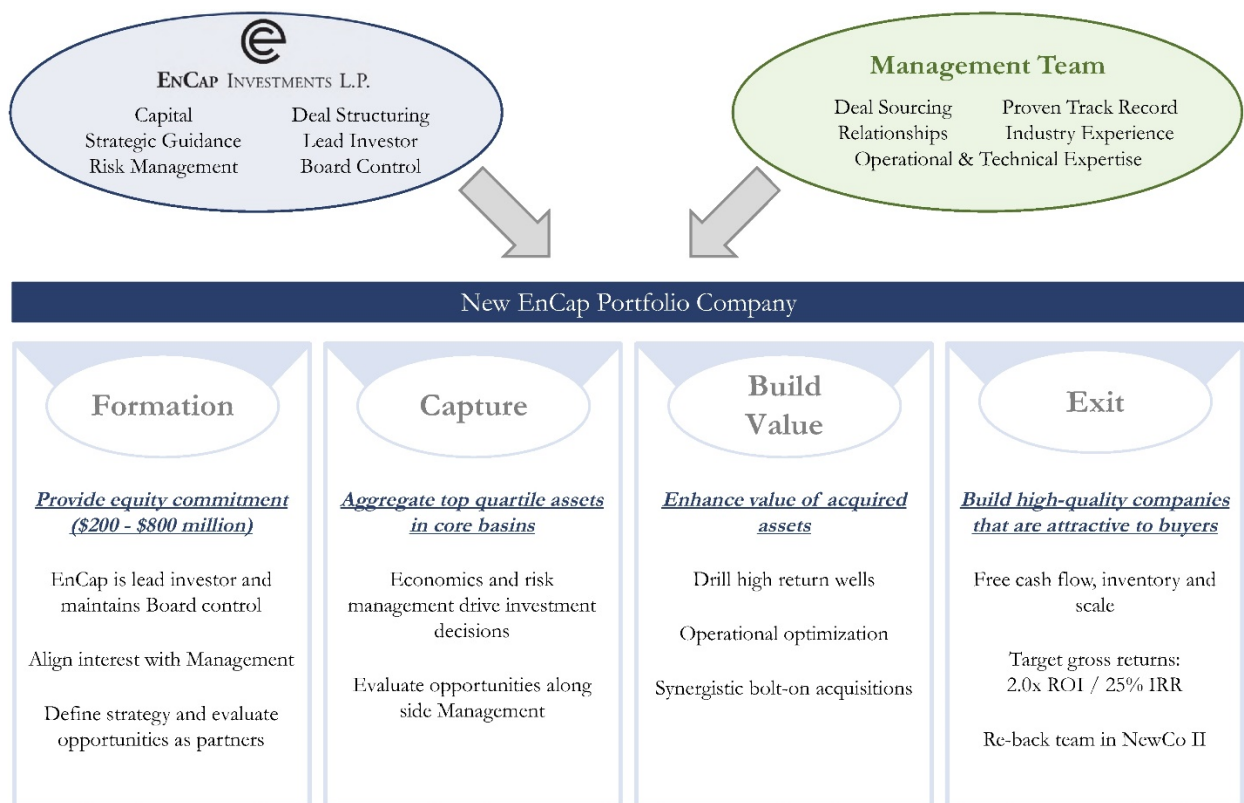
focus for institutional and public capital. Concurrent with the emergence of full field development, particularly in the Permian Basin, EnCap recognized the opportunity to acquire minerals and royalties in high quality rock in front of development activity, with a focus on well-capitalized and proven operators. The Firm partnered with multiple management teams in Fund IX to pursue this strategy. Between Funds IX, X, and XI, EnCap is one of the most active and experienced acquirors of minerals and royalties with approximately \$3.0 billion of equity deployed across several meaningful businesses. As a percentage of total invested capital, mineral strategies represent approximately 20% of Funds IX, X, and XI. EnCap believes it has a strong track record of performance for this strategy, evidenced by the success of realized and unrealized investments, particularly with EnCap Minerals, LLC (which is detailed in Section VIII – “Selected Transaction Summaries”).

For Fund XII, EnCap believes there are still significant attractive investment opportunities given the highly fragmented nature of minerals and royalties with over \$400 billion of U.S. asset opportunities still in private hands⁷. The Firm believes that Fund XII will have the opportunity to partner with high quality teams that have the necessary reputations, relationships, and networks to source proprietary deal flow and then appropriately underwrite returns with strong technical and financial expertise at both the portfolio company and EnCap levels. The Firm expects that the primary acquisition focus area will remain in the Permian Basin, given advantaged well economics and resilient development driving revenue growth, but EnCap and its portfolio companies will be opportunistic in evaluating acquisitions in other basins with strong economics and proven operators. Similar to EnCap’s strategy for upstream operating companies, the Firm will seek to build mineral and royalties businesses at scale, which the Firm believes will best position assets for a strategic exit as undeveloped acreage matures and is converted to cash flow.

EnCap’s Investment Process

Fund XII is targeting a gross ROI and a gross IRR of at least 2.0x and 25%, respectively, and a net ROI and net IRR of at least 1.75x and 20%, respectively. EnCap anticipates that most new investments will have a three-to-six-year life cycle depending on market conditions. The following illustration explains the investment process for a typical EnCap portfolio company.

⁷ RBC Capital Markets.



Formation. The investment process begins with the critical step of identifying and attracting management teams who EnCap believes have a proven track record of value creation, are industry leaders, and have a compelling business plan. EnCap’s partnerships are sourced by the Investment Professionals, who have spent their entire careers developing extensive contacts and relationships within the upstream industry and the broader energy and financial community. Additionally, approximately half of the capital commitments in EnCap’s last four upstream funds were allocated to repeat management teams, and EnCap anticipates that this trend will continue in Fund XII. The Firm believes its reputation as a trusted, value-add partner and provider of growth capital to the upstream sector enhances its ability to secure some of the industry’s top management teams.

Prospective management teams are rigorously evaluated against a number of criteria:

- Demonstrable track record of value creation;
- High level of technical and operational competency;
- Compelling business plan and value creation strategy consistent with their past experience;
- Strong industry contacts and ability to identify and capture new opportunities;
- Ability to adhere to best industry practices regarding environmental, health, and safety issues;
- Managerial and leadership skills, strategic vision, and adaptability;
- Shared view of risk management and potential exit paths;
- Team relationships based upon prior working interactions and experiences; and
- Alignment of interests.

After identifying and performing due diligence on a potential new management team, an internal deal team from EnCap, typically consisting of a Partner and two or more other Investment Professionals, will prepare a preliminary report recommending that the commitment to the team be pursued. This report encompasses a review of the prospective management team’s background and track record, business plan and strategy

for value creation, asset/reserve evaluation (if applicable), analysis from EnCap's Technical Team (if applicable), and a summary of initial discussions regarding terms. As the process evolves, and prior to closing, EnCap's diligence efforts include thorough reference checks and further scrutiny of the business plan. For new commitments intended to support actionable, near-term asset opportunities, diligence efforts will also include rigorous evaluation by EnCap's Technical Team, environmental assessment, and title review.

Once the due diligence process is complete, the deal team will present the prospective commitment to EnCap's Upstream Investment Committee (the "**Upstream Investment Committee**"), which is comprised of the Managing Partners, two Partners (Messrs. Kafka and Thielemann), and the Senior Advisors. Approval to make a formal commitment is achieved with approval of the Managing Partners. In parallel, EnCap's deal team will negotiate and finalize company agreements that outline commercial terms and governance for the new entity. After closing the commitment, EnCap will be the lead investor and maintain board control in virtually all new investments. The Firm believes board control is critical to provide direct oversight and determination of the pace of portfolio companies' capital spending programs, capital structure, hedging policies, and exit strategies and timing.

Capture. The next phase involves capturing an attractive opportunity. EnCap's management teams are tasked with sourcing and evaluating opportunities to diligence all aspects of commercial, technical, land, financial, operational, and environmental impact considerations. The Investment Professionals work closely with the Firm's management teams to provide strategic advice and to evaluate new opportunities alongside management teams. In complex situations or ones involving significant acquisitions, EnCap will typically be involved in direct commercial negotiations, and as part of deal execution, EnCap will seek to understand the needs of sellers and embrace flexibility and problem solving to help facilitate transactions. Concurrently, EnCap's Technical Team collaborates with portfolio company technical leads and staff to provide analyses and interpretations of data that may be impactful to development assumptions and overall valuation considerations in any given targeted geographic area. A management team will then present a fulsome, detailed presentation to the company's board of directors, which typically includes two to four EnCap Investment Professionals and one to three management members. In many instances, a company with a significant new investment or acquisition will present to the entirety of the Upstream Investment Committee to seek approval.

Build Value. Upon making investments to establish a foothold or platform in a given geographic area, EnCap and its management teams will look to maximize the value of underlying assets. This includes the development of high-margin inventory, cost and production optimization, and additional bolt-on acquisitions. Throughout this phase, EnCap emphasizes risk management and seeks to advance capital incrementally as business plans are de-risked. The board of managers of each company reviews and approves capital and overhead budgets on a quarterly or more frequent basis, and EnCap controls capital exposure, hedging policies, and capital structures. EnCap has routine dialogue and strategy discussions with its portfolio companies to closely monitor results and development plans. Based on results, economics, and changing market dynamics, the Firm will quickly adapt development activity and capital budgets. Additionally, EnCap's Technical Team works closely with management teams to monitor progress, evaluate optimal asset delineation and development plans, and make adjustments to completion designs and other operational practices based on real-time data. EnCap's deal teams also monitor progress on ESG milestones and events at quarterly board meetings and on an ongoing basis, as well as through annual reporting at the EnCap level in close coordination with the Firm's Head of ESG. Ultimately, the goal is to build at-scale businesses with attractive free cash flow, low leverage, and a depth of high quality drilling locations that also exhibit high standards of responsible operations to maximize value in the market.

Exit. EnCap and its management teams work together to build businesses that are attractive in any market environment with an exit in mind. The Firm stays up to date on material marketed processes and asset deal flow, which helps dictate timing of strategic exits for portfolio companies. In the current market, buyers are selective and desire acquisitions that provide a combination of scale, free cash flow, and attractive development inventory. Business plans across the current EnCap portfolio are tailored to building these types of opportunity sets with substantial development activity occurring across the portfolio with the goal of building strong cash flowing companies. If the exit markets are not attractive at a certain time, the Firm's portfolio companies will seek to distribute excess free cash flow to EnCap's investors.

With board control, the Firm is provided the flexibility to ultimately dictate the timing and method of exit. When the board views it is time for a portfolio company to test the market, EnCap and the management team will typically interview investment banks and retain an advisor to conduct a marketed process. The Firm will ultimately look to monetize each investment based on its targeted return threshold, and if market conditions are unfavorable, EnCap will continue to build the asset base or wait for a more favorable environment.

VI ENVIRONMENTAL, SOCIAL, AND GOVERNANCE

EnCap's Approach to ESG

EnCap has a long history of responsible investment practices that are reflected in the way the Firm has conducted business for over thirty years. The Firm is guided by its responsibility to its 350-plus investors, many of which have ESG mandates. EnCap believes in an ongoing commitment to excellence across all areas of its business, including ESG stewardship. Sound ESG practices allow the Firm to mitigate risk and build resilient businesses, creating long term value for EnCap's investors. ESG standards continue to evolve, and the Firm is committed to staying abreast of these changes and prioritizing matters that are consistent with the Firm's ideals and actionable by its portfolio companies to deliver best-in-class financial and ESG performance.

<u>Environmental</u>	<u>Social</u>	<u>Governance</u>
• Promote the importance to EnCap portfolio companies of being responsible stewards of air, land, and water • Encourage EnCap's upstream companies to monitor and reduce emissions • Invest in a cleaner energy future via our Energy Transition companies • Prioritize innovative technologies and practices to improve environmental performances where feasible	• Attract talented diverse employees and provide them an environment to grow and succeed • Foster an inclusive and respectful work environment • Strive for best practices regarding health and safety in company operations • Partner with communities by providing jobs and engaging with stakeholders • Support philanthropic organizations that employees are passionate about	• Commit to conducting EnCap's business with integrity, honesty, and transparency • Manage risk – a core of EnCap's investment process, the Firm controls the board of virtually all portfolio companies • Review ESG matters at quarterly board meetings • Collect standardized ESG metrics from portfolio companies to direct areas of focus and assess improvement

Oversight and Portfolio Assessment. EnCap's commitment to integrating sound ESG practices begins with a strong foundation in governance. The Principals have ultimate oversight over the Firm's responsible investing efforts and set the tone for the way the Firm conducts its business. The Principals work directly with Sophia Friesse, Head of ESG, who is responsible for enhancing and executing EnCap's ESG program across the Firm and its portfolio companies.

At the portfolio company level, EnCap controls virtually all of the boards and the capital of its portfolio companies. Board control provides EnCap with direct oversight over material decisions and policies, including how its respective companies address ESG considerations. EnCap and its management teams evaluate ESG-related risks and opportunities throughout the life cycle of investments, from opportunity capture to development to monetization. EnCap understands the importance of being good stewards of upstream properties in maximizing the ultimate value of an exit, particularly in the current market where

acquirors are focused on the environmental attributes of potential assets and the impact on their pro forma environmental reporting.

In order to closely monitor portfolio company ESG performance, EnCap has routine dialogue with its management teams and mandates ESG updates at board meetings. Additionally, the Firm requires every portfolio company to complete a comprehensive annual ESG questionnaire to supply data on a wide range of performance metrics. Currently, EnCap strives to collect information spanning the following key areas:

- Scope 1 emissions
- Methane emissions
- Flared gas
- Number of spills
- Freshwater usage
- Water recycled
- Water consumption
- Diversity statistics
- Safety incidents
- ESG-related policies

The Firm's goal is to identify portfolio trends and potential reporting, policy, or performance gaps to inform potential improvement opportunities. While the quality of EnCap's data continues to develop, the Firm believes a standardized questionnaire enhances awareness of portfolio companies' impact and allows for measurable performance. Importantly, the data that is collected from each portfolio company is utilized to communicate results to EnCap's investors via its Annual Sustainability Report. This report was issued for the third consecutive year in 2022.

Policies. EnCap recognizes its responsibility to its stakeholders and upholds a culture that promotes strong ethics, honesty, and integrity. The Firm maintains a Compliance Manual and Code of Ethics and ESG Policy, which serve to help protect the Firm's business and reputation and to guide employees in their actions. The Compliance Manual and Code of Ethics is reviewed by EnCap's Chief Compliance Officer, Bobby Haier, semi-annually for updates regarding changing regulation or best practices. EnCap employees are required to acknowledge their compliance with these policies semi-annually. In addition, Mr. Haier works closely with ACA Group (a leading governance, risk, and compliance firm) to administer EnCap's compliance program and navigate regulatory developments. Finally, EnCap's Annual Sustainability Report, as well as other public statements made about ESG, are reviewed by Mr. Haier, the Firm's Chief Financial Officer (Craig Friou), and the Principals.

Cybersecurity. Shamil Zuberi, Chief Information Officer, is responsible for developing and managing EnCap's information security and resiliency programs. Mr. Zuberi works with the Chief Financial Officer, the Chief Compliance Officer, and the Principals in reviewing cybersecurity policies and procedures and refining EnCap's comprehensive incident response plan. Each year, Mr. Zuberi conducts a gap analysis and prepares a roadmap for continuous improvement to the Firm's information technology infrastructure. EnCap also performs regular risk reviews and vendor assessments to prepare the Firm for potential cybersecurity threats. EnCap partners with a cybersecurity firm that provides 24/7 security operations center services and monitors all information technology assets using artificial intelligence and behavior patterns. The Firm also conducts yearly cybersecurity assessments on portfolio companies based on the National Institute of Standards and Technology cybersecurity framework.

Employee Well-Being. EnCap believes in a culture that is inclusive and respectful with no tolerance for discrimination or harassment. The Firm takes pride in its people and their long-term success, providing

opportunities to keep them engaged and mature professionally. EnCap hires individuals who the Firm believes have the capability and drive to develop new skills, broaden relationships across the organization, and benefit performance for investors. In order to attract leading talent, EnCap offers a range of benefits aimed at supporting its employees, including a retirement savings program, fitness program, flexible spending accounts and parental leave to care for a newborn child or for placement of child for adoption or foster care for up to 16 work weeks.

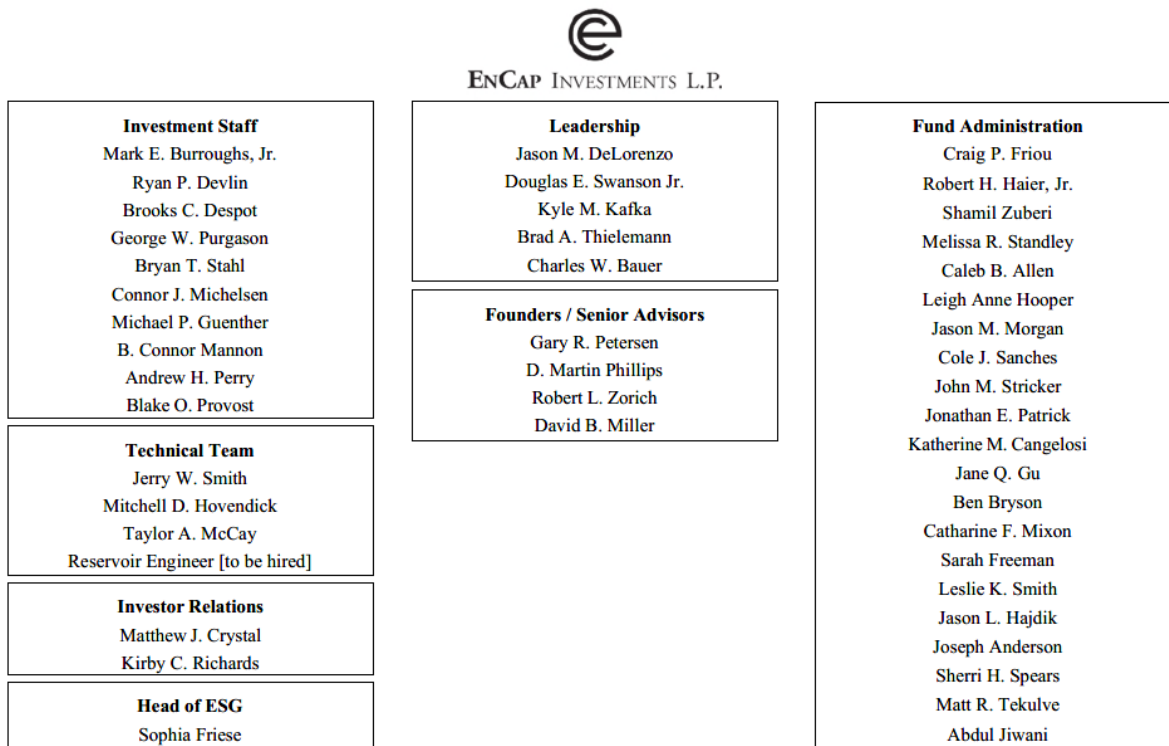
Philanthropy. Giving back has always been a core value of EnCap’s culture, and the Firm actively encourages employees and portfolio companies to further engage with their communities. EnCap supports its employees’ pursuit of causes they are passionate about, whether through volunteering or making charitable donations, and many employees have become heavily involved in community work, including by serving on boards or in similar leadership positions. As such, individual employee community work adds a meaningful amount over and above what is reported at the EnCap level. To support the organizations its employees are passionate about, EnCap offers a financial donation matching program for most employees. Additionally, the Firm has a Charitable Action Committee that organizes EnCap Engage events for its employees to work together and serve a local charity as well as assist the non-profit organization in its annual budget. The Charitable Action Committee actively promotes these events internally by encouraging participation and providing summaries of their impact.

Portfolio Company Initiatives and Investments. EnCap seeks to partner with like-minded management teams, including as it relates to responsible stewardship of upstream properties and instilling cultures that support such efforts. The Firm expects all of its portfolio companies to manage their respective businesses in a manner that protects and supports the communities and stakeholders in which they operate. The Firm is focused on ensuring responsible development across its portfolio and fully recognizes that potential acquirors of at-scale businesses are highly focused on the environmental attributes of assets being purchased.

In Section VIII – “Selected Transaction Summaries”, some of the initiatives and investments of each portfolio company are highlighted as part of the broader investment summary. Below is an illustration of some of the technologies and best practices that the Firm’s portfolio companies are actively deploying to mitigate the environmental impact of responsible operatorship:

<u>Drilling & Completions</u>	<u>Facility Design & Operations</u>	<u>Emissions Monitoring</u>
• Electric Frac Fleets: Utilize turbines powered by in-field gas as opposed to diesel to reduce emissions and costs • Cube Development: Minimizes surface disturbances, increases safety, and centralizes infrastructure • Frac Water Recycling: Conserve freshwater and reduce need for disposal	• Vapor Recovery Units: Remove vapors from crude oil or distillate, reducing fugitive emissions and increasing sales volumes • Weighted Thief Hatches: Help prevent emissions from storage tanks • Pipeline Takeaway: Establish before completing wells to reduce flaring	• Continuous Monitoring: Place cameras at wellsites to provide real-time emissions data • Leak Detection & Repair: Monitor sites for leaking components • Aerial Monitoring: Utilize LiDAR cameras placed on drones to detect fugitive emissions

VII ORGANIZATION



EnCap's day-to-day operations are led by two Managing Partners, Jason M. DeLorenzo and Douglas E. Swanson, Jr., with support from Partners Kyle M. Kafka and Brad A. Thielemann. Charles W. Bauer is also a Partner and leads EnCap's Investor Relations efforts. The Firm's four Founders, David B. Miller, Gary R. Petersen, D. Martin Phillips, and Robert L. Zorich continue to be active in an advisory role and also maintain an ownership position in EnCap (Managing Partners, Partners, and Founders, together, the "**EnCap Principals**"). The EnCap Principals have an average 33 years of industry-related experience including an average 25-year tenure at EnCap. In addition to the EnCap Principals, EnCap has a strong and stable bench of highly qualified investment professionals and support staff including 10 professionals on the upstream Investment Staff, three professionals on EnCap's in-house Technical Team, two professionals in Investor Relations in addition to Mr. Bauer, a professional who spearheads all ESG efforts for EnCap, and a 21-person fund administration staff, which includes 11 certified public accountants. The Firm also plans to hire an additional reservoir engineer in early 2023 to supplement the Technical Team. The Firm believes the depth, experience, and continuity of its organization are among the key characteristics that distinguish EnCap in the energy investment space.

Managing Partners

Jason M. DeLorenzo (52) is a Managing Partner of EnCap. Prior to joining EnCap in 1999, Mr. DeLorenzo spent four years at ING Barings in New York working in Corporate Finance, specializing in the energy industry. Previously, he was an Associate in the Energy Group at Wells Fargo Bank based in Houston from 1993 to 1995. Mr. DeLorenzo received a Bachelor of Business Administration from The University of Texas at Austin. Mr. DeLorenzo serves on the board of directors of several EnCap portfolio companies and is a member of the Independent Petroleum Association of America.

Douglas E. Swanson, Jr. (51) is a Managing Partner of EnCap. Prior to joining EnCap in 1999, Mr. Swanson spent three years as a corporate banker with Frost National Bank and Amegy Bank (formerly Southwest Bank of Texas). Mr. Swanson graduated from The University of Texas at Austin in 1994 with a Bachelor of Arts degree in Economics and also received his Master of Business Administration from University of Texas in 1999.

Mr. Swanson serves on the boards of directors of several EnCap portfolio companies. In addition, he is a member of the Independent Petroleum Association of America and the Texas Independent Producers and Royalty Owners Association. Mr. Swanson also is serving active roles in several philanthropic organizations throughout the City of Houston.

Partners

Kyle M. Kafka (41) is a Partner of EnCap. Prior to joining EnCap in July 2006, Mr. Kafka spent two years at First Albany Capital, where he worked in the Energy Investment Banking Group. Previously, Mr. Kafka spent a year at Amegy Bank of Texas, where he worked in the commercial banking department. Mr. Kafka received a Bachelor of Business Administration in Finance from The University of Texas at Austin.

Mr. Kafka serves on the board of directors of several EnCap portfolio companies and is a member of the American Petroleum Institute and the Independent Petroleum Association of America.

Brad A. Thielemann (46) is a Partner of EnCap. Prior to rejoining EnCap in September 2006, Mr. Thielemann worked in the Investor Relations and Strategic Planning Groups at Plains All American Pipeline, L.P. Previously, he was an Associate at EnCap from 2000 to 2003 and a Treasury Analyst at Dynegy. Mr. Thielemann received a Master of Business Administration from Duke University and a Bachelor of Business Administration from The University of Texas at Austin.

Mr. Thielemann serves on the board of directors of several EnCap portfolio companies and is a member of the Independent Petroleum Association of America.

Charles W. Bauer (51) is a Partner of EnCap and serves as head of investor relations and fundraising. Prior to joining EnCap in 2010, Mr. Bauer spent five years overseeing the investor relations and fundraising efforts of HM Capital Partners, a middle-market buyout firm based in Dallas, Texas. Previously, Mr. Bauer was Chief of Staff to U.S. Congressman Pete Sessions. Mr. Bauer received a Bachelor of Science from Texas Christian University and a Master of Business Administration from the McCombs School of Business at The University of Texas at Austin.

Founders/Senior Advisors

David B. Miller (72) is a Partner, Founder, and Senior Advisor of EnCap. Mr. Miller has been with EnCap since its inception and has played a critical role in all functions of the organization. Prior to the formation of EnCap, he served as Co-Chief Executive Officer of MAZE Exploration Inc., a Denver-based oil and gas company he co-founded in 1981. Mr. Miller began his professional career with Republic Bank, ultimately serving as Vice President and Manager of the bank's wholly owned subsidiary, Republic Energy Finance Corporation.

Mr. Miller holds Bachelor of Business Administration and Master of Business Administration degrees from Southern Methodist University and has received Distinguished Alumnus Awards from both Southern Methodist University and the Cox School of Business. He has been a member of the Board of Trustees at Southern Methodist University since 2008, currently serving as Chair. Mr. Miller is a member of the Board of Directors for the George W. Bush Foundation, and also serves on its Executive Committee. In 2004, Mr. Miller was appointed to the National Petroleum Council, an advisory body to the Secretary of Energy.

Additionally, he is a member of the Independent Petroleum Association of America, the Texas Independent Producers and Royalty Owners Association, and the Dallas Wildcat Committee.

Gary R. Petersen (76) is a Partner, Founder, and Senior Advisor of EnCap. Mr. Petersen has been with EnCap since its inception and has played a critical role in all functions of the organization. Prior to the formation of EnCap, Mr. Petersen was a Senior Vice President and Manager of the Corporate Finance Division of the Energy Banking Group for Republic Bank and was an Executive Vice President and a member of the board of directors of Nicklos Oil & Gas Company in Houston. From 1970 to 1971, Mr. Petersen served in the U.S. Army in Washington, D.C. as a First Lieutenant in the Finance Corps and Army Officer in the Army Security Agency.

Mr. Petersen holds Bachelor of Business Administration and Master of Business Administration degrees in Finance from Texas Tech University and is a Distinguished Alumnus of Texas Tech. He is a member of the Independent Petroleum Association of America. Mr. Petersen is a minority owner and limited partner of the National Football League's Houston Texans and Major League Baseball's Houston Astros. Mr. Petersen is also a Chairman of the Energy Advisory Committee and on the Board of Directors of the Dallas Federal Reserve Bank, Houston Branch.

D. Martin Phillips (69) is a Partner, Founder, and Senior Advisor of EnCap. Mr. Phillips has been with the firm since January 1989 and has played a critical role in all functions of the organization. Prior to joining EnCap, Mr. Phillips served as a Senior Vice President and subsequently Manager of the U.S./International Division in the Energy Banking Group of NationsBank in Dallas, Texas. Mr. Phillips began his career with Republic Bank where he ultimately served in various senior energy banking positions in both Denver and Houston.

Mr. Phillips holds Bachelor of Science and Master of Business Administration degrees from Louisiana State University. He is a member of the LSU College of Business Hall of Distinction. He is a member of the Independent Petroleum Association of America and the American Petroleum Institute.

Robert L. Zorich (73) is a Partner, Founder, and Senior Advisor of EnCap. Mr. Zorich has been with EnCap since its inception and has played a critical role in all functions of the organization. Prior to the formation of EnCap, Mr. Zorich was a Senior Vice President in charge of the Houston office of Trust Company of the West, a large, privately-held pension fund manager. Earlier in his career, Mr. Zorich co-founded and served as Co-Chief Executive Officer of MAZE Exploration Inc. and worked at Republic Bank as a Vice President and Division Manager in the Energy Department.

Mr. Zorich received his Bachelor of Arts in Economics from the University of California at Santa Barbara. He also received a Master's Degree in International Management (with distinction) from the American Graduate School of International Management in Phoenix, Arizona. He is a member of the Independent Petroleum Association of America and Texas Independent Producers and Royalty Owners Association.

Investment Staff

Mark E. Burroughs, Jr. (47) is a Managing Director of EnCap. Prior to joining EnCap in March 2007, Mr. Burroughs spent four years in UBS Investment Bank's Global Energy Group working on capital markets transactions and M&A advisory assignments. Prior to joining UBS, Mr. Burroughs spent three years at Sanders Morris Harris, Inc., an investment banking firm. Mr. Burroughs received a B.A. in Economics from The University of Texas at Austin and a Master of Business Administration from Rice University.

Mr. Burroughs serves on the board of directors of several EnCap portfolio companies and is a member of the Independent Petroleum Association of America.

Ryan P. Devlin (42) is a Managing Director of EnCap. Mr. Devlin serves on the board of directors of several EnCap portfolio companies, including Black Swan Oil & Gas, Grenadier Energy Partners III, Piedra Energy IV, Piedra Energy III, PetroLegacy Energy, and Sabalo Energy II. Prior to joining EnCap in August 2005, Mr. Devlin spent two years at Amegy Bank of Texas, where he last served as a Banking Officer for its commercial banking department. Mr. Devlin received an A.B. in Business Economics from Brown University. He is a member of the Independent Petroleum Association of America.

Brooks C. Despot (37) is a Director of EnCap. Mr. Despot serves on the board of directors of Black Swan Oil & Gas, EnCap Minerals, and Pegasus Resources II. Prior to rejoining EnCap in August 2014, Mr. Despot was the VP-Finance and CFO of Escondido Resources II, an EnCap-backed portfolio company. During his time at Escondido II, Mr. Despot played an integral role in the strategic merger of Escondido II with another EnCap-backed portfolio company. Prior to Escondido II, Mr. Despot was an Associate at EnCap from 2009 to 2013. Mr. Despot holds a B.B.A. in Management from Louisiana State University, where he graduated cum laude, and an M.B.A. from Vanderbilt University's Owen Graduate School of Management. Mr. Despot serves on the executive board of Small Steps Nurturing Center, a nonprofit organization providing education to at-risk children in Houston and is a member of the Independent Petroleum Association of America.

George W. Purgason (36) is a Director of EnCap. Mr. Purgason serves on the board of directors of Encino Environmental Services, Novo Oil & Gas Holdings, and Silverback Exploration II. Prior to joining EnCap in July 2012, Mr. Purgason spent three years at Anadarko Petroleum Corporation. While at Anadarko, Mr. Purgason worked in multiple U.S. basins as a Production Engineer and most recently as a Reservoir Engineer. Mr. Purgason holds a B.S. in Petroleum Engineering from The University of Texas at Austin and an M.B.A. from Rice University. Mr. Purgason is a member of the Independent Petroleum Association of America and the Society of Petroleum Engineers.

Bryan T. Stahl (36) is a Director of EnCap. Mr. Stahl serves on the board of directors of EnCap Minerals, Grayson Mill Energy II, Paloma Natural Gas, Pegasus Resources II, and XCL Resources. Prior to joining EnCap in July 2012, Mr. Stahl spent three years with the Global Energy Investment Banking Group at Citigroup, where he focused on public capital raises and M&A advisory work within the energy industry. Mr. Stahl holds a B.S. in Commerce from the McIntire School at the University of Virginia. During his time at Virginia, he was an All-American swimmer and competed in the 2008 U.S. Olympic Trials. He is a member of the Independent Petroleum Association of America.

Connor J. Michelsen (30) is a Vice President of EnCap. Prior to joining EnCap in June 2018, Mr. Michelsen spent two years working in the Energy Investment Banking Group at Jefferies in Houston, where he focused on acquisition and divestiture work and private capital raises within the energy industry. Mr. Michelsen graduated from Princeton University, where he received a Bachelor of Arts degree in Economics and was a quarterback on the football team.

Michael P. Guenther (29) is an Associate of EnCap. Prior to joining EnCap in July 2019, Mr. Guenther spent two years working in the Global Energy Investment Banking Group at Citigroup in Houston, where he focused on M&A advisory work and public capital raises within the energy industry. Mr. Guenther began his career as a petroleum engineer with Southwestern Energy. He received a Master of Energy Economics from Rice University and holds a B.S. in Petroleum Engineering from the University of Texas at Austin.

B. Connor Mannon (30) is an Associate of EnCap. Prior to joining EnCap in September 2020, Mr. Mannon spent three years working in the Energy Investment Banking Group at Wells Fargo in Houston, where he focused on acquisition & divestiture work and private capital raises within the energy industry.

Mr. Mannon holds a Bachelor of Science in Geosystems Engineering & Hydrogeology and a Master of Science in Finance from The University of Texas at Austin.

Andrew H. Perry (29) is an Associate of EnCap. Prior to joining EnCap in January 2021, Andrew Perry spent four years working in the Energy Investment Banking Group at Tudor, Pickering, Holt in Houston, where he focused on A&D and M&A advisory work within the energy industry. Mr. Perry graduated from Southern Methodist University, where he received Bachelor of Arts degrees in both Finance and Geology with an energy concentration.

Blake O. Provost (28) is an Associate of EnCap. Prior to joining EnCap in July 2022, Mr. Provost spent two and half years working in the Natural Resource and Infrastructure Investment Banking Group at Société Générale in Houston, where he focused on project/structured finance, debt advisory, and private capital raises across the entire energy value chain centered in both the U.S. and Latin America jurisdictions. Mr. Provost began his career at the Office of the Comptroller of the Currency, Wells Fargo Corporate and Investment Banking Group. He holds a Bachelor's in Business Administration in Finance and a Master's in Business Administration with a double concentration in Accounting and Finance from the University of Texas A&M – Corpus Christi.

Technical Team

Jerry W. Smith (43) is a Managing Director of EnCap and has over 20 years of petroleum engineering and upstream investment experience with experience working with major oil and gas companies, investment banking, and private equity. At EnCap, Mr. Smith has led the technical team (engineering and geoscience) for the past seven years, working closely with the Investment Staff to evaluate new opportunities and actively monitor asset performance for EnCap portfolio companies. Prior to joining EnCap, Mr. Smith was a Managing Director and Co-Founder of Evercore's Acquisitions & Divestitures practice in Houston. For more than four years at Evercore, he led a technical team that advised on dozens of energy transactions totaling more than \$50 billion. Mr. Smith began his career with ExxonMobil as a petroleum engineer where he spent five years leading a variety of conventional and unconventional oil and gas development programs across major U.S. basins. Mr. Smith graduated summa cum laude with a B.S. in Chemical Engineering from The University of Tennessee and also received his M.B.A. from The University of Texas at Austin.

Mitchell D. Hovendick (66) is a Director of EnCap. Prior to joining EnCap in 1997, Mr. Hovendick spent 15 years as a Petroleum Engineer with Phillips Petroleum Company, where he worked primarily as a reservoir engineer in almost all major basins within the United States. Mr. Hovendick received a B.S. in Chemical Engineering from Texas A&M University and an M.B.A. in Finance from Rice University. He is a registered professional petroleum engineer, as well as a member of the Society of Petroleum Engineers.

Taylor A. McCay (39) is a Director of EnCap. In addition to building and maintaining cutting edge Geologic databases across active basins in North America, Mr. McCay works closely with both EnCap's investment staff and professionals at EnCap's portfolio companies to provide subsurface expertise. Prior to joining EnCap in May 2016, Mr. McCay worked as a Senior Geologist responsible for the drilling, management, and development of assets in the Mid-Continent for Gastar Exploration, Inc. from 2011 through 2016. In his time there, he participated in the development of more than 70 horizontal wells as both an operator and non-operator. Prior to Gastar, Mr. McCay worked at Drillinginfo Inc. from 2007 through 2011 and previously worked as a geologist at Krescent Energy, LLC and ASRC Energy Services. Mr. McCay graduated summa cum laude with a B.S. in Geological Sciences from the University of North Carolina at Chapel Hill, where he also competed on the wrestling team. He is a member of the American Association of Petroleum Geologists.

Investor Relations

Matthew J. Crystal (47) is a Managing Director of investor relations and fundraising for EnCap. Previously, Mr. Crystal was an Associate at EnCap, working on the investment side of the business. Prior to joining EnCap in January 2008, Mr. Crystal served as a Vice President in the commercial lending department at Amegy Bank of Texas, focusing on real estate-related development companies. Mr. Crystal holds a Bachelor of Arts in Government from The University of Texas at Austin and a Master of Business Administration in Finance from Rice University.

Kirby Richards (29) is a Vice President of investor relations and fundraising for EnCap. Prior to joining EnCap in November 2021, Ms. Richards spent two and a half years at Macquarie Capital. She split her time between the Energy Principal team and the Advisory team within the Infrastructure & Energy Group in Houston. She also spent approximately two years in Scotiabank's Power & Utilities Investment Banking Group in New York focusing on M&A advisory, and approximately two years in Prudential Capital Group's Energy Finance Group in Dallas as an investment analyst focused on project finance in the power sector. Ms. Richards holds a Bachelor of Business Administration in Finance from Texas Christian University and is also a CFA Charterholder.

ESG

Sophia Frieze (33) is the Head of ESG for EnCap. Prior to transitioning to this position in 2021, Ms. Frieze was an Associate of investor relations and fundraising for EnCap. Prior to joining EnCap in 2018, Ms. Frieze spent five years working at J.P. Morgan. She spent three years in the Corporate Client Banking Group in Houston, working on syndicated leveraged credit facilities in the energy sector. She also spent two years in the Investment Banking Group in New York, focusing on M&A advisory and public capital raises in the consumer retail sector. Ms. Frieze holds a Bachelor of Business Administration in Accounting from The University of Texas at Austin and a Master of Business Administration from Rice University.

Information Security

Shamil Zuberi (42) is Chief Information Officer of EnCap. Prior to joining EnCap in 2019, Mr. Zuberi served for more than 15 years in the IT industry working primarily as a Technology Strategist. Most recently, he worked as a V.P. of Consulting Services for eConsortium, a Microsoft Gold Partner and was responsible for managed services practice with a heavy focus in the oil and gas space. Mr. Zuberi has a Bachelor of Business in IT from Beaconhouse Informatics. He is a Microsoft Certified Professional along with certifications in Security and Cloud Infrastructure.

Matt R. Tekulve (65) is an IT Manager of EnCap. Prior to joining EnCap on a full-time basis in 2020, Mr. Tekulve worked with EnCap in a consulting role beginning in 2011. Mr. Tekulve brings more than 30 years of IT infrastructure, software, and systems experience to EnCap, having previously worked in the utilities and infrastructure industries as an IT Manager, system analyst, software developer, and support technician.

Abdul Jiwani (32) is an IT Manager of EnCap. Prior to joining EnCap in 2021, Mr. Jiwani has worked in both the IT industry and consulting for 9 years primarily in roles of system administration and infrastructure support. Most recently, he worked as Infrastructure/Cloud Engineer at US Med-Equip, a private company based in Houston that provides the highest quality moveable medical equipment (MME) to top hospitals across the nation. Mr. Jiwani has a Bachelor of Science in Computer Science from the University of Houston and various Microsoft, VMware, and Cisco certifications in IT infrastructure.

Fund Administration

Craig P. Friou (49) is Chief Financial Officer of EnCap. Prior to joining EnCap in August 2019, Craig spent 23 years in client service at PwC in Houston, Aberdeen (UK) and Dallas. His clients primarily included public and private equity backed independent E&P and oilfield services companies. He was in the audit practice for 21 years before joining Transaction Services where he helped private companies go public and worked with public companies' registration statements required for capital raising, M&A and asset acquisitions. Mr. Friou graduated from The University of Texas at Austin with a Bachelor of Business Administration and also received a Master in Professional Accounting from The University of Texas.

Craig is widely regarded as a subject matter expert in the oil and gas industry. He was a key contributor to the development of the Petroleum Accounting 7th Edition textbook and to the U.S. PwC Survey of U.S. Petroleum Accounting Practices. Craig is also a founding member of the Planning Committee for the AICPA/PDI National Oil and Gas Conference.

Craig also spent 7 years developing the content for and presenting at PwC's Petroleum Academy and served as a guest lecturer at the UT- Dallas in Oil & Gas Financial Management.

Outside of work, Craig is a dedicated volunteer and avid supporter of local organizations. He is a member of the Rotary Club of West U for which he has been a director and also a fundraiser for the Rotary Lombardi Award, supporting the fight against cancer. He also serves on the boards of Institute of Hispanic Culture and Youth Development Center (YDC).

Compliance

Robert H. Haier, Jr. (58) is Chief Compliance Officer & Senior Advisor of EnCap. Mr. Haier joined EnCap in March 1997 and served as the Chief Financial Officer from 2003 through the end of 2020. Prior to joining EnCap in 1997, Mr. Haier served in public accounting for 10 years, with the last seven years in the Price Waterhouse Energy Group. As a Senior Manager, Mr. Haier was responsible for providing audit and business advisory services primarily to integrated energy and independent oil and gas companies. Mr. Haier also served in the Price Waterhouse Corporate Finance Group, where he focused on transaction support and investment advisory services.

Mr. Haier is a Certified Public Accountant and a Certified Management Accountant and holds a Bachelor of Business Administration in Accounting from The University of Texas at Austin. He is a member of the American Institute of Certified Public Accountants, the Institute of Certified Management Accountants, and the Independent Petroleum Association of America.

Human Resources

Sherri H. Spears (53) is Human Resources and the Executive Assistant to the CFO, CCO and CIO. Prior to joining EnCap in September of 2010, Mrs. Spears spent ten years recruiting and consulting in the staffing industry serving Fortune 500 and privately held companies in the Houston area. Mrs. Spears studied music at Stephen F. Austin State University and Houston Baptist University and earned her SHRM-CP certification in 2019. She is a member of Society for Human Resource Management, HR Houston and Women's Energy Network Houston Chapter.

Tax Reporting

Melissa R. Standley (50) is the Head of Tax of EnCap. Prior to joining EnCap in March 2008, Ms. Standley served in the corporate tax department of Tesco Corporation, an oilfield services company. Previously, from 2001 to 2006, she was the Tax Director of BindView Corporation, a publicly traded software company. While at BindView, Ms. Standley was responsible for the company's worldwide tax planning,

compliance, and reporting. She began her career in public accounting with PricewaterhouseCoopers. Ms. Standley received a Bachelor of Business Administration in Accounting and a Master in Professional Accounting from The University of Texas at Austin and is a Certified Public Accountant. She is a member of the American Institute of Certified Public Accountants and the Texas Society of CPAs.

Caleb B. Allen (41) is the Tax Senior Manager of EnCap. Prior to joining EnCap in August 2012, Mr. Allen served as a Tax Manager with PricewaterhouseCoopers and has over eight years of experience in public accounting. While at PricewaterhouseCoopers, Mr. Allen worked primarily on the EnCap tax compliance engagement and other upstream oil and gas partnership tax compliance engagements. Mr. Allen received a Bachelor of Business Administration in Accounting from Baylor University and is an Enrolled Agent.

Joseph Anderson (31) is the Tax Senior Manager of EnCap. Prior to joining EnCap in January 2023, Mr. Anderson served as a Senior Tax Manager with PricewaterhouseCoopers and has over eight years of experience in public accounting. Mr. Anderson's career has been focused on private equity and financial services, tax consulting, and compliance. Mr. Anderson graduated from Texas A&M University with a Master of Science in Accounting and a Bachelor of Business Administration in Accounting. He is a Certified Public Accountant.

Leigh Anne Hooper (31) is the Tax Manager of EnCap. Prior to joining EnCap in July 2016, Ms. Hooper spent two years working at Ernst & Young, where she focused on federal and state tax compliance and provisions for clients in a variety of industries. Ms. Hooper graduated Magna Cum Laude from Texas A&M University with a Master of Science in Finance and a Bachelor of Business Administration in Accounting and Business Honors. She is a Certified Public Accountant and a member of the American Institute of Certified Public Accountants.

Sarah Freeman (33) is the Tax Database Administrator of EnCap. Prior to joining EnCap in January 2022, Ms. Freeman was the Fund Administrator for Hand Benefits & Trust Company. Prior to that, she spent five years working in various roles such as accounting, office management, sales, and human resources. Ms. Freeman's primary duties with EnCap are assisting the tax team. Ms. Freeman holds a Bachelor of Business Administration from the University of the Incarnate Word.

Leslie Smith (58) is the Legal & Compliance Administrator of EnCap. Prior to joining EnCap in June 2021, Ms. Smith served as a Senior Paralegal in Corporate & Securities at Thompson & Knight LLP from 1998 to 2012 and from 2019 to 2021. From 2012 to 2019, she served in the roles of Senior Paralegal in Legal, Corporate Services, and Compliance Coordinator (Senior Compliance Analyst) in Global Compliance at Noble Energy, Inc. Ms. Smith received a Bachelor of Science in Business Management from the University of Phoenix, and she is a Certified Fraud Examiner (CFE) and a Certified Compliance & Ethics Professional (CCEP). Ms. Smith is a member of the Paralegal Division of the State Bar of Texas, the Association of Certified Fraud Examiners, and the Society of Corporate Compliance and Ethics.

Fund Reporting

Jason M. Morgan (43) is the Director of Accounting and Financial Reporting of EnCap. Prior to joining EnCap in January 2011, Mr. Morgan served as an Audit Manager with PricewaterhouseCoopers and has over eight years of experience in public accounting. While at PricewaterhouseCoopers, Mr. Morgan worked primarily on the audits of financial services companies, performing United States Generally Accepted Accounting Principles ("GAAP") and statutory financial statement audits. Mr. Morgan received a Bachelor of Business Administration in Accounting and a Master in Professional Accounting from The

University of Texas at Austin and is a Certified Public Accountant. He is a member of the American Institute of Certified Public Accountants and the Texas Society of CPAs.

Cole Sanches (39) is the Senior Vice President of Financial Reporting of EnCap. Prior to joining EnCap in July 2014, Mr. Sanches served as an Audit Manager with PricewaterhouseCoopers and has over seven years of experience in public accounting. While at PricewaterhouseCoopers, Mr. Sanches worked primarily on the audits of integrated energy and financial services companies, performing IFRS, U.S. GAAP and statutory financial statement audits. Mr. Sanches received a Bachelor of Business Administration and a Master in Professional Accounting from The University of Texas at Austin and is a Certified Public Accountant. He is a member of the American Institute of Certified Public Accountants.

John M. Stricker (55) is a Senior Accountant of EnCap. Prior to joining EnCap in February 2000, Mr. Stricker spent a combined six years with Randalls Food Markets, Inc. and Sysco Corporation in the financial reporting area. Mr. Stricker's primary duties with EnCap include fund and investor reporting for each of the investment funds. He holds a Bachelor of Business Administration in Accounting from the University of Houston and is a Certified Public Accountant.

Treasury/Operations

Jonathan E. Patrick (42) is the Controller of EnCap. Prior to joining EnCap in January 2013, Mr. Patrick spent over five years in public accounting, including time at Deloitte in the company's Audit and Enterprise Risk Services practice. In addition, Mr. Patrick has experience in the Treasury and SEC Financial Reporting functions at Ares Management in Los Angeles. Mr. Patrick received a Bachelor of Business Administration in Accounting and a Master in Professional Accounting from The University of Texas at Austin and is a Certified Public Accountant.

Katherine M. Cangelosi (44) is the Assistant Controller of EnCap. Prior to joining EnCap in July 2008, Ms. Cangelosi served as an Accounting Assistant with Mid-South Telecommunications Company, Inc. from 1997 to 2008. In this capacity, she handled various accounting and reporting duties for the Harry E. Bovay, Jr. Foundation, S&A Telephone Company, Bovista Real, Inc., and Mid-South Telecommunications Company, Inc. Ms. Cangelosi received a Bachelor of Business Administration in Marketing and a Master of Business Administration in Finance and International Business from the University of St. Thomas in Houston, Texas. She is a member of the Women's Energy Network Houston Chapter.

Jane Q. Gu (51) is a Senior Accountant of EnCap. Prior to joining EnCap in February 2016, Ms. Gu spent three years at Atlantic Trading and Marketing, where she managed the company's financials, treasury functions, and reporting. Previously, she worked at SBM Offshore N.V. and Peabody Energy Corporation as a senior accountant and served in public accounting in the financial audit area, for a combined eight years. Ms. Gu is a Certified Public Accountant and holds a Master of Science in Accounting from Saint Louis University.

Ben Bryson (29) is a Treasury Accountant of EnCap. Prior to joining EnCap in January 2022, Mr. Bryson worked three years in public accounting at PricewaterhouseCoopers as a Senior Associate. While at PricewaterhouseCoopers, Mr. Bryson worked primarily on Asset and Wealth Management engagements, including the EnCap audit engagement as well as other private equity and specialized fund engagements. Previously, he worked in the banking and credit union industry in a variety of cash management and treasury roles. He holds a Bachelor of Science in Accounting from the University of Utah.

Catharine F. Mixon (25) is a Treasury Accountant of EnCap. Prior to joining EnCap in November 2022, Ms. Mixon served as a Tax Senior with Deloitte where she spent two years in the Business Tax Services group. While at Deloitte, Ms. Mixon focused on federal compliance and provisions for corporations and

partnerships in a variety of industries. Ms. Mixon graduated from the University of Mississippi where she received a Master in Accountancy and a Bachelor of Accountancy. She is a Certified Public Accountant.

Fund Valuations

Jason L. Hajdik (40) is a Director of EnCap. Prior to joining EnCap in September 2012, Mr. Hajdik worked at BMO Capital Markets and Madison Williams & Company (formerly Sanders Morris Harris, Inc.). At BMO, he worked as an investment banking associate, and at Madison Williams he worked as an E&P equity research associate. Previously, he spent four years as a Process Engineer at S&B Engineers & Constructors, Ltd. Mr. Hajdik holds a Bachelor of Science in Chemical Engineering from the University of Texas at Austin and a Master of Business Administration from Vanderbilt University's Owen Graduate School of Management.

VIII SELECTED TRANSACTION SUMMARIES

The following transaction summaries describe a number of the EnCap Upstream Funds' realized and unrealized portfolio investments. These selections represent the types of quality management teams with whom EnCap invests and include a combination of first-time partnerships and repeat partnerships that span multiple entities and EnCap funds. Additionally, these transaction summaries were selected to provide more context on the execution of EnCap's investment strategies. The highlighted companies have pursued, and in many cases continue to pursue, a combination of property acquisitions, leasehold acquisitions, and/or oil and gas mineral and royalty acquisitions, as described in Section V– "Investment Strategy". The selected unrealized companies represent over 75% of the rig activity across the EnCap Upstream Funds' operated portfolio as of September 30, 2022, which provides a material snapshot of ongoing capital spend as EnCap and its management teams seek to build successful upstream businesses.

Ameredev
(Realized Fund X Investment)

Ameredev II
(Unrealized Fund X Investment)

Company Description:

Ameredev II (“**Ameredev II**”) is a privately held, Austin-based independent upstream company led by Parker Reese (CEO/President), Floyd Hammond (VP-Operations), Eric Rhoden (VP-Geology), Noah Bramble (Land Manager), and Ron Zboril (CFO). All core members of the management team remained from EnCap’s first partnership with the team, Ameredev.

Transaction Summary:

Ameredev II was formed in March 2017 with a \$400.0 million total commitment including \$388.0 million from Fund X and \$12.0 million from management. In August 2018, Ameredev II’s commitment was expanded by \$300.0 million (\$297.0 million from Fund X and \$3.0 million from management), providing a total equity commitment of \$700.0 million. The investment is structured in the form of common equity with Fund X receiving its pro rata percentage of distributed cash until an 8% IRR is achieved. Distributions thereafter are allocated on a graduated basis after certain ROI and IRR targets are met. EnCap holds a majority position on the Board of Managers.

Investment Rationale:

- Opportunity to re-back a young and energetic management team that has proven its ability to create value while appropriately assessing and managing risk
- Management and EnCap are like-minded with regards to business strategy and risk management
- EnCap controls the Board and approves all major decisions

Investment Performance:

- The team initially partnered with Fund X in May 2015 with Ameredev to pursue opportunities in the Delaware Basin due to its strong geologic merits, stacked pay potential, and the team’s historical operational experience in the area. Ameredev aggregated approximately 15,500 net acres in Ward and Pecos Counties, Texas and ultimately sold the position to Callon Petroleum Company (NYSE: CPE), generating \$514.4 million in proceeds on \$168.3 million invested for Fund X.
- Following its inception, Ameredev II identified the over-pressured oil window in the Northern Delaware Basin in Southeast Lea County, New Mexico as a focus area. In 1H 2017, Ameredev II acquired approximately 11,500 net acres in Southeast Lea County through a mixture of grassroots leasing and non-marketed deals. Management continued to bolt-on acreage to its core position, ultimately accumulating approximately 20,600 net acres.
- In November 2020, Ameredev II won a competitive auction process to purchase Lilis Energy’s (“**Lilis**”) assets out of bankruptcy for total consideration of \$46.6 million in cash, a meaningful discount to PDP PV10 at the time due to sour gas treating issues on the asset. Lilis’ assets consisted of approximately 11,400 net acres in Winkler and Loving Counties adjacent to Ameredev II’s existing footprint.
- As a solution to a broader sour gas treating issue, Ameredev II proactively entered into an agreement with Piñon Midstream in January 2021. The deal was structured as an 80%/20% joint venture between Piñon and Ameredev II and provided the best sour gas solution as the company planned to ramp development.
- Management has invested significant time and capital to implement a differentiated approach to ESG. Redundancies built into surface production facilities are designed to eliminate or minimize venting and

flaring of produced gas and leaks and spills of produced fluid. Additionally, an extensive produced water recycling system nearly eliminates freshwater needs for drilling and completion operations.

- Ameredev II has invested \$560.0 million of equity and \$465.0 million of debt to acquire approximately 32,000 net acres in the Northern Delaware basin and drill and complete 63 operated horizontal wells. The asset consists of about \$1.2 billion of PDP PV10 and over 100 remaining locations that represent compelling development opportunities.

Black Swan
(Unrealized Fund XI Investment)

Company Description:

Black Swan Oil & Gas (“**Black Swan**”) is a privately held, Oklahoma City-based independent upstream company led by Ian Yingling (CEO), David LaLonde (CFO), Jason Kneedy (EVP Geoscience), and Kathy Brotherton (EVP Business Development). Since inception, the management team has been further bolstered by individuals with impressive technical and operational backgrounds.

Transaction Summary:

Black Swan was formed in September 2017 with a \$250.0 million commitment (\$248.5 million from Fund XI and \$1.5 million from management) and was subsequently expanded twice to a current \$550.0 million commitment (\$547.5 million from Fund XI and \$2.5 million from management). The investment is structured in the form of common equity, with Fund XI receiving 99.5% of distributed cash until an 8% IRR is earned; thereafter, distributions will be allocated on a graduated basis as certain ROI and IRR targets are met. EnCap holds a majority position on the Board of Managers.

Investment Rationale:

- Young senior management members that are highly regarded within the industry with a proven ability to create value
- Strong technical and operational performance and knowledge base with diverse industry experience across multiple major resource plays
- Team’s ability to attract top industry talent and be long-term partners with EnCap
- EnCap controls the Board and approves all major decisions

Investment Performance:

- As of September 30, 2022, Black Swan has invested \$500 million of equity and \$130 million of debt to capture about 21,000 largely contiguous and 96% held-by-production (“**HBP**”) net acres and approximately 14,000 net royalty acres in the core of the Northern Midland Basin.
- Black Swan’s acreage position has been aggregated through over ten different lease or producing property acquisitions, ranging from approximately \$1 million to approximately \$150 million. These assets had limited production when acquired, but the combined asset footprint is highly contiguous and allows long lateral horizontal development prospective for attractive stacked pay. Black Swan has since drilled, completed, and brought to production 21 horizontal wells to date targeting six distinct zones on four different pads in various locations across their operated position, which has grown production to approximately 19 Mboe/d. As of September 30, 2022, Black Swan had PDP PV10 of \$447 million and PDNP + DUC PV10 of \$245 million at strip pricing.
- Black Swan is currently running two rigs drilling multi-well pads to efficiently develop its largely virgin acreage position. The company’s operated well results have proven highly economic, and the addition of relatively high net revenue interests on many operated units across its asset base (average 8/8ths NRI of 83.6%) has allowed Black Swan to rapidly and efficiently grow production. The company expects to achieve cash flow neutrality in the coming quarters based on current forecasts. Black Swan maintains a modest leverage profile, which gives the company flexibility to potentially both initiate a distribution program and accelerate growth in 2023 at current commodity price levels.

Double Eagle IV
(Unrealized Fund XI Investment)

Company Description:

Double Eagle Energy IV (“**Double Eagle**”) is a privately held, Fort Worth-based independent upstream company led by Cody Campbell (Co-CEO) and John Sellers (Co-CEO), as well as Blake Carpenter (CCO), Joshua Gregg (CFO), and Garrett Martin (COO). Double Eagle intends to leverage its industry relationships to create a core acreage position in the Midland and Delaware Basins through acquisitions and acreage swaps. Management plans to use its operating expertise to develop the assets and create a sizable cash flowing business that will be attractive to buyers in any market environment.

Since 2013, the Double Eagle team has invested a total of approximately \$2.4 billion of capital in multiple basins and varying market conditions and has realized about \$10.0 billion of asset sales. The team’s most recent successful exit occurred in April 2021 when the team sold an attractive Midland Basin platform to Pioneer Natural Resources (NYSE: PXD) for \$6.4 billion.

Transaction Summary:

Double Eagle was initially capitalized with a \$1.1 billion common equity commitment, which includes \$1.0 billion from Fund XI and \$100 million from management. For up to 90 days after closing, EnCap allowed management to raise up to \$100 million in commitments from friends and family, which would reduce Fund XI’s commitment on a dollar-for-dollar basis. Any additional commitments from friends and family would be added to the total commitment amount, with a maximum expansion of \$50 million.

In Q2 2022, Double Eagle closed on additional commitments, raising the total commitment to \$1.15 billion. This includes \$900 million from Fund XI, \$154 million from other friends and family, and \$100 million from management. The investment is structured in the form of common equity, with Fund XI receiving a proportionate share of distributions until an 8% IRR is achieved. EnCap holds a majority position on the Board of Managers.

Given the robust opportunity set that Double Eagle has continued to identify, EnCap expects to expand its total commitment to Double Eagle by 50% (\$450 million net to Fund XI). Due to the capital constraints of Fund XI, the commitment expansion will be transferred to Fund XII upon first close, and this proposal was approved by the Fund XI LPAC in December 2022.

Investment Rationale:

- Management’s significant capital commitment enhances alignment with EnCap
- Gives EnCap and Fund XI exposure to a new management team with a long and impressive track record across multiple major resource plays and industry cycles
- Senior management members are highly regarded and bring a differentiated skillset related to capture and asset development
- Focus is on the most economic areas of the Permian and gives EnCap an opportunity to develop a premier Permian operating platform

Investment Performance:

- As of September 30, 2022, Double Eagle has closed on over 10,000 net acres in the Permian Basin and expects to close on more than 4,300 additional net acres over the next several months. The company has initiated development on the assets it has captured and is currently running a two-rig development

program. The company is actively evaluating acquisition opportunities in the Permian Basin where the team has prior experience and/or believes to have a competitive advantage.

Tumbleweed IV
(Unrealized Fund XI Investment)

Company Description:

Tumbleweed Royalty IV (“**Tumbleweed**”) is a privately held, Fort Worth-based independent upstream company led by Cody Campbell (Co-CEO) and John Sellers (Co-CEO), as well as Blake Carpenter (CCO), Grant Wright (President), and Ben Faith (COO).

Transaction Summary:

Tumbleweed was initially capitalized with a \$550 million common equity commitment, which includes \$500 million from Fund XI and \$50 million from management. For up to 90 days after closing, EnCap allowed management to raise up to \$50 million in commitments from friends and family, which would reduce Fund XI’s commitment on a dollar-for-dollar basis. Any additional commitments from friends and family would be added to the total commitment amount, with a maximum expansion of \$25 million.

In Q2 2022, Tumbleweed closed on additional commitments from friends and family, raising the total commitment to \$577 million. This includes \$450 million from Fund XI, \$77 million from friends and family, and \$50 million from management. The investment is structured in the form of common equity, with Fund XI receiving a proportionate share of distributions until an 8% IRR is achieved. EnCap holds a majority position on the Board of Managers.

Investment Rationale:

- Management’s significant capital commitment enhances alignment with EnCap
- Gives EnCap and Fund XI exposure to a new management team with a long and impressive track record across multiple major resource plays and industry cycles
- Senior management members are highly regarded and bring a differentiated skillset related to capture and asset development
- Focus is on the most economic areas of the Permian and gives EnCap an opportunity to develop a premier Permian minerals platform

Investment Performance:

- As of September 30, 2022, Tumbleweed has closed on approximately 6,800 net royalty acres in the Permian Basin and expects to close on more than 1,000 additional net royalty acres over the next several months. The company is actively evaluating acquisition opportunities in the Permian Basin where the team has prior experience and/or believes to have a competitive advantage.

EnCap Minerals
(Unrealized Funds IX, X, & XI Investment)

Pegasus II
(Unrealized Fund XI Investment)

Company Description:

EnCap Minerals was formed in June 2021 with the consolidation of core Permian mineral assets from multiple EnCap portfolio companies held in Fund IX (OGX III), Fund X (Fortis I, Fortis II, Fortis III, and OGX IV), and Fund XI (Pegasus I and OGX V). The company is managed by the Pegasus team.

Pegasus Resources II (“**Pegasus II**”) is a privately held, Fort Worth-based company led by George Young Jr. (CEO), Will Rodgers (President), and Lynn Frank (CFO) primarily focused on the acquisition and aggregation of mineral interests and overriding royalties in the core of the Permian Basin. Mr. Young was formerly CEO of Silverback Exploration (“**Silverback I**”), which sold its Delaware Basin assets to Centennial Resource Development for \$855 million and ultimately generated \$916 million in proceeds on \$292 million invested for Fund IX.

EnCap Minerals & Pegasus II Transaction Summary:

EnCap Minerals was formed in June 2021 with the consolidation of core Permian mineral assets as detailed above, which resulted in each involved entity receiving equity ownership in the new EnCap Minerals platform in exchange for the assets contributed. Accordingly, Fund IX, Fund X, and Fund XI received ownership equivalent to 9.8%, 52.5%, and 36.6%, respectively. The balance of the ownership, 1.1%, is held by the current management investors in Pegasus I. All necessary LPAC approvals were received concurrent with consolidation.

Pegasus II was formed in June 2021 with a \$300 million commitment including \$297 million from Fund XI and \$3 million from management. The investment is structured in the form of common equity, with Fund XI receiving a proportionate share of distributions until a 1.25x ROI and 8% IRR is achieved. Thereafter, distributions are allocated on a graduated basis after additional return hurdles are met. EnCap holds a majority position on the Board of Managers.

Investment Rationale (Specific to Pegasus II):

- Impressive team led by Mr. Young, who has a long track record including two prior EnCap entities
- Strong network of industry relationships to help source proprietary deal flow
- Like-minded with EnCap as it relates to risk management and technical evaluation
- EnCap controls the Board and will approve all major decisions

Investment Performance:

- The Pegasus, Fortis, and OGX predecessor entities all built impressive asset bases at attractive entry costs. EnCap made the decision to consolidate these assets in June 2021 under EnCap Minerals with the strong belief that the combined vehicle would create a world-class mineral portfolio and ultimately maximize value for Funds IX, X, and XI. In EnCap’s view, this transaction (i) meaningfully reduces the combined overhead burden across the related mineral portfolio by consolidating all management functions under the Pegasus team, (ii) diversifies each individual Fund’s mineral interests across all core areas of the Permian Basin to provide more stability in cash flows and broad exposure to activity generating organic growth, and (iii) enhances exit optionality as EnCap evaluates future strategic alternatives such as a sale or a public offering.
- EnCap Minerals has not made any acquisitions since the consolidation transaction but has realized significant organic growth through ongoing and increased industry activity across its core 125,000 net royalty acre position in the Permian Basin. Approximately half of the horizontal rigs in the Permian

Basin core have been running on EnCap Minerals' position over the past few quarters, resulting in over \$500 million in cash flow for the last twelve months. EnCap Minerals is expected to see continued production growth in 2023 based on current activity levels.

- Pegasus II has aggregated a meaningful portfolio of core Permian mineral acquisitions to date at an attractive cost basis. Management continues to see significant high quality deal flow and will continue to remain acquisitive, while adhering to underwriting that targets compelling risk adjusted returns.

Enduring <i>(Fully Realized Funds V & VII Investment)</i>	Enduring II <i>(Fully Realized Funds VII & VIII Investment)</i>
Enduring IV <i>(Unrealized Funds X & XI Investment)</i>	

Company Description:

Enduring Resources IV (“**Enduring IV**”) is a privately held, Denver-based independent oil and gas company focused on a strategy of acquiring and developing diverse opportunities in the U.S. Management is led by Barth Whitham (President & CEO), Brian Bess (VP Engineering), Alex Campbell (VP Land), and David Wolf (VP Business Development). The Enduring team previously led Westport Resources, a public entity that sold to Kerr-McGee in 2004 for \$3.4 billion, and two prior EnCap entities.

Transaction Summary:

Enduring IV was formed in June 2017 and currently has a \$1.05 billion total commitment including \$475 million from Fund X, \$475 million from Fund XI, \$47.5 million from a third party investor, and \$52.5 million from management. The investment is structured in the form of common equity, with Fund XI and Fund X receiving a proportionate share of distributions until simple payout is achieved. Thereafter, distributions are allocated on a graduated basis after certain ROI and IRR targets are met. EnCap holds a majority position on the Board of Managers.

Investment Rationale:

- Top-tier management team that has partnered with EnCap since 2004 with an impressive track record
- Management is like-minded with EnCap and is committing substantial equity to Enduring IV
- Strong relationships with Majors and large independents help secure attractive deal flow
- EnCap controls the Board and will approve all major decisions

Investment Performance:

- Enduring I was formed in December 2004 to pursue a multi-basin strategy. Enduring I’s assets were divested through three separate transactions including: (i) \$603 million sale of its East Texas properties to Cabot Oil & Gas in August 2008, (ii) \$1.3 billion sale of its South Texas/Eagle Ford assets to a 50/50% joint venture between Talisman Energy and Statoil in December 2010, and (iii) \$43 million sale of its East Texas assets in February 2011. In total, Enduring I generated \$409 million on \$162 million invested for Fund V and \$97 million on \$42 million invested for Fund VII.
- Enduring II was formed in June 2011 to continue the team’s multi-basin strategy and assembled four separate project areas through acquisitions and leasing: (i) Southern Midland Basin, (ii) Eastern Midland Basin, (iii) Southern Delaware Basin, and (iv) dry gas Uinta Basin. Over time, Enduring II focused its efforts on the Southern Midland Basin and drilled or participated in over 150 horizontal wells. In August 2014, Enduring II sold this asset to American Energy Partners for \$2.5 billion. The other assets were divested for limited value. In total, Enduring II generated \$305 million and \$496 million for each of Funds VII and VIII on \$106 million and \$170 million of invested capital, respectively.
- Enduring III was a management-owned vehicle that acquired a package of distressed, non-operated assets after the sale of Enduring II and prior to Enduring IV.
- Following inception, Enduring IV acquired two meaningful San Juan Basin assets from Chevron and WPX Energy for a total of \$950 million. These acquisitions encompassed approximately 230,000 net

acres and were substantially underpinned by PDP value. The total footprint offers a significant production base with relatively low decline and development upside across all hydrocarbon windows.

- Enduring IV plans to operate with a moderate reinvestment rate and expects to initiate distributions from operating cash flow before year-end 2022. Management continues to explore consolidation opportunities to realize value from added scale in-basin and other opportunities outside of the San Juan Basin where the team has extensive prior experience.

Grayson Mill
(Unrealized Fund X Investment)

Grayson Mill II
(Unrealized Funds X & XI Investment)

Company Description:

Grayson Mill Energy (“**Grayson Mill I**”) & Grayson Mill Energy II (“**Grayson Mill II**”) are privately held, Houston-based independent upstream companies led by Eric Bayes (CEO), Blake Sullens (COO), Matt Ultis (CFO), and Dewey Gerdorn (VP Business Development). Mr. Bayes was previously VP Operations with Oasis Petroleum, where he managed the entirety of the company’s operations team in the Bakken. Since inception, the management team has been further bolstered with impressive talent.

Grayson Mill I & Grayson Mill II Transaction Summary:

Grayson Mill I was formed in October 2016 with a \$175 million total commitment including \$174 million from Fund X and \$1 million from management. The investment is structured in the form of common equity, with Fund X receiving a proportionate share of distributions until a 1.20x ROI and 8% IRR is achieved. Thereafter, distributions are allocated on a graduated basis after certain ROI and IRR targets are met. EnCap holds a majority position on the Board of Managers. In early 2021, Grayson Mill I’s total commitment was adjusted to \$90 million, while maintaining pro rata ownership between Fund X and management, concurrent with the formation of Grayson Mill II.

Grayson Mill II was formed in April 2021 with a \$751 million total commitment including \$500 million from Fund XI, \$250 million from Fund X, and \$1 million from management. The investment is structured in the form of common equity, with Fund XI and Fund X receiving a proportionate share of distributions until an 8% IRR is achieved. Thereafter, distributions are allocated on a graduated basis after certain ROI and IRR targets are met. EnCap holds a majority position on the Board of Managers.

Investment Rationale:

- Young and energetic senior management members that are highly regarded
- Strong, data-driven approach to execute in the Rockies, where the team has significant experience
- Team’s ability to attract top industry talent and be long-term partners with EnCap
- EnCap controls the Board and will approve all major decisions

Investment Performance:

- Grayson Mill I entered the Powder River Basin (“**PRB**”) in Q2 2017 and ultimately built an approximately 25,000 net acre position. In 2020 and 2021, the company drilled two horizontal Turner wells with encouraging results. However, the PRB has become a challenging area to build scale and sell at an attractive valuation. As such, the company is limiting capital exposure and evaluating options to maximize value.
- Grayson Mill II was formed in April 2021 concurrent with the company’s \$900 million acquisition of Equinor’s Bakken assets. This acquisition included approximately 240,000 net acres producing about 44 Mboe/d (67% oil) and extensive infrastructure in-place that greatly enhances producer margins. The valuation was highly compelling with over \$1 billion in hard value coverage and meaningful drilling inventory that was not valued to underwrite the deal. The team viewed additional upside through operating cost reductions and refrac potential. At signing, Equinor hedged significant PDP volumes on behalf of the company and provided a firm crude transportation solution through YE 2022 to protect basis risk.
- Since closing the Equinor acquisition, the company has executed at a high level by significantly reducing well downtime and lowering lease operating expenses, while maintaining high ESG standards

focused on minimizing flaring and methane emissions. The team is managing a significant capital program and plans to run three operated horizontal rigs across its asset base in 2023. Grayson Mill II is able to maintain this capital program while spending within cash flow, which allows the company to make cash distributions.

- In July 2022, Grayson Mill II achieved simple payout through distributions and is well-positioned to continue to make distributions over time, while also positioning for a strategic exit. The company has modest leverage and continues to evaluate accretive bolt-on acquisitions.

Novo
(Unrealized Fund X Investment)

Company Description:

Novo Oil & Gas (“**Novo**”) is a privately held, Oklahoma City-based independent upstream company. Novo is led by Tim Fahler (CEO) and John Zimmerman (CFO), two former managers of PayRock Energy (“**PayRock I**”) that played an integral role in the company’s successful sale of its core STACK position to Marathon Oil Corporation (NYSE: MRO) in August 2016.

Transaction Summary:

In August 2016, Fund X committed \$196.0 million to Novo and management committed \$4.0 million, providing a total equity commitment of \$200.0 million. The investment is structured in the form of common equity, with Fund X receiving 98% of distributed cash until an 8% IRR is earned; thereafter, distributions will be allocated on a graduated basis as certain ROI and IRR targets are met. EnCap holds a majority position on the Board of Managers.

Investment Rationale:

- Exposure to an impressive and highly motivated management team that has complementary skillsets and expertise to execute on its data-driven, acquire & develop strategy
- Management has the ability to attract top industry talent and be long-term partners with EnCap
- Similar mindset with regards to strategy, risk management, and capital allocation
- EnCap controls the Board and will approve all major decisions

Investment Performance:

- Following its inception, Novo evaluated multiple basins for high quality development opportunities. The company assembled about 15,000 net prospective acres in Ector County, Texas on the Central Basin Platform. After initial delineation of the project disappointed relative to expectations, Novo pivoted its focus to the Northern Delaware Basin.
- Novo began assembling acreage in Eddy County, New Mexico in 2017 through various acquisitions and trades. After accumulating a drill-ready approximately 7,000 net acre position, Novo kicked off its development program in 2019 with a focus on full cube development. The company’s initial wells were very encouraging and yielded strong economics.
- Amidst falling commodity prices in 2020, Novo paused development operations of its Eddy County assets. In May 2020, EnCap made the decision to consolidate management of the Scala Energy assets under the Novo team. Scala was an existing Fund X company with assets in Culberson County, Texas.
- As commodity prices recovered in late 2020, Novo restarted development. As of September 30, 2022, the company is running two continuous rigs and is producing approximately 42,900 Boe/d (about 24% oil and about 61% liquids) from its position of approximately 17,000 net leasehold acres and over 10,000 net royalty acres in the Northern Delaware Basin.
- As of September 30, 2022, Novo has invested \$491 million of equity (inclusive of \$207 million Scala invested capital) and \$240 million of debt. Novo’s assets consist of approximately \$880 million of PDP PV10 and over 120 remaining locations that represent compelling development opportunities. The company is generating strong cash flow at current commodity prices and intends to continue running two rigs to further grow its production base. To date, Novo has distributed \$221 million net to Fund X on \$491 million of invested capital. The company expects to continue to make distributions from operating cash flow.

San Juan Partners
(Fully Realized Fund III Investment)

Paloma II
(Fully Realized Fund VII Investment)

Paloma IV
(Unrealized Fund IX Investment)

Paloma Barnett
(Fully Realized Fund VI Investment)

Paloma III
(Fully Realized Funds VIII & IX Investment)

Paloma V (Solar & Wind)
(Fully Realized Funds XI & ETF I Investment)

Paloma VI
(Unrealized Fund XI Investment)

Company Description:

Paloma Partners IV (“**Paloma IV**”) and Paloma Partners VI (“**Paloma Natural Gas**” or “**PNG**”) are privately held, Houston-based independent upstream companies led by Chris O’Sullivan (President), Mark Gabrisch (EVP Land), and Bobby Poirrier (VP & CFO). EnCap has a significant track record of value creation with Mr. O’Sullivan dating back to 1998. The Paloma team has a strong reputation for its commercial abilities in aggregating attractive acreage positions in proven areas and then maximizing the value of such positions.

Paloma IV & PNG Transaction Summary:

Paloma IV was formed in May 2014 and currently has a \$550 million total commitment including \$479 million from Fund IX, \$55 million from Macquarie, and \$17 million from management. The investment is structured in the form of common equity, with Fund IX receiving a proportionate share of distributions until a 5% IRR is achieved on a deemed equity amount negotiated to better align management and EnCap. Thereafter, distributions are allocated on a graduated basis after certain ROI and IRR targets are met.

PNG was formed in December 2021 with a \$550 million total commitment, including \$539 million from Fund XI and \$11 million from management. The investment is structured in the form of common equity, with Fund XI receiving a proportionate share of distributions until an 8% IRR is achieved. Thereafter, distributions are allocated on a graduated basis after certain ROI and IRR targets are met. EnCap holds a majority position on the Board of Managers of Paloma IV and PNG.

Investment Rationale:

- Seasoned management team with a proven track record across multiple EnCap-backed entities
- Excellent commercial and business development acumen that is critical for capturing opportunity sets
- Management and EnCap are like-minded with regard to business strategy and risk management
- EnCap controls the Board and will approve all major decisions

Investment Performance:

- San Juan Partners was formed in January 1998 to acquire a controlling interest in Burlington Resources Coal Seam Gas Royalty Trust, a publicly traded entity. EnCap ultimately invested \$16 million in San Juan Partners and realized proceeds of \$28 million for Fund III.
- Paloma Barnett was formed in February 2007 and pursued a highly focused leasing and development strategy in the Barnett Shale. In February 2008, Paloma Barnett was sold to Chesapeake Energy (NYSE: CHK) for \$225 million. The sale resulted in \$147 million of distributions on \$69 million invested for Fund VI.
- Paloma II was formed in November 2009 and originally pursued a leasing and development strategy in the Haynesville Shale. The company pivoted to the condensate window of the Eagle Ford Shale given the team’s belief it could accumulate a position in one of the most economic plays in the U.S. Paloma

II captured approximately 17,000 net acres and drilled 10 Eagle Ford wells. In August 2012, Paloma II was sold to Marathon Oil Corporation (NYSE: MRO) for \$750 million, resulting in distributions of \$424 million on \$124 million invested for Fund VII.

- Paloma III was formed in August 2012 and pursued a similar leasing and development strategy with an emphasis on the dry gas window of the Utica Shale. Paloma III ultimately accumulated an attractive 23,700 net acre position and sold the properties to Gulfport Energy (NYSE: GPOR) for gross cash consideration of \$301 million in August 2015, resulting in distributions of \$108 million on \$51 million invested for each of Funds VIII and IX.
- Paloma IV initially built a position in the Tuscaloosa Marine Shale through lease aggregation but limited exposure by bringing in a joint venture partner who ultimately acquired the company's position. In early 2016, Paloma IV pivoted to the STACK play in Oklahoma's Anadarko Basin and built an asset base with a combination of leasing, farmouts, and small acquisitions. In 2019, two Fund IX entities with assets in the STACK, Travis Peak Resources and Excalibur Resources, were combined with Paloma IV, whereby Fund IX received a total \$107 million of Paloma IV equity. EnCap viewed these consolidations as critical steps to high-grade management and operations, while increasing scale. Paloma IV had mixed operational results between 2017 and 2019 due to a combination of parent/child issues (now well understood in the STACK) and depressed gas and NGL prices. Since then, the company has shifted to full-unit development using significantly wider spacing and has realized markedly improved well results yielding strong economics. The company currently holds approximately 59,000 core net acres and is actively acquiring core inventory at attractive values.
- Paloma V was formed in May 2020 to capitalize on distressed upstream opportunities. Unable to bridge bid/ask gaps in the market, the team pivoted to pursue the aggregation of renewable royalties. Over its short lifespan as a re-branded Paloma Solar & Wind, the company built an attractive portfolio but was unable to execute the strategy at sufficient scale with new competition. The Board elected to divest the entity to QIC for \$47 million, which is expected to generate \$45 million in proceeds on \$42 million invested for Fund XI.
- In December 2021, PNG closed its take-private transaction of Goodrich Petroleum Corporation (NYSE American: GDP) for \$527 million including debt. As a small public entity with limited public float, GDP was too capital-constrained to efficiently develop its core Haynesville inventory. PNG took advantage to capture a compelling Haynesville platform at an attractive valuation. As part of this effort, PNG retained a significant portion of the Indigo Natural Resources operations team. After closing, PNG shifted to full-unit development to efficiently operate, to minimize parent/child impacts, and to optimize well economics. PNG accelerated activity levels throughout 2022 in response to strong gas prices and expects to continue to execute on its growth plans while opportunistically adding inventory.

PennEnergy
(Unrealized Fund VIII Investment)

Company Description:

PennEnergy Resources (“**PennEnergy**”) is a privately held, Pittsburgh-based independent oil and gas company focused on the Marcellus Shale. The company is led by Rich Weber (CEO) and Greg Muse (COO). Mr. Weber was formerly President and COO of Atlas Energy (NASDAQ: ATLS), where he served from 2006 until the company’s \$4.3 billion sale to Chevron in early 2011. Prior to Atlas, Mr. Weber was with various venture capital and investment banking firms, and most notably, he served as head of the Energy Investment Banking Group at McDonald & Company. Mr. Muse was formerly the Senior VP of Operations at Atlas (after a 28-year career at Marathon Oil), where he oversaw a 300-person team focused on drilling horizontal wells in the Marcellus Shale.

Transaction Summary:

PennEnergy was formed in September 2011 with a \$300 million total equity commitment comprised of \$298 million from Fund VIII and \$2 million from management. During Q4 2011, Fund VIII Co-Invest assumed \$80 million of Fund VIII’s initial commitment amount, which reduced Fund VIII’s commitment to \$218 million. Since 2011, the total commitment has been expanded to \$830 million, which is comprised of \$584 million from Fund VIII, \$185 million from Fund VIII Co-Invest, \$56 million from a third party, and \$5 million from management. The investment is structured in the form of common equity, with the EnCap entities receiving a proportionate share of distributions until an 8% IRR is achieved. Thereafter, distributions are allocated on a graduated basis as certain ROI and IRR targets are met.

Investment Rationale:

- Exposure to a seasoned management team with a track record of value creation
- Management has extensive knowledge of the Marcellus Shale, having successfully implemented a large-scale development program targeting the play while at Atlas
- EnCap controls the Board and will approve all major decisions

Investment Performance:

- Since formation, PennEnergy has amassed approximately 180,000 net acres located in the Southwest Pennsylvania Marcellus play through a series of acquisitions and leasing. PennEnergy acquired Rex Energy out of bankruptcy in 2018, which added approximately 88,000 net acres directly offset the company’s position.
- PennEnergy is currently producing approximately 550 MMcfe/d of gas from about 400 operated wells. As of September 30, 2022, PDP PV10 of the asset is >\$2.5 billion, and the company has over 900 estimated drilling locations remaining. PennEnergy is currently capitalized with about \$800 million of equity invested and \$300 million of debt with leverage under 1.0x.
- PennEnergy is currently running a one rig program and expects to maintain or slightly grow production. Additionally, the company recently commenced an operating distribution program, which returned \$90 million (approximately \$66 million net to Fund VIII) through September 30, 2022 year-to-date. Based on the company’s distribution forecast at current strip prices, EnCap expects to achieve cumulative distributions in excess of \$584 million invested for Fund VIII by 2024. EnCap is constantly monitoring the markets for an ultimate exit opportunity.
- In Q2 2022, PennEnergy entered into an agreement with Williams to deliver responsibly sourced natural gas. The agreement includes an independent, third-party certification process that verifies best

practices are being followed to minimize emissions and produce natural gas in the most environmentally responsible manner.

Piedra
(Fully Realized Fund VII Investment)
Piedra III
(Unrealized Fund IX Investment)

Piedra II
(Fully Realized Fund VII Investment)
Piedra IV
(Unrealized Fund XI Investment)

Company Description:

Piedra Energy III (“**Piedra III**”) and Piedra Energy IV (“**Piedra IV**”) are privately held, Midland-based oil and gas companies led by Chip Smith, Robert Beecherl, Sam Beaufait, and Chris Ryden. Mr. Smith and Mr. Beecherl led two highly successful EnCap portfolio companies (Piedra I and Piedra II) and continue to demonstrate the ability to generate and capture attractive opportunities throughout the Permian Basin. In subsequent entities, Mr. Smith and Mr. Beecherl supplemented their team with Mr. Beaufait and Mr. Ryden, two seasoned industry professionals with strong track records of value creation. Piedra III and Piedra IV employ a dual-track Permian-focused strategy of acquiring minerals and exploration and development of lower risk resource plays.

Piedra III & Piedra IV Transaction Summary:

Piedra III was formed in May 2014 and has a \$340 million total commitment including \$328 million from Fund IX and \$12 million from management. The investment is structured in the form of common equity with Fund IX receiving its pro rata percentage of distributed cash until an 8% IRR is achieved. Thereafter, distributions are allocated on a graduated basis until higher ROI and IRR targets are met.

Piedra IV was formed in August 2018 and has a \$252 million total commitment including \$240 million from Fund XI and \$12 million from management. The investment is structured in the form of common equity with Fund XI receiving its pro rata percentage of distributed cash until an 8% IRR is achieved. Thereafter, distributions are allocated on a graduated basis until higher ROI and IRR targets are met. EnCap holds a majority position on the Board of Managers of Piedra III and Piedra IV.

Investment Rationale:

- Seasoned management team that has demonstrated its ability to create value, generating \$249 million in total distributions on \$88 million of EnCap equity in two entities
- Management has an excellent reputation and extensive industry contacts
- Management is like-minded as it relates to business strategy, risk management, and efficiency of capital deployment
- EnCap controls the Board and will approve all major decisions

Investment Performance:

- The team initially partnered with EnCap Fund VII in November 2007 and subsequently sold Wolfberry assets to Berry Petroleum for approximately \$123 million, providing Fund VII with \$110 million in proceeds on \$45 million invested.
- The team was subsequently re-backed by Fund VII in July 2011 to pursue vertical Wolfberry assets in Martin County, Texas. Piedra II ultimately sold 7,668 net acres to Athlon for \$170 million, generating \$139 million in proceeds for Fund VII on \$43 million invested.
- Piedra III has invested significantly all of its total equity commitment to (i) acquire a sizable mineral portfolio primarily in the Midland and Delaware Basins under proven operators, (ii) aggregate an approximately 12,500 net acre leasehold position in Andrews County, Texas, and (iii) drill and complete 32 gross horizontal wells. Due to continued deal flow, EnCap and management formed Piedra IV to continue to capitalize on the team’s strategy.

- Piedra IV has amassed approximately 8,500 net royalty acres primarily in the core of the Midland Basin and has accumulated approximately 2,900 net leasehold acres in Andrews County, Texas. In the near-term, the company plans to initiate development efforts, running a two-rig program. Additionally, management plans to continue evaluating mineral opportunities and expects cash flow to grow organically over the next twelve months.

Verdun
(Unrealized Fund X Investment)

Verdun II
(Unrealized Fund XI Investment)

Company Description:

Verdun Oil Company (“**Verdun I**”) & Verdun Oil Company II (“**Verdun II**”) are privately held, Houston-based independent upstream companies led by Tim Nein (CEO), Danny Savitz (CFO), Jason LaGrega (COO), Will Rider (EVP Land & BD), and Martin Perez (EVP-Engineering). Since inception, the team has been further bolstered by individuals with impressive technical and operational backgrounds.

Verdun I & Verdun II Transaction Summary:

Verdun I was formed in December 2015 and currently has a commitment of \$216 million from Fund X and \$2.5 million from management. The investment is structured in the form of common equity, with Fund X receiving 99% of distributed cash until an 8% IRR is earned. Thereafter, distributions will be allocated on a graduated basis as certain ROI and IRR targets are met.

Verdun II was formed in July 2021 with a \$400 million total commitment including \$392 million from Fund XI and \$8 million from management. All capital contributions to the company will be made on a pro rata basis. The investment is structured in the form of common equity. EnCap holds a majority position on the Board of Managers for both Verdun entities.

Investment Rationale:

- Verdun team has strong technical knowledge and a history of operational excellence in the Eagle Ford
- Highly regarded team with an excellent track record and ability to be long-term partners with EnCap
- EnCap controls the Board and will approve all major decisions

Investment Performance:

- Verdun I has invested \$207 million of equity and \$235 million of debt to build an Eagle Ford Basin focused company that today consists of about \$920 million of PDP PV10 and over 175 locations that represent compelling development opportunities. The company is currently producing about 31,500 Boe/d (approximately 58% oil and 77% liquids) and generated just under \$400 million of EBITDA in 2021. As of September 30, 2022, Verdun I has distributed \$430 million net to Fund X on \$207 million of invested capital. The company plans to continue to run a development program to maintain its base production while also continuing its distribution program.
- After a lengthy transaction process, Verdun II closed on the acquisition of EP Energy’s Eagle Ford assets in March 2022. This asset encompasses 110,000 net acres and approximately 25 Mboe/d (65% oil) of current production. When evaluating the property in mid-2021, management underwrote 80 gross greenfield development locations that they believed represented compelling development opportunities at the time, with 64 additional gross refrac candidates as potential upside. An incremental about 75 lower return greenfield locations exist that were not included in the acquisition underwriting. The team also viewed other value creation opportunities in operational efficiencies and reducing lease operating expenses.
- Commodity prices have increased significantly since underwriting the transaction, leading to a notable PDP value uplift and a greater number of economic development locations. Management has begun applying completion techniques that have been successfully utilized at Verdun I, and early time results from newly completed wells exceed historical results and legacy type curves.

XCL
(Unrealized XI Investment)

Company Description:

XCL Resources (“XCL”) is a privately held, Houston-based independent oil and gas company focused on the acquisition and development of liquids-rich basins the United States. XCL is led by Gray Lisenby (CEO), Blake McKenna (President & COO), and Eric Matus (CTO). Prior to XCL, Mr. Lisenby was SVP & CFO of Rice Energy and Rice Midstream Partners, where he was integral in the companies’ rapid growth from a start-up entity until they were sold to EQT for approximately \$10 billion in 2017. Messrs. McKenna and Matus were previously Senior Engineers together at Vitesse Energy and both started their careers at EOG covering multiple disciplines. XCL’s goal is to use a data-driven approach to excel at capturing development-ready assets and executing as an efficient and effective operator.

Transaction Summary:

XCL was formed in July 2018 with a \$420.4 million total commitment including \$394.0 million from Fund XI, \$20.0 million from Rice Investment Group, \$1.1 million from other investors, and \$5.1 million from management. In December 2019, XCL’s commitment was expanded by \$200.0 million (\$191.2 million net to Fund XI) to \$620.2 million (\$585.2 million net to Fund XI). The investment is structured in the form of common equity, with Fund XI receiving a proportionate share of distributions until a threshold above payout is achieved. Thereafter, distributions are allocated on a graduated basis after certain ROI and IRR targets are met.

Investment Rationale:

- Exposure to an impressive and highly motivated management team that has complementary skillsets and expertise to execute on its data-driven, acquire & develop strategy in several different basins
- Management has the ability to attract top industry talent and be long-term partners with EnCap
- Similar mindset with regards to strategy, risk management, and capital allocation
- EnCap controls the Board and will approve all major decisions

Investment Performance:

- Following its inception, XCL evaluated multiple basins for high quality development opportunities. The company entered the Bakken in Q1 2019 through a series of small acquisitions, ultimately capturing about 2,500 net acres (100% HBP) in an attractive area at a low cost basis. Due to a wide bid/ask spread between the company and offset operators, XCL was unable to build adequate scale and shifted its focus to other potential opportunities. The company still controls this asset and is evaluating options to maximize the value of these properties.
- In December 2019, XCL closed on the acquisition of approximately 44,500 net acres in the Uinta Basin with about 9.2 Mboe/d of production for \$625 million from a private operator. The acreage position was largely operated, highly contiguous, and configured for all two-mile DSUs, while also having relatively low royalty burdens (approximately 80% NRI). The company was attracted to the overpressured, multi-stacked, and oil-driven pay of this asset, which was delineated by 24 producing, horizontal wellbores across various formations by the prior operator. Management’s objective was to create value by developing its highly economic inventory in the most cost-efficient manner to convert inventory into cash flow.
- After closing its Uinta acquisition, XCL embarked on methodically staging capital while testing a combination of different zones, well spacing, and completion designs before shifting to full cube development. Its development plans were delayed by the COVID-19 pandemic and resulting

commodity downturn, but the company completed its first five-well spacing test in late 2020, its first nine-well spacing test in late 2021, and its first 23-well cube development on two adjacent units in the fall of 2022. Results to date have been highly encouraging, and the company intends to continue full field development to optimize well returns while building a strong cash flowing business.

IX SUMMARY OF PRINCIPAL TERMS

The following is a summary of certain significant provisions of the Partnership Agreement (as defined below) and other related agreements governing the Partnership (as defined below). This summary is not intended to be complete and is qualified in its entirety by, and should be read in conjunction with, the Partnership Agreement and the subscription agreement of the Partnership. These documents are available upon request and should be reviewed carefully before making any investment decision. To the extent that the terms set forth below are inconsistent with or contrary to those contained in the Partnership Agreement, the Partnership Agreement shall control.

The Partnership: This Memorandum relates to the offering of limited partner interests (“**Interests**”) in EnCap Energy Capital Fund XII, L.P., a Delaware limited partnership (the “**Partnership**”).

The limited partnership agreement the Partnership is referred to as the “**Partnership Agreement**.”

The General Partner and the Manager: EnCap Equity Fund XII GP, L.P., a Delaware limited partnership (the “**General Partner**”), will be the sole general partner of the Partnership.

EnCap Equity Fund XII GP LLC, a Delaware limited liability company, will be the sole general partner of the General Partner.

EnCap Investments L.P., a Delaware limited partnership (the “**Manager**” and together with its affiliates “**EnCap**”) will manage the Partnership pursuant to a management agreement with the General Partner and the Partnership.

Jason M. DeLorenzo and Douglas E. Swanson, Jr. (the “**Key Persons**”) are managing partners and principal owners of EnCap.

Kyle M. Kafka, Brad A. Thielemann, and Charles Bauer (the “**EnCap Partners**”) are partners of, and maintain an ownership position in, EnCap.

David B. Miller, Gary R. Petersen, D. Martin Phillips, and Robert L. Zorich (the “**Senior Advisors**”) maintain an ownership position in EnCap and will continue their service to EnCap in advisory roles.

All Key Persons, EnCap Partners, and Senior Advisors are referred to as the “**Principals**.”

EnCap’s and the Manager’s offices are at 9651 Katy Freeway, Suite 600, Houston, TX 77024.

Investment Focus: The primary objective of the Partnership in pursuing its venture capital strategy will be to make privately negotiated equity and equity-related investments in independent companies whose underlying assets may include oil and gas reserves and related infrastructure (the “reserve-related” sector of the oil and gas industry) and to generate superior returns through capital appreciation over a three- to five-year period.

The companies in which the Partnership invests are referred to as “**Portfolio Companies**.” The Partnership will focus primarily on investments of between \$200 million and \$800 million with proven management teams whose principal

objective is the acquisition and/or development of oil and gas assets in North America. The Partnership also will have the ability to invest up to 15% of the Commitments in companies: (a) whose asset base is outside of North America; or (b) which are engaged in the energy industry, but outside of the reserve-related sector. The Partnership may, from time to time, participate in midstream or other energy infrastructure or energy transition investment opportunities as a co-investor with EnCap Flatrock Midstream Fund IV, EnCap Flatrock Midstream Fund V, EnCap Energy Transition Fund I, and EnCap Energy Transition Fund II (or any successor funds to the foregoing) when the capital commitment associated with such investment opportunity is substantial and in excess of what the energy infrastructure/midstream or the energy transition funds can reasonably fund on their own.

The Partnership's objective is a blended compound annual gross internal rate of return ("**IRR**") of at least 25%, a gross return on invested capital ("**ROI**") of at least 2.0x, a net IRR of at least 20%, and a net ROI of at least 1.75x.

**Capital
Commitments:**

The Partnership is seeking total capital commitments ("**Commitments**") of \$4 billion from qualified institutional investors. Investors admitted to the Partnership are referred to as "**Limited Partners**" and, together with the General Partner, as "**Partners**."

**Minimum
Commitment:**

The minimum Commitment of a Limited Partner will be \$10 million, although Commitments of lesser amounts may be accepted at the discretion of the General Partner.

**Sponsor
Commitment:**

Affiliates of the General Partner and the Manager will make a Commitment at least equal to 3% of aggregate Commitments. The Senior Advisors will separately make an additional Commitment of at least \$20 million. Such affiliates and the Senior Advisors are referred to as "**Related Limited Partners**." Related Limited Partners will not bear Management Fees or Carried Interest (each as defined below). Limited Partners other than the Related Limited Partners are referred to as "**Investor Limited Partners**."

LP Percentages:

With respect to matters requiring the vote or consent of the Investor Limited Partners, an Investor Limited Partner's "**LP Percentage**" shall be equal to such Investor Limited Partner's Commitment divided by the aggregate Commitments of all Investor Limited Partners.

Closings:

The General Partner intends to hold an initial closing (the "**Initial Closing**") as soon as practicable. Additional closings to admit new Limited Partners may occur for a period of 18 months following the Initial Closing. The final closing is referred to as the "**Final Closing**."

Commitment Period:

The "**Commitment Period**" will end on the earlier of (a) the fifth anniversary of the date of the Final Closing or (b) such time as at least 100% of Commitments have been invested, committed or reserved (including amounts reserved for reasonably anticipated expenses of the Partnership and Management Fees). After the Commitment Period, the General Partner may draw down Commitments only to the extent necessary: (i) to cover expenses and

obligations of the Partnership, including Management Fees; (ii) for a period of 12 months following the expiration of the Commitment Period, to cover any new investments as to which, prior to the end of the Commitment Period, the Partnership has signed a letter of intent (or similar instrument) or definitive agreement; and (iii) for any follow-on investment in any Portfolio Company existing at the end of the Commitment Period or made thereafter pursuant to (ii) above (each permitted investment referred to in (ii) or (iii), an “**Existing Investment**”). If the General Partner determines that a portion of the unpaid Commitments reserved to fund an Existing Investment may not be used, the General Partner may reallocate such amount to another Existing Investment.

Term: The term of the Partnership will be 10 years commencing on the date of the Final Closing, but may be extended for up to a maximum of two consecutive one-year periods at the election of the General Partner and approval of the LPAC (as defined below) to permit orderly dissolution. Any extension after 12 years would require approval by Investor Limited Partners whose LP Percentages equal or exceed 66 ⅔%.

Drawdowns: The General Partner will draw down Commitments as needed with not less than 10 business days’ prior written notice. Drawn down Commitments are referred to as “**Capital Contributions.**”

The initial drawdown for each Limited Partner will include such Limited Partner’s proportionate share of: (a) Management Fees retroactive to the Initial Closing or the date of the first investment, as applicable; (b) organizational and other expenses attributable to the Partnership; and (c) the original cost of any Portfolio Company investment made at or prior to such drawdown. In addition, Limited Partners admitted after the Initial Closing (“**Additional Limited Partners**”) will be required to pay to the Partnership: (i) interest at the prime rate on Management Fees retroactive to the initial funding date or the date of the first investment, as applicable; (ii) interest at the rate of 8% per annum on their proportionate share of organizational and other expenses attributable to the Partnership from the date Capital Contributions were payable by the Limited Partners that made Capital Contributions prior to the admission of the Additional Limited Partner in respect of such expenses to the date of payment of such Additional Limited Partner’s first Capital Contribution; and (iii) interest at the rate of 8% per annum on their proportionate share of the original cost of any Portfolio Company investment made prior to such drawdown from the date Capital Contributions were payable by the Limited Partners that made Capital Contributions prior to the admission of the Additional Limited Partner to fund such investment to the date of payment of such Additional Limited Partner’s first Capital Contribution. Any amounts paid to the Partnership under (a) and (i) above will be paid to the Manager or prior Investor Limited Partners, as applicable. Any amounts paid to the Partnership under (ii) and (iii) above will be distributed to the Limited Partners that participated in prior closings. Any amounts paid to the Partnership under (b) and (c) above will be applied to future capital calls or distributed to the Partners that made Capital Contributions prior

to the admission of the Additional Limited Partner and increase those Partners' unpaid Commitments and decrease those Partners' Capital Contributions.

Any drawdown for an investment not consummated by the Partnership or in excess of the amount needed to consummate such investment will be returned to the Limited Partners within 90 days after the date on which such drawdown is due. Any such returned drawdown will be added to unpaid Commitments and will be subject to recall by the Partnership thereafter.

Default:

A Limited Partner that defaults on any required payment in respect of its Commitment will be subject to certain remedies specified in the Partnership Agreement, including (a) the loss of the right to participate in any vote or consent required under the Partnership Agreement, (b) a 100% reduction in such Limited Partner's unpaid Commitment, or (c) a forced sale of its interest in the Partnership.

**Diversification and
Other Investment
Limitations:**

The Partnership will not invest more than 20% (or with the prior approval of the LPAC, 25%) of aggregate Commitments in any single Portfolio Company.

The Partnership will not, without the prior approval of the LPAC, (a) invest more than 15% of aggregate Commitments outside North America and, separately, (b) invest more than 15% of aggregate Commitments outside the Investment Focus described above.

Prior to the Final Closing, for purposes of compliance with the investment restrictions set forth above and other similar limitations in the Partnership Agreement, aggregate Commitments will be deemed to be the greater of actual aggregate Commitments and \$4 billion, in each case, immediately following the relevant investment.

Borrowings:

The Partnership may incur leverage within the following limitations.

The Partnership may borrow to bridge capital calls. The maturity date of each borrowing will not be more than 90 days from the date of borrowing, unless approved by the LPAC. The aggregate amount of such borrowings outstanding at any time will not exceed \$400,000,000.

**Limited Partner
Advisory
Committee:**

The General Partner will establish an advisory committee composed of selected representatives of Limited Partners (exclusive of the Related Limited Partners) (the "LPAC") which after the Final Closing shall consist of at least five but no more than eleven individuals. The LPAC will advise the General Partner regarding conflicts of interest and such other issues or matters as the General Partner may bring before the LPAC or as may be contemplated by the Partnership Agreement.

Members of the LPAC will serve without compensation, although the Partnership will reimburse the members for all reasonable out-of-pocket expenses incurred by them in attending meetings and otherwise as a result of their service on the LPAC. Members of the LPAC will also be entitled to the

benefit of certain indemnification and exculpation provisions set forth in the Partnership Agreement.

Any action to be taken by the LPAC will be authorized by a majority of its members then holding office, exclusive of any member abstaining or recusing himself or herself from a vote on such action.

Approval by the LPAC of any conflict or potential conflicts will constitute the approval of the Partnership and the Limited Partners.

Reinvestment of Proceeds:

Any return of capital distributed or distributable to the Limited Partners during the Commitment Period, may, at the election of the General Partner, be reinvested in new or existing Portfolio Companies, provided that the aggregate amount reinvested may not exceed 50% of aggregate Commitments without the prior approval of the LPAC. If such proceeds have been distributed by the Partnership, the amounts so distributed will be added to unpaid Commitments and subject to recall by the Partnership.

Distributions:

Net proceeds attributable to the disposition of any investment in any Portfolio Company, as well as distributions of securities or other assets in kind, together with any dividends or interest income received with respect to investment in any Portfolio Company, will initially be apportioned among the Limited Partners in proportion to their participation in such investment. The amount apportioned to each Related Limited Partner will be distributed to such Related Limited Partner and the amount apportioned to each Investor Limited Partner will be distributed as follows:

- (a) first, 100% to such Investor Limited Partner until the cumulative amount distributed under this paragraph equals the aggregate Capital Contributions made by such Investor Limited Partner to date;
- (b) second, 100% to such Investor Limited Partner until such Investor Limited Partner has received a preferred return on the amount described in (a) above equal to an 8% internal rate of return, compounded annually, from their respective drawdown dates;
- (c) third, 80% to the General Partner and 20% to such Investor Limited Partner until such time as the General Partner has received distributions attributable to such Investor Limited Partner equal to 20% of the excess of (i) the cumulative amounts distributed to such Investor Limited Partner and to the General Partner attributable to such Investor Limited Partner over (ii) the Capital Contributions of such Investor Limited Partner as described in (a) above; and
- (d) fourth, 80% to such Investor Limited Partner and 20% to the General Partner.

The amounts distributed to the General Partner pursuant to (c) and (d) above are referred to as “**Carried Interest**” or “**Carried Interest Distributions**.”

All short-term interest income, other than short-term interest income received from investments in Portfolio Companies, will be distributed 100% to the Limited Partners in proportion to funded Commitments, and such amounts will not be considered in determining the Carried Interest of the General Partner.

Other than for tax, regulatory or legal reasons, the Partnership will distribute net cash proceeds from the disposition of Portfolio Company investments, together with any dividends or interest income earned from such investments, as soon as reasonably practicable after receipt by the Partnership, less such amounts as the General Partner determines necessary to meet Partnership expenses, obligations, and liabilities, and to establish appropriate reserves for such expenses, obligations, and liabilities.

The General Partner will be entitled to withhold from any distribution amounts necessary for any required tax withholdings or payments and to net distributions against, or require prompt payment in respect of, any outstanding amounts owed by any Partner.

Distributions prior to the termination of the Partnership may only take the form of cash or marketable securities. Upon termination of the Partnership, distributions may also include restricted securities or other assets of the Partnership.

Clawback:

Upon termination of the Partnership, if either (a) the General Partner has received Carried Interest Distributions in respect of any Investor Limited Partner that exceed 20% of (i) the Partnership's distributions to such Investor Limited Partner plus total Carried Interest Distributions received by the General Partner in respect of such Investor Limited Partner minus (ii) the Capital Contributions made by such Investor Limited Partner to the Partnership ("**Excess Carried Interest Distributions**"); or (b) any Investor Limited Partner has received distributions that are less than such Investor Limited Partner's Capital Contributions plus its preferred return (a "**Preferred Return Shortfall**"), then the General Partner is required to contribute to the Partnership an amount equal to the greater of the Excess Carried Interest Distributions or the Preferred Return Shortfall, but in no event in excess of the Carried Interest Distributions received by the General Partner net of taxes.

The Principals will provide several guaranties of their proportionate share of the General Partner's clawback obligation.

**Limited Partner
Giveback:**

Subject to certain limitations contained in the Partnership Agreement, the General Partner may require a Limited Partner to return distributions made to such Limited Partner by the Partnership for the purpose of meeting such Limited Partner's pro rata share of the Partnership's indemnity or other obligations, whether such obligations arise before or after the last day of the term of the Partnership or, with respect to any Limited Partner, before or after such Limited Partner's withdrawal, provided that a Limited Partner's liability to return such distributions shall not exceed the lesser of 25% of such Limited Partner's Commitment or 25% of the total distributions received by such Limited Partner.

Allocation of Income, Expenses, Gains and Losses:

The Partnership will establish and maintain a capital account for each Partner (a “**Capital Account**”). Income, expenses, gains, and losses of the Partnership will generally be allocated to the Partners’ Capital Accounts in a manner consistent with the distribution of proceeds described above.

Management Fee:

The Partnership will pay the Manager an annual management fee (the “**Management Fee**”) with respect to each Investor Limited Partner at the following rate, as selected by such Investor Limited Partner in its subscription documents:

For Investor Limited Partners admitted at, or within 60 days of, the Initial Closing:

- During the Commitment Period, 1.75% of its Base Amount, and after the Commitment Period, 1.5% of its Base Amount.

OR

- During the Commitment Period, 1.4% of its Commitment, and after the Commitment Period, 1.4% of its Base Amount.

For Investor Limited Partners admitted thereafter:

- During the Commitment Period, 2% of its Base Amount, and after the Commitment Period, 1.5% of its Base Amount.

OR

- During the Commitment Period, 1.5% of its Commitment, and after the Commitment Period, 1.5% of its Base Amount.

“**Base Amount**” with respect to any Investor Limited Partner means the aggregate amount of its Capital Contributions with respect to investments that have not been sold, as reduced by any permanent write-downs or write-offs.

The Management Fee will be payable quarterly in advance and will be reduced by certain fees earned by the Manager as discussed in “Director’s Fees” below.

The Management Fee will commence as of the date of the Initial Closing or the date of the first investment, as applicable, regardless of when an Investor Limited Partner is actually admitted. Investor Limited Partners participating in a subsequent closing will be assessed Management Fees retroactive to such date and will be charged interest on such amounts from such date at the prime rate. Any such amounts will be paid to the Manager or prior Investor Limited Partners, as applicable.

Transaction and Break-Up Fees:

The Manager will not charge transaction, break-up, or other similar fees to Portfolio Companies in connection with Portfolio Company investments.

Director’s Fees:

Any director’s or other similar fees (whether in cash or equity) paid by a Portfolio Company to any employee of the Manager will be transferred by the applicable individual, net of taxes, to the Manager and credited against Management Fees.

**Key Person and
Other Events:**

If one Key Person ceases to be involved in the day to day operations of EnCap, the remaining Key Person shall appoint one or more successor Key Persons among the partners of EnCap at such time. If the remaining Key Person fails to make such appointment within 180 days, or if both Key Persons cease to be involved in the day to day operations of EnCap, the Partnership's ability to make new investments during the Commitment Period will be limited (a "**Suspension Event**"), although these limitations may be removed upon the affirmative vote of a majority in interest of the Investor Limited Partners. If as a result of any such appointment there are more than two Key Persons, a Suspension Event shall only occur if there are not at least two Key Persons involved in the day to day operations of EnCap.

In addition, upon the occurrence of certain other events specified in the Partnership Agreement, including (a) a "cause" event (as defined in the Partnership Agreement) or (b) the vote of those Investor Limited Partners whose aggregate LP Percentages equal or exceed 75%, the Partnership's ability to make new investments during the Commitment Period will be limited, although these limitations may be removed under certain circumstances as provided in the Partnership Agreement.

**Organizational and
Offering Expenses:**

The Partnership will bear all fees, costs, and expenses associated with the formation of the Partnership and the offering and sale of limited partnership (or other) Interests therein, including all legal, accounting, printing, mailing, and courier fees and expenses, filing fees, and travel (which may include coach and first class airfare, hotel, and meal expenses) and other start-up costs and expenses up to an amount not to exceed \$4 million. Organizational expenses in excess of this amount, if any, will be borne by the Manager directly. Any fees and costs associated with any placement agent engaged by the Partnership, the General Partner, the Manager, or their affiliates in connection with the formation of the Partnership ("**Placement Fees**") will be paid or reimbursed by the Partnership, provided that such Placement Fees shall be borne by the Manager through a 100% offset against the Management Fee for Investor Limited Partners and a payment from the Manager for Related Limited Partners. For purposes of the foregoing, organizational expenses will not include any Placement Fees.

Other Expenses:

The Partnership will pay (and each Limited Partner will bear its allocable share of) all direct, out-of-pocket costs and expenses relating to the management, conduct and operation of the Partnership's business ("**Operating Expenses**"), including (a) fees, costs, and expenses associated with the preparation of the Partnership's financial statements and the reports and other information, tax returns, and Schedules K-1 and the distribution of same to the Limited Partners; (b) communication expenses, including printing and mailing and courier expenses, as well as the cost of any software or online data portal utilized in connection therewith or with reporting; (c) fees, costs, and expenses of establishing bank or custodial accounts; (d) insurance costs and expenses (including a reasonably allocable portion of premium or expenses for professional liability insurance coverage for the Partnership, including the

LPAC, the General Partner, the Manager and the managers, members and partners of the General Partner and the Manager); (e) fees, costs, and expenses incurred in connection with researching, sourcing, investigating, structuring, negotiating, acquiring, holding, restructuring, selling, disposing, or exchanging of Portfolio Companies (including fees and expenses of lawyers, accountants, consultants, brokerage or finder's fees, investment banker's fees, commitment fees, underwriting discounts or sales fees, and travel expenses (which may include hotel expenses and meal expenses) but excluding entertainment expenses, which entertainment expenses shall be borne by the General Partner or one of its affiliates and not the Partnership); (f) fees, costs, and expenses of the type described in clause (e) above incurred in connection with potential or proposed but unconsummated transactions (including fees, costs, and expenses that would have been allocable to co-investors had such proposed transaction been consummated, if the amount allocable to such co-investors is not paid by such parties); (g) fees, costs, and expenses of depository, custodial, trustee, paying agent, record-keeping, and administrative services (including those incurred in connection with the preparation and circulation of call notices and distribution notices); (h) legal, audit, and other expenses incurred in connection with the registration of the offer and sale of securities owned by the Partnership under the Securities Act, and any applicable state or foreign securities laws, and the filing of any statement, form, or report by the Partnership in connection with its status as a venture capital fund or other private fund under the Investment Advisers Act of 1940, as amended; (i) the costs and other amounts attributable to the Partnership's indemnification obligations; (j) the costs and expenses attributable to the LPAC and the conduct of its meetings or attributable to the annual meetings of the Partners; (k) any taxes, fees, or other governmental charges imposed on or assessed against the Partnership other than Investor-Related Taxes (as defined in the Partnership Agreement) withheld from distributions made to or paid by a Partner pursuant to the relevant Partnership Agreement; (l) fees and expenses incurred by any Partnership Representative (as defined below) or in connection with any tax filing, audit, investigation, settlement, or review of the Partnership; (m) fees, costs, and expenses in connection with legal or regulatory compliance (including tax compliance and reporting with U.S. federal, state, local, non-U.S., or other laws and regulations) relating to the Partnership's activities; (n) fees, costs, and expenses relating to a defaulting Partner; (o) fees, costs, and expenses incurred in connection with the purchase, sale, assignment, pledge, or transfer of a Limited Partner's interest in the Partnership or the withdrawal of a Limited Partner (except to the extent allocable to or payable by, and actually borne and paid by, the applicable purchaser or Limited Partner, assignee, pledgee, or transferee, as applicable); (p) fees, costs and expenses incurred in connection with winding up and liquidating the Partnership or any investment vehicle formed by or for the benefit of the Partnership, including the costs and expenses of preserving and maintaining documents or other records required to be retained for tax or other legal or regulatory reasons; (q) fees, costs, and expenses incurred in connection with winding up and liquidating a Portfolio Company and subsidiaries or other affiliates thereof, including the costs and expenses of preserving and

maintaining documents or other records required to be retained for tax or other legal or regulatory reasons; (r) fees, costs, and expenses incurred in connection with administering or complying with any Side Letter (as defined below); (s) fees, costs, and expenses incurred in connection with the collection of any amounts due to the Partnership from any person; (t) fees, costs, and expenses incurred in connection with any restructuring or amendments to the constituent documents of the Partnership and related entities; (u) fees, costs, and expenses relating to anti-money laundering or “know your customer” compliance, tax diligence expenses, or related matters; (v) expenses incurred in connection with any subscription facility; and (w) other extraordinary, nonrecurring expenses, including the costs and expenses of prosecuting or defending a litigation claim.

For purposes of clarity, Operating Expenses shall not include any of the following costs and expenses of the Manager or any of its affiliates (which costs and expenses shall be borne by the Manager or such affiliates for its or their own accounts): (i) the salaries, wages, and employee benefits of all officers, directors, and employees of the General Partner or an affiliate thereof, (ii) office rent, utility charges, and equipment and furniture costs and expenses, (iii) any other general, administrative, and overhead expense, and (iv) any expenses associated with registering or reporting as an investment adviser by the Manager or EnCap under the Investment Advisers Act of 1940, as amended, or any similar law.

**Warehoused
Investments:**

In certain instances, including with respect to Double Eagle, as further described in Section VIII – “Selected Transaction Summaries”, EnCap Energy Capital Fund XI, L.P., a Delaware limited partnership (“**Fund XI**”), may commit capital to a prospective Portfolio Company in an amount equal to its contemplated commitment plus the contemplated commitment of the Partnership; in such event, promptly after the initial closing of the Partnership, Fund XI will assign that portion of its interest in such Portfolio Company attributable to the Partnership’s contemplated commitment and the Partnership will reimburse Fund XI for any capital actually contributed to such Portfolio Company by Fund XI and any related fees and expenses incurred by Fund XI, in each case attributable to such assigned interest, plus interest on such amount from the date of such contribution through the date of assignment at a rate of 8% per annum.

Exclusivity:

During the Commitment Period, neither the General Partner nor any of its affiliates will invest outside of the Partnership in any investments that fall within the Partnership’s investment focus, except for (a) any investments, securities, or other assets currently held by an existing fund and any follow-on investments thereto; (b) any investments, securities, or other assets made or acquired by an existing or future fund; (c) any investments, securities, or other assets received in exchange for, as a result of a merger, consolidation, or similar transaction involving, or as distributions from partnerships or other entities holding investments, securities or other assets referred to in (a) and (b) above; (d) any personal investments made by the Principals and other affiliates of the General Partner (i) in publicly traded securities or (ii) in passive investments not to

exceed \$2.5 million per investment; or (e) any investments approved by the LPAC.

Successor Fund:

Unless consented to by Investor Limited Partners whose LP Percentages equal or exceed 66 $\frac{2}{3}$ %, the General Partner, the Manager, EnCap, and their respective affiliates will not form or acquire a new investment fund for the same or substantially similar purpose to that contemplated hereunder and cause such fund to commence investment activities (a “**Successor Fund**”) until the earlier of (a) the fifth anniversary of the date of the Final Closing or (b) such time as at least 75% of Commitments have been invested, committed or reserved (including amounts reserved for reasonably anticipated expenses of the Partnership and Management Fees).

For all purposes hereof, a Successor Fund will not be deemed to include any successor fund to EnCap Energy Transition Fund II, L.P., EnCap Flatrock Midstream Fund IV, L.P., any other fund hereafter established by EnCap whose investment objective is substantially dissimilar to that of the Partnership, or any co-investment fund or continuation fund established by EnCap.

**Feeder Funds and
Parallel
Partnerships:**

In order to facilitate investment by tax-exempt, non-U.S., and certain other investors, the General Partner may create one or more feeder entities or parallel investment entities, the structure of which may differ from that of the Partnership, but which will generally invest proportionately in all Partnership transactions.

See Section XI – “Legal & Tax Matters – United States Federal Income Tax Considerations – Structure and Tax Considerations of the UBTI/CAI Feeder Fund” and Section XI – “Legal & Tax Matters – United States Federal Income Tax Considerations – Structure and Tax Considerations of the ECI Feeder Fund” for further discussion regarding such feeder structures.

**Alternative
Investment Vehicles:**

If the General Partner determines that for legal, tax, or regulatory reasons it is in the best interests of the Partnership or some or all of the Limited Partners that some or all of the Limited Partners participate in a Portfolio Company through an alternative investment structure, the General Partner may (a) structure the investment in such Portfolio Company outside of the Partnership by requiring each such Limited Partner to make such investment through a limited partnership or other vehicles and entities that are appropriate under the circumstances (each, an “**Alternative Investment Vehicle**”) and (b) in the case of a Portfolio Company already owned by the Partnership (or portion thereof), transfer all or a portion of such Portfolio Company to an Alternative Investment Vehicle. If the General Partner utilizes an Alternative Investment Vehicle, each Limited Partner that is to participate in such Portfolio Company through such Alternative Investment Vehicle shall be admitted as a partner, member, or other equity holder of such Alternative Investment Vehicle and shall make Capital Contributions directly to the Alternative Investment Vehicle to the same extent, for the same purposes and on the same terms and conditions as such Limited Partner is required to make Capital Contributions to the Partnership, and such Capital Contributions shall reduce the unpaid Commitment of such Limited

Partner to the same extent as if Capital Contributions were made to the Partnership with respect thereto. To the maximum extent practicable, subject to variation for tax implications arising based on individual circumstances of Limited Partners, each Limited Partner that participates in a Portfolio Company through an Alternative Investment Vehicle shall have the same economic interest in all material respects in such Portfolio Company as such Limited Partner would have had if the Partnership were the sole investor in such Portfolio Company, and the provisions of the Partnership Agreement regarding distributions, allocations of net profit and net loss, and the clawback shall be applied as if the Partnership were the sole investor in such Portfolio Company. The respective interests of the Partnership and any Alternative Investment Vehicle in any Portfolio Company (and their respective shares of any investment expenses or indemnification obligations) shall generally be in proportion to the capital committed by each to such Portfolio Company. Any Alternative Investment Vehicle shall bear all costs and expenses relating to its formation, operation, and liquidation.

Additional Co-Investment Opportunities and Criteria:

The General Partner in its sole discretion may, but shall not be obligated to, offer co-investment opportunities to any or all of the Limited Partners or their designated affiliates on terms identical or substantially similar to, and no more favorable than (in any material respect), those offered to the Partnership. Any co-investment opportunity may, if the General Partner so requires, be made through one or more investment vehicles controlled and managed by the General Partner or its affiliate (and, for purposes of clarity, any such investment vehicle shall not be considered an Alternative Investment Vehicle for purposes hereof).

Reports to Limited Partners:

The Partnership will furnish audited financial statements annually to all Limited Partners. On a quarterly basis, each Limited Partner will be furnished with unaudited financial statements of the Partnership. Limited Partners also will receive descriptive investment information for each of the Portfolio Companies on both an annual and quarterly basis.

Limited Partner Meetings:

The Partnership will hold annual meetings at which it will offer the Limited Partners the opportunity to review and discuss the Partnership's investment activities.

Tax Considerations:

The Partnership will be treated as a partnership for federal income tax purposes, and each Partner will be taxable on its share of Partnership income, regardless of the amount of distributions to the Partners. However, tax-exempt Limited Partners will not be subject to tax on their share of Partnership income, except to the extent such income constitutes "unrelated business taxable income" ("UBTI"). In view of past experience and reasonably anticipated Fund XII activities and investment structures, it is expected that a majority of the Fund XII investments will generate income that, if allocable to a tax-exempt Limited Partner, will be UBTI, although it is also expected that upon an exit from these investments a substantial portion of any gains will qualify for an exemption from UBTI treatment. Accordingly, for those tax-exempt Limited Partners that want to avoid UBTI in its entirety, EnCap expects to offer to potential tax-exempt investors the opportunity to invest in a separate partnership that will utilize one

or more “blocker” corporations to shield the tax-exempt investors from UBTI, although any corporation itself will be taxable. The Partnership also will make investments that will result in effectively connected income (“ECI”) by non-U.S. Limited Partners and commercial activity income (“CAI”) by Sovereign Wealth Funds. EnCap expects to offer non-U.S. investors, including Sovereign Wealth Funds, the opportunity to invest in separate partnerships that may act as “feeders” to the Partnership. For non-U.S. Limited Partners that want to avoid ECI or CAI or that cannot take advantage of a U.S. tax treaty, one of these separate partnerships will utilize one or more “blocker” corporations to shield the non-U.S. investors from ECI or CAI.

Tax-exempt and non-U.S. investors should note that any Blocker Corporation formed will generally be subject to U.S. federal and applicable state and local income tax.

See Section XI – “Legal & Tax Matters – United States Federal Income Tax Considerations – Structure and Tax Considerations of the UBTI/CAI Feeder Fund” and Section XI – “Legal & Tax Matters – United States Federal Income Tax Considerations – Structure and Tax Considerations of the ECI Feeder Fund” for further discussion regarding such feeder structures. The taxation of partners and partnerships is extremely complex. Prospective investors should consult their own tax advisors with specific reference to their own situation as it relates to an investment in the Partnership.

FATCA:

In order to comply with any applicable certification, documentation, information or other reporting requirements, including Sections 1471 through 1474 of the Internal Revenue Code of 1986, as amended and the Treasury Regulations and administrative guidance issued thereunder (referred to as “**FATCA**”), to avoid the imposition of a 30% U.S. withholding tax on distributions by the Partnership or on the distributive share of income, Limited Partners may be required to provide the Partnership or withholding agents with information concerning their nationality, residence, identity, or beneficial owners. In addition, if a Limited Partner receives such distributions through a foreign financial institution, the distributions may also be subject to the tax if the foreign financial institution does not comply with FATCA requirements.

ERISA:

Investors subject to the Employee Retirement Income Security Act of 1974, as amended (“**ERISA**”), should consult their own advisor as to the effect of ERISA on an investment in the Partnership. The General Partner will use its reasonable best efforts to conduct the affairs and operations of the Partnership in such a manner that the Partnership’s assets will not be treated as plan assets of any “benefit plan investor” under ERISA (as defined therein).

BHCA:

For any determination to be made based upon a specified proportion or percentage of Commitments or Capital Contributions or any other required vote, that portion of the Commitments or Capital Contributions of any investor subject to the U.S. Bank Holding Company Act of 1956, as amended, and the rules and regulations promulgated thereunder BHCA which exceeds 4.99% of the total Commitments or Capital Contributions shall be disregarded. For purposes of

any such determination, the portion of the Commitments or Capital Contributions exceeding 4.99% of the total Commitments or Capital Contributions shall be excluded from both the numerator and the denominator in calculating such proportion or percentage.

Investor Suitability: Interests may be purchased only by certain eligible investors who are “qualified purchasers” for purposes of Section 3(c)(7) of the Investment Company Act of 1940, as amended, and “accredited investors” as defined in Regulation D under the Securities Act of 1933, as amended. In addition, the Interests described herein are not being registered under the Securities Act of 1933, as amended, and must be acquired for investment purposes only and not with a view to the distribution thereof.

Transfers and Withdrawals: Interests will not be assignable or transferable without the prior written consent of the General Partner, which the General Partner may grant or withhold in its sole discretion. Any such assignment or transfer will be subject to the further terms and conditions specified in the Partnership Agreement and will be effected at the expense of the transferor Limited Partner. Further, a Limited Partner may not withdraw any amount from the Partnership, except that a Limited Partner subject to ERISA will be permitted to withdraw from the Partnership, and to receive a distribution in connection therewith, in order to avoid a violation of, or other breach of a fiduciary duty under, ERISA.

Excuse and Exclusion: A Limited Partner will not be required to contribute capital toward a Portfolio Company if participating in such Portfolio Company would have a material adverse effect on such Limited Partner. A Limited Partner may be excluded from contributing capital toward a Portfolio Company if the General Partner elects to exclude such Limited Partner based on a determination that such Limited Partner’s participation in such Portfolio Company would have a material adverse effect on the Partnership, including a material tax, regulatory or other burden on the Partnership or any other Partner.

Indemnification: As more fully described in the Partnership Agreement, the Partnership will indemnify the General Partner, the Manager, and their agents, affiliates, and personnel against claims, liabilities, costs, and expenses, including legal fees, incurred by them by reason of their activities on behalf of the Partnership or the Partners.

Confidentiality: Subject to the exceptions set forth in the Partnership Agreement, Limited Partners will be required to keep confidential all information relating to the Partnership and its affairs.

Amendments: The General Partner may effect amendments to the Partnership Agreement by the affirmative vote or written consent those Investor Limited Partners whose aggregate LP Percentages equal or exceed 66 $\frac{2}{3}$ %; provided, that:

- (a) the General Partner may effect any amendment that is (i) of an inconsequential nature, (ii) necessary to comply with applicable law or regulation, (iii) necessary in the opinion of counsel to the Partnership to ensure that the Partnership will not be treated as an association taxable as

- a corporation for U.S. federal income tax purposes, or (iv) required or contemplated by the Partnership Agreement, without the consent of any Limited Partner, except that any such amendment that would adversely affect any Limited Partner may only be made with the approval of such adversely affected Limited Partner;
- (b) the General Partner may effect any amendment to comply with or administer in an equitable manner the provisions of the Bipartisan Budget Act (as defined in the Partnership Agreement) and any Treasury Regulations or administrative pronouncements promulgated thereunder without the consent of any Limited Partner;
 - (c) the General Partner may effect any amendment (i) to the extent the taxation of the right to receive Carried Interest Distributions is adversely affected by any change in law or (ii) to comply with or administer the provisions of Section 1061 and any Treasury Regulations or other administrative pronouncements promulgated thereunder, in each case, as determined by the General Partner, in its sole discretion, without the consent of any Limited Partner, provided that such amendment does not adversely affect the interest of any Limited Partner;
 - (d) the General Partner may effect any amendment in connection with a subsequent closing that is not adverse to the Limited Partners without the consent of any Limited Partner unless 20% of the Limited Partners object to such amendment;
 - (e) the General Partner may not effect any amendment which amends or modifies in any material respect (i) the Partnership's business purpose provision, (ii) the definition of Management Fees, (iii) the definition of Operating Expenses, (iv) the definition of Commitment Period, (v) the General Partner's standard of care provisions, (vi) the indemnification provisions, (vii) the LPAC provisions, or (viii) the clawback provisions, without the consent of those Investor Limited Partners whose aggregate LP Percentages equal or exceed 75%;
 - (f) the General Partner may not effect any amendment which increases the obligation of a Limited Partner to make Capital Contributions to the Partnership, reduces any Limited Partner's share of distributions, increases a Limited Partner's share of losses or increases the Management Fee payable by such Limited Partner without the written approval of such Limited Partner; and
 - (g) the General Partner may not effect any amendment to any provision of the Partnership Agreement which establishes a percentage of Limited Partner required to take an action in such a way to reduce such voting percentage without the written consent of those Investor Limited Partners whose aggregate LP Percentages constitute not less than the Investor Limited Partner voting requirements sought to be reduced.

- Side Letters:** The General Partner may enter into written agreements with one or more Limited Partners affecting the terms described herein (each, a “**Side Letter**”) without offering such terms to any other Limited Partner; provided that, in the event a Side Letter grants terms more favorable regarding the Management Fees or Carried Interest to a Limited Partner, the General Partner shall offer such terms to all Limited Partners with an equal or greater Commitment.
- Independent Legal Counsel:** Vinson & Elkins L.L.P. has been retained by the General Partner as legal counsel in connection with the organization of the Partnership. Vinson & Elkins L.L.P. also acts as counsel to EnCap and certain of its affiliates in connection with other matters. In connection with the offering of Interests in the Partnership and subsequent advice to the Partnership, the General Partner, EnCap and their affiliates, and Vinson & Elkins L.L.P. will not be representing the Limited Partners. No independent counsel has been retained to represent the Limited Partners.
- Accountants:** PricewaterhouseCoopers.
- Risk Factors:** **An investment in the Partnership involves a high degree of financial risk that could result in a loss of all or a part of a Limited Partner’s Commitment and should be considered only by sophisticated investors who are able to meet the drawdown obligations detailed in the Partnership Agreement and bear the risks associated with investment for an indefinite period of time. See Section X – “Risk Factors” for a more detailed discussion of the risk factors.**

X RISK FACTORS

An investment in the Partnership entails a significant degree of risk and should be undertaken only by investors capable of evaluating the risks of the Partnership and bearing the risks it represents. Prospective investors must rely upon their own examination of and ability to understand the nature of an investment in the Partnership, including the risks associated therewith. There can be no assurance that the Partnership will be able to achieve its investment objective or that investors will receive a return of their capital. An investor in the Partnership should be able to hold an investment for an indefinite time and be financially able to bear the total loss of the investment.

In making a determination to invest in the Partnership, a prospective investor should be aware of certain considerations, which include, but are not limited to, those discussed below.

Risks Related to the Partnership Generally

Nature of Investment in General

Potential Loss of Capital; Long Term Commitment; Illiquidity

An investment in the Partnership involves a high degree of financial risk that could result in a loss of all or a part of a Limited Partner's Commitment. There can be no assurance that the Partnership's investment strategy will produce favorable returns. The Partnership's investments in Portfolio Companies will be highly illiquid. A commitment to the Partnership is a long-term investment. Although the Partnership expects to make distributions prior to its termination, there can be no assurance as to the amount or timing of any such distributions. The Partnership's contemplated exit strategies for its investments can be adversely affected by numerous factors, many of which may be unforeseen or unexpected at the time an investment is made. There can be no assurance that cash flow from investments will be available for distribution to the Limited Partners or that the Partnership will be able to avoid losses.

Limited Sources of Distributable Cash

The Partnership will have no source of funds from which to pay distributions to its Limited Partners other than income and gain resulting from the operation, management, financing, and ultimate disposition of its assets. Such distributions, if any, are likely to be realized through operating cash flow, financings, or exit strategies that may include sales, monetizations, public offering, or recapitalizations. There most likely will be little or no near-term cash flow. Consequently, dispositions of the Partnership's investments may require a lengthy time period or may result in distributions in kind to the Limited Partners. There can be no assurance that such financing or exit opportunities will be available for the Partnership on favorable terms and conditions.

Lack of Operating History; No Assurances Regarding Investment Performance

The Partnership was formed for the purpose of this offering and, therefore, has no operating history upon which prospective Limited Partners may evaluate the performance of the Partnership. The ability of the Partnership to achieve its objectives will depend, among other things, upon the skills and professional personnel of the General Partner and its affiliates. As with all performance data, the past investment performance of the Partnership's management can provide no assurance of future results. In considering historical returns, prospective investors should consider that the investment environment in which the Partnership will operate may be different from that in which the investment results of the predecessor funds were generated.

Lack of Sufficient Investment Opportunities and Diversification

The business of identifying, structuring and closing private equity transactions is highly competitive and involves a high degree of uncertainty. The Partnership will encounter competition from other entities having similar investment objectives. Potential competitors include other investment partnerships and

corporations, strategic industry acquirers, companies, governments, private equity market participants, individuals, financial institutions, and other investors, investing directly or through affiliates. Over the past decades, an ever-increasing number of private equity funds have been or are being formed, and many existing funds have grown in size. Additional funds with similar investment objectives may be formed in the future by other unrelated parties. Some of these competitors may have more relevant experience, greater financial resources and a greater willingness to take on risk than the General Partner, the Partnership, and their affiliates.

In a highly competitive environment, valuations of potential target companies may increase. The General Partner expects that competition for appropriate investment opportunities may require the Partnership to participate in competitive auctions, the outcome of which cannot be guaranteed, thus reducing the number of investment opportunities available to the Partnership or adversely affecting the terms upon which portfolio investments can be made. To the extent that the Partnership encounters competition for investments, the acquisition costs of such investments may increase, and returns to the Limited Partners may decrease. In addition, it is possible that the Partnership will never be fully invested if enough sufficiently attractive investments are not identified.

Further, the number of Portfolio Companies in which the Partnership can invest will depend in substantial part on the total amount of the Commitments ultimately raised. To the extent that the capital raised is less than the targeted amount, the Partnership may invest in fewer Portfolio Companies and thus be less diversified. As a consequence, the aggregate return of the Partnership may be affected by the performance of a single investment.

Industry and Investment Concentration

Because the Partnership's investments are concentrated within a particular industry or related group of industries, an investment in the Partnership may be subject to greater market fluctuations than an investment in a portfolio of securities representing a broader range of industries. As a result, returns from an investment in the Partnership may be subject to significantly greater risk than an investment in a portfolio of investments that represents a broad range of industries or industry sectors.

Investments Longer than Term

The Partnership may make investments that may not be disposed advantageously prior to the date that the Partnership will be dissolved, either by expiration of the Partnership's term or otherwise. Although the General Partner expects that the Partnership's investments will be disposed prior to dissolution in the ordinary course or be suitable for in-kind distribution at dissolution, the General Partner has a limited ability to extend the term of the Partnership, which requires the consent of the LPAC, and the Partnership may have to sell, distribute, or otherwise dispose its investments at a disadvantageous time as a result of dissolution.

Need for Follow-On Investments

Following its initial investment in a given Portfolio Company, the Partnership frequently expects to provide additional funds to such Portfolio Company or may have the opportunity to increase its investment in a successful Portfolio Company (whether for opportunistic reasons, to fund the needs of the business, as an equity cure under applicable debt documents or for other reasons). There is no assurance that the Partnership will make follow-on investments or that the Partnership will have sufficient funds to make all or any of such investments. Any decision by the Partnership not to make follow-on investments or its inability to make such investments could have a substantial negative effect on a Portfolio Company in need of such an investment (including an event of default under applicable debt documents in the event an equity cure cannot be made). Additionally, such failure to make such investments may result in a lost opportunity for the Partnership to increase its participation in a successful Portfolio Company or the dilution of the

Partnership's ownership in a Portfolio Company if a third party or other investor invests in such Portfolio Company. The proportion of the Partnership's participation in a follow-on opportunity may be affected by the ability of other co-investors to participate in such follow-on investment, which would change the return profile among investors.

Junior Securities

The securities in which the Partnership will invest may be among the most junior in a Portfolio Company's capital structure. A Portfolio Company may have senior indebtedness, all or a portion of which may be secured or senior to any investment made by the Partnership. As a result of the foregoing, the Partnership's investment may be subject to the greatest risk of loss of all of such Portfolio Company's securities.

Restrictions on Transfer and Withdrawal

Except in certain very limited circumstances, Limited Partners will not be permitted to transfer, sell, assign, pledge, encumber, mortgage, grant a security interest in, or otherwise dispose of their Interests without the prior written consent of the General Partner, which may be granted or withheld in its sole discretion. The General Partner reserves the right to restrict the volume of transfers permitted in any calendar year in order to comply with certain safe harbors under the treasury regulations promulgated under the Internal Revenue Code of 1986, as amended (the "Code"). There will be no public market for the Interests. Voluntary withdrawals from a Partnership will not be permitted except in very limited circumstances generally involving situations where retaining an interest in such Partnership would violate certain laws or regulations. Because of the lack of a public market for Interests in the Partnership and restrictions on transfer and withdrawal of Interests, Limited Partners should be willing to hold their Interests until the liquidation of the Partnership, without an expectation of distributions for several years.

Long-Term Capital Commitments; Default

The Partnership may draw down the Commitments of Limited Partners at any time during the term of the Partnership. Thus, there will be a substantial period of time during which Limited Partners may be obligated to provide capital without receiving any return and regardless of the performance of the Partnership. Although the General Partner believes that all Limited Partners will have the financial ability to meet their Commitments, there can be no assurance that all Commitments will be honored. If Limited Partners fail to make contributions of capital when due and the contributions made by non-defaulting Limited Partners are inadequate to cover the defaulted Capital Contributions, the Partnership may be unable to pay its obligations when due and the Partnership's ability to complete its investment program or otherwise to continue operations may be substantially impaired. A default by a substantial number of Limited Partners or by one or more Limited Partners who have made substantial Commitments likely would reduce returns to the Partnership. Further, to the extent that non-defaulting Limited Partners make additional contributions to replace any shortfall resulting from the failure of a Limited Partner to make a Capital Contribution, the diversification of such non-defaulting Limited Partners' investments could be reduced. Additionally, a default or failure of a Limited Partner to meet a capital call could have adverse consequences for the Partnership and thus for other Limited Partners. In the event that a Limited Partner fails to contribute capital when required, such Limited Partner will be subject to adverse consequences, as more fully disclosed in the Partnership Agreement.

Multiple Closings; Fluctuation in Value of Investments

The General Partner may elect to hold multiple closings in order to admit additional Limited Partners to the Partnership following the Initial Closing or to accept increased Commitments from existing Limited Partners, in each case on substantially the same terms as the initial Limited Partners' Commitments were accepted, for fifteen months following the Initial Closing. The value of the Partnership's investments during this period may fluctuate, including by significantly increasing or decreasing in value. Regardless

of any change in value of the Partnership's investments, Limited Partners admitted to the Partnership in subsequent closings will generally be required to contribute to the Partnership an amount equal to the amount such Limited Partner would have contributed to make investments and pay expenses (including the Management Fee) as if such Limited Partner's Commitment had been made on the Initial Closing, plus an interest component. As a result, Limited Partners who acquired Interests prior to the admission of later admitted Limited Partners may be diluted in respect of any appreciation of the Partnership's investments during the period prior to the later admitted Limited Partners' admission to the extent that the appreciation during such period is greater than such interest component. Although any new Limited Partner will be required to contribute its pro rata share of previously made Capital Contributions, there can be no assurance that this contribution will reflect the fair value of the Partnership's existing investments at the time of such contributions.

Substantial Fees and Expenses

The Partnership will pay Management Fees and other costs and expenses whether or not it makes a profit. While it is difficult to predict the future expenses of the Partnership, such expenses could be significant and could reduce materially the actual returns to the Limited Partners.

Reliance on the General Partner; Lack of Control by Limited Partners

The General Partner will be responsible for the overall management of the Partnership and Limited Partners will have only limited voting rights on matters affecting the Partnership's business. Limited Partners will have no opportunity to control the day-to-day operations, including investment and disposition decisions, of the Partnership and must rely entirely on the General Partner to conduct and manage the affairs of the Partnership. Limited Partners will not have the ability to select, veto, or cause the sale or other disposition of any Portfolio Companies by the Partnership or to determine the timing of any distribution by or liquidation of the Partnership. If the Limited Partners are dissatisfied with the performance of the General Partner, they will have only a limited ability to remove the General Partner as the general partner of the Partnership.

Importance of Key Personnel

The success of the Partnership depends in substantial part on the skill and expertise of its key personnel to manage the Portfolio Company investments and the rights and obligations of the Partnership. The loss of the services of any of the key personnel, including any Principal, could have a material adverse effect on the Partnership.

Portfolio Acquisitions Risks

A Portfolio Company may acquire multiple assets in a single transaction. Portfolio acquisitions via joint venture or other structures are more complex and expensive than single-project acquisitions, and the risk that a multiple-project acquisition will not close may be greater than in a single-project acquisition. An acquisition of a portfolio of projects by a Portfolio Company may result in such Portfolio Company owning projects in geographically dispersed markets that place additional demands on such Portfolio Company's ability to manage such operations. In addition, in portfolio acquisitions there may be significant disparity in the quality and profitability of assets being acquired. While the General Partner will endeavor for a given Portfolio Company to refine the scope of assets comprising its portfolio, there can be no assurance that the Partnership will be able to exclude all undesirable assets. Reduced performance or liabilities associated with such undesirable assets may adversely affect the overall performance of a Portfolio Company in a manner which may not be fully or partially offset by the performance of other assets.

Reliance on Portfolio Company Management Teams

Each Portfolio Company's day-to-day operations will be the responsibility of its management team. Although the General Partner will be responsible for monitoring the performance of each Portfolio

Company and generally intends to invest in companies operated by strong management, there can be no assurance that the existing management team, or any successor, will be able to successfully operate a Portfolio Company in accordance with the Partnership's plans and objectives. Additionally, Portfolio Companies may need to attract, retain, and develop executives and members of their management teams. The market for executive talent can be, notwithstanding general unemployment levels or developments within a particular industry, extremely competitive. There can be no assurance that Portfolio Companies will be able to attract, develop, integrate, and retain suitable members of their management teams and, as a result, the Partnership may be materially and adversely affected thereby.

Risks Relating to Due Diligence of and Conduct at Portfolio Companies

Before making investments, the General Partner will endeavor to conduct due diligence that it deems reasonable and appropriate based on the facts and circumstances applicable to each Portfolio Company. Due diligence may entail evaluation of important and complex business, financial, tax, accounting, environmental, and legal issues. However, no assurance can be given that the General Partner will have knowledge of all circumstances that may materially and adversely affect an investment. Further, the General Partner may conduct its due diligence activities in a very brief period and may assume the risks of obtaining certain consents or waivers under contractual obligations. When conducting due diligence and making an assessment regarding a Portfolio Company, the General Partner may rely on the resources available to it, including information provided by the target of the investment and, in some circumstances, third-party investigations. For example, outside consultants, legal advisors, accountants, investment banks, and other third parties may be involved in the due diligence process to varying degrees depending on the type of investment. Such involvement of third-party advisors or consultants may present a number of risks primarily relating to the General Partner's reduced control of the functions that are outsourced. The due diligence investigation that the General Partner carries out with respect to any investment opportunity may not reveal or highlight all relevant facts that may be necessary or helpful in evaluating such investment opportunity. Moreover, such an investigation may not necessarily result in the investment being successful. There can be no assurance that attempts to provide downside protection with respect to investments will achieve their desired effect and potential investors should regard an investment in the Partnership as being speculative and having a high degree of risk. There can be no assurance that the Partnership will be able to detect or prevent irregular accounting, employee misconduct, or other fraudulent practices during the due diligence phase or during its efforts to monitor the investment on an ongoing basis. In the event of fraud by any Portfolio Company or any of its affiliates, the Partnership may suffer a partial or total loss of capital invested in that Portfolio Company.

Target Returns

There can be no assurance that any target returns will be achieved. The Partnership's target returns are targets only and are not forecasts of future profits. The Partnership and its Affiliates develop target returns based on assessment of appropriate expectations for returns on Portfolio Companies and the ability of the Firm to enhance the return generated by those Portfolio Companies through active management. There can be no assurance that these assessments and expectations will be achieved and failure to achieve any or all of them may materially adversely impact the Partnership's ability to achieve any target return with respect to any or all of its investments.

In addition, the target returns are based on estimates and assumptions regarding a number of other factors, including, without limitation, the timing of cash flows, the absence of material adverse events affecting specific investments (which could include, without limitation, natural disasters, terrorism, social unrest, or civil disturbances), general and local economic and market conditions, changes in law, taxation, regulation, or governmental policies, and changes in the political approach to energy investment. Many of these factors, as well as the other risks described elsewhere in this Memorandum, are beyond the General

Partner's control and all could adversely affect the Partnership's ability to achieve its target returns. Further, even if the returns generated by individual Portfolio Companies meet target returns, there can be no assurance that the returns generated by other Portfolio Companies in which the Partnership invests would do so, and the historical performance of the assets in EnCap's prior funds should not be considered as indicative of future results with respect to any Portfolio Companies.

Reliance on Projections of Future Performance

The General Partner will review and rely on projected operating results of Portfolio Companies that are based on assumptions and financial projections for such Portfolio Companies. Some of these assumptions will be made after performing technical and economic evaluations of the subject interests and also include assumptions of general business and economic conditions. In all cases, projections are only estimates of future results that are based upon assumptions made at the time that the projections are developed. Although the General Partner will use assumptions underlying the projected operating results that it believes are reasonable, all of the assumptions on which the General Partner bases these projected operating results will be subject to significant uncertainties, and neither the General Partner nor any other person can predict with any certainty whether they will prove to be true. General economic, political, and market conditions, including commodity prices, are not predictable and can have a material adverse impact on the reliability of such projections.

Use of Leverage by Portfolio Companies

The Portfolio Companies are expected to include companies whose capital structures may have significant leverage, including in respect of companies not rated by credit agencies. Leverage generally magnifies both the Partnership's opportunity for higher returns and its risk of loss from a particular investment, and the magnification of the risk of loss has the potential to be substantial. To the extent a Portfolio Company utilizes leverage, any recession, operating problem, deterioration in the condition of the Portfolio Company, or its industry and any other general business and economic risk may have a more pronounced effect on the profitability or survival of such Portfolio Company. In using leverage, Portfolio Companies may also be subject to terms and conditions that include restrictive financial and operating covenants, which may impair their ability to finance or otherwise pursue their future operations or otherwise satisfy additional capital needs. Asset-level leverage generally will not be subject to any limitation regarding the amount of time such leverage may remain outstanding. Any failure by lenders to provide previously committed financing could also expose the Partnership to potential claims by sellers of prospective portfolio companies that the Partnership may have contracted to purchase.

The cost and availability of leverage is highly dependent on the state of the broader credit markets (which may be impacted by monetary policies to fight inflation and by regulatory restrictions and guidelines), which state is difficult to accurately forecast. As a result, at times it may be difficult for Portfolio Companies to obtain or maintain the desired degree of leverage. The availability of leverage also is subject to governmental and regulatory oversight, and certain governmental bodies (including the U.S. Federal Reserve System, the U.S. Office of the Comptroller of the Currency, and the U.S. Federal Deposit Insurance Corporation) may restrict or otherwise discourage lending that results in companies carrying large amounts of debt. If a Portfolio Company is unable to obtain favorable financing terms for its investments, refinance its indebtedness or maintain a desired or optimal level of financial leverage, the Partnership's ability to consummate certain transactions could be impaired or the Partnership may hold a larger than expected equity investment in such portfolio company and may realize lower than expected returns from such Portfolio Company, which would likely adversely affect the Partnership's ability to generate attractive investment returns for the Partnership as a whole.

Moreover, rising interest rates may significantly increase Portfolio Company interest expense, causing losses and the inability to service debt levels. Any use of leverage generally also will result in fees and other costs. If a Portfolio Company cannot generate adequate cash flow to meet debt obligations, the Partnership may suffer a partial or total loss of capital invested in such Portfolio Company, which could adversely affect the Partnership's returns. Additionally, in such a situation, lenders would typically have a claim that has priority over any claim by the Partnership to the assets of such Portfolio Company in an insolvency event or proceeding.

The Partnership is also authorized to guaranty indebtedness (such as a letter of credit or other forms of promise to provide funding) or otherwise be liable for indebtedness, and in such situations, it is not expected that the Partnership would be compensated for providing such guarantee or exposure to such liability. To the extent the Partnership provides any guaranty, such amounts are permitted to be secured by the capital commitments of the Partnership's investors and other Partnership assets. The inability of the Partnership to repay any leverage secured by the capital commitments of the Partnership's investors could enable a lender to issue a capital call directly to the Partnership's Limited Partners which would require such investors' contributions to be made directly to the lenders instead of the Partnership.

Use of Credit Facility or Subscription Line

The Partnership is authorized to borrow funds pursuant to a revolving credit facility or other debt facility, including a facility based on the aggregate Commitments available to be called. The Partnership's use of such facilities will be determined by the General Partner, and the performance of the Partnership may be impacted by how the General Partner causes the Partnership to utilize such facilities. Although the use of such a facility may increase the Partnership's ability to swiftly invest capital, it also will cause the Partnership to incur interest expense and other costs and subject Limited Partners to certain risks. For example, because amounts borrowed under a subscription line typically are secured by pledges of the General Partner's right to call capital from the Limited Partners, Limited Partners may be obligated to contribute capital on an accelerated basis if the Partnership fails to repay the amounts borrowed under a subscription line or experiences an event of default thereunder. Moreover, any Limited Partner claim against the Partnership would likely be subordinate to the Partnership's obligations to a subscription line's creditors.

Partnership-level borrowing will result in incremental expenses that will be borne by the Limited Partners. These expenses typically include interest on the amounts borrowed, unused commitment fees on the committed but unfunded portion of a subscription line, an upfront fee for establishing a subscription line, and other one-time and recurring fees and expenses, as well as legal fees relating to the establishment and negotiation of the terms of the borrowing facility. Because a subscription line's interest rate is based in part on the creditworthiness of the Limited Partners and the terms of the Partnership Agreement, it may be higher than the interest rate a Limited Partner could obtain individually. Conflicts of interest have the potential to arise in that the use of such facilities generally will delay the need for Limited Partners to make certain contributions to the Partnership, which generally would enhance the Partnership's internal rate of return calculations and thereby benefit the marketing efforts of the General Partner and its affiliates. To the extent a particular Limited Partner's cost of capital is lower than the Partnership's cost of borrowing, Partnership-level borrowing can negatively impact a Limited Partner's overall individual financial returns even if it increases the Partnership's reported net returns in certain methods of calculation. Conflicts of interest also have the potential to arise to the extent that a subscription line is used to make an investment that is later sold in part to co-investors, as to the extent co-investors are not required to act as guarantors under the relevant facility or pay related costs or expenses, co-investors nevertheless stand to receive the benefit of the use of the subscription line and neither the Partnership nor investors generally will be

compensated for providing the relevant guarantee(s) or being subject to the related costs, expenses and liabilities.

A credit agreement may contain other terms that restrict the activities of the Partnership and the Limited Partners or impose additional obligations on them. For example, a subscription line may impose restrictions on the General Partner's ability to consent to the transfer of a Limited Partner's interest in the applicable Partnership. In addition, in order to secure a subscription line, the General Partner may request certain financial information and other documentation from Limited Partners to share with lenders. The General Partner will have significant discretion in negotiating the terms of any subscription line and may agree to terms that are not the most favorable to one or more Limited Partners.

Partnership-level borrowing involves a number of additional risks. Income or gain attributed to any Partnership property that is acquired with such Partnership-level borrowing could give rise to UBTI in certain circumstances as a result of certain "debt financed property" rules. See Section XI – "Legal & Tax Matters – United States Federal Income Tax Considerations – U.S. Tax-Exempt Limited Partners" in this Memorandum. Any such borrowing is permitted to remain outstanding for such time as the General Partner deems appropriate or as otherwise provided in the Partnership Agreement, potentially including through disposition of such investment, and the interest expense and other costs of any such borrowings will be Partnership expenses that decrease net returns of the Partnership. Calling a large amount of capital at once to repay the then-current amount outstanding under a subscription line could cause short-term liquidity concerns for Limited Partners that would not arise had the General Partner called smaller amounts of capital incrementally over time as needed by the Partnership. This risk would be heightened for a Limited Partner with commitments to other funds that employ similar borrowing strategies or with respect to other leveraged assets in its portfolio; a single market event could trigger simultaneous capital calls, requiring the Limited Partner to meet the accumulated, larger capital calls at the same time.

If an investment appreciates in value and is disposed of prior to repayment of the borrowing, the disposition proceeds would be applied to repay the borrowing (and related interest and expenses), and the net proceeds would be distributed to the Limited Partners. Accordingly, borrowings by the Partnership or portfolio holdings might support the distribution of proceeds to Limited Partners and increase the potential Carried Interest for the General Partner. Subject to the limitations in the Partnership Agreement, if any, this conflict of interest incentivizes the General Partner to permanently fund the acquisition and ongoing capital needs of investments of the Partnership and related expenses with the proceeds of such borrowings in lieu of drawing down Capital Contributions on an as-needed basis and, accordingly, Capital Contributions to repay such borrowings may be required only at the time of the disposition of an investment (or never if principal and interest on such borrowings are repaid out of disposition proceeds).

Use of Derivatives and Other Specialized Techniques

Companies in the energy industry often engage in derivatives transactions to insulate against changes in commodities prices, and the Portfolio Companies may engage in other derivative or similar transactions for hedging purposes. These transactions may involve the purchase and sale of commodities or commodity futures, the use of forward contracts, swap agreements, put and call options, floors, collars, or other arrangements. Such instruments may be difficult to value, may be illiquid and may be subject to wide swings in valuation caused by changes in the price of commodities or other underlying assets. Derivative instruments may trade principally on markets organized outside the U.S. markets for such instruments, may be illiquid, highly volatile, and subject to interruption. Suitable hedging instruments may not continue to be available at reasonable cost.

The investment techniques related to derivative instruments are highly specialized and bear the risk that losses are generated, even if such derivatives are used for hedging purposes. Such techniques often involve

forecasts and complex judgments regarding relative price movements and other economic developments. The success or failure of these investment techniques may turn on small changes in exogenous factors not within the control of Portfolio Companies, the General Partner, or the Partnership. For all the foregoing reasons, the use of derivatives and related techniques can expose the Partnership and its Portfolio Companies to significant risk of loss.

Although the Partnership does not expect to directly engage in hedging transactions, the Portfolio Companies may seek to reduce exposure to the volatility of oil and gas prices by actively hedging a portion of production. Hedging transactions may not be able to protect the Portfolio Companies from prolonged declines in commodity prices. Certain types of hedging contracts could prevent the Portfolio Companies from receiving the full advantage of increases in oil or gas prices above the fixed amount specified in the hedge agreement. If a Portfolio Company has less production than it has hedged when the floating price exceeds the fixed price, the Portfolio Company must make payments against which there are no offsetting sales of production. If these payments become too large, the Portfolio Company's business may be adversely affected, which will adversely affect the Partnership's performance. In addition, hedging agreements expose Portfolio Companies to the risk of financial loss if the counterparty to a hedging contract defaults on its contract obligations.

Bankruptcy of Portfolio Companies

The Partnership may make investments in Portfolio Companies that may experience financial difficulties and become insolvent or file for bankruptcy protection. Various U.S. federal and state and non-U.S. laws in connection with such bankruptcy proceedings could operate to the detriment of the Partnership. There is also a risk that a court may subordinate the Partnership's investment to other creditors or require the Partnership to return amounts previously paid to it by a Portfolio Company that becomes insolvent or files for bankruptcy.

Contingent Liabilities Resulting from Ownership or Disposition of Investments

The Partnership may take ownership positions in Portfolio Companies that could expose it to risk of liability for environmental damage, product defect, failure to supervise management, violation of governmental regulations, and other types of liability, in which the limited liability characteristic of business entities may be ignored. If these liabilities were to occur, the Partnership could suffer losses in its investments. In addition, in connection with the disposition of a Portfolio Company, the Partnership may be required to make representations about the business and financial affairs of a Portfolio Company typical of those made in connection with the sale of any business and may be responsible for the content of disclosure documents under applicable securities laws. The Partnership also may be required to indemnify the purchasers of a Portfolio Company or all or a portion of its assets regarding certain matters, including the accuracy of any such representations or with respect to certain potential liabilities. These arrangements may result in the incurrence of contingent liabilities for which the Partnership may establish reserves or escrow accounts. In addition, Limited Partners may be required to return amounts distributed to them to fund obligations of the Partnership, including Partnership indemnity obligations, subject to certain limitations set forth in the Partnership Agreement.

Litigation

The Partnership may be subject to litigation from time to time and may pay the costs associated with such litigation, which could be material. The outcome of such proceedings may materially adversely affect the value of the Partnership and may continue without resolution for long periods of time. Any litigation may consume substantial amounts of the General Partner's and its personnel's time and attention, and that time and the devotion of these resources to litigation may, at times, be disproportionate to the amounts at stake in the litigation.

Director Liability

The General Partner expects that the Partnership will seek to obtain the right to appoint one or more representatives to the board of directors (or similar governing body) of the companies in which it invests. Serving on the board of directors (or similar governing body) of a Portfolio Company will expose such representative, and ultimately the Partnership, to potential liability. Not all Portfolio Companies may obtain insurance with respect to such liability, and the insurance that Portfolio Companies do obtain may be insufficient to adequately protect officers and directors from such liability. In addition, involvement in litigation can be time consuming for such persons and can divert the attention of such persons from the Partnership's investment activities.

Liquidation Risks

In the event of a dissolution and termination of the Partnership, the proceeds realized from the liquidation of assets, if any, will be distributed to Limited Partners only after satisfaction of the claims of the Partnership's creditors or the making of adequate provision for the payment of the Partnership's creditors. Accordingly, under such circumstances the ability of a Limited Partner to recover all or any portion of its investment in the Partnership will depend on the amount of funds so realized and claims to be satisfied thereon.

Recourse to the Partnership's Assets

The Partnership's assets, including any investment made by the Partnership and any cash funds held by the Partnership, are available to satisfy all liabilities and other obligations of the Partnership. If the Partnership becomes subject to a liability, parties seeking to have the liability satisfied may have recourse to the Partnership's assets generally and such recourse may not be limited to any particular asset, such as the asset representing the investment giving rise to such liability.

Limitation of Recourse and Indemnification

The Partnership Agreement will limit the circumstances under which the General Partner and its affiliates will be held liable to the Partnership. As a result, Limited Partners may have a more limited right of action in certain cases than they would have in the absence of such provision. In addition, the Partnership Agreement will provide that the Partnership will indemnify the General Partner, the Manager, the LPAC and their affiliates for certain claims, losses, damages, and expenses arising out of their activities on behalf of such Partnership. Such indemnification obligations could materially impact the returns to Limited Partners. Limited Partners may be required to contribute capital to fund such indemnification. In the event the Partnership's assets, including unfunded Commitments, are insufficient to meet its indemnification obligations, Partners may be required to return distributions previously received by them. The obligations of a Limited Partner to fund any indemnification will generally survive the dissolution of the Partnership.

Potential Loss of Limitation of Liability

An investor generally will not be personally liable for the debts of the Partnership except that, in the event the Partnership is otherwise unable to meet its obligations, such investor may, under applicable law and the terms of the Partnership Agreement, be obligated to repay amounts previously received by it.

Protection of Confidentiality by Limited Partners

Limited Partners will generally be required to keep confidential all information relating to the Partnership (including its investors and investments) and its investment results and expectations. To protect the sensitive nature of this information, the General Partner, in its discretion, may generally make all or certain confidential information unavailable to all or certain investors, in some cases based on the status of those investors.

Limited Access to Information

Limited Partners' rights to information regarding the Partnership will be specified, and strictly limited, in the Partnership Agreement. In particular, it is anticipated that the General Partner will obtain certain types of material information from Portfolio Companies that will not be disclosed to Limited Partners because such disclosure is prohibited for contractual, legal, or similar obligations outside of the General Partner's control. The General Partner will also have discretion to withhold information regarding Portfolio Companies from Limited Partners to the extent the General Partner determines that it is in the best interests of the Partnership. Decisions by the General Partner to withhold information may have material adverse consequences for Limited Partners in a variety of circumstances. For example, a Limited Partner that seeks to transfer its Interests may have difficulty in determining an appropriate price for such Interests. Decisions to withhold information also may make it difficult for Limited Partners to monitor the General Partner and its performance. Additionally, it is expected that Limited Partners who designate representatives to participate on the LPAC and Limited Partners that are offered the opportunity to co-invest in transactions may, by virtue of such participation or offer, have more information about the Partnership and Portfolio Companies in certain circumstances than other Limited Partners generally and may be disseminated information in advance of communication to other Limited Partners generally.

Material Non-Public Information

From time to time, the General Partner may come into possession of material, non-public information that would for regulatory reasons limit the Partnership's ability to buy and sell Portfolio Companies. The Partnership's investment flexibility may be constrained as a result of the General Partner's inability to use such information for investment purposes. The Partnership may experience losses if it is unable to sell all or a portion of a Portfolio Company because the General Partner has obtained material, non-public information in respect of such investment.

Non-Controlling Investments

While it is the General Partner's intent to seek and own controlling stakes in the Portfolio Companies in which it invests, it is possible that in certain situations the Partnership may hold a non-controlling interest in a Portfolio Company and, therefore, may have a limited ability to protect its position in such Portfolio Company. While the Partnership will seek to obtain appropriate minority shareholder rights as a condition to making a non-controlling investment, there may be situations in which the Partnership may have a limited ability to protect its position in such Portfolio Company. In such cases, the Partnership will typically be significantly reliant on the other sponsors of the transaction, if any, and on the existing management and board of directors and other shareholders of such company, which may include representation of other financial investors with whom the Partnership is not affiliated and whose interests may conflict with the interests of the Partnership.

Risk of Co-Investments

The Partnership may make investments in Portfolio Companies in which other parties may co-invest. In such an event, the Partnership may not be in a position to control such Portfolio Companies unilaterally. Such investments may involve risks in connection with such third-party involvement, including the possibility that any such third-party may have financial, legal, or regulatory difficulties that have a material adverse effect on such investment, may have economic or business interests or goals that are inconsistent with those of the Partnership, may pursue interests inconsistent with those of the Partnership, may default on their obligations, or may be in a position to take (or block) action in a manner adverse to the Partnership's investment objectives. Furthermore, if the Partnership and co-investors have the ability to dispose of their Interests in the co-investment separately, a disposition of a large position by a co-investor may depress the market value of the continuing investment of the Partnership or may reduce the price available to the Partnership, which may also be disposing of its investment.

Investment Restrictions

Certain investment restrictions are based on the aggregate Commitments to the Partnership. However, prior to the Final Closing, for purposes of determining compliance with certain of such restrictions, the aggregate Commitments to the Partnership will be based on the targeted aggregate Commitments. As a result, if at the Final Closing, aggregate Commitments are less than the targeted aggregate Commitments, such investment restrictions could be exceeded, which would result in a greater percentage of the Partnership's aggregate Commitments being invested in certain investments than was intended, which could materially and adversely affect the Partnership. In such event, neither the Partnership or the General Partner will be deemed to have violated such investment restrictions.

Risks Associated with Foreign Investments

The Partnership may invest in Portfolio Companies operating or organized outside of the United States. Foreign investments will involve risks not typically associated with investments in the U.S. companies, including, without limitation, risks relating to: (i) differences between the U.S. and foreign securities markets; (ii) the absence of uniform accounting, auditing, and financial reporting standards, practices, and disclosure requirements; (iii) currency exchange matters, including fluctuations in the rate of exchange between the U.S. dollar and the various foreign currencies in which the Partnership's foreign investments are denominated, and costs associated with conversion of investment capital and income from one currency into another or the repatriation of capital from such jurisdictions, which may expose the Partnership to potential losses arising from changes in foreign currency exchange rates; (iv) possible significant governmental approvals under corporate, securities, exchange control, foreign investment, and other similar laws and regulations; (v) certain economic, social, and political risks, including, without limitation, the risks of political, economic, or social instability and the possibility of expropriation or confiscatory taxation; (vi) differences in financing and structuring alternatives and exit strategies from those commonly used in the U.S.; (vii) differences in legal systems, including the possibility that the Partnership may experience difficulty in asserting legal claims or obtaining legal remedies in foreign jurisdictions; and (viii) inflation matters. The foregoing factors may increase transaction and other investment costs and could adversely impact the value of the Partnership's investments in foreign Portfolio Companies.

Misconduct of Employees and of Third Party Service Providers

Misconduct or misrepresentations by employees of EnCap or third-party service providers could cause significant losses to the Partnership. Employee misconduct may include binding the Partnership to transactions that exceed authorized limits or present unacceptable risks and unauthorized trading activities, concealing unsuccessful investment activities (which, in any case, may result in unknown and unmanaged risks or losses), or making misrepresentations regarding any of the foregoing. Losses could also result from actions by third-party service providers, including failing to recognize trades and misappropriating assets. Any third-party service provider's breach of its applicable agreements or the failure of such service provider to make decisions, perform its services, discharge its obligations, deal with regulatory agencies, or comply with laws, rules, and regulations affecting the particular Portfolio Company, including environmental laws and regulations, in a proper manner, or to act in ways that are in the applicable Portfolio Company's best interest could result in material adverse consequences to the Portfolio Company or the cash flow generated by the Portfolio Company. In addition, employees and third-party service providers may improperly use or disclose confidential information, which could result in litigation or serious financial harm, including limiting the Partnership's business prospects or future marketing activities. No assurances can be given that the due diligence performed by EnCap will identify or prevent any such misconduct. Should a service provider fail to perform under any applicable agreements between it and the Portfolio Company, the Portfolio Company may need to find a replacement service provider, which replacement may be subject to approval by a governmental entity. A replacement service provider may not be available at all, may not be

available on a timely basis, and may only be available on terms that are unfavorable to the Portfolio Company. Additionally, if the General Partner decides to terminate a service provider in respect of a Portfolio Company, the Portfolio Company may be required to pay termination fees or litigation costs in connection with a dispute over such termination.

Personal Data

Certain aspects of the Partnership's investment strategy may require the acquisition and review of confidential personal data that are protected by federal, state, or local law. The inadvertent disclosure of such information could result in significant liability to the Partnership, including but not limited to the obligation to provide credit monitoring services for any individual whose personal data were compromised. This personal data may be shared with agents of the General Partner or its affiliates that review the information in support of such strategy. The Partnership will bear its pro rata share of any losses arising out of an improper disclosure by such agents, which could be significant. In addition, parties providing the Partnership and the General Partner such personal data may require indemnification for any losses suffered in connection with the provision of such data. The Partnership could bear significant losses as a result of such indemnification.

Cyber Security Breaches and Identity Theft

The General Partner, the Partnership's, and EnCap's service providers and other market participants increasingly depend on complex information technology and communications systems to conduct business functions. These systems are subject to a number of different threats or risks that could adversely affect the Partnership and its investors, despite the efforts of the General Partner and the Partnership's service providers to adopt technologies, processes and practices intended to mitigate these risks and protect the security of their computer systems, software, networks, and other technology assets, as well as the confidentiality, integrity, and availability of information belonging to the Partnership and its investors. The Partnership's information and technology systems may be vulnerable to damage or interruption from computer viruses, network failures, computer and telecommunication failures, infiltration by unauthorized persons and security breaches, usage errors by their respective professionals, power outages, and catastrophic events such as fires, tornadoes, floods, hurricanes, and earthquakes. Unauthorized third parties may attempt to improperly access, modify, disrupt the operations of, or prevent access to these systems of the General Partner, the Partnership's service providers, counterparties, or data within these systems. Third parties may also attempt to fraudulently induce employees, customers, third-party service providers, or other users of EnCap's systems to disclose sensitive information in order to gain access to EnCap's data or that of the Partnership's investors. Although EnCap has implemented various measures to manage risks relating to these types of events, if these systems are compromised, become inoperable for extended periods of time, or cease to function properly, the Partnership may incur significant time or expense to fix or replace them and to seek to remedy the effects of such issues. The failure of these systems or disaster recovery plans for any reason could cause significant interruptions in the Partnership's operations and result in a failure to maintain the security, confidentiality, or privacy of sensitive data, including personal information relating to the Limited Partners (and the beneficial owners of the Limited Partners). Furthermore, breach of EnCap's, the General Partner's or the Partnership's technology systems through cyber-attacks, or failure to manage and secure the technology environment, could result in malfunctions in the operations of EnCap's, the General Partner's or the Partnership's business, loss of valuable information, loss of investments, liability for stolen assets or information, remediation costs to repair damage caused by a breach, additional costs to mitigate against future incidents, and litigation costs resulting from an incident. Moreover, loss of confidential client information could harm EnCap's, the General Partner's, or the Partnership's reputation and create liability under the laws that protect personal data, resulting in increased costs or loss of revenues.

Similar types of operational and technology risks are also present for the Portfolio Companies in which the Partnership invests, which could have material adverse consequences for such companies, and may cause the Partnership's investments to lose value.

Side Letters

The Partnership or the General Partner may enter into a Side Letter or other similar agreement with a particular Limited Partner in connection with its admission to the Partnership without the approval of any other Limited Partners, which would have the effect of establishing rights under or supplementing the terms of the Partnership Agreement with respect to such Limited Partner in a manner more favorable to such Limited Partner than those applicable to other Limited Partners, including but not limited to different or preferential economic, informational, or transfer rights. The terms contained in a Side Letter will govern with respect to such Limited Partner(s) notwithstanding the terms of the Partnership Agreement.

Use of Reports

This Memorandum contains excerpts and data derived from reports from third parties. While the third party sources are believed to be reliable, neither the General Partner nor the Partnership has confirmed the accuracy of the reports. Third party reports may differ in their opinion and forecasts, for example, with respect to the future demand for oil and gas, and the General Partner has not attempted to reconcile such differences. The reports contain known and unknown risks, opinions, and beliefs. No assurance can be given as to the accuracy of this information, and undue reliance should not be placed thereon.

Estimates and Forward-Looking Statements

Any estimates of returns in this Memorandum or any other offering materials are forward-looking statements and are based upon certain assumptions. Other events that were not taken into account may occur and may significantly affect the analysis. Any assumptions should not be construed to be indicative of the actual events that will occur. Actual events are difficult to predict and may depend upon factors that are beyond the control of the Partnership. Some important factors that could cause actual results to differ materially from those in any forward-looking statements include, without limitation, fluctuations in commodity prices and changes in interest rates and financial, market, economic, or legal conditions. Accordingly, there can be no assurance that estimated returns can be realized or that actual returns or results will not be materially lower than those returns estimated herein. Such estimated returns should be viewed as hypothetical and do not represent the actual returns that may be achieved by a Limited Partner.

Market Factors

General economic conditions may affect the Partnership's investment activities. Interest rates, general levels of economic activity, the price of securities, fluctuations in commodity prices, and participation by other investors in the financial markets may affect the value of oil and gas assets and the number of investments made by the Partnership or considered for prospective investment. Additionally, the Partnership is likely to be significantly affected by the future prices of and the demand for oil and natural gas, which are inherently uncertain. Prices for oil, natural gas and natural gas liquids have fluctuated greatly in the past, due to numerous factors beyond the control of the Partnership or the General Partner. The Partnership may also be affected by the availability of equipment, supplies, personnel, and facilities necessary to realize the value of its oil and gas assets.

Coronavirus (COVID-19)

There continues to be uncertainty and unpredictability about the impact of the COVID-19 pandemic on the financial and operating results of Portfolio Companies in future periods. The impacts of the COVID-19 outbreak, including the accompanying travel restrictions, business and office closures, including manufacturers of energy storage technologies and government offices, and supply chain disruptions, could materially adversely affect the production, supply, pricing, and availability of such technologies and

materials and the ability to acquire necessary permits or complete required regulatory reviews. Travel restrictions, for instance, may prevent or hinder site visits, auditing, or technological collaboration necessary for system integration. In addition, suppliers continue to be impacted by the COVID-19 pandemic and access to materials, supplies, and contract labor has been strained. The extent of the impact of COVID-19, including any emergence or resurgence of variant strains, on the Portfolio Companies and their operations will depend on, among other factors, the geographic spread of the virus or a particular variant, the duration and severity of the outbreak, vaccination levels and vaccine efficacy in a particular geographic area, travel restrictions, and business and office closures, the ability of suppliers to increase their production of goods in other jurisdictions, the Portfolio Companies' ability to contract for supply from other sources on acceptable terms, the Portfolio Companies' ability to switch suppliers or arrange for substituted manufacturers, and whether government offices responsible for providing the Portfolio Companies' required regulatory review or permits are operational. The foregoing risks may also adversely affect the operation or growth of the Portfolio Companies in the event of other epidemic, pandemic, or similar events, or other circumstances that disrupt global supply chains, the global transportation system, and domestic or offshore manufacturing.

In addition, the COVID-19 outbreak, including any emergence or resurgence of variant strains, has triggered, and could continue to trigger, volatility in the U.S. financial markets and could lead to adverse effects on the economy of the U.S. and other economies. The associated negative effects on economic conditions or consumer confidence could adversely impact the Portfolio Companies' results of operations and financial condition. There is significant uncertainty surrounding the breadth and duration of business and office disruptions related to COVID-19, as well as its impact on the U.S. economy and consumer confidence. The extent to which COVID-19 affects the results of the Portfolio Companies will depend on future developments, which are highly uncertain and cannot be predicted.

Political Events and Changes in Law

The Partnership's investment activities and the value of its Portfolio Companies may be adversely affected by political events that are beyond its control. For instance, the outbreak of hostilities, social instability, election results, stalemates between branches of government over budgetary and other matters, implementation of government macroeconomic policies, or the death of a major political figure may have a significant adverse effect on the Partnership's investment results. Various social and political tensions in the United States and around the world may contribute to increased market volatility, may have long-term effects on the U.S. and worldwide financial markets and may cause further economic uncertainties in the United States and worldwide. The General Partner does not know when or for how long the financial markets will be affected by such events and cannot predict the effects of any such events in the future on the U.S. economy and securities markets. Such unfavorable economic conditions may also increase funding costs, limit access to the capital markets or result in a decision by lenders not to extend credit to the Partnership, the Portfolio Companies, or their affiliates.

Moreover, changes in U.S. federal or state laws, monetary policies, bank regulatory policies, and accounting standards, as well as legislative acts, rulemaking, adjudicatory or other activities of Congress, the Securities and Exchange Commission, the Federal Reserve Board, the New York Stock Exchange, FINRA, and other governmental or quasi-governmental bodies, agencies, and regulatory organizations may adversely impact the Partnership's business and its investments. For example, there has been an increased focus on addressing risks to the U.S. electric grid from certain adversarial nations. At the federal level, actions have included executive orders and related rules on restricting utilities companies from contracting with certain foreign parties to, among other things, acquire certain electric equipment. State legislatures have also passed laws aimed at protecting the electric grid. For example, the Lone Star Protection Act went into effect in June 2021 and prohibits Texas businesses and governments from contracting with entities owned

or controlled by individuals from China, Russia, North Korea, and Iran if related to certain critical infrastructure, which includes the electric grid, and provides the foreign party remote access or control of such infrastructure. Additional changes to federal and state laws could limit the Partnership's ability to operate and could adversely impact the Partnership's investments.

Tariffs

The U.S. has announced its withdrawal from proposed trade agreements, has supported greater restrictions on trade generally, and has implemented significant increases on tariffs on goods imported into the U.S., particularly from China. Any further actions the U.S. may take to implement greater restrictions on free trade or impose increases on tariffs or duties could adversely affect the business, financial condition, and results of operation of certain of the Portfolio Companies. Additionally, other countries could respond to the U.S.'s actions by imposing tariffs on U.S. goods or implementing other legislation or regulations that could have adverse an impact on the Partnership or its Portfolio Companies.

Consequences from Russia's Military Action Against Ukraine

In late February 2022, Russia launched a large scale military attack on Ukraine. The invasion significantly amplified already existing geopolitical tensions among Russia, Ukraine, Europe, NATO and the West, including the United States. In response to the military action by Russia, various countries, including the United States, the United Kingdom, and European Union issued wide-ranging economic sanctions against Russia, including a prohibition on doing business with certain Russian companies, large financial institutions, officials and oligarchs; a commitment by certain countries and the European Union to remove selected Russian banks from the Society for Worldwide Interbank Financial Telecommunications (SWIFT), the electronic banking network that connects banks globally; a ban of oil imports from Russia to the United States; and restrictive measures to prevent the Russian Central Bank from undermining the impact of the sanctions.

In response, Russia announced export bans on various products through the end of calendar year 2022. Russia is a significant source of oil and gas assets for global markets. Such sanctions have caused inflationary pressures and may adversely impact Portfolio Companies' oil and gas assets in the global market, which could have a material adverse effect on the Portfolio Companies' business and operations. In addition, such sanctions may put the Portfolio Companies at an increased risk of inadvertently trading with a sanctioned partner.

Additional sanctions may be imposed in the future. Such sanctions (and any future sanctions) and other actions against Russia may adversely impact, among other things, the Russian economy and various sectors of the economy, including but not limited to, financials, energy, metals and mining, engineering and defense, and defense-related materials sectors; result in a decline in the value and liquidity of Russian securities; result in boycotts, tariffs, and purchasing and financing restrictions on Russia's government, companies and certain individuals; weaken the value of the ruble; downgrade the country's credit rating; freeze Russian securities or funds invested in prohibited assets and impair the ability to trade in Russian securities or other assets; and have other adverse consequences on the Russian government, economy, companies and region. The current war between Russia and Ukraine could also draw military or other intervention from additional countries, which could lead to a much larger war or additional sanctions imposed by the United States government and other governments that restrict business with specific persons, organizations or countries with respect to certain products or services. If such escalation should occur or such sanctions are imposed, supply chain, trade routes and markets currently served by us could be adversely affected, which in turn could materially adversely affect the Partnership's and the Portfolio Companies' business operations and financial performance.

Further, several large corporations and U.S. states have announced plans to divest interests or otherwise curtail business dealings with certain Russian businesses. In addition, Russia may take retaliatory actions and other countermeasures, including cyberattacks and espionage against other countries and companies around the world, which may negatively impact such countries and companies.

The ramifications of the hostilities, sanctions and retaliation may not be limited to Russia, Ukraine and Russian and Ukrainian companies and may spill over to and negatively impact other regional and global economic markets, including Europe and the United States, companies in other countries, and various sectors, industries and markets for securities and commodities globally, such as oil and natural gas. Accordingly, the actions discussed above and the potential for a wider conflict could increase financial market volatility and cause severe negative effects on regional and global economic markets, industries, and companies.

The extent and duration of the military action or future escalation of such hostilities, the extent and impact of existing and future sanctions, market disruptions and volatility, and the result of any diplomatic negotiations cannot be predicted.

Risks Related to Oil and Gas Industry

Cyclical nature of the Energy Sector

Industries within the energy sector are cyclical with fluctuations in commodity prices and demand for, and production of, commodities driven by a variety of factors. World energy markets are currently experiencing a range of challenges, due in part to the highly cyclical nature of the industries within the energy sector that may remain or grow in intensity during the life of the Partnership. Such challenges include volatile commodity prices, which may adversely affect energy prices and the earnings of Portfolio Companies and the performance and valuation of the Portfolio Companies; variations in commodity production and importation in certain relevant markets; competing technologies that impact consumer demand for one or more commodities; and the effect of domestic and foreign regulation of commodity production and consumption. While the General Partner believes the Partnership is well-positioned to succeed in the current market environment and meet its investment objectives throughout the life of the Partnership, there can be no assurance that such challenges will not adversely affect the performance and returns of any Portfolio Company or the Partnership as a whole.

Commodity Price Volatility

Oil and natural gas prices are volatile, and fluctuate due to a number of factors outside of the Partnership's control, including, without limitation: (i) domestic and foreign production and supply of oil and natural gas, demand for oil and natural gas, and market expectations regarding supply of and demand for oil and natural gas; (ii) market expectations about future prices of oil and natural gas; (iii) the cost of exploring for, developing, producing, and delivering to market oil and natural gas; (iv) the ability of the members of OPEC to agree to and maintain oil price and production controls; (v) conservation measures and technological advances affecting energy consumption; (vi) government regulations and taxes; (vii) the price and availability of alternative fuel sources; (viii) weather conditions and natural disasters; (ix) political conditions in oil and gas producing regions; (x) the continued threat of terrorism and the impact of military and other action, including U.S. military operations in the Middle East and the war in Ukraine; (xi) the proximity, cost, availability, and capacity of oil and natural gas pipelines and other transportation facilities; and (xii) domestic and worldwide economic conditions.

Highly Competitive Industry

The Partnership's investment strategy will be substantially dependent upon the Partnership's ability to source and attract quality management teams to form Portfolio Companies and the Portfolio Companies'

ability to source and acquire, develop and operate oil and gas properties and related assets. The Partnership will be competing with other industry participants, including other investment firms, for management talent in disciplines such as engineering, finance, land, accounting, and marketing. The Partnership's Portfolio Companies will be competing against other companies and groups for investment opportunities. While historically (i) EnCap has been successful in sourcing and partnering with quality management teams and (ii) such management teams have been successful in sourcing and executing upon investment opportunities, there can be no assurance this will be the case for the Partnership.

Acquisition, Development, and Operating Risks

The Portfolio Companies will be subject to numerous risks inherent in the oil and gas industry and the timing and cost of drilling, completing and operating wells is often uncertain. Drilling operations may be curtailed, delayed or cancelled as a result of a variety of factors, such as blowouts, cratering, explosions, uncontrollable flows of oil, unexpected drilling conditions, pressure or irregularities in formations, gas or well fluids, fires, pollution, earthquakes, adverse weather conditions and other natural disasters, and environmental risks. These risks could result in substantial losses due to injury and loss of life, severe damage to and destruction of property and equipment, pollution and other environmental damage, and suspension of operations.

The acquisition, development and operation of oil and gas properties and related assets by a given Portfolio Company will involve a number of risks and challenges, including engineering, reserve and drilling risks (including, without limitation, that no commercially productive oil or gas reservoirs will be found or produced), production and marketing costs, transportation and infrastructure needs and requirements, availability of drilling rigs, equipment, and qualified personnel, and compliance with governmental regulations, any of which could materially and adversely affect the value of a Portfolio Company's asset portfolio.

Portfolio Companies may be subject to operating and technical risks, including risk of mechanical breakdown, failure to perform according to design specifications, shortage of skilled labor, labor strikes and other work interruptions, environmental changes, and other unanticipated events that adversely affect operations. There can be no assurance that any or all such risks can be mitigated. An operating failure may lead to loss of a license, concession, or contract on which a Portfolio Company may depend.

Land Title Risk

Certain Portfolio Companies may require large areas of land (potentially including undersea territory) to install and operate their equipment and associated infrastructure. The rights to use the necessary land may be obtained through freehold title, easements, leases and other rights of use. Different jurisdictions adopt different systems of land title, and in some jurisdictions it may not be possible to ascertain definitively who has the legal right to enter into land tenure arrangements with portfolio companies. In addition, the grantor's fee interests in the land which is the subject of such easements and leases are or may become subject to mortgages securing loans, other liens (such as tax liens) and other lease rights of third parties (such as leases of oil, gas, coal or other mineral rights). As a result, a Portfolio Company's rights under such leases or easements are or may be subject and subordinate to the rights of third parties. It is also possible that a default by the grantor under any mortgage could result in a foreclosure on the grantor's interest in the property and thereby terminate the Portfolio Company's right to the leases and easements required to operate such Portfolio Company. Similarly, it is possible that a government authority, as the holder of a tax lien, could foreclose upon a parcel and take possession of the portion of the Portfolio Company located on such parcel. The rights of a third party pursuant to a superior lease (such as leases of oil, gas, coal or other mineral rights) could also result in damage to or disturbance of the physical assets of a Portfolio Company or require relocation of Portfolio Company assets. If any Portfolio Companies were to suffer the

loss of all or a portion of their underlying real estate interests or equipment as a result of a foreclosure by a mortgagee or other lienholder of a land parcel, or damage arising from the conduct of superior leaseholders, such Portfolio Company's operations and revenues may be adversely affected. In addition, any declaration of native title or other indigenous rights in respect of land on which Portfolio Companies are located may adversely affect the owner or occupier of that land. While the Partnership will generally seek to conduct due diligence in such jurisdictions to determine the extent to which Portfolio Companies may be affected by indigenous rights, it may not be possible to mitigate or remove a risk associated with indigenous claims.

Construction Risk

Certain Portfolio Companies may involve projects in the construction phase of development. In connection with any new development project, expansion of a facility or acquisition of a facility in development stage, a Portfolio Company may also face construction risks typical for energy and related businesses, including, labor disputes and shortages of material and skilled labor or work stoppages, slower than projected construction progress and the unavailability or late delivery of necessary equipment, adverse weather conditions, and unexpected construction conditions, accidents, or the breakdown or failure of construction equipment or processes, and catastrophic events such as explosions, fires and terrorist activities and other similar events beyond the Partnership's control. These risks could result in substantial unanticipated delays or expenses and, under certain circumstances, could prevent completion of construction activities once undertaken, any of which could have an adverse effect on the Partnership and on the amount of funds available for distribution to the Limited Partners. Construction costs may exceed estimates for various reasons, including inaccurate engineering and planning, labor and building material costs in excess of expectations and unanticipated problems with project start-up. Such unexpected increases may result in increased debt service costs and funds being insufficient to complete construction. Such increases may result in the inability of project owners to meet the higher interest and principal repayments arising from the additional debt required. Delays in project completion can result in an increase in total project construction costs through higher capitalized interest charges and additional labor and material expenses and, consequently, an increase in debt service costs. It may also affect the scheduled flow of project revenues necessary to cover the scheduled operations phase debt service costs, operations and maintenance expenses, and damage payments for late delivery. In addition, there are risks inherent in the construction work that may give rise to claims or demands against a Portfolio Company from time to time. Delays in the completion of any project may result in lost opportunities or revenues or increased expenses, including higher operation and maintenance costs related to a Portfolio Company. Portfolio Companies acquired to be developed may receive little or no cash flow from the date of acquisition through the date of completion of development and may experience operating deficits after the date of completion. In addition, market conditions may change during the course of development that make such development less attractive than at the time it was commenced.

Uncertainties in Estimating Reserves

Numerous uncertainties are inherent in estimating quantities of oil and natural gas reserves. The process of estimating oil and natural gas reserves is complex, requiring significant decisions and assumptions in the evaluation of available geological, engineering, and economic data for each reservoir, and these reports rely on various assumptions, including assumptions regarding future oil and gas prices, production levels, and operating and development costs. As a result, estimated quantities of proved reserves, projections of future production rates, and the timing of development expenditures may prove to be inaccurate. Over time, the Partnership may make material changes to reserve estimates with respect to the Portfolio Companies taking into account the results of actual drilling and production. Any significant variance from the Partnership's or a Portfolio Company's assumptions by actual results could greatly affect the Partnership's or a Portfolio Company's estimates of reserves, the economically recoverable quantities of oil and gas attributable to any

particular group of properties, the classifications of reserves based on risk of recovery, and estimates of future net cash flows.

Depletion

Oil and gas wells are depleting assets with respect to which production could last anywhere from a few months to more than 30 years. Annual production will naturally decline over the life of a well and so too will returns to the Partnership. If the operators developing the Partnership's Portfolio Company investments do not implement additional maintenance and development projects, the future rate of production decline of proved reserves may be higher than the rate currently expected by the Partnership.

Non-Marketability of Production

Even with respect to producing investments, the availability of a ready market will depend upon factors beyond the Partnership's control. The marketability of production from investments will depend in part upon the availability, proximity and capacity of pipelines, natural gas gathering systems and processing facilities. Any significant change in market factors affecting these infrastructure facilities, as well as any delays in constructing new infrastructure facilities, could negatively affect the Partnership's investments. The oil and natural gas produced from investments will be delivered through gathering systems and pipelines owned by third parties. These facilities may be temporarily unavailable due to market conditions or mechanical reasons. The marketing of production may also be affected by governmental regulations relating to the production and sale of oil and gas.

Industry Regulation

Federal, state, and local authorities extensively regulate the oil and natural gas industry. Legislation and regulations affecting the industry are under constant review for amendment or expansion, raising the possibility of changes that may affect, among other things, the pricing, taxation or marketing of oil and natural gas production. Noncompliance with statutes and regulations may lead to substantial penalties, and the overall regulatory burden on the industry increases the cost of doing business and, in turn, decreases profitability. Federal, state, and local authorities regulate various aspects of oil and natural gas drilling and production activities, including, without limitation, the drilling of wells (through permit and bonding requirements), the spacing of wells, the unitization or pooling of oil and natural gas properties, environmental matters, safety standards, the sharing of markets, production limitations, plugging and abandonment, and restoration. The current trend of more extensive and restrictive environmental legislation and regulation will likely continue into the future, and hydraulic fracturing has been particularly scrutinized.

FTC Review

Acquisitions of proposed Portfolio Companies and dispositions of Portfolio Companies, or assets thereof, may be subject to review by the Federal Trade Commission (the "FTC") in order to promote competition. Due to recent consolidation in the E&P sector, there may be an increased focus by the FTC on transactions in the Partnership's target industry in order to confirm if a proposed transaction would eliminate or significantly reduce head-to-head competition between significant producers in a particular basin. As a result, a planned acquisition of, investment in, or disposition of a Portfolio Company or such Portfolio Company's assets may be subject to an injunction, undergo a delay due to FTC review, require the carveout of certain portions of the transaction, or result in a separate divestiture of other assets. The result of any FTC review cannot be predicted, and any such review could have a material effect on the Partnership's anticipated acquisitions, investments, or dispositions or previously-completed acquisitions, investments, or dispositions.

Sovereign Risk

The right of certain Portfolio Companies to extract mineral resources or generate, deliver or sell energy may be granted by or derive from approval by governmental entities and are subject to special risks, including the risk that the relevant governmental entity will exercise sovereign rights and take actions contrary to the rights of the Partnership or the relevant Portfolio Company. There can be no assurance that the relevant governmental entity will not legislate, impose regulations or change applicable laws or act contrary to the law in a way that would materially and adversely affect the business of any Portfolio Company.

Documentation and Other Legal Risk

Energy and related projects are also typically governed by complex legal agreements. As a result, there can be a higher risk of dispute over interpretation or enforceability of the agreements. It is not uncommon for energy and related assets to be exposed to a variety of other legal risks including, but not limited to, legal action from special interest groups. Interest groups may use legal processes to seek to impede particular projects to which they are opposed.

Environmental Liability

A variety of stringent federal, state, and local laws and regulations govern the environmental aspects of the oil and gas business. Any noncompliance with these laws and regulations could subject the Portfolio Companies to material administrative, civil, or criminal penalties, injunctive relief, lawsuits brought by third parties or other liabilities. Additionally, compliance with these laws and regulations may, from time to time, result in increased costs of operations or decreased production, and may affect acquisition costs. Examples of laws and regulations that govern the environmental aspects of the oil and gas business include, without limitation, the Clean Air Act, the Clean Water Act, the Oil Pollution Act, the Safe Drinking Water Act (the “SDWA”), the federal Comprehensive Environmental Response, Compensation, and Liability Act, also known as “CERCLA” or the “Superfund” law, the federal Resource Conservation and Recovery Act and comparable state laws, and the Endangered Species Act.

Failure to comply with applicable environmental laws and regulations by the Portfolio Companies could trigger a variety of administrative, civil and criminal enforcement measures, including, without limitation, the assessment of monetary penalties, the imposition of remedial requirements, and the issuance of orders enjoining future operations. In addition, a Portfolio Company also may be strictly liable under state or federal laws for environmental damages caused by the previous owners or operators of properties it purchases, without regard to fault. Environmental laws and regulations change frequently, and the implementation of new, or the modification of existing, laws or regulations could adversely affect the Partnership’s business.

Climate Legislation and Regulation

In response to findings that emissions of carbon dioxide, methane, and other greenhouse gases (“GHGs”) present an endangerment to public health and the environment, the EPA has adopted regulations under existing provisions of the Clean Air Act that, among other things, require preconstruction and operating permits for certain large stationary sources. In addition, the EPA has adopted rules requiring the monitoring and reporting of GHG emissions from specified onshore and offshore oil and natural gas production sources in the United States on an annual basis, which may include operations on the Partnership’s properties. The EPA has also recently proposed regulations to reduce methane emissions from wells and other equipment associated with oil and natural gas exploration and production. While Congress has from time to time

considered legislation to reduce emissions of GHGs, there has not been significant activity in the form of adopted legislation to reduce GHG emissions at the federal level in recent years.

In the absence of federal climate legislation, a number of state and regional efforts have emerged that are aimed at tracking or reducing GHG emissions by means of cap and trade programs. These programs typically require major sources of GHG emissions to acquire and surrender emission allowances in return for emitting those GHGs. Although it is not possible at this time to predict how legislation or new regulations that may be adopted to address GHG emissions would impact the Partnership, any future laws and regulations imposing reporting obligations on, or limiting emissions of GHGs from, operators' equipment and operations could require them to incur costs to reduce emissions of GHGs associated with their operations. In addition, substantial limitations on GHG emissions could adversely affect demand for the oil and natural gas produced from properties of the Partnership. Restrictions on emissions of methane or carbon dioxide that may be imposed in various states, as well as state and local climate change initiatives, could adversely affect the oil and natural gas industry, and, at this time, it is not possible to accurately estimate how potential future laws or regulations addressing GHG emissions would impact oil and gas assets. Finally, it should be noted that some scientists have concluded that increasing concentrations of GHGs in the Earth's atmosphere may produce climate changes that have significant physical effects, such as increased frequency and severity of storms, floods, and other climatic events; if any of these effects were to occur, they could have an adverse effect on the Partnership.

Hydraulic Fracturing

Hydraulic fracturing is an important and commonly used process that the Partnership anticipates will be engaged in by some or all of the Portfolio Companies. In recent years, some experts and environmental interest groups have warned that hydraulic fracturing could adversely affect groundwater, among other environmental problems. While hydraulic fracturing is not a new practice, there is a heightened degree of scrutiny surrounding hydraulic fracturing operations. New environmental problems associated with hydraulic fracturing may be claimed or discovered, or existing environmental claims substantiated, at any time. To the extent that such claims are made with respect to oil and gas assets, they could have an adverse effect on such assets.

The Portfolio Companies may use millions of gallons of water per well in hydraulic fracturing well completion operations, and a Portfolio Company's inability to locate sufficient amounts of water, or dispose of water after drilling, at a commercially reasonable price, could adversely impact such Portfolio Company's operations. Moreover, the adoption and implementation of new environmental regulations could result in restrictions on the Portfolio Companies' ability to conduct certain operations such as hydraulic fracturing or the imposition of new requirements pertaining to the management and disposal of wastes generated by the Portfolio Companies' operations, including, but not limited to, produced water, drilling fluids, and other wastes associated with the exploration, development or production of oil and natural gas. Furthermore, new environmental regulations and permit requirements governing the withdrawal, storage, and use of surface water or groundwater necessary for hydraulic fracturing of wells may also increase operating costs and cause delays, interruptions or termination of operations, the extent of which cannot be predicted, all of which could adversely affect the Portfolio Companies' and the Partnership's financial conditions and results of operations.

The EPA has asserted authority under the SDWA over hydraulic fracturing involving diesel additives and has issued guidance on the use of diesel in hydraulic fracturing operations. Under the guidance, the EPA broadly defined "diesel" to include fuels such as kerosene that have not traditionally been considered diesel. The EPA's continued assertion of its regulatory authority under the SDWA could result in extensive requirements that could cause additional costs and delays in the hydraulic fracturing process. In addition,

legislation has, from time to time, been introduced before Congress to provide for federal regulation of hydraulic fracturing. Certain states have adopted, and other states are considering adopting, regulations that could impose more stringent disclosure, permitting, and well construction requirements on hydraulic-fracturing operations or seek to ban fracturing activities altogether. In the event state, local, or municipal legal restrictions are adopted in the Portfolio Companies' target areas, the oil and gas assets therein may incur significant additional compliance costs, experience delays in exploration, development, or production activities, and perhaps even be precluded from the drilling of wells. There are also a number of governmental bodies, including the EPA, the White House Council on Environmental Quality, a committee of the U.S. House of Representatives, the U.S. Department of Energy, and a number of other federal agencies that have reviewed a variety of environmental issues associated with hydraulic fracturing. These ongoing or proposed studies could spur initiatives to further regulate hydraulic fracturing under the SDWA or other regulatory programs. This, in turn, could lead to operational delays or increased operating costs in the production of oil and natural gas, including from the developing shale plays, or could make it more difficult to perform hydraulic fracturing, which could adversely affect the Portfolio Companies.

Terrorist Activities

U.S. activities in Iraq, Afghanistan, and recent terrorist attacks of unprecedented scope have caused instability in the world financial markets and may generate global economic instability. The continued threat of terrorism and the impact of military or other action have led to and will likely lead to increased volatility in prices for oil and gas and could affect the Partnership's financial results. Further, the United States government has issued public warnings indicating that energy assets might be specific target of terrorist organizations. As a result of such a terrorist attack or of terrorist activities in general, the Partnership may not be able to obtain insurance coverage and other endorsements at commercially reasonable prices or at all.

Risks Related to Certain Legal and Regulatory Matters

Public Disclosure of Information

Certain Limited Partners may be subject to state public records or similar freedom of information laws, which may compel public disclosure of confidential information regarding the Partnership, its investments, and its Limited Partners. The amount of information about their investments that is required to be disclosed has increased in recent years, and that trend may continue. There can be no assurance that such information will not be disclosed either publicly or to regulators, law enforcement agencies or otherwise, including for purposes of complying with regulations or policies to which the Partnership or the General Partner, and their affiliates or service providers to any of them, may be or become subject. To the extent that disclosure of confidential information relating to the Partnership or its investments is disclosed as the result of Interests being held by public investors, the Partnership may be materially and adversely affected.

ERISA

The Partnership is not expected to be subject to the fiduciary standards of ERISA. The Partnership is expected generally to be operated such that its assets are not "plan assets" for purposes of ERISA, so that the General Partner would not be expected to be subject to the heightened fiduciary standards and regulations imposed by ERISA.

U.S. Federal and State Securities Laws

This offering has not been registered under the Securities Act, and is made in reliance on the exemptive provisions of Section 4(a)(2) of the Securities Act and Regulation D promulgated thereunder. Each Limited Partner must represent that it is an "accredited investor" and will be required to represent that it is acquiring its interest for investment purposes and not for resale or distribution. Similar reliance has been placed on exemptions from securities qualification requirements under applicable state securities laws. No assurance

can be given that the offering currently qualifies or will continue to qualify under one or more of such exemptive provisions. If, and to the extent that, claims or suits for rescission are brought and successfully concluded for failure to register this offering, the offering of Interests in the Partnership, or for acts or omissions constituting offenses under the Securities Act or other applicable U.S. federal and state securities laws, the ability of the Partnership to operate successfully could be jeopardized.

Securities and investment businesses generally are comprehensively and intensively regulated under state and U.S. federal laws and regulations. Any investigation, litigation, or other proceeding undertaken by state or U.S. federal regulatory agencies or private parties could necessitate the expenditure of material amounts of Partnership resources for legal and other costs and could have other materially adverse consequences for the Partnership.

Investment Company Act of 1940

It is anticipated that the Partnership will be exempt from the provisions of the Investment Company Act. The General Partner intends to rely on the exemptions contained in Section 3(c)(1) or Section 3(c)(7) of the Investment Company Act. Section 3(c)(1) exempts any issuer whose outstanding securities (other than short-term paper) are beneficially owned by not more than one hundred persons (or, in the case of a qualifying venture capital fund, 250 persons) and which is not making and does not presently propose to make a public offering of its securities. Section 3(c)(7) exempts any issuer the outstanding securities of which are owned exclusively by persons who, at the time of acquisition of such securities, are “qualified purchasers” as defined in Section 2(a)(51)(A) of the Investment Company Act, and which is not making and does not at that time propose to make a public offering of such securities. To comply with Section 3(c)(7), each Limited Partner must represent that it is a qualified purchaser. The Partnership at all times intends to conduct its business so as not to become required to register as an investment company under the Investment Company Act; however, there can be no assurance that it will be able to do so. If the Partnership fails to qualify for exemption from such registration, it might be unable to conduct its business as described in this Memorandum, and such failure could have a material adverse effect on the Partnership.

Investment Advisers Act of 1940

EnCap is not required, nor does it intend, to register as an investment adviser under the Investment Advisers Act of 1940, as amended (the “**Investment Advisers Act**”). EnCap relies upon the venture capital exemption from registration and, as a result, must comply with certain limitations on investments and leverage. Because EnCap is not a registered investment adviser, EnCap is not subject to all of the same SEC regulatory requirements as registered investment advisers, and the Limited Partners are not afforded all of the protections of the Investment Advisers Act, such as certain reporting and recordkeeping obligations.

There has been significant discussion recently regarding enhancing governmental scrutiny and increasing the regulation of the private equity industry. The SEC has proposed private fund rules which, if adopted, would impose additional reporting and compliance obligations on investment advisers, some of which would also apply to exempt reporting advisers, and private funds. Enactment of any such rules could have an adverse effect on the private equity industry generally or the Partnership specifically. Due to the unsettled political environment, there can be no assurance of the extent to which existing regulations may be heightened, maintained, reduced, or eliminated or whether any new regulations may be imposed, nor can there be any assurance regarding the impact of such potential regulatory changes on the Partnership or its ability to effectively achieve its investment objectives.

Risk Arising from Provision of Managerial Assistance

In the event that investment by profit sharing, pension, or other Benefit Plan Investors (as defined below) equals or exceeds 25% of the total value of any class of equity interests in a particular Partnership (excluding

any interests held by the General Partner or its affiliates), the Partnership will use its reasonable best efforts to structure investments by such Partnership so that it will qualify as a “venture capital operating company” within the meaning of regulations promulgated by the U.S. Department of Labor under ERISA. This requires, among other things, that the Partnership obtain rights to substantially participate in and to substantially influence the conduct of the management of the majority (valued at cost) of its Portfolio Companies. The Partnership may seek to obtain contractual rights to designate directors to serve on the boards of directors of Portfolio Companies. The designation of representatives and other measures contemplated could expose the assets of the Partnership to claims by a Portfolio Company, its security holders, and its creditors, including claims that the Partnership is a controlling person and thus is liable for securities laws violations of a Portfolio Company. These measures could also (i) result in certain liabilities in the event of the bankruptcy or reorganization of a Portfolio Company, including pension liabilities; (ii) result in claims against the Partnership if the designated directors violate their fiduciary or other duties to a Portfolio Company or fail to exercise appropriate levels of care under applicable corporate or securities laws, environmental laws or other legal principles; and (iii) expose the Partnership to claims that it has interfered in management to the detriment of a Portfolio Company. While the General Partner intends to manage the Partnership in a way that will minimize the exposure to these risks, the possibility of successful claims cannot be precluded.

Compliance with Anti-Money Laundering Requirements

In response to increased regulatory concerns with respect to the sources of funds used in investments and other activities, the General Partner may request Limited Partners to provide additional documentation verifying, among other things, such Limited Partners’ identity and source of funds used to purchase Interests. The General Partner may decline to accept a subscription if this information is not provided or on the basis of such information that is provided. Requests for documentation and additional information may be made by the General Partner or a third-party service provider engaged by the General Partner or its affiliates at any time during which a Limited Partner holds an Interest. The General Partner may be required to provide this information, or report the failure to comply with such requests, to appropriate governmental authorities, in certain circumstances without notifying the Limited Partners that the information has been provided. The General Partner will take such steps as it determines are necessary to comply with applicable law, regulations, orders, directives, or special measures. Governmental authorities are continuing to consider appropriate measures to implement and at this point it is unclear what steps the General Partner may be required to take; however, these steps may include prohibiting a Limited Partner from making further contributions of capital to the Partnership, depositing distributions which a Limited Partner would otherwise be entitled to in an escrow account, or causing the withdrawal of a Limited Partner from the Partnership.

OFAC and FCPA Considerations

Economic sanction laws in the United States and other jurisdictions may prohibit the Portfolio Companies, the Portfolio Companies’ professionals and the Partnership from transacting with or in certain countries and with certain individuals and companies. In the United States, the U.S. Department of the Treasury’s Office of Foreign Assets Control (“OFAC”) administers and enforces laws, Executive Orders and regulations establishing U.S. economic and trade sanctions. Such sanctions prohibit, among other things, transactions with, and the provision of services to, certain non-U.S. countries, territories, entities and individuals. These entities and individuals include specially designated nationals, specially designated narcotics traffickers and other parties subject to OFAC sanctions and embargo programs. In addition, certain programs administered by OFAC prohibit dealing with individuals or entities in certain countries regardless of whether such individuals or entities appear on the lists maintained by OFAC. These types of sanctions may restrict the Partnership’s investment activities.

In some countries, there is a greater acceptance than in the United States of government involvement in commercial activities and of corruption. The Partnership is committed to complying with the U.S. Foreign Corrupt Practices Act (“**FCPA**”) and other anti-corruption laws, anti-bribery laws and regulations, as well as anti-boycott regulations, to which they are subject. As a result, the Partnership may be adversely affected because of its unwillingness to participate in transactions that violate such laws or regulations. Such laws and regulations may make it difficult in certain circumstances for the Partnership to act successfully on investment opportunities and for investments to obtain or retain business.

In recent years, the U.S. Department of Justice and the SEC have devoted greater resources to enforcement of the FCPA. In addition, the United Kingdom has recently significantly expanded the reach of its anti-bribery laws. Any determination that a Portfolio Company has violated the FCPA or other applicable anti-corruption laws or anti-bribery laws could subject the Portfolio Company or the Partnership to, among other things, civil and criminal penalties, material fines, profit disgorgement, injunctions on future conduct, securities litigation and a general loss of investor confidence, any one of which could adversely affect the Portfolio Company’s business prospects or financial position, as well as the Partnership’s ability to achieve its investment objective and/or conduct its operations.

Pay-to-Play Laws, Regulations and Policies

In light of certain scandals involving money managers, a number of states and municipal pension plans adopted so-called “pay-to-play” laws, regulations, or policies which prohibit, restrict, or require disclosure of payments to (or certain contacts with) state officials by individuals and entities seeking to do business with state entities, including investments by public retirement funds. The SEC has also adopted a rule that, among other things, prohibits an investment adviser from providing advisory services for compensation to a government client for two years after the adviser or certain of its executives or employees make a contribution to certain elected officials or candidates. If the General Partner or any of its employees or affiliates, or any service providers acting on their behalf, including, without limitation, a placement agent, fails to comply with such pay-to-play laws, regulations, or policies, such non-compliance could have an adverse effect on the Partnership by, for example, providing the basis for the withdrawal of the affected public pension fund investor.

EU and UK Privacy and Data Protection Law Compliance Risk

The EU has enacted the General Data Protection Regulation (EU 2016/679) (the “**EU GDPR**”), and the UK has implemented the Data Protection Act 2018 and the EU GDPR as it forms part of the laws of England and Wales, Scotland, and Northern Ireland by virtue of section 3 of the European Union (Withdrawal) Act 2018 (the “**UK GDPR**”), each of which (to the extent such laws apply) broadly impacts businesses that handle various types of personal data, including private fund managers and their funds and investments.

The EU GDPR and UK GDPR impose stringent legal and operational obligations on businesses, as well as the potential for fines, sanctions, or other penalties, which could materially and adversely affect the result of operations and overall business, as well as have an impact on the reputation, of the General Partner, the Partnership, and the Portfolio Companies. Failure to comply with the EU GDPR and the UK GDPR, depending on the nature and severity of the breach, could attract regulatory penalties of up to the greater of: (i) €20 million in respect of the EU GDPR; and (ii) £17.5 million in respect of each of the UK GDPR, or, in each case, 4% of an entire group’s total annual worldwide turnover, as well as the possibility of other enforcement actions (such as suspension of processing activities and audits), liabilities from third party claims and reputational damage. Notably, the EU GDPR and UK GDPR have extra-territorial reach and govern the processing of personal data by businesses with an establishment in the EU or the UK (as applicable), as well as those which offer goods or services to EU/UK data subjects or which monitor EU/UK data subjects’ behavior within the EU/UK.

Additionally, as a result of recent case law and regulatory guidance in the EU, organizations with a nexus to the UK or the EU will likely need to dedicate compliance costs and resources to implement appropriate legitimizing mechanisms and safeguards (e.g., standard contractual clauses, pseudonymization techniques, encryption, impact assessments) in respect of transfers of personal data from the EU and the UK to third countries that have not been deemed by the European Commission or the Secretary of State of the UK (as applicable) to provide adequate protection for personal data (including the U.S.).

As a result of the UK's departure from the EU, the EU GDPR and the UK GDPR are now dual regimes and may diverge over time. Any such divergence may lead to an increase in compliance costs and may require the dedication of additional time and resources.

CCPA Compliance Risk

The State of California passed the California Consumer Privacy Act of 2018, A.B. 375 (the "CCPA"). The CCPA grants consumers additional data protection and privacy rights and imposes additional obligations on companies that collect personal information. Industry organizations also regularly adopt and advocate for new standards in this area. In the United States, these include rules and regulations promulgated under the authority of federal government bodies and agencies, state attorneys general, legislatures, and consumer protection agencies.

Other jurisdictions, including other U.S. states, have proposed or are considering enacting laws similar to the CCPA, EU GDPR and UK GDPR, which if enacted could impose significant costs, potential liabilities and operational and legal obligations. Such laws and regulations are expected to vary from jurisdiction to jurisdiction, thus increasing costs, operational and legal burdens, and the potential for significant liability on regulated entities.

EU GDPR and UK GDPR – Fair Processing Information and Data Protection

Prospective investors should be aware that, in considering or making an investment in the Partnership, and interacting with the Partnership (including its Portfolio Companies), the General Partner, the Partnership and each of their affiliates, agents, advisers or delegates by (i) submitting the subscription materials, (ii) communicating through telephone calls, written correspondence and emails (all of which may be recorded), or (iii) providing personal data concerning individuals connected with the investor (such as directors, trustees, employees, representatives, shareholders, investors, clients, beneficial owners, advisers and agents), they will be providing the Partnership (including its Portfolio Companies), the General Partner and each of their affiliates, agents, advisers and delegates with personal data (as such term is defined in the EU GDPR and the UK GDPR).

The General Partner has prepared a privacy notice, which provides further information regarding the personal data controlled by it, including in relation to the Partnership, and the purposes for which such personal data is processed. The privacy notice is available in the subscription documents for the Partnership. Prospective investors should read the privacy notice carefully before sharing any personal data in accordance with the steps described above.

If you have any questions or concerns regarding the processing of personal data by the General Partner, or the Partnership (or its Portfolio Companies), please contact the General Partner at the email addresses listed in this Memorandum.

Foreign Investment Clearance Risk

Certain investments by the Partnership involving the acquisition of a U.S. business or assets with a nexus to U.S. interstate commerce could be subject to review by the Committee on Foreign Investment in the United States ("CFIUS") or non-U.S. national security or investment clearance regulators depending on

the beneficial ownership and control of Interests in the Partnership, which may have outsized impacts on transaction certainty, timing, feasibility, and cost, among other things.

Significant CFIUS reform legislation and regulations, which became effective on February 13, 2020, among other things, expand the scope of CFIUS' jurisdiction to cover more types of transactions and empower CFIUS to scrutinize more closely investments in U.S. "critical technology" and "critical infrastructure" companies, as well as companies that collect sensitive personal data of U.S. citizens, including investments involving foreign limited partners that may be deemed "non-passive."

Outside of the United States, other countries are increasingly taking action to strengthen their national security review regimes, and the EU has recently implemented an EU-wide national security investment screening framework. As a result, certain investments in foreign countries may likewise be subject to review by foreign investment clearance regimes if the investments are perceived to implicate national security policy priorities.

While the General Partner has taken steps to ensure that the Partnership's investments are not within CFIUS' jurisdiction, CFIUS agency practice is rapidly evolving, and there can be no assurance that the Partnership's investments will be exempt from CFIUS-related requirements or that CFIUS will not seek to ask questions about a transaction. In addition, any co-investments by an investor that is a "foreign person" may be subject to CFIUS' jurisdiction, and notification to CFIUS of such co-investor's participation may be required or advisable.

A Portfolio Company's failure to notify CFIUS of a transaction where such notification was required or otherwise warranted based on the national security considerations presented by such Portfolio Company could expose such Portfolio Company to legal penalties, costs, or other adverse reputational and financial effects, thus potentially diminishing the value of such investments by the Partnership.

In the event that CFIUS or another national security regulator reviews one or more of the Partnership's investments, there can be no assurances that the Partnership will be able to maintain or proceed with such investments on any terms, or on terms that are acceptable to the General Partner. Additionally, CFIUS may seek to impose limitations on one or more investments by the Partnership that may prevent the Partnership from maintaining or pursuing investment opportunities that the Partnership otherwise would have maintained or pursued, which could adversely affect the performance of the Partnership and the General Partner. If CFIUS imposes limitations on the ownership and control of a Portfolio Company, such Portfolio Company may incur heightened costs as a result of compliance with such limitations, and the Partnership's investment may lose value. Furthermore, changes to the implementing laws and regulations, and agency practice, of CFIUS and similar non-U.S. national security review regimes may limit the universe of suitable prospective acquirers for certain investments that the Partnership may exit and may make it more difficult for the Partnership to realize value from such investments.

Changes in Applicable Law

The Partnership must comply with various legal requirements and exemptions therefrom applicable to them, including the requirements of Federal and state securities laws. If any law or regulation applicable to the Partnership currently in effect should change or be interpreted or administratively implemented in a manner inconsistent with the intended manner of operation of the Partnership, or if any new laws or regulations should be enacted, the legal requirements to which the Partnership are subject could differ materially from current requirements or the manner of operation of the Partnership, then the Partnership might have to be restructured.

Risks Related to Certain Tax Matters

General Tax Considerations

The Partnership is expected to be treated as a partnership for U.S. federal income tax purposes. As is generally the case for similar private equity investment vehicles, an investment in the Partnership will give rise to a variety of complex U.S. federal income tax and other tax issues for Limited Partners. Certain of those issues may relate to special rules applicable to certain types of investors, such as life insurance companies, banks, individuals, dealers in securities, U.S. Tax-Exempt Limited Partners, and Non-U.S. Limited Partners (each, as defined below) and entities. Prospective investors are urged to consult their own tax advisors with specific reference to their own situations concerning an investment in the Partnership.

In addition, investors in the Partnership will be required to make complex decisions in filing their federal, state, and local tax returns to (i) appropriately take into account the tax basis, depletion and cost recovery options with respect to the Partnership's oil and natural gas activities and (ii) ensure compliance with state and local rules. Accordingly, investors may incur substantial tax and accounting compliance costs (which will not be reimbursed by the Partnership) in connection with an investment in the Partnership.

Prospective investors are urged to consult their own tax advisors with specific reference to their own situations concerning an investment in the Partnership.

Limited Partners May Recognize Income Without Receiving Cash

Each Limited Partner that is subject to U.S. tax will be required to take into account its allocated share of all items of Partnership income, gain, loss, deduction, and credit, whether or not distributed. The Partnership may generate taxable income in excess of cash distributions to Limited Partners and no assurance can be given that the Partnership will be able to make cash distributions to cover related tax liabilities as they arise. Accordingly, each Limited Partner should ensure that it has sufficient cash flow from other sources to pay all tax liabilities resulting from such Limited Partner's ownership of interests in the Partnership.

Tax Legislation

Changes or modifications in existing judicial decisions or in the current positions of the Internal Revenue Service (the "**Service**") and the passage of new legislation could substantially modify the tax treatment outlined in this Memorandum. All statements contained in this Memorandum concerning the U.S. federal income tax consequences of an investment in the Partnership are based upon existing law and the interpretations thereof. The rules dealing with U.S. federal income taxation are constantly under review by persons involved in the legislative process and by the Service and the Treasury Department, resulting in revisions of resolutions and revised interpretations of established concepts, as well as statutory changes. Moreover, judicial decisions, regulations, or administrative pronouncements could unfavorably affect the tax consequences of any investments in the Partnership. Investors are urged to consult with their own tax advisors with respect to an investment in the Partnership and the impact of any possible changes to U.S. federal income tax laws.

Last year, the Biden administration released legislative proposals that would, if enacted into law, make other significant changes to U.S. tax laws, including to certain key U.S. federal income tax incentives currently available to oil and natural gas exploration and production companies. These changes include, but are not limited to, (i) the repeal of the percentage depletion allowance for oil and natural gas properties, (ii) the elimination of current deductions for intangible drilling and development costs, and (iii) an extension of the amortization period for certain geological and geophysical expenditures. It is unclear whether these or similar changes will be enacted and, if enacted, how soon any such changes could become effective. The

passage of any future legislation as a result of these proposals or any other similar changes in U.S. federal income tax laws could eliminate or postpone certain tax deductions that are currently available with respect to oil and natural gas exploration and development, or increase costs, and any such change could negatively affect the performance of the Partnership.

Tax Exempt and Non U.S. Investor Tax Considerations

An investment in the Partnership can be expected to result in the incurrence of unrelated business taxable income (“**UBTI**”) by U.S. Tax-Exempt Limited Partners, effectively connected income (“**ECI**”) by Non-U.S. Limited Partners and commercial activity income (“**CAI**”) by Sovereign Wealth Funds. Such investments, if made, may give rise to U.S. tax reporting and payment obligations for such Limited Partners. In addition, such investments are generally expected to constitute “U.S. real property interests” within the meaning of the Foreign Investment in Real Property Tax Act (“**FIRPTA**”), which could create a U.S. tax liability for Non-U.S. Limited Partners. The Partnership will not seek to avoid the incurrence of UBTI, ECI, CAI or taxes under FIRPTA by any U.S. Tax-Exempt Limited Partners, Non-U.S. Limited Partners or Sovereign Wealth Funds, as applicable.

The General Partner intends, however, to make available to U.S. Tax-Exempt Limited Partners, Sovereign Wealth Funds and Non-U.S. Limited Partners various “feeder” structures that would allow such Limited Partners to mitigate or avoid direct reporting of UBTI, CAI and ECI by investing through one or more entities treated as corporations for U.S. federal income tax purposes. See Section XI – “Legal & Tax Matters – United States Federal Income Tax Considerations – Structure and Tax Considerations of the UBTI/CAI Feeder Fund” and Section XI – “Legal & Tax Matters – United States Federal Income Tax Considerations – Structure and Tax Considerations of the ECI Feeder Fund” for further discussion regarding such feeder structures.

Tax Withholding Considerations

To the extent the Partnership is required by law to withhold or make tax payments on behalf of or with respect to any Limited Partner, the General Partner will withhold these amounts and make the tax payments as required. If there are not sufficient distributions to such Limited Partner to satisfy such withholding, or if the General Partner otherwise demands, the Limited Partner may be required to remit such amounts to the Partnership. Such Limited Partners will indemnify the Partnership, the Partnership Representative (as defined below), and the General Partner, and hold them each harmless, for any liability with respect to taxes, penalties, or interest required to be withheld or paid to any taxing authority by the Partnership, the Partnership Representative (as defined below), or the General Partner. Each Limited Partner is required to furnish the General Partner all information as is required by applicable law or otherwise reasonably requested by the General Partner with respect to such withholdings.

State and Local Taxes

Consideration should be given to potential state and local tax consequences of an investment in the Partnership. In addition to being taxed in its own state or locality of residence, a Limited Partner may be subject to tax return filing obligations and income, franchise, and other taxes in jurisdictions in which the Partnership operates. Prospective investors should consult their tax advisors regarding the state and local tax consequences of an investment in the Partnership.

IRS Challenge and Audit

The Partnership may, from time to time, take tax positions that may be subject to challenge by the Service. If the Service does challenge such a position and is successful, there may be substantial retroactive taxes,

plus interest and possibly penalties imposed on the Partnership and its Limited Partners. Furthermore, the Service may audit the Limited Partner's tax returns. Any audit issues will be determined at the Partnership level. Audit of the Partnership's return may result in examination and audit of a Limited Partner's individual returns that otherwise might not have occurred, and such audit may result in adjustments to items in the Limited Partner's returns that are unrelated to the Partnership. Each Limited Partner must bear the expenses associated with an audit of that Limited Partner's own returns.

Partnership Audit Rules

U.S. federal income tax audits are conducted at the partnership level. Unless a partnership qualifies for, and affirmatively elects, an alternative procedure, any adjustments to the amount of tax due (including interest and penalties) will be payable by the partnership. Under the elective alternative procedure, a partnership would issue information returns to persons who were partners in the audited year, who would then be required to take the adjustments into account in calculating their own tax liability, and the partnership would not be liable for the adjustments. Where a partnership-level adjustment is passed through to a partner that is itself a partnership, the upper-tier partnership may, subject to certain conditions, elect to further pass through such adjustment to the partners who participated in the upper-tier partnership in the audited year. If such an election is made by the Partnership, interest on any deficiency will be at a higher interest rate than that which would otherwise apply to tax underpayments. There can be no assurance that the Partnership will be eligible to make such an election or that it will, in fact, make such an election even if able for any given adjustment. If the Partnership does not or is not able to make such an election, then (i) the then current Limited Partners of the Partnership, in the aggregate, could indirectly bear income tax liabilities in excess of the aggregate amount of taxes that would have been due had the Partnership elected the alternative procedure, and (ii) a given Limited Partner may indirectly bear taxes attributable to income allocable to other Limited Partners or former Limited Partners, including taxes (as well as interest and penalties) with respect to periods prior to such Limited Partner's ownership interest. Amounts available for distribution to the Limited Partners may be reduced as a result of the Partnership's obligations to pay any taxes associated with an adjustment. Investors are encouraged to consult their tax advisors regarding the impact of the partnership tax audit rules on their investment in the Partnership.

Timing of Schedules K-1

The timing of Schedules K-1 from the Partnership may impact the timing of Limited Partner's filing of their own U.S. federal income tax returns. The Partnership is required to report each Limited Partner's allocable share of the Partnership's items of income, gain, loss, deduction and credit to each Limited Partner on Schedule K-1. Circumstances may arise which result in a delay of the distribution of Schedules K-1 to Limited Partners until April 15 or later if an extension of time to file the partnership return is requested. In the event of delay, Limited Partners may be unable to timely prepare their individual returns or calculate their estimated income tax payments without seeking an extension.

Taxation of Oil and Gas Investments

Investments in the energy sector may be subject to numerous taxes and fees by the jurisdictions in which such investments are located or operated. Oil and natural gas investments, in particular, can be subject to

specific tax regimes, such as severance and production taxes, petroleum revenue taxes, fees for drilling rights and exploration licenses, oil production fees, property taxes, and stamp duties.

Risks Related to Potential Conflicts of Interest

Conflicts Regarding General Partner, Its Affiliates and Limited Partners

The Partnership may be subject to certain conflicts of interest arising out of its relationship with the General Partner and its affiliates, investors, service providers, employees, and personnel. The agreements and arrangements among the Partnership, the General Partner, and their respective affiliates, including those relating to compensation, have been established by the General Partner and are not the result of arm's-length negotiations. Certain provisions of the Partnership Agreement are designed to protect the interests of the Limited Partners in situations where conflicts may exist, and the LPAC will be consulted on transactions involving conflicts of interest, although these provisions do not eliminate such conflicts of interest. However, the LPAC of the Partnership and the LPACs of other EnCap funds may have overlapping membership. Accordingly, certain LPAC members may have conflicts of interest with respect to certain transactions or matters with respect to which LPAC approval is sought.

Diverse Investors

The Limited Partners may have conflicting investment, tax, and other interests with respect to their investments in the Partnership. The conflicting interests of individual Limited Partners may relate to or arise from, among other things, the nature of investments made by the Partnership, the structuring or the acquisition of investments and the timing of disposition of investments. As a consequence, conflicts of interest may arise in connection with decisions made by the General Partner, including with respect to the nature or structuring of investments that may be more beneficial for one Limited Partner than for another Limited Partner, particularly with respect to Limited Partners' individual tax situations. In selecting and structuring investments appropriate for the Partnership, the General Partner will consider the investment and tax objectives of the Partnership and the Partners as a whole, not the investment, tax, or other objectives of any Limited Partner individually.

Carried Interest

The fact that a significant portion of the compensation of the General Partner is based in part on the performance of the Partnership may create an incentive for the General Partner to make investments that are riskier or more speculative than would be the case in the absence of such performance-based compensation. However, this incentive may be tempered somewhat by the fact that losses will reduce the Partnership's performance and thus the compensation of the General Partner.

Management Fee Payable Regardless of Partnership Performance

The Management Fee is required to be paid to the Manager even if the Partnership experiences net losses in a particular year or over the term of the Partnership.

Management of Clients

EnCap expects that it or its personnel will in the future establish one or more additional investment funds with investment objectives substantially similar to, or different from, those of the Partnership. Allocation of available investment opportunities between the Partnership and any Successor Partnership formed for a substantially similar purpose could give rise to conflicts of interest. In addition, it is expected that employees of EnCap responsible for managing the Partnership will have responsibilities with respect to other investment vehicles managed by EnCap. Conflicts of interest may arise in allocating time, services, or functions of these officers and employees.

Co-Investments

The General Partner may, but is not obligated to, offer co-investment opportunities to investors. Any decision to offer a co-investment opportunity and to whom will be made in the sole discretion of the General Partner. If the General Partner decides to make a co-investment opportunity available, it may be offered to one or more Limited Partners, but not all of the Limited Partners, as determined as by the General Partner in its sole discretion. It is possible that certain persons other than Limited Partners (i.e., third parties) may be offered co-investment opportunities, as determined by the General Partner in its sole discretion. Factors that the General Partner may consider in determining whether to offer a Limited Partner a co-investment opportunity include (but are not limited to) the following: (i) the amount of the Limited Partner's commitment to the Partnership; (ii) if the Limited Partner was an investor in other EnCap funds and the amount of such Limited Partner's capital commitment to such funds; (iii) the amount the Limited Partner is willing to commit to a co-investment opportunity; (iv) the amount of time the Limited Partner will require in order to obtain the requisite internal approval of a co-investment opportunity; (v) the willingness of the Limited Partner to permit the General Partner to negotiate the terms of a co-investment opportunity and to defer to the General Partner with respect to all material elections and determinations with respect to such co-investment opportunity; and (vi) the General Partner's and EnCap's experience in dealing with the Limited Partner.

Benefits to EnCap from Common Service Providers

Certain service providers (or their affiliates), including administrators, lenders, brokers, attorneys, consultants, and investment banking firms, that the General Partner may retain or seek to have retained on behalf of the Partnership and its Portfolio Companies may also have relationships with, or have provided goods or services to the General Partner or EnCap or their respective affiliates. Certain of these service providers may be Limited Partners of the Partnership. The General Partner may choose to engage or seek to have engaged the same service providers to provide services to the Partnership, the Portfolio Companies, the General Partner, or affiliates of any of them. In some cases, these service providers may provide services for one or more of these parties on terms that are more beneficial than those afforded to other of these parties. There can be no guarantee that the Partnership or any of the Portfolio Companies will receive the most beneficial terms offered by any particular service provider. These services and relationships or more favorable terms offered by service providers may influence the General Partner in deciding whether to select or recommend such a provider to perform services for the Partnership or the Portfolio Companies. Additionally, EnCap, the General Partner, or their affiliates could participate in group purchasing programs (e.g., group medical coverage, leasing of office space, etc.) in which the Portfolio Companies participate.

Conflicts Related to Portfolio Companies

Officers of the Manager will likely serve as directors of certain Portfolio Companies and, in that capacity, may under certain circumstances be required to make decisions that consider the best interests of such Portfolio Companies and their shareholders. In certain circumstances, for example in situations involving bankruptcy or near insolvency of a Portfolio Company, actions that may be in the best interest of the Portfolio Company or its creditors may not be in the best interests of the Partnership and vice versa. Accordingly, in these situations, there could be conflicts of interest between such individual's duties as an officer of the Manager, and such individual's duties as a director of the Portfolio Company.

LPAC

The members of the LPAC have other professional obligations including senior executive, supervisory, or board positions, which are unrelated to the Partnership or its Portfolio Companies. Therefore, conflicts of

interest may arise in allocating time, services, or functions among the Partnership and the time required for these other obligations.

Additionally, a conflict exists when some, but not all, Limited Partners are permitted to designate a member to the LPAC. The LPAC has the ability to approve conflicts of interest with respect to EnCap and the Partnership, which could be disadvantageous to the Limited Partners, including those who did not designate a member to the LPAC.

Expense Allocation

While EnCap historically has and will continue to disclose all conflicts among its funds and to allocate the expenses of its funds in good faith and in accordance with the terms of the relevant fund agreements and its expense allocation policy in effect from time to time, EnCap cannot be sure that all potential conflicts are discovered and disclosed and, accordingly, that all expenses are appropriately allocated.

Limitations of Counsel

Vinson & Elkins L.L.P. (“V&E”) has been retained by the General Partner as counsel in connection with the organization of the Partnership. V&E may continue to serve in such capacity in the future, but has not assumed any obligation to update this Memorandum. In connection with the offering of Interests and subsequent advice to the Partnership, the General Partner, or any of their respective affiliates, V&E will not be representing the investors. The engagement of V&E by the General Partner in respect of the Partnership is limited to the specific matters as to which each is consulted by the General Partner and, therefore, there may exist facts or circumstances which could have a bearing on the General Partner or financial condition or operations of the Partnership with respect to which V&E has been consulted and for which it disclaims any responsibility. More specifically, V&E does not undertake to monitor the compliance of the General Partner or its affiliates with their obligations to the Partnership and its investors, nor do they or will they monitor compliance with applicable laws. In connection with the preparation of this Memorandum, V&E has relied upon information furnished to it by the General Partner and its respective affiliates and did not investigate or verify the accuracy and completeness of information set forth herein concerning the General Partner.

The foregoing list of potential and actual conflicts of interest does not purport to be a complete enumeration of the conflicts attendant to an investment in the Partnership. Additional conflicts may exist that are not presently known to the General Partner or its affiliates or are deemed immaterial. Prospective investors should read this Memorandum and the Partnership Agreement and consult with their independent advisors before deciding whether to invest in the Partnership. In addition, as the investment program of the Partnership develops and changes over time, an investment in the Partnership may be subject to additional and different actual and potential conflicts of interest.

XI LEGAL & TAX MATTERS

Employee Benefit Plan Considerations

Fiduciaries of employee benefit plans (“**ERISA Plans**”) subject to Title I of the Employee Retirement Income Security Act of 1974, as amended (“**ERISA**”) and Section 4975 of the Internal Revenue Code of 1986, as amended (the “**Code**”) should consult their advisors regarding the impact of ERISA and the Code on an investment in the Partnership. Among other considerations, a fiduciary of a prospective ERISA Plan investor should take into account whether an investment in the Partnership is permitted under the ERISA Plan’s governing instruments; the impact of the investment on the overall diversification of the ERISA Plan’s assets; the cash flow needs of the ERISA Plan and the effects thereon of the illiquidity of the investment; the fact that the Partnership is expected to consist of a diverse group of investors (including both taxable and tax-exempt entities); the tax effects and risks of the investment described below in “United States Federal Income Tax Considerations”; and the fact that, as discussed below, the Partnership is expected to qualify for an exemption under the Plan Asset Regulations (as defined below) and, therefore, that neither the General Partner nor any of its affiliates, representatives, agents or employees will be acting as a fiduciary under ERISA to the ERISA Plan, either with respect to the ERISA Plan’s purchase or retention of its investment or with respect to the management and operation of the business and assets of the Partnership.

Section 406 of ERISA and Section 4975 of the Code prohibit an ERISA Plan from engaging in certain transactions involving “plan assets” with parties that are “parties in interest” under ERISA or “disqualified persons” under the Code in respect of the plan. The definition of “plan assets” for this purpose is determined by reference to regulations of the U.S. Department of Labor included in 29 C.F.R. § 2510.3-101, as modified by the Pension Protection Act of 2006 (the “**Plan Asset Regulations**”). The Plan Asset Regulations generally provide in relevant part that the underlying assets of an entity in which an ERISA Plan makes an equity investment will be deemed, for purposes of ERISA, to be assets of the ERISA Plan, unless (i) immediately after the most recent acquisition of an equity interest in the entity, less than 25% of the total value of each class of equity interests therein (excluding any interests held by the General Partner or its affiliates) are held in the aggregate by benefit plan investors defined to include employee benefit plans subject to ERISA, any plan to which the prohibited transaction rules of Section 4975 of the Code apply, and any entity whose underlying assets include plan assets by reason of a plan’s investment in such entity (collectively, “**Benefit Plan Investors**”) or (ii) the entity qualifies as an “operating company” as defined in the Plan Asset Regulations, including a “venture capital operating company” or a “real estate operating company.”

The Partnership intends to limit total investments by such types of Benefit Plan Investors to less than 25% in the aggregate of any class of interest in the Partnership (excluding any interests owned by the General Partner or its affiliates) such that the Partnership’s assets will not be deemed to constitute plan assets for purposes of ERISA. In order to effect this limitation, the General Partner reserves the right to exclude Benefit Plan Investors from the Partnership, including, without limitation, by rejecting subscriptions by any such Benefit Plan Investors for interests or by otherwise limiting transfers of interests to such Benefit Plan Investors.

Each person acquiring or transferring an interest in the Partnership will be required to represent and warrant the extent to which the assets being used to acquire or hold such interest constitutes plan assets and whether such person constitutes a Benefit Plan Investor. The Partnership and the General Partner shall be entitled and intend to rely (without further inquiry) on each Partner’s certification as to its status as a Benefit Plan Investor.

If the Partnership were deemed to hold plan assets, ERISA's prohibited transaction restrictions and prudence and other fiduciary standards would apply to, and might materially affect, the investments and operation of the Partnership. As a result, the General Partner may require the withdrawal of a Benefit Plan Investor in order to avoid a violation of, or other breach of a fiduciary duty under, ERISA.

United States Federal Income Tax Considerations

The tax discussion contained in this Memorandum is not intended or written to be used by any prospective Limited Partner to avoid penalties that may be imposed under United States federal tax laws and is written solely to assist a prospective Limited Partner in its consideration of whether to invest in the Interests. Each prospective Limited Partner should seek advice regarding the tax implications of an investment in the Interests from an independent tax advisor.

The following discussion is a general summary of certain U.S. federal income tax consequences of an investment in and ownership of a limited partnership interest in the Partnership. The following discussion does not describe all the potential tax considerations relevant to the Partnership or its operations. This discussion is necessarily general and is not intended to be applicable to all categories of investors, some of which, such as banks, thrifts, insurance companies and dealers and other investors that do not own their Interests as capital assets, and, except to the extent specifically provided herein, non-U.S. investors and tax-exempt organizations, may be subject to special rules. Moreover, the tax considerations relevant to a specific Limited Partner depend upon its particular circumstances. Each prospective Limited Partner is urged to consult its own tax advisor concerning the potential tax consequences of an investment in the Partnership.

The following discussion is based upon the Code and administrative and judicial interpretations thereof, as of the date hereof, all of which are subject to change (possibly on a retroactive basis). No tax rulings have been or are anticipated to be requested from the Service or other taxing authorities with respect to any of the tax matters discussed herein, nor has the Partnership obtained an opinion of counsel with respect to any federal, state, or local tax issues. This discussion does not constitute tax advice and is not intended to substitute for a Limited Partner's own tax planning or the advice a Limited Partner should obtain from the Limited Partner's own tax advisor.

For purposes of this discussion, a **"U.S. Person"** or a **"U.S. Limited Partner"** is an individual who is a citizen or a resident of the United States (as such residency is determined for U.S. federal income tax purposes), a corporation or entity classified as a corporation that is created or organized in the United States or under the laws of the United States or any state, an estate the income of which is subject to U.S. federal income taxation regardless of its source, or an entity classified as a trust (i) that is subject to the supervision of a court within the United States and the control of one or more United States persons as described in Section 7701(a)(30) of the Code or (ii) that has a valid election in effect under applicable Treasury regulations to be treated as a U.S. Person. A **"U.S. Tax-Exempt Limited Partner"** is a U.S. Limited Partner that is (i) an organization exempt from tax imposed by Chapter 1 of the Code, (ii) the United States, any U.S. state (including the District of Columbia) or political subdivision thereof, any international organization (as defined in Section 7701(a)(18) of the Code) or any agency or instrumentality of the United States, of any U.S. state or political subdivision thereof or of any such international organization, and (iii) any Indian tribal government described in Section 7701(a)(4) of the Code. A **"Non U.S. Person"** or **"Non U.S. Limited Partner"** is a person that is not a U.S. Person. A **"Sovereign Wealth Fund"** means a Non-U.S. Limited Partner that qualifies for benefits under Section 892 of the Code.

If a partnership holds an Interest, the tax treatment of a partner in such partnership will generally depend upon the status of the partner and the activities of the partnership. Prospective investors that are partners of a partnership that is considering an investment in an Interest should consult their own tax advisors.

Classification of the Partnership as a Partnership

Subject to the discussion of publicly traded partnerships below, a Delaware limited partnership such as the Partnership will be classified as a partnership for U.S. federal income tax purposes unless it elects to be classified as a corporation. The Partnership has not made and does not intend to make such an election. An entity that is otherwise classified as a partnership for U.S. federal income tax purposes may nonetheless be taxable as a corporation if it is a “publicly traded partnership” and fails to meet an annual qualifying income test. The General Partner intends to operate the Partnership so it will not be treated as a corporation under the publicly traded partnership provisions. The Partnership intends to obtain and rely on appropriate representations and undertakings from each Limited Partner in order to ensure that the Partnership is not treated as a publicly traded partnership. If the Partnership were treated as a corporation for U.S. federal income tax purposes, it would be subject to U.S. federal income tax on its net earnings at corporate rates, and any distributions to the Limited Partners would be taxable as dividends to the Limited Partners to the extent of the earnings and profits of the Partnership.

An organization that is classified as a partnership for U.S. federal income tax purposes is not itself subject to U.S. federal income tax, although it must file an annual information return with the IRS and report the results of its operations to its partners. The remainder of this discussion assumes that the Partnership will be treated as a partnership for U.S. federal income tax purposes.

Taxation of U.S. Limited Partners

Taxation of Partnership Operations Generally

Each U.S. Limited Partner will be required to report on its own U.S. federal income tax return its share of each item of the Partnership’s income, gain, loss, deduction, and credit for each taxable year of the Partnership ending with or within the U.S. Limited Partner’s taxable year. See “—Allocations of Income, Gain, Loss, Deduction, and Credit” below. Each item generally will have the same character and source (either United States or foreign) as it would have had in the event the U.S. Limited Partner realized the item directly. U.S. Limited Partners must report these items regardless of the extent to which, or whether, they receive cash distributions from the Partnership for such taxable year, and thus may incur U.S. federal income tax liabilities in excess of any distributions from the Partnership. Moreover, the Partnership will invest in other arrangements classified as partnerships for U.S. federal income tax purposes that could cause the Partnership, and consequently the U.S. Limited Partners, to recognize taxable income without receiving any cash distributions. Thus, taxable income allocated to a U.S. Limited Partner may exceed cash distributions, if any, made to such U.S. Limited Partner. In such a case, a U.S. Limited Partner would have to satisfy tax liabilities arising from an investment in the Partnership from such U.S. Limited Partner’s own funds.

Partnership Distributions

Cash distributions from the Partnership to U.S. Limited Partners generally are not treated as the receipt of taxable income. Instead, a U.S. Limited Partner generally will treat a distribution as a return of its investment in its Interests and its adjusted basis generally will be reduced by the amount of the cash distribution. To the extent cash distributions (including distributions of “certain marketable securities” treated as cash distributions) exceed the adjusted basis of a U.S. Limited Partner’s Interest, however, the U.S. Limited Partner will recognize taxable gain and such gain would generally be taxable as capital gain except to the extent attributable to “Section 751 Assets” (i.e., certain inventory or unrealized receivables)

of the Partnership which would be taxable as ordinary income. Distributions of property other than cash or marketable securities treated as cash (other than in liquidation of a U.S. Limited Partner's Interest) will result in a reduction in the adjusted basis (but not below zero) of a U.S. Limited Partner's Interest by the amount of the Partnership's adjusted basis in the property immediately before its distribution and the U.S. Limited Partner's tax basis in the property received will equal the lesser of the amount of the Partnership's adjusted basis in such property immediately prior to the distribution and the U.S. Limited Partner's adjusted basis in its Interest. For purposes of the above described rules, decreases in a U.S. Limited Partner's share of liabilities of the Partnership (directly or through lower tier partnerships and other pass-through entities) are treated as cash distributions.

Upon a cash liquidating distribution from the Partnership, a U.S. Limited Partner generally will recognize capital gain or loss to the extent of the difference between the proceeds received by the U.S. Limited Partner and such U.S. Limited Partner's tax basis in its Interest. For this purpose, proceeds received by a U.S. Limited Partner will include any of the Partnership's liabilities from which the U.S. Limited Partner is deemed to be relieved. Such capital gain or loss will be short-term or long-term depending upon the U.S. Limited Partner's holding period for its Interest. However, a portion of this gain will be recharacterized as ordinary income to the extent such U.S. Limited Partner's allocable share of the Partnership's Section 751 Assets, exceeds or is less than the U.S. Limited Partner's tax basis in such Section 751 Assets.

Allocations of Income, Gain, Loss, Deduction, and Credit

Pursuant to the Partnership Agreement, items of the Partnership's taxable income, gain, loss, deduction and credit are allocated so as to take into account the varying interests of the General Partner and the U.S. Limited Partners over the term of the Partnership. Section 704(b) of the Code provides that allocations of items of partnership income, gain, loss, deduction and credit will be respected for U.S. federal income tax purposes if such allocations have "substantial economic effect" or are determined to be in accordance with the relevant partner's interest in the partnership (i.e., the Partnership). The General Partner believes that, for U.S. federal income tax purposes, allocations pursuant to the Partnership Agreement should be respected for U.S. federal income tax purposes and intends to cause the Partnership's information returns to be prepared on this basis. In the event the Partnership's allocations were not respected, however, any resulting reallocation of tax items may have adverse tax and financial consequences to a U.S. Limited Partner. A U.S. Limited Partner's tax basis will be increased by such U.S. Limited Partner's allocable share of the Partnership's items of income and gain. A U.S. Limited Partner's tax basis will be decreased, but not below zero, by such U.S. Limited Partner's allocable share of the Partnership's items of deduction and loss.

Election to Adjust Basis

The General Partner may make a Section 754 election to adjust the basis of Partnership assets upon the sale or other disposition of an Interest or upon the distribution to U.S. Limited Partners of assets in kind. In general, such an election by the Partnership would permit the Partnership to adjust the tax basis of its assets to reflect gain or loss attributable to the sale or exchange of an Interest or to reflect any difference between the Partnership's basis in any property distributed to a U.S. Limited Partner and the basis the partner receives in the property. The election could be beneficial if the Partnership's assets have appreciated in value. Because the election, once made, cannot be revoked without the consent of the Service, if the election were made and there were many transfers, the calculation of the adjustments and the necessary recordkeeping could become complex. The Partnership generally will be required to adjust the basis of its assets in the same manner as if a Section 754 election were in effect under certain circumstances, unless, with respect to a sale or other disposition of an Interest, the Partnership qualifies as an "electing investment partnership," as defined in Section 743 of the Code, and elects to preclude a transferee of an Interest from deducting its allocable share of any loss realized by the Partnership on the sale or exchange of Partnership

assets to the extent the transferor U.S. Limited Partner realized a loss on the original transfer of its Interest. Because of the limited relief provided by such election and the complexity required to determine the amount of loss that the transferee Partner could not deduct, the Partnership may determine that such election should not be made, if available. If the Partnership does not qualify as an “electing investment partnership” (if applicable) or does not make such an election, and a mandatory Section 754 election is required, the General Partner will cause the Partnership to comply with such requirement. The General Partner has not determined whether or not it will cause the Partnership to make a Section 754 election that is not mandatory.

Allocation of Basis of Oil and Gas Properties; Depletion Deductions

Even though the Partnership, directly or indirectly, owns oil and gas properties and recognizes income from their operation, the Partnership does not hold tax basis in the properties. Instead, tax basis is held by the U.S. Limited Partners outside of the Partnership and the U.S. Limited Partners separately and independently compute depletion and gain or loss for the oil and gas properties. Thus, the Partnership must allocate the basis of the oil and gas properties to the U.S. Limited Partners. Each U.S. Limited Partner’s share of the adjusted basis of the oil and gas properties owned by the Partnership is typically based on such U.S. Limited Partner’s share of the Partnership’s capital. Each U.S. Limited Partner is then required to separately keep records of such U.S. Limited Partner’s adjusted basis in each oil and gas property held by the Partnership, adjust such share of the adjusted basis for depletion taken on such property, and use such adjusted basis each year in the computation of such U.S. Limited Partner’s cost depletion or in the computation of such U.S. Limited Partner’s gain or loss on the disposition of such oil and gas property by the Partnership. The Partnership intends to furnish each of the U.S. Limited Partners with information relating to these computations.

Subject to the limitations on deductibility of losses discussed below, U.S. Limited Partners will be entitled to deductions for the greater of either cost depletion or (if otherwise allowable) percentage depletion with respect to the oil and gas properties owned by the Partnership or a pass-through entity in which the Partnership invests.

Percentage depletion for domestic production is generally available with respect to U.S. Limited Partners who qualify under the independent producer exemption contained in Section 613A(c) of the Code. For this purpose, an independent producer is a person not directly or indirectly involved in the retail sale of oil, natural gas, or derivative products or the operation of a major refinery. Percentage depletion is calculated as an amount generally equal to 15% (and, in the case of marginal production, potentially a higher percentage) of the U.S. Limited Partner’s gross income from the depletable property for the taxable year. The percentage depletion deduction with respect to any property is limited to 100% of the taxable income of the U.S. Limited Partner from the property for each taxable year, computed without the depletion allowance and any deduction under Section 199A of the Code. A U.S. Limited Partner that qualifies as an independent producer may deduct percentage depletion only to the extent the U.S. Limited Partner’s average daily production of domestic crude oil, or the natural gas equivalent, does not exceed 1,000 barrels. This depletable amount may be allocated between natural gas and oil production, with 6,000 cubic feet of domestic natural gas production regarded as equivalent to one barrel of crude oil. The 1,000-barrel limitation must be allocated among the independent producer and controlled or related persons and family members in proportion to the respective domestic production by such persons during the period in question.

In addition to the foregoing limitations, the percentage depletion deduction otherwise available is limited to 65% of a U.S. Limited Partner’s total taxable income from all sources for the year, computed without the depletion allowance, any deduction allowable under Section 199A of the Code for qualified business income, net operating loss carrybacks, or capital loss carrybacks. Any percentage depletion deduction disallowed because of the 65% limitation may be deducted in the following taxable year to the extent the

percentage depletion deduction for such year plus the deduction carryover does not exceed 65% of the U.S. Limited Partner's total taxable income for that year (computed without regard to the above items). The carryover period resulting from the 65% net income limitation is indefinite.

U.S. Limited Partners that do not qualify under the independent producer exemption are generally restricted to depletion deductions based on cost depletion. Cost depletion deductions are calculated by (1) dividing the U.S. Limited Partner's share of the tax basis in the underlying mineral property by the number of units of mineral (e.g., barrels of oil and thousand cubic feet, or Mcf, of natural gas) remaining as of the taxable year and (2) multiplying the result by the number of units of mineral sold within the taxable year. The number of units of mineral remaining as of the taxable year is the number of units of mineral remaining at the end of the period to be recovered from the property (including units recovered but not sold) plus the number of units sold within the taxable year. The total amount of deductions based on cost depletion cannot exceed the U.S. Limited Partner's share of the total tax basis in the property.

All or a portion of any gain recognized by a U.S. Limited Partner as a result of either the disposition of some or all of the natural gas and oil interests owned by the Partnership or a pass-through entity in which the Partnership invests or the disposition by the U.S. Limited Partner of part or all of its Partnership Interest may be taxed as ordinary income to the extent of recapture of depletion deductions, except for percentage depletion deductions in excess of the tax basis of the property. The amount of the recapture is generally limited to the amount of gain recognized on the disposition.

The foregoing discussion of depletion deductions does not purport to be a complete analysis of the complex Code provisions, Treasury regulations and other authorities relating to the availability and calculation of depletion deductions by the U.S. Limited Partners. Each prospective U.S. Limited Partner is urged to consult its tax advisor to determine whether percentage depletion would be available to it.

Deductions for Intangible Drilling and Development Costs

The Partnership will elect to currently deduct intangible drilling costs ("IDCs") with respect to wells owned by the Partnership or a pass-through entity in which the Partnership invests (if such entity has also elected to currently deduct IDCs) that are located within the United States. IDCs generally include expenses for wages, fuel, repairs, hauling, supplies, and other items that are incidental to, and necessary for, the drilling and preparation of wells for the production of oil, natural gas, or geothermal energy. In general, the option to currently deduct IDCs applies only to those items that do not have a salvage value.

Although the Partnership will elect to currently deduct IDCs, each U.S. Limited Partner will have the option of either currently deducting IDCs or capitalizing all or part of the IDCs and amortizing them on a straight-line basis over a 60-month period, beginning with the taxable month in which the expenditure is made. If a U.S. Limited Partner makes the election to amortize the IDCs over a 60-month period, no IDC preference amount will result for alternative minimum tax purposes.

IDCs previously deducted that are allocable to property (directly or through ownership of an interest in a partnership) and that would have been included in the tax basis of the property had the IDC deduction not been taken are recaptured as ordinary income to the extent of any gain realized upon the disposition of the property or upon the disposition by a U.S. Limited Partner of Interests. Recapture is generally determined at the U.S. Limited Partner level.

Last year, however, legislation was proposed that would, if enacted, eliminate the ability to deduct IDCs when paid or incurred with regard to any oil or gas well. See "United States Federal Income Tax Considerations – Other Tax Matters – Possible Changes in Tax Laws". Such costs would be required to

be capitalized and recovered through depletion or amortization deductions over an undetermined period of years.

Lease Acquisition Costs

The cost of acquiring natural gas and oil leaseholds or similar property interests is a capital expenditure that must be recovered through depletion deductions if the lease is productive. If a lease is proved worthless and abandoned, the cost of acquisition less any depletion claimed may be deducted as an ordinary loss in the year the lease becomes worthless. See “United States Federal Income Tax Considerations – Taxation of U.S. Limited Partners – Allocation of Basis of Oil and Gas Properties; Depletion Deductions”.

Geophysical Costs

Under current law, the cost of geophysical exploration incurred in connection with the exploration or development of oil and gas properties in the United States is deducted ratably over a two-year period beginning on the date that such expense is paid or incurred. Last year, however, legislation was proposed that would, if enacted into law, extend the amortization period for geological and geophysical expenditures from two years to seven years. See “United States Federal Income Tax Considerations – Other Tax Matters – Possible Changes in Tax Laws”.

Operating and Administrative Costs

Amounts paid for operating a producing well are deductible as ordinary business expenses, as are administrative costs to the extent they constitute ordinary and necessary business expenses that are reasonable in amount.

Qualified Business Income

A non-corporate U.S. Limited Partner may generally deduct 20% of certain types of income (generally, domestic items of income, gain, deduction and loss to the extent such items are effectively connected with the conduct of a U.S. trade or business but excluding certain investment related income), subject to certain wage and other phase-out limitations.

Organizational, Operating Expenses and Syndication Expenses

The organization and operating expenses of the Partnership, including the management fee and any other amounts treated as compensation paid to the General Partner or its affiliates, may be treated as miscellaneous itemized deductions or may have to be capitalized for tax purposes. No miscellaneous itemized deductions are currently allowed for non-corporate taxpayers. In general, neither the Partnership nor any Partner may currently deduct organizational or syndication expenses. A partnership may elect to amortize its organizational expenses over a 180-month period. Syndication expenses, such as placement fees, must be capitalized and cannot be amortized or otherwise deducted. However, the capitalization of such syndication expenses may result in increased capital loss or decreased capital gain on the disposition or liquidation of an Interest.

Alternative Minimum Tax Consequences

Prospective individual U.S. Limited Partners that are subject to the alternative minimum tax (“AMT”) should consider the tax consequences of an investment in the Partnership in view of their AMT position, taking into account the special rules that apply in computing the AMT, including the adjustments to depreciation deductions, the special limitations as to the use of net operating losses and the complete disallowance of deductions for state and local taxes.

Limits on Deductions for Losses and Expenses

It is possible that losses and expenses of the Partnership could exceed the Partnership’s income and gain in a given year. The ability of a U.S. Limited Partner to deduct such a net loss against its taxable income from

other sources may be subject to a number of limitations in the Code. For example, each U.S. Limited Partner will not be entitled to deduct its share of Partnership losses in excess of its tax basis at the end of the tax year of the Partnership in which such losses are recognized. In addition, Section 469 of the Code provides that, in general, in the case of an individual, estate, trust, certain types of personal service corporations, and certain types of closely held C corporations, the aggregate losses for any taxable year from passive activities (which would generally include the Partnership's investments) are deductible only to the extent of the taxpayer's aggregate income from passive activities for such year. Losses not allowed in one year because of this limitation may be carried over and deducted in subsequent years when the taxpayer has net passive activity income or, in a transaction in which all gain or loss realized is recognized, disposes of its entire interest in the activity that generated the losses.

Other limitations that may apply for U.S. Limited Partners who are individuals or certain closely held corporations are limitations relating to amounts "at risk" and "miscellaneous itemized deductions." Under these limitations, a U.S. Limited Partner may not be able to net certain losses from a Partnership investment against income earned with respect to another Partnership investment or other income recognized by such U.S. Limited Partner. In addition, other limitations that may apply to U.S. Limited Partners are limitations relating to "excess business losses" and "investment interest". Prospective investors should consult their own tax advisors regarding the applications of these rules to an investment in the Partnership.

Additionally, capital losses generally may be deducted only to the extent of capital gains, except for non-corporate taxpayers who are allowed to deduct \$3,000 of capital losses per year against ordinary income without regard to capital gains. Individuals may not carry back unused capital losses but may carry forward unused capital losses indefinitely. Prospective investors should consult their own tax advisors regarding the applications of these rules to an investment in the Partnership.

Limitations on the Deductibility of Business Interest

Section 163(j) of the Code limits deductions for "business interest expense" to the sum of a taxpayer's "business interest income" and 30% of its "adjusted taxable income." Business interest income comprises the amount of interest includible in the gross income of the taxpayer for the taxable year which is properly allocable to a trade or business and does not include investment income. For purposes of this limitation, adjusted taxable income is computed without regard to any item of income, gain, deduction or loss which is not properly allocable to a trade or business, any business interest expense or business interest income, the amount of any deduction allowed under Section 199A of the Code, and any net operating loss deduction.

Such determination is made at the partnership level. As a result, a partner in a partnership calculates its "adjusted taxable income" without regard to its distributive share of any partnership items. Any "excess taxable income" of a partnership should generally increase the "adjusted taxable incomes" of its partners, and any "excess business interest income" of a partnership should generally increase the "business interest incomes" of its partners. A partnership cannot carry forward any business interest deductions limited by Section 163(j) of the Code ("**excess business interest expense**") to a succeeding taxable year. Rather, a partnership allocates any such excess business interest expense to its partners, who treat such excess business interest expense as business interest expense in the next succeeding taxable year in which such partner is allocated excess taxable income or, under final Treasury regulations, excess business interest income from such partnership (and only to the extent of such excess taxable income or excess business interest income). A partner's adjusted tax basis in its partnership interest is reduced by the amount of excess business interest expense allocated to it (and may be proportionately increased in the case of a subsequent disposition of the partner's partnership interest).

Consequently, if the Partnership (or any entity in which the Partnership invests) incurs interest expense properly allocable to a trade or business that is not otherwise excepted from these rules, the Partnership (or any such entity) may not deduct such interest expense to the extent it exceeds 30% of the Partnership's (or any such entity's) adjusted taxable income and business interest income.

Medicare Tax

Under Section 1411 of the Code, a non-corporate U.S. Limited Partner may be subject to a 3.8% tax on the lesser of (A) such person's "net investment income" for the relevant taxable year, and (B) the excess of such person's modified adjusted gross income for the taxable year over a certain threshold (\$250,000 for married individuals filing jointly, \$125,000 for married individuals filing separately, \$200,000 for other individuals and the dollar amount at which the highest income tax bracket for estates and trusts begins, as applicable). Net investment income includes, among other things, net income derived from a trade or business that is a passive activity with respect to the taxpayer, dividend income, and net gains from disposition of property (other than property held in a trade or business that is not a passive activity with respect to the taxpayer). A U.S. Limited Partner's distributive share of net income of the Partnership, and recognized gains from the disposition of Interests, are expected to constitute net investment income.

Reportable Transactions

The U.S. Department of the Treasury has issued Treasury regulations establishing rules for "reportable transactions." The language of the Treasury regulations is broad, and if applicable to any of the transactions undertaken by the Partnership, may require Partners that are required to file U.S. federal income tax returns (and in some cases, certain direct and indirect interest holders of certain Partners) to disclose to the Service information relating to such transactions, and to retain certain documents and other records related thereto. Although the Partnership does not intend to engage in a reportable transaction, there can be no assurance that a Partner will not be treated as participating in one or more reportable transactions in the future as a result of its investment in the Partnership. For example, if the Partnership generates certain types of losses that exceed prescribed thresholds, a Partner may be treated as engaged in a reportable transaction. Substantial penalties are imposed on taxpayers who fail to comply with these regulations.

Sale or Disposition of Limited Partner Interests

A U.S. Limited Partner that sells or otherwise disposes of an Interest in a taxable transaction generally will recognize gain or loss equal to the difference, if any, between the amount realized from the sale or disposition and the adjusted basis of the Interest. The amount realized will include the U.S. Limited Partner's share of the Partnership's liabilities outstanding at the time of the sale or disposition. If the U.S. Limited Partner holds the Interest as a capital asset, the gain or loss will generally be treated as capital gain or loss to the extent the assets of the Partnership are capital assets or business assets held by the Partnership for more than a year, and the gain or loss will generally be long-term capital gain or loss if the U.S. Limited Partner has held the Interest for more than one year on the date of such disposition; provided that a contribution by the U.S. Limited Partner within the one-year period ending on such date will cause part of such gain or loss to be short-term. However, gain recognized on the disposition of an Interest will be taxed as ordinary income under Section 751 of the Code to the extent of the U.S. Limited Partners' share of the Partnership's Section 751 Assets, including recapture of depreciation and amortization deductions.

All of these tax items may be recaptured as ordinary income (which is generally subject to a 37% maximum tax rate for non-corporate taxpayers or a 21% maximum tax rate for corporate taxpayers) rather than capital gain regardless of how long a U.S. Limited Partner has owned its Interests. Ordinary income attributable to Section 751 Assets may exceed net taxable gain realized on the sale of an Interest and may be recognized even if there is a net taxable loss realized on the sale of an Interest. Thus, a U.S. Limited Partner may

recognize both ordinary income and capital gain or loss upon a sale of an Interest. Net capital loss may offset capital gains and, in the case of individuals, up to \$3,000 of ordinary income per year.

Sale or Disposition by the Partnership of Investments

The Partnership may earn income from the sale of its investments. If investments are sold or otherwise disposed of in a taxable transaction (directly or through partnerships or other flow through entities), the Partnership will recognize gain or loss measured by the difference between the amount realized (including the amount of any indebtedness assumed by the purchaser upon such disposition or to which such equity interest is subject) and the adjusted tax basis of the investment sold. The sale of such investments would generally result in ordinary income (for example, as a result of the recapture of IDCs and depletion or as a result of gain on a sale of assets held less than 12 months) or Section 1231 gain or loss. The characterization of a U.S. Limited Partner's share of the Section 1231 gains and Section 1231 losses attributable to investments as either ordinary or capital will depend on the total amount of the U.S. Limited Partner's Section 1231 gains and the total amount of his Section 1231 losses from all sources for the year. Generally, if the total amount of the gains exceeds the total amount of the losses, all such gains and losses will be treated as capital gains and losses, and if the total amount of the losses exceeds the total amount of the gains, all such gains and losses will be treated as ordinary income and losses. A U.S. Limited Partner's net Section 1231 gains, however, will be treated as ordinary income to the extent of the U.S. Limited Partner's net Section 1231 losses during the immediately preceding five years, reduced by the Section 1231 losses previously recaptured under this rule. Net capital gains of individual taxpayers currently are taxed at a maximum statutory rate (generally 20% for capital assets held for more than one year) that is significantly less than the maximum statutory rate applicable to other income (currently 37% for non-corporate taxpayers). Net capital gains mean the excess of net long-term gain over net short-term capital loss. Such net capital gains may also be subject to an additional tax on "net investment income" as described above.

Taxation of U.S. Limited Partners with Respect to Foreign Corporations

A U.S. Limited Partner may be subject to special rules applicable to indirect investments in foreign corporations, including those discussed below.

Controlled Foreign Corporations

The Partnership may invest in foreign corporations treated as "controlled foreign corporations" ("CFCs"). A U.S. Limited Partner that directly or indirectly (including through the Partnership) owns 10% or more of the voting stock or 10% or more of the total value of shares of all classes of stock of a corporation that is a CFC at any time during any taxable year would generally be subject to current U.S. tax, regardless of whether cash distributions are received from the corporation, on its pro rata share of: (i) certain types of income of the foreign corporation (e.g., dividends, interest, certain rents and royalties, gain from the sale of property producing such income and certain income from sales and services), (ii) in certain circumstances, earnings of the CFC that are invested in U.S. property, and (iii) the amount of certain items of gross income and related deductions of the corporation in excess of a threshold return earned with respect to the corporation's adjusted tax bases in its depreciable tangible assets used in a trade or business. In addition, such an U.S. Limited Partner's share of gain on the sale of the CFC's stock would be classified in whole or in part as dividend income.

Passive Foreign Investment Companies

A "passive foreign investment company" ("PFIC") is defined as any foreign corporation in which either: (i) 75% or more of its gross income for the taxable year is "passive income"; or (ii) 50% or more of its assets (by value) produce "passive income." There are no minimum stock ownership requirements for PFICs. Once a corporation qualifies as a PFIC with respect to a U.S. shareholder, it is, subject to certain

exceptions, always treated as a PFIC with respect to such shareholder, regardless of whether it satisfies either of the qualification tests in subsequent years. If the Partnership were to invest in a PFIC, any gain on disposition of stock of the PFIC, as well as income realized on certain “excess distributions” by the PFIC, would be treated as though realized ratably over the shorter of a U.S. Limited Partner’s holding period of its Interest or the Partnership’s holding period for the PFIC. Such gain or income would be taxed as ordinary income. In addition, an interest charge would be imposed on the U.S. Limited Partner, based on amounts deemed to have been deferred from prior years. A disposition of an interest in the Partnership by a U.S. Limited Partner may be treated as a disposition of such U.S. Limited Partner’s proportionate share of the Partnership’s PFIC stock. If the Partnership were to invest in a PFIC, and, to the extent permitted by applicable law, the Partnership were to elect to treat its interest the PFIC as a “qualified electing fund” (a “**QEF election**”), a U.S. Limited Partner would be required to include in such person’s gross income a *pro rata* share of the PFIC’s ordinary income and net capital gains (but not losses) for a taxable year, even if not distributed to the Partnership or the U.S. Limited Partners. If a QEF election is in effect throughout a U.S. Limited Partner’s holding period in respect of a PFIC, such investor is eligible for capital gains treatment on the sale or exchange of stock in the PFIC. Alternatively, an election may be made in the case of certain “marketable stock” to “mark to market” the stock of a PFIC on an annual basis. Pursuant to such an election, a U.S. Limited Partner would include in each year as ordinary income the excess, if any, of the fair market value of such stock over its adjusted basis at the end of the taxable year. Recent proposed Treasury regulations would require the U.S. Limited Partner, rather than the Partnership, to make a QEF election or an election to “mark to market” with respect to any PFICs owned by the Partnership to achieve the described treatment. These proposed Treasury regulations would become effective if and when the rules are adopted as final Treasury regulations.

There can be no assurance that a foreign corporation in which the Partnership invests will not qualify as a PFIC or that a PFIC in which the Partnership invests will provide the information necessary for a QEF election to be made or to be eligible for a “mark to market” election. Very generally and with certain exceptions, if both the CFC rules and the PFIC rules would otherwise apply to a U.S. Limited Partner owning an interest in a foreign corporation, the CFC rules will apply and the PFIC rules will not apply to such U.S. Limited Partner.

The PFIC, CFC and other “anti-deferral” provisions of the Code applicable in respect of direct or indirect ownership of foreign corporations by U.S. Limited Partners are extremely complicated, and U.S. Limited Partners are strongly urged to consult their tax advisors with respect to the application of these rules.

Certain Reporting Requirements

U.S. Persons that own stock in foreign corporations, including CFCs and PFICs, are subject to special reporting requirements under the Code. Potential investors should consult their own tax advisors regarding such reporting requirements and the potential application of the CFC and PFIC rules generally.

Other Tax Matters

Tax Returns and IRS Audits

The tax treatment of most partnership items is determined at the partnership, rather than the partner, level. Accordingly, Limited Partners are required under the Code to treat the tax items of the Partnership on their individual federal income tax returns in a manner that is consistent with the treatment of the partnership items on the Partnership’s U.S. federal information income tax returns. If appropriate, a Limited Partner must disclose to the Service, by attaching the required notice to such Limited Partner’s individual U.S. federal income tax return, that the Limited Partner’s tax treatment of the Partnership’s tax items on the

Limited Partner's personal U.S. federal income tax returns is different from the Partnership's tax treatment of those partnership tax items.

An audit adjustment to the Partnership's tax return for a tax year (the "**Return Year**") could result in a tax liability (including interest and penalties) imposed on the Partnership for the year during which a Partnership-level adjustment is determined (the "**Adjustment Year**"). In certain circumstances and subject to certain conditions, the Partnership may be able to elect to pass through such adjustment to the Partners who participated in the Partnership for the Return Year, in which case each Return Year participating Partner, and not the Partnership, would be responsible for the payment of any tax deficiency (plus any interest and penalties), determined after including its share of the adjustment on its tax return for that year. Where a partnership-level adjustment is passed through to a partner that is itself a partnership, the upper-tier partnership may, subject to certain conditions, elect to further pass through such adjustment to the partners who participated in the upper-tier partnership for the Return Year. If such an election is made by the Partnership, interest on any deficiency will be at a higher interest rate than that which would otherwise apply to tax underpayments. It is not clear whether the Partnership would be permitted to make such an election and, if so, whether it would make such election. If such an election is not made, the Partnership's tax liability (including interest and penalties) arising from audit adjustments would be economically borne (through reductions in distributions by the Partnership) by the Partners participating in the Partnership in the Adjustment Year (not the Return Year) and without regard to the Partners' actual U.S. federal income tax liability that would have resulted from the adjustment. This means that each Partner would bear its allocable share of the Partnership's tax liability arising from an audit adjustment regardless of whether that Partner was subject to U.S. federal income tax. To avoid this result, in the event the Partnership is subject to tax liability as a result of a Partnership-level adjustment, it will endeavor to adjust the Partners' entitlement to distributions during and following the Adjustment Year or require Partners to make payments to the Partnership equal to the portion of such liability attributable to each Partner. However, no assurance can be provided that a Partner will not bear a portion of that liability that is greater than the tax liability such Partner would have incurred under the former partnership audit rules.

The Partnership, and each partnership formed by the Partnership, will designate a person that does not have to be a Partner to serve as the "partnership representative" (the "**Partnership Representative**"). The Partnership Representative will have sole authority to act on behalf of, and bind, the applicable entity and the Partners with respect to U.S. federal income tax matters including in an audit of such entity by the IRS.

Under the Partnership Agreement, Limited Partners are generally obligated to cooperate with the Partnership and the General Partner to comply with and administer the legislation. Limited Partners are encouraged to consult their tax advisors regarding the impact of the legislation on their investment in the Partnership.

LIMITED PARTNERS' INDIVIDUAL INCOME TAX RETURNS ARE THEIR OWN RESPONSIBILITY. THE PARTNERSHIP WILL PROVIDE LIMITED PARTNERS WITH THE TAX INFORMATION APPLICABLE TO THEIR INVESTMENT IN THE PARTNERSHIP NECESSARY TO PREPARE THEIR TAX RETURNS. BECAUSE OF THE POTENTIALLY SUBSTANTIAL EFFECT OF ALL THE FOREGOING PROVISIONS, EACH PROSPECTIVE INVESTOR SHOULD CONSULT WITH HIS, HER OR ITS OWN TAX ADVISOR ABOUT THESE PROVISIONS BEFORE ACQUIRING INTERESTS IN THE PARTNERSHIP.

Possible Changes in Tax Laws

The statutes, regulations and rules with respect to all of the foregoing tax matters are constantly subject to change by Congress, by the Department of the Treasury or the Service, and the interpretations of such

statutes, regulations and rules may be modified or affected by judicial decision, by the Department of the Treasury or the Service. Because of the continual changes made by Congress, the Department of the Treasury and the courts with respect to the administration and interpretation of the tax laws, no assurance can be given that the foregoing interpretations will be sustained or that tax aspects summarized herein will prevail and be available to the Limited Partners. Revisions in Federal tax laws and interpretations thereof could adversely affect the tax aspects of an investment in the Partnership.

Last year, the Biden administration released legislative proposals that would, if enacted into law, make other significant changes to U.S. tax laws, including to certain key U.S. federal income tax incentives currently available to oil and natural gas exploration and production companies. These changes include, but are not limited to, (i) the repeal of the percentage depletion allowance for oil and natural gas properties, (ii) the elimination of current deductions for intangible drilling and development costs, and (iii) an extension of the amortization period for certain geological and geophysical expenditures. It is unclear whether these or similar changes will be enacted and, if enacted, how soon any such changes could become effective. The passage of any future legislation as a result of these proposals or any other similar changes in U.S. federal income tax laws could eliminate or postpone certain tax deductions that are currently available with respect to oil and natural gas exploration and development, or increase costs, and any such change could negatively affect the performance of the Partnership.

Tax Elections

The General Partner, in its sole discretion, may make any tax elections provided for in the Code on behalf of the Partnership.

Withholding Taxes

The General Partner, in its discretion, may withhold or pay any taxes that the General Partner deems payable with respect to any Limited Partners, as applicable, and any such taxes may be deducted from any distribution otherwise payable to such Limited Partners, as further described in the Partnership Agreement.

Distributions and Taxes

All distributions to Limited Partners will be made net of any taxes payable by the Partnership (including, for example, any state and federal withholding taxes). For purposes of the distribution provisions of the Partnership Agreement, any taxes required to be withheld or paid by the Partnership, or withheld from amounts payable to the Partnership, will be deemed to have been distributed to, or must be paid by, the applicable Limited Partners, as determined by the General Partner.

Non-U.S. Limited Partners

Effectively Connected Income for Non-U.S. Limited Partners

The Partnership can be expected to make substantially all of its investments in flow-through entities that will result in the Partnership and Non-U.S. Limited Partners being treated as engaged in a U.S. trade or business and give rise to net ECI. In addition, fee income actually received or deemed to be received by the Partnership or the Non-U.S. Limited Partners (including any fee income that might be deemed to be received because, although paid to the General Partner or its affiliates, such income results in a reduction in the Management Fee) may cause the Partnership and such Non-U.S. Limited Partners to be treated as being engaged in a U.S. trade or business with respect to such fee income.

The Partnership generally will be required to withhold and pay over to the U.S. tax authorities an amount of tax computed at the highest applicable U.S. federal income tax rate with respect to each Non-U.S. Limited Partner's share of the Partnership's ECI (thus, the Partnership would be liable for taxes attributable to a Non-U.S. Limited Partner's investment), and each such Non-U.S. Limited Partner generally would be

required to file U.S. federal income tax returns and pay U.S. federal income tax on its share of the Partnership's net ECI. In some cases, the Non-U.S. Limited Partner may also be liable for U.S. state and local taxes and be obligated to file U.S. state and local tax returns. Taxes withheld by the Partnership are creditable against such Non-U.S. Limited Partner's U.S. federal income tax on its share of the Partnership's ECI. All or a portion of the gain on the disposition (including by redemption) by a Non-U.S. Limited Partner of its Interest will be taxed as ECI to the extent such gain is attributable to assets of the Partnership (or a pass-through entity in which the Partnership holds an interest) that generate ECI. The transferee Limited Partner will be required to withhold 10% of the amount realized on such disposition, and if a transferee Limited Partner fails to make such withholding, the Partnership will be required to deduct and withhold from distributions to the transferee Limited Partner an amount equal to the amount the transferee Limited Partner failed to withhold (plus interest). In addition, a Limited Partner that is a non-U.S. corporation may also be subject to an additional branch profits tax of 30% on its share of the Partnership's effectively connected earnings and profits, adjusted as provided by law (subject to reduction by an applicable tax treaty).

Interests in U.S. Real Property

The Partnership can be expected to acquire oil and gas and mineral rights that are treated as "interests in real property" for purposes of the FIRPTA provisions set forth in Section 897 of the Code. The Partnership will be required to withhold tax at the rate of 15% on the amount of gain realized on the disposition of a United States real property interest, to the extent such gain is included in the distributive share of a Non-U.S. Limited Partner. Such withholding does not duplicate withholding on a Non-U.S. Limited Partner's share of the Partnership's ECI. Gain realized by a Non-U.S. Limited Partner from the sale of all or any portion of its Interests, to the extent such gain is attributable to United States real property interests owned by the Partnership, will be subject to U.S. federal income tax and may be subject to U.S. federal tax withholding and will require such Non-U.S. Limited Partner to file a U.S. federal and applicable state and local tax return.

FDAP Income

The Partnership may recognize U.S. source interest, dividends or other "fixed or determinable annual or periodic" income ("FDAP"). The Partnership would be required to withhold at the rate of 30% on a Non-U.S. Limited Partner's share of any U.S. source interest (other than exempted portfolio interest), dividends and other FDAP income. A Non-U.S. Limited Partner who is a resident for tax purposes in a country with respect to which the United States has an income tax treaty may be eligible for a reduced rate of withholding in respect of U.S. source dividends, interest or other FDAP income pursuant to such treaty, and a Sovereign Wealth Fund may not be subject to withholding tax on certain of such income, as discussed below. The Partnership would not generally be required to withhold tax on portfolio interest income. The portfolio interest exemption is not available with respect to interest paid to an actual or constructive 10% shareholder of the issuer of the indebtedness and is subject to certain other limitations.

Sovereign Wealth Funds

Pursuant to Section 892, a Sovereign Wealth Fund is not subject to U.S. federal withholding tax on U.S. source income relating to investments in U.S. securities, stocks or bonds, certain financial instruments or interest, except to the extent such income is received directly or indirectly from commercial activities ("CAI") as described in Section 892(a)(2) of the Code. However, income that would not otherwise be considered CAI can be so characterized if such income is received from a controlled commercial entity or received by a controlled commercial entity. For these purposes, a controlled commercial entity is an entity engaged in commercial activities with respect to a Sovereign Wealth Fund if such Sovereign Wealth Fund holds an interest in the entity (directly or indirectly) that is fifty percent or more (by vote or value) of the

total interests in such entity or otherwise holds an interest that gives the Sovereign Wealth Fund effective control over the entity. The Partnership intends to invest in Investments that generate CAI. Sovereign Wealth Funds are urged to consult their own tax advisors regarding the possibility of incurring CAI and the impact of the ownership of an Interest on its ability to claim benefits pursuant to Section 892 of the Code with respect to its overall activities and investments.

U.S. Tax-Exempt Limited Partners

It is expected that certain investments made by the Partnership will generate income which, if allocated to a U.S. Tax-Exempt Limited Partner, will subject such Limited Partner to income tax on UBTI. UBTI generally includes income from trade or business activities (including any unrelated trade or business regularly carried on by a “flow through” entity for U.S. federal income tax purposes in which the U.S. Tax-Exempt Limited Partner invests), such as the ownership and operation of oil and gas working interests and transportation, processing and marketing facilities. A U.S. Tax-Exempt Limited Partner deriving gross income characterized as UBTI that exceeds \$1,000 in any taxable year is obligated to file a U.S. federal income tax return, even if it has no liability for that year as a result of deductions against such gross income, including an annual \$1,000 statutory deduction. However, subject to the discussion below of “debt financed property,” UBTI generally does not include income or gains from interest, dividends, royalties, annuity payments and sales of various types of property unless such income or gains are derived from property, which is debt financed, consists of inventory or held primarily for sale to customers in the ordinary course of a trade or business.

If a U.S. Tax-Exempt Limited Partner’s acquisition of an Interest is debt financed, or the Partnership or a flow-through entity in which the Partnership invests incurs debt that is allocated to the acquisition of property, all or a portion of the income or gain attributed to the “debt financed property” would be included in UBTI, regardless of whether such income or gain would otherwise be excluded as dividends, interest or other income that is not normally UBTI. The Partnership may incur a limited amount of indebtedness that could give rise to the recognition of UBTI from debt financed property. The amount of UBTI that will be realized by U.S. Tax-Exempt Limited Partners will depend on the exact nature of the Partnership’s operations and investments. Fee income actually received or deemed to be received by the Partnership or the investors (including any fee income that might be deemed to be received because, although paid to the General Partner, such income results in a reduction in the management fee) may be treated as UBTI in certain circumstances. U.S. Tax-Exempt Limited Partners with more than one unrelated trade or business (including by attribution from a “flow through” entity to the extent it is engaged in one or more unrelated trades or businesses) are required to separately compute their UBTI with respect to each unrelated trade or business (including for purposes of determining any net operating loss deduction), with certain allowances to aggregate UBTI from an interest in a single partnership with multiple trades or businesses (and further aggregate all such qualifying interests) for U.S. Tax-Exempt Limited Partners that meet a de minimis or participation test established by the Treasury regulations. As a result, it may not be possible for U.S. Tax-Exempt Limited Partners to utilize losses from one unrelated trade or business to offset UBTI from another unrelated trade or business and vice versa.

In view of past experience and reasonably anticipated Partnership activities and investment structures, it is expected that a majority of the Partnership’s investments will generate UBTI, although the exact percentage will not be known until after the Partnership’s investment activities are completed.

Structure and Tax Considerations of the ECI Feeder Fund

The potential for having income from investments characterized as ECI may have a significant effect on any Non-U.S. Limited Partner. As a result, the Partnership expects to form a “feeder” structure (the “**ECI**

Feeder Fund”) for Non-U.S. Limited Partners that are not Sovereign Wealth Funds and that desire to minimize exposure to ECI.

In general, the ECI Feeder Fund is expected to make each investment, including each investment that is reasonably likely to generate ECI, indirectly through one or more entities treated as a U.S. corporation (“**Domestic Blockers**”), which will in turn invest in the Partnership. To the extent an investment is not expected to generate ECI, the General Partner may, but is not required to, form an alternative investment structure through which Non-U.S. Limited Partners that subscribe to the ECI Feeder Fund will invest.

As a domestic corporation, a Domestic Blocker will generally be subject to U.S. federal income tax at regular corporate rates (the maximum of which is currently 21%) and any applicable state and local income taxes on all of its net income, including its allocable share (whether or not distributed) of any income, gain, loss, deduction and credit of the Partnership. Further, dividends and interest paid by a Domestic Blocker (including pursuant to any loans made by the ECI Feeder Fund to a Domestic Blocker) may be subject to withholding tax at a 30% rate, or lesser rate provided for by an applicable tax treaty; provided, a Domestic Blocker would generally not be required to withhold tax on portfolio interest income, which exemption is unavailable with respect to interest paid to an actual or constructive holder of 10% or more of the voting stock of a Domestic Blocker and is subject to certain other limitations.

A Domestic Blocker may be a “United States real property holding corporation” in which case the equity of such Domestic Blocker would be a “U.S. real property interest” under FIRPTA. Accordingly, gain realized by a Non-U.S. Limited Partner in respect of a disposition of the ECI Feeder Fund’s interest in a Domestic Blocker that is a USRPHC (including a non-dividend distribution received by the ECI Feeder Fund from a Domestic Blocker that is a USRPHC) or gain realized by a Non-U.S. Limited Partner from the sale or deemed sale of all or any portion of its interest in the ECI Feeder Fund attributable to Domestic Blockers that are USRPHCs, will be subject to U.S. federal withholding tax and will require such Non-U.S. Limited Partner to file a U.S. federal and applicable state and local tax return.

If a Domestic Blocker is reasonably expected to be or become a USRPHC, the ECI Feeder Fund may invest in such USRPHC indirectly through a non-U.S. entity treated as a corporation for U.S. federal income tax purposes (a “**Foreign Blocker**”). In this case, a Non-U.S. Limited Partner should not be subject to U.S. federal income tax or U.S. federal withholding tax on a disposition of its interest in the ECI Feeder Fund, and the Foreign Blocker, rather than the Non-U.S. Limited Partners, would be subject to U.S. federal income tax and U.S. federal withholding tax in respect of its disposition of an interest in a Domestic Blocker that is a USRPHC (including a non-dividend distribution received by a Foreign Blocker from a Domestic Blocker that is a USRPHC if, in the case of a return of basis distribution, no withholding certificate is obtained from the IRS).

Non-U.S. Limited Partners should note that an investment through the ECI Feeder Fund may not reduce the U.S. federal income tax liability associated with investments that give rise to ECI. In fact, the amount of U.S. federal income tax payable by a Domestic Blocker may in some cases exceed the tax the Non-U.S. Limited Partner would have been required to pay had the Non-U.S. Limited Partner invested directly in the Partnership. Nonetheless, investing through the ECI Feeder Fund should (subject to the rules discussed above) reduce the administrative burdens associated with filing U.S. tax returns with respect to such investment.

Additionally, investments of the ECI Feeder Fund will be structured in a manner that produces the same carried interest for the General Partner as a direct investment in the Partnership would generate for the General Partner. Specifically, any income and distributions of the Partnership that are attributable to the

General Partner's carried interest will be made by the Partnership directly to the General Partner. Thus, any taxes or other expenses incurred by entities utilized to make an investment in the Partnership will be borne solely by the Non-U.S. Limited Partners participating in the ECI Feeder Fund and will not reduce the distribution to the General Partner with respect to its carried interest. Furthermore, any distributions received by a Domestic Blocker will generally be treated as currently received by Non-U.S. Limited Partners, regardless of whether any amounts are actually distributed to the ECI Feeder Fund (directly or indirectly through a Foreign Blocker), for purposes of calculating the preferred return in the Partnership.

A Non-U.S. Limited Partner that is a resident of an applicable treaty jurisdiction should also note that to the extent a Domestic Blocker makes payments to the ECI Feeder Fund (directly or through a Foreign Blocker), such Non-U.S. Limited Partner may not be able to obtain the benefit of a reduced treaty rate in respect of such payments if the ECI Feeder Fund (or a Foreign Blocker) is not treated as fiscally transparent under the laws of such jurisdiction.

Non-U.S. Limited Partners should consult their own tax advisors regarding potential investment in the ECI Feeder Fund and all aspects of ECI and FDAP.

Non-U.S. Limited Partners should also note that the “feeder” structure created may differ from the ECI Feeder Fund described above based on, among other salient considerations, the particular types of investors that ultimately invest in the Partnership and other tax, legal or regulatory considerations.

Structure and Tax Considerations of the UBTI/CAI Feeder Fund

The potential for having income from investments characterized as UBTI and the potential for having income from investments characterized as CAI may have a significant effect on any U.S. Tax-Exempt Limited Partner or any Sovereign Wealth Fund, respectively. As a result, the Partnership expects to form a “feeder” structure (the “**UBTI/CAI Feeder Fund**”) for U.S. Tax-Exempt Limited Partners and Sovereign Wealth Funds that desire to minimize exposure to UBTI and CAI.

In general, the UBTI/CAI Feeder Fund is expected to make each investment, including each investment that is reasonably likely to generate UBTI or CAI, indirectly through Domestic Blockers, which will in turn invest in the Partnership. To the extent an investment is not expected to generate UBTI or CAI, the General Partner may, but is not required to, form an alternative investment structure through which U.S. Tax-Exempt Limited Partners and/or Sovereign Wealth Funds that subscribe to the UBTI/CAI Feeder Fund will invest. As a domestic corporation, a Domestic Blocker will generally be subject to U.S. federal income tax at regular corporate rates (the maximum of which is currently 21%) and any applicable state and local income taxes on all of its net income, including its allocable share (whether or not distributed) of any income, gain, loss, deduction and credit of the Partnership. Provided that any Sovereign Wealth Fund holding an Interest in the UBTI/CAI Feeder Fund holds less than 50% of the Interests of the UBTI/CAI Feeder Fund, the General Partner does not expect that the UBTI/CAI Feeder Fund, or any entity through which it invests, will be considered a “controlled commercial entity” for these purposes solely as a result of the ownership of an Interest by a Sovereign Wealth Fund. However, no assurances can be made that ownership of the UBTI/CAI Feeder Fund will not change or that the UBTI/CAI Feeder Fund will not recognize any CAI, in which case, the above described rules relating to taxation of Non-U.S. Limited Partners will generally apply to such Sovereign Wealth Fund.

U.S. Tax-Exempt Limited Partners and Sovereign Wealth Funds should note that an investment through the UBTI/CAI Feeder Fund may not reduce the U.S. federal income tax liability associated with investments that give rise to UBTI or CAI. In fact, the amount of U.S. federal income tax payable by a Domestic Blocker may in some cases exceed the tax the U.S. Tax-Exempt Limited Partners or Sovereign Wealth

Funds would have been required to pay had the U.S. Tax-Exempt Limited Partners or Sovereign Wealth Funds invested directly in the Partnership. Nonetheless, investing through the UBTI/CAI Feeder Fund should reduce the administrative burdens associated with filing U.S. tax returns with respect to such investment.

Additionally, investments of the UBTI/CAI Feeder Fund will be structured in a manner that produces the same carried interest for the General Partner as a direct investment in the Partnership would generate for the General Partner. Specifically, any income and distributions of the Partnership that are attributable to the General Partner's carried interest will be made by the Partnership directly to the General Partner. Thus, any taxes or other expenses incurred by entities utilized to make an investment in the Partnership will be borne solely by the U.S. Tax-Exempt Limited Partners and Sovereign Wealth Funds participating in the UBTI/CAI Feeder Fund and will not reduce the distribution to the General Partner with respect to its carried interest. Furthermore, any distributions received by a Domestic Blocker will generally be treated as currently received by U.S. Tax-Exempt Limited Partners and Sovereign Wealth Funds, regardless of whether any amounts are actually distributed to the UBTI/CAI Feeder Fund, for purposes of calculating the preferred return in the Partnership.

U.S. Tax-Exempt Limited Partners should consult their own tax advisors regarding potential investment in the UBTI/CAI Feeder Fund and all aspects of UBTI. Sovereign Wealth Funds should consult their own tax advisors regarding potential investment in the UBTI/CAI Feeder Fund and all aspects of CAI.

U.S. Tax-Exempt Limited Partners and Sovereign Wealth Funds should also note that the “feeder” structure created may differ from the UBTI/CAI Feeder Fund described above based on, among other salient considerations, the particular types of investors that ultimately invest in the Partnership and other tax, legal or regulatory considerations.

State, Local and Foreign Taxes

In addition to the U.S. federal income tax consequences described above, prospective investors should consider potential state, local and foreign tax consequences of an investment in the Partnership. Further, the Partnership itself may be subject to state, local and foreign taxes. Jurisdictions, such as countries, states and municipalities, may require investors to file income tax returns and pay income tax (or similar taxes) attributable to the investors' allocable shares of Partnership income apportioned or attributable to those jurisdictions. The jurisdictions that will impose tax will generally coincide with the state, local or foreign jurisdictions where the Portfolio Companies own properties and conduct their business. In this connection, please note that if the Partnership pays income taxes or similar taxes on behalf of an investor, this will be treated as a distribution to the investor for purposes of the distribution provisions of the Partnership. State, local and foreign laws often differ from U.S. federal income tax laws with respect to the treatment of specific items of income, gain, loss, deduction and credit. The scope of foreign tax liability and the ability to utilize credits or deductions to minimize the risk of double taxation may also depend on an investor's qualification and claim for benefits provided under an applicable income tax treaty and such investor's particular tax situation. Prospective tax-exempt investors should be aware that the rules of some jurisdictions for computing or reporting UBTI (or similar tax concept) may differ from the U.S. federal rules. Certain jurisdictions impose income taxes on partnerships in certain circumstances, and there can be no assurance that a jurisdiction's taxing authorities will not assert that some or all of the income of the Partnership is subject to its income tax.

Prospective Limited Partners are urged to consult their own tax advisers regarding U.S. state and local tax matters.

Compliance under FATCA and Obligation to Withhold

FATCA imposes a reporting regime, and potentially a 30% U.S. withholding tax with respect to withholdable payments made to a foreign financial institution (“**FFI**”) or a non-financial foreign entity (“**NFFE**”), in each case, if the FFI or NFFE does not establish an exemption. Withholdable payments include payments of FDAP income (such as U.S. source payments of interest and dividends) and will include foreign pass-thru payments that are made, under proposed Treasury regulations, no earlier than two years after the date of publication of final Treasury regulations defining such payments. While withholdable payments would have originally included payments of gross proceeds from the sale or other disposition of stock, securities, and certain other assets that give rise to U.S. source payments on or after January 1, 2019, proposed Treasury regulations provide that such payments do not constitute withholdable payments. Taxpayers may rely on these proposed Treasury regulations until they are revoked or final Treasury regulations are issued.

To comply with FATCA, an FFI generally will be required to comply with due diligence and reporting requirements under an inter-governmental agreement (“**IGA**”) between the United States and the country in which the FFI is resident or organized or, in the event no inter-governmental agreement is in effect with that country, under the Treasury regulations implementing FATCA.

If a Limited Partner fails to provide the information requested pursuant to FATCA or otherwise fails to comply with FATCA, such Limited Partner may be subject to FATCA withholding. Any such withholding taxes may be imposed on the distributions by the Partnership to such Limited Partner or on such Limited Partner’s distributive share of income with respect to the Partnership. Amounts withheld, together with information regarding such Limited Partner, will be provided to the IRS.

FATCA is particularly complex and all Limited Partners are urged to consult their own tax advisors with respect to its application.

Investment Company Act and Investment Advisers Act Regulation and SEC Proceeding

Investment Company Act

The Partnership will not be registered as an investment company under the Investment Company Act. The General Partner intends to rely on the exemptions from registration contained in Section 3(c)(1) or Section 3(c)(7) of the Investment Company Act for the Partnership. Section 3(c)(1) exempts any issuer whose outstanding securities (other than short-term paper) are beneficially owned by not more than one hundred persons (or, in the case of a qualifying venture capital fund, 250 persons) and which is not making and does not presently propose to make a public offering of its securities. Section 3(c)(7) exempts any issuer the outstanding securities of which are owned exclusively by persons who, at the time of acquisition of such securities, are “qualified purchasers” as defined in Section 2(a)(51)(A) of the Investment Company Act, and which is not making and does not at that time propose to make a public offering of such securities. To comply with Section 3(c)(7), each Limited Partner must represent that it is a qualified purchaser.

Investment Advisers Act

In reliance on the “venture capital exemption”, EnCap will not be registered as an investment adviser under the Investment Advisers Act. The General Partner will pursue a “venture capital strategy” and will otherwise conduct the business and affairs of the Partnership so as to meet the requirements of the venture capital exemption.

Although neither the General Partner nor EnCap is a registered investment adviser, certain provisions of the Investment Advisers Act apply to EnCap and certain of its affiliates. EnCap could be required or elect

to register as an investment adviser in the future. If EnCap were to register, management (including the EnCap Principals) could be required to devote substantial time and attention to compliance and other matters associated with such registration. Following any such registration, the investment adviser would be subject to the recordkeeping, disclosure and other fiduciary obligations specified in the Advisers Act.

SEC Proceeding

In 2016, the Securities and Exchange Commission (the “SEC”) requested information and documents from EnCap regarding campaign contributions made to individuals with possible connections to government entity investors in prior EnCap funds. EnCap consented, without admitting or denying the factual allegations and findings, to the entry of an order making certain findings and imposing certain remedies. The SEC, acting pursuant to such offer by EnCap, instituted administrative proceedings against EnCap, finding that EnCap had violated Section 206(4) of the Advisers Act and Rule 206(4)-5 thereunder when EnCap provided investment advisory services for compensation to certain government entities in Texas, Wisconsin, and Indiana within two years after covered associates of EnCap made campaign contributions to candidates for elective offices who were “Officials” of the government entities as defined in the Rule. The SEC noted that Advisers Act Rule 206(4)-5 does not require a showing of quid pro quo or actual intent to influence an elected candidate.

Federal Securities Law Regulation

The Partnership is offering limited partnership Interests to prospective investors in reliance upon an exemption from the registration requirements of the Securities Act of 1933, as amended (the “**Securities Act**”), set forth in Section 4(a)(2) of such act. As a result, in order to be able to rely on such exemption, the Partnership will be obtaining from each prospective investor certain representations in connection with a subscription for Interests, including that each prospective investor is acquiring such Interests for investment and not with a view to resale or distribution and that it is an “accredited investor” as defined in Regulation D of the Securities Act. Further, each investor must be prepared to bear the economic risk of the investment for an indefinite period, because these Interests can be resold only pursuant to an offering registered under the Securities Act or an exemption from such registration requirement. It is extremely unlikely that the Interests will ever be registered under the Securities Act.

In connection with any acquisition or beneficial ownership by the Partnership of more than 5% of any class of the equity securities of a company registered under the Securities Exchange Act of 1934, as amended (the “**Exchange Act**”), the Partnership may be required to make certain filings with the SEC. Generally, these filings require disclosure of the identity and background of the purchasers, the source and amount of funds used to acquire the securities, the purpose of the transaction, the purchaser’s interest in the securities, and any contracts, arrangements or undertakings regarding the securities. In certain circumstances, the Partnership may be required to aggregate its investment position in a given Portfolio Company with the beneficial ownership of that company’s securities held by or on behalf of the General Partner and its affiliates, which could require the Partnership, together with such other parties, to make certain disclosure filings or otherwise restrict the Partnership’s activities with respect to such Portfolio Company securities.

If the Partnership becomes the beneficial owner of more than 10% of any class of the equity securities of a company registered under the Exchange Act or places a director on the board of directors of such a company, the Partnership may be subject to certain additional reporting requirements and to liability for short-swing profits under Section 16 of the Exchange Act. The Partnership intends to manage its investments so as to avoid the short-swing profit liability provisions of Section 16 of the Exchange Act.

Additional Information

Prior to the consummation of the offering, the Partnership will provide to each prospective investor and such investor's representatives and advisors, if any, the opportunity to ask questions and receive answers concerning the terms and conditions of this offering and to obtain any additional information, which the Partnership may possess or can obtain without unreasonable effort or expense, that is necessary to verify the accuracy of the information furnished to such prospective investor. Any such questions should be directed to: Charles W. Bauer, Matt Crystal, or Kirby Richards at EnCap Investments L.P. at 9651 Katy Freeway, Suite 600, Houston, Texas 77024, telephone (713) 659-6100. No other person has been authorized to give information or to make any representations concerning this offering, and if given or made, such other information or representations must not be relied upon as having been authorized by the Partnership. This Memorandum is intended to present a general outline of the policies and structure of the Partnership and the General Partner. The Partnership Agreement, which specifies the rights and obligations of the Partners, should be reviewed thoroughly by each prospective Limited Partner. The Summary of Principal Terms of certain provisions of the Partnership Agreement contained herein is necessarily incomplete and is qualified by reference to such agreement. Copies of the Partnership Agreement, the subscription agreement and other fund-related documents will be made available upon request.

APPENDIX A

PERFORMANCE METRIC & VALUATION DISCLOSURES

Below please find important information regarding how EnCap calculated certain metrics that appear throughout the Memorandum along with other disclosures.

Target Returns

Target gross IRR was calculated using the target gross ROI of 2.0x and modeling timing of cash flows based on historical experience.

Target net ROI and target net IRR were calculated using target gross ROI and target gross IRR, reduced for Management Fees, Carried Interest, and fund expenses.

- Management Fees were calculated assuming each Investor Limited Partner opted to pay 2% of its Base Amount during the Commitment Period and 1.5% of its Base Amount after the Commitment Period.
- No assumption was made regarding the timing of the Investor Limited Partners' subscription and therefore whether the Investor Limited Partners would receive the Management Fee break associated with subscribing at or within 60 days of the initial closing.

Target returns do not take into account the impact of market and economic risks. Target returns are subject to risks and uncertainties that may change at any time, and, therefore, actual results may differ materially from those targeted. In no circumstances should the target returns be regarded as a reflection of any historical results or a representation, warranty, or prediction that the Partnership will achieve or is likely to achieve any particular result or that investors will be able to avoid losses, including total losses of their investment. While the Firm believes that its assumptions are reasonable, it is very difficult to predict the impact of known factors and anticipate all factors that could affect actual results.

Realized and Unrealized Proceeds

Realized proceeds represent the sum of gross proceeds to a fund generated from dispositions and distributions of cash, dividends, and interest.

Information regarding unrealized proceeds is estimated, unaudited, and subject to change. The values of unrealized investments are estimated as of period end, inherently uncertain, and subject to change. EnCap's evaluation of an investment is based, in part, on EnCap's internal analysis and evaluation of the investment and on numerous investment-specific assumptions that may not be consistent with future market conditions and that may significantly and negatively affect actual investment results. Consequently, the ultimate realized returns on these unrealized investments may vary materially and negatively from the amounts indicated in the Memorandum.

Valuation of the EnCap Upstream Funds

Unrealized investments are reported based on valuations in accordance with ASC 820 requirements. Investments held during the initial investment period are valued at cost (which is considered market value) until such time as there is a measurable change in fair market value. After the initial investment period, in accordance with industry standards for valuing oil and gas properties, EnCap values oil and gas property interests using a risk-adjusted discounted cash flow model. This methodology aggregates all future cash flows attributable to EnCap's ownership in the property or company to be generated from the production of proved oil and gas reserves, as estimated by an independent, third-party engineering firm in a Reserve Report (as defined below), and discounts them using a weighted average cost of capital (typically, 10%) to yield a present value, assuming unescalated oil and gas prices based on the period end NYMEX quoted

strip prices. Prior to discounting the future cash flows, PDNP (as defined below) cash flows are generally risk-adjusted by 20%, and PUD (as defined below) cash flows are generally risk-adjusted by 40%; PDP (as defined below) cash flows are generally unrisked. Oil and gas reserves may be further adjusted to values supported by recent public or private transactions of similar oil and gas properties. Unproved acreage and other assets and liabilities are valued at recent public or private transactions of similar assets. Mineral interests are valued using combination of precedent transactions, discounted cash flows and a cash flow multiple approach, taking into consideration market and asset specific factors including life cycle or maturity of the asset, projected growth profile, precedent transactions, and comparable public market trading multiples. Publicly quoted securities are valued based on the quoted period-end closing price. Debt or equity securities that are freely tradable on a recognized investment exchange (or convertible thereto) are valued at the last reported sales price for the security as of the valuation date. Preferred equity investments are generally valued using the “if converted” method. However, if the underlying security is trading below the applicable conversion price, the valuation is held at such conversion price.

As used above:

Proved Developed Non-Producing Reserves or “**PDNP**” means proved developed reserves that can be expected to be recovered from zones behind casing in existing wells, or from zones that are shut-in for market conditions, pipeline connections or mechanical reasons and are capable of production, but the timing is uncertain.

Proved Developed Producing Reserves or “**PDP**” means proved developed reserves that are expected to be recovered from completion intervals currently open in existing wells and able to produce to market. They are reserves that can be recovered through wells with existing equipment and operating methods. Additional oil and natural gas to be obtained through the application of fluid injection or other improved recovery techniques for supplementing the forces and mechanisms of primary recovery will be included as “proved developed reserves” only after the improved recovery project is in operation.

Proved Undeveloped Reserves or “**PUDs**” means reserves that are expected to be recovered from new wells on undrilled acreage, or from existing wells where a relatively major expenditure is required for recompletion. Reserves on undrilled acreage shall be limited to those drilling units offsetting productive units that are reasonably certain of production when drilled. Proved reserves for other undrilled units can be claimed only where it can be demonstrated with certainty that there is continuity of production from the existing productive formation. Under no circumstances should estimates for proved undeveloped reserves be attributable to any acreage for which an application of fluid injection or other improved recovery technique is contemplated, unless such techniques have proved effective by actual tests in the area and in the same reservoir.

“**Reserve Report**”: Reservoir engineers develop a Reserve Report for each existing well, whether producing or shut-in, and for each proved undeveloped well location. The reserve report takes into account: (i) current rate of production (or estimated initial rate of production of a proved undeveloped location); (ii) the rate at which production, assuming no further reserve additions, is expected to decline; (iii) future production costs unique to each well; (iv) development costs associated with the proved undeveloped reserves; and (v) any production taxes that must be paid.

Explanation of Historical Returns – Cumulative Fund Level Returns

Gross ROI and gross IRR were calculated using capital invested, realized proceeds, and unrealized value from any parallel funds and co-invest vehicles raised concurrently with such fund. Gross IRRs are calculated on the basis of the actual timing of investment inflows and outflows, aggregated monthly for all

parallel funds and co-invest vehicles raised concurrently with the respective institutional fundraise, if applicable. Gross IRRs are based on cash flows before deductions for management fees, carry, and fund expenses. Gross ROIs are calculated as total realized proceeds and unrealized values (if applicable) before deductions for management fees, carry, and fund expenses, divided by the total capital invested. Total cumulative gross returns are calculated using a weighted average of capital invested.

Net ROI and net IRR were calculated using gross ROI and gross IRR, reduced for management fees, carry, and fund expenses, excluding the effects of tax withholding and structuring. Net IRR and Net ROI reflect returns of the main fund. If a limited partner elected into a parallel or feeder fund vehicle, the net returns are lower than those listed above. Total cumulative net returns are calculated using a weighted average of capital invested.

Explanation of Historical Returns – Realized vs. Unrealized Returns by Fund

Gross ROI and gross IRR were calculated for realized and unrealized investments based on whether the cash flows were attributable to investments categorized as realized or unrealized.

Management fees, carry, and fund expenses are incurred at the fund level and are not specifically attributable to specific investments or, therefore, to the subtotals for realized and unrealized investments. As a result, net ROI was determined by allocating management fees, carry, and fund expenses to realized and unrealized categories pro rata based on invested capital. Net IRR for realized and unrealized investments was calculated using the cash flows allocated for net ROI and using timing based on EnCap's historical pace of capital calls for expenses and fees. Carry, which is assessed using a European waterfall model, was treated as a reduction of the unrealized value for unrealized investments and as paid on the period-end for realized investments.

Additional Information

Past performance is not indicative of future results. There can be no assurances that the Partnership will achieve its objective or avoid losses. Market conditions and legal and contractual restrictions may limit the liquidity of investments. Accordingly, actual realized return on investment may differ materially from the values indicated herein.

APPENDIX B
CERTAIN OFFERING LEGENDS

NOTICE TO ALL RESIDENTS OF THE U.S.:

In making an investment decision, investors must rely on their own examination of the Partnership and the terms of the offering, including the merits and risks involved. The Interests have not been recommended by any United States federal or state securities commission or regulatory authority. Furthermore, the foregoing authorities have not confirmed the accuracy or determined the adequacy of this memorandum. Any representation to the contrary is a criminal offense.

The Interests are subject to restrictions on transferability and resale and may not be transferred or resold except as permitted under the Securities Act, and the applicable state securities laws, pursuant to registration or exemption therefrom. Investors should be aware that they may be required to bear the financial risks of the investment for an indefinite period of time.

NOTICE TO FLORIDA INVESTORS:

The securities offered hereby will be sold to, and acquired by, the purchaser in a transaction exempt from registration under Section 517.061 of the Florida Securities Act. If sales are made to five or more persons in Florida all purchasers shall have the privilege of voiding the purchase within three (3) days after the first tender of consideration is made by such purchaser to the issuer, an agent of the issuer, or an escrow agent.

NOTICE TO NEW HAMPSHIRE INVESTORS:

NEITHER THE FACT THAT A REGISTRATION STATEMENT OR AN APPLICATION FOR A LICENSE HAS BEEN FILED UNDER CHAPTER 421-B OF THE NEW HAMPSHIRE REVISED STATUTES ANNOTATED WITH THE STATE OF NEW HAMPSHIRE NOR THE FACT THAT A SECURITY IS EFFECTIVELY REGISTERED OR A PERSON IS LICENSED IN THE STATE OF NEW HAMPSHIRE CONSTITUTES A FINDING BY THE SECRETARY OF STATE THAT ANY DOCUMENT FILED UNDER RSA 421-B IS TRUE, COMPLETE AND NOT MISLEADING. NEITHER ANY SUCH FACT NOR THE FACT THAT AN EXEMPTION OR EXCEPTION IS AVAILABLE FOR A SECURITY OR A TRANSACTION MEANS THAT THE SECRETARY OF STATE HAS PASSED IN ANY WAY UPON THE MERITS OR QUALIFICATIONS OF, OR RECOMMENDED OR GIVEN APPROVAL TO, ANY PERSON, SECURITY OR TRANSACTION. IT IS UNLAWFUL TO MAKE, OR CAUSE TO BE MADE, TO ANY PROSPECTIVE PURCHASER, CUSTOMER OR CLIENT ANY REPRESENTATION INCONSISTENT WITH THE PROVISIONS OF THIS PARAGRAPH.

NOTICE TO RESIDENTS OF AUSTRALIA:

This offer is made by the General Partner, which is:

- (a) a company incorporated under the laws of the State of Delaware and is not registered in Australia;
- (b) exempt from the requirement to hold an Australian financial services license; and
- (c) regulated by the U.S. securities and other applicable laws, which differs from Australian laws.

The offer of Interests contained in this Memorandum is directed only to persons who qualify as “Wholesale Clients” within the meaning of Section 761G of the Corporations Act 2001 (Cth).

If the Interests are to be on sold or transferred to investors in Australia without a product disclosure statement, or other regulated Australian disclosure document, within 12 months of their issue, they may only be on sold or transferred to persons in Australia who are 'Wholesale Clients' under Section 761G of the Corporations Act 2001 (Cth). Each recipient of this Memorandum warrants that it is, and at all times will be a 'Wholesale Client'.

This Memorandum is not a product disclosure statement or other regulated disclosure document for the purposes of the Corporations Act 2001 (Cth). This Memorandum has not been, and will not be, reviewed by, nor lodged with, the Australian Securities and Investments Commission and does not contain all the information that a product disclosure statement or other regulated disclosure document is required to contain. The distribution of this Memorandum in Australia has not been authorised by any regulatory authority in Australia.

This Memorandum is provided for information purposes only and does not constitute the provision of any financial product advice or recommendation. This Memorandum does not take into account the investment objectives, financial situation and particular needs of any person and neither the Partnership, nor any other person referred to in this Memorandum, is licensed to provide financial product advice in Australia. You should consider carefully whether the investment is suitable for you, having regard to your investment objectives, financial situation, and particular needs. There is no cooling-off regime that applies in relation to the acquisition of these Interests in Australia.

This Memorandum has not been prepared specifically for Australian investors. It:

- (a) may contain references to dollar amounts which are not in Australian dollars;
- (b) may contain financial information which is not prepared in accordance with Australian law or practices;
- (c) may not address risks associated with investment in foreign currency denominated investments; and
- (d) does not address Australian tax issues.

This Memorandum has been prepared without taking account of your objectives, financial situation or needs and you should obtain independent professional financial advice that considers your circumstances before making any financial or investment decisions. There is no cooling off regime that applies in relation to the acquisition of any interest in Australia.

NOTICE TO RESIDENTS OF BAHRAIN:

This Memorandum has been prepared for private information purposes of intended investors only who will be high net worth individuals and institutions. This Memorandum is intended to be read by the addressee only. No invitation has been or will be made in or from the Kingdom of Bahrain and no marketing or offering of Interests has been or will be made to any potential investor in Bahrain. All marketing and offering is made and will be made outside the Kingdom of Bahrain.

The Central Bank of Bahrain has not reviewed, nor has it approved, this Memorandum or the marketing of Interests and takes no responsibility for the accuracy of the statements and information contained in this Memorandum, nor shall it have any liability to any person for any loss or damage resulting from reliance on any statements or information contained herein.

NOTICE TO RESIDENTS OF BERMUDA:

The Interests being offered hereby are being offered on a private basis to investors who satisfy criteria outlined in this Memorandum. The Memorandum is not subject to and has not received approval from either the Bermuda Monetary Authority or the Registrar of Companies in Bermuda and no statement to the contrary, explicit or implicit, is authorized to be made in this regard. The securities being offered may be offered or sold in Bermuda only in compliance with the provisions of the Investment Business Act 2003 of Bermuda. Additionally, non-Bermudian persons may not carry on or engage in any trade or business in or from Bermuda unless such persons are authorised to do so under applicable Bermuda legislation. Engaging in the activity of offering or marketing the securities being offered in Bermuda to persons in Bermuda may be deemed to be carrying on business in Bermuda.

NOTICE TO RESIDENTS OF BRUNEI:

This Memorandum has not been delivered to, licensed, or permitted by the Autoriti Monetari Brunei Darussalam, the authority as designated under the Brunei Darussalam Securities Markets Order, 2013; nor has it been registered with the Brunei Darussalam Registrar of Companies, Registrar of International Business Companies, or the Brunei Darussalam Ministry of Finance. This Memorandum will not be registered under the relevant securities laws of Brunei Darussalam. The Partnership and the Interests are not registered, licensed or permitted by the Autoriti Monetari Brunei Darussalam or by any other government agency or under any law in Brunei Darussalam. This Memorandum is for information purposes only and it is strictly private and confidential. It does not constitute an offer to buy or sell or a solicitation of an offer to buy or sell the Interests in Brunei Darussalam. No recipient of this Memorandum may issue, distribute, circulate, disseminate, offer, or sell this Memorandum or make or give copies of this Memorandum to any person in Brunei Darussalam. No recipient of this Memorandum may make use of the Memorandum other than for its own general information purposes. Any offers, acceptances, subscription, sales, and allotments of the Interests shall be made outside Brunei Darussalam. Nothing in this Memorandum shall constitute legal, tax, accounting, or investment advice. The recipient should independently evaluate any specific investment through consultation with professional advisers in law, tax, accounting, and investments.

NOTICE TO RESIDENTS OF CANADA:

This Memorandum constitutes an offering in Canada of the Interests only in those jurisdictions and to those persons where and to whom they may lawfully be offered for sale, and therein only by persons permitted to sell such securities. This Memorandum is not, and under no circumstances is to be construed as, a prospectus, an advertisement or a public offering of the securities described herein in Canada. No securities commission or similar authority in Canada has reviewed or in any way passed upon this Memorandum or the merits of the securities described herein, and any representation to the contrary is an offence.

This Memorandum is not, and under no circumstances is to be construed as, an advertisement or a public offering of the Interests in any province or territory of Canada. Any offer or sale of the Interests in any province or territory of Canada will only be made on a private placement basis, under an exemption from the requirement that the issuer prepare and file a prospectus with the relevant Canadian securities regulatory authorities.

This Memorandum is for the confidential use of those persons to whom it is delivered. The General Partner reserves the right to reject all or part of any offer to purchase these securities for any reason, or allocate to any prospective purchaser less than all of the Interests for which it has subscribed.

RESPONSIBILITY

Investing in the Interests involves risks. Prospective purchasers should refer to the risk factor disclosure contained in this Memorandum, including the disclosure set forth under the heading “Certain Investment Considerations,” for additional information concerning these risks.

ENFORCEMENT OF LEGAL RIGHTS

The Partnership and the General Partner are located outside of Canada, and as a result, it may not be possible for Canadian purchasers to effect service of process within Canada upon the Partnership or the General Partner. All or a substantial portion of the assets of the Partnership and such persons may be located outside of Canada, and as a result, it may not be possible to satisfy a judgment against the Partnership or such persons in Canada or to enforce a judgment obtained in Canadian courts against the Partnership or such persons outside of Canada.

STATUTORY RIGHT OF WITHDRAWAL

Securities legislation in certain of the provinces of Canada provides purchasers of securities in such jurisdictions with certain rights of withdrawal where an offering memorandum is used in connection with the distribution. For instance, if a purchaser of the Interests in Saskatchewan receives an amended Memorandum that the Partnership is required to deliver under Saskatchewan securities law, then such purchaser has the right to withdraw from the agreement to purchase the Interests, provided that such right must be exercised by such purchaser delivering, within two business days after receiving the amended Memorandum, a notice to the Partnership indicating such purchaser’s intention not to be bound by the purchase agreement. Prospective Canadian purchasers should refer to the applicable provisions of the securities legislation of their respective provinces for the particulars of withdrawal rights, if any, or consult with a legal adviser.

STATUTORY RIGHTS OF ACTION FOR DAMAGES OR RESCISSION

Securities legislation in certain of the provinces of Canada provides purchasers of securities in such jurisdictions with, in addition to any other rights they may have at law, rights of rescission or to damages, or both, when an offering memorandum that is delivered to such purchasers describing, among other things, the details of the securities to be offered contains a misrepresentation. These rights and remedies must be exercised within prescribed time limits and are subject to the defenses contained in applicable securities legislation. Prospective Canadian purchasers should refer to the applicable provisions of the securities legislation of their respective provinces for the particulars of these rights or consult with a legal adviser.

The following is a summary of the statutory rights of rescission or to damages, or both, available to purchasers under the securities legislation of certain of the provinces of Canada. The rights of action described below are available only with respect to the final version of this Memorandum, and the references to this Memorandum means the final version of the Memorandum, including, without limitation, all supplements and addenda thereto.

Manitoba

If this Memorandum or any amendment hereto contains a misrepresentation at the time of purchase, every purchaser of the Interests in Manitoba shall be deemed to have relied on the misrepresentation and will have a statutory right of action for damages against the Partnership, and, subject to additional defenses, every director of the issuer at the date of the Memorandum and every person or company who signed the Memorandum, or, alternatively, a right of rescission against the Partnership. If the Memorandum or any amendments hereto contains a misrepresentation, a purchaser who subscribes for and acquires the Interests

may elect to exercise a right of rescission against the Partnership, in which case such purchaser ceases to have a right of action for damages. The purchaser's rights of action for damages or rescission are in addition to and without derogation from any other right such purchaser may have at law. No action shall be commenced to enforce a right of action more than:

- (a) in the case of an action for rescission, 180 days after the date that the purchaser acquired the Interests; or
- (b) in the case of an action for damages, the earlier of:
 - (i) 180 days after the date that the purchaser first had knowledge of the facts giving rise to the cause of action; or
 - (ii) two years after the date of the transaction that gave rise to the cause of action;

and also provided that:

- (a) the Partnership will not be liable if it proves that the purchaser purchased the Interests with knowledge of the misrepresentation;
- (b) in action for damages, the Partnership is not liable for all or any portion of the damages that the Partnership proves did not represent the depreciation in value of the Interests as a result of the misrepresentation relied upon; and
- (c) in no case shall the amount recoverable exceed the price at which the Interests were offered.

New Brunswick

In the event that this Memorandum, or any documents incorporated by reference in, or deemed to be incorporated into, this Memorandum or any amendments to this Memorandum contain a misrepresentation, a purchaser of the Interests in New Brunswick shall be deemed to have relied upon the misrepresentation if it was a misrepresentation at the time of purchase and will have, in addition to and without derogation from any other right such purchaser may have at law, a right of action for damages against the Partnership and, subject to additional defenses, against every director of the Partnership at the date of this Memorandum and every person who signed this Memorandum or any amendments hereto or, alternatively, may elect to exercise a right of rescission against the Partnership (in which case such purchaser ceases to have a right of action for damages), provided that no action shall be commenced to enforce a right of action more than:

- (a) in the case of an action for rescission, 180 days after the date of the transaction that gave rise to the cause of action; or
- (b) in the case of an action for damages, the earlier of:
 - (i) one year after the purchaser first had knowledge of the facts giving rise to the cause of action, and
 - (i) six years after the date of the transaction that gave rise to the cause of action;

and also provided that:

- (a) neither the Partnership nor any of the foregoing persons will be liable if it proves that the purchaser purchased the Interests with knowledge of the misrepresentation;
- (b) in any action for damages, neither the Partnership nor any of the foregoing persons will be liable for all or any portion of those damages that it proves do not represent the depreciation in value of the Interests as a result of the misrepresentation relied on;

- (c) in no case will the amount recoverable under this paragraph exceed the price at which the Interests were sold to the purchaser.

Newfoundland and Labrador

In the event that this Memorandum, or any records incorporated by reference in, or deemed to be incorporated into, this Memorandum contain a misrepresentation when a purchaser in Newfoundland and Labrador purchases the Interests, such purchaser has, without regard to whether such purchaser relied on the misrepresentation and in addition to and without derogation from any other right such purchaser may have at law, a right of action for damages against the Partnership and, subject to additional defenses, against every director of the Partnership at the date of this Memorandum and every person or company who signed this Memorandum or, alternatively, may elect to exercise a right of rescission against the Partnership (in which case such purchaser ceases to have a right of action for damages), provided that no action shall be commenced to enforce a right of action more than:

- (a) in the case of an action for rescission, 180 days after the date of the transaction that gave rise to the cause of action; or
- (b) in the case of an action for damages, the earlier of:
 - (i) 180 days after the purchaser first had knowledge of the facts giving rise to the cause of action, or
 - (i) three years after the date of the transaction that gave rise to the cause of action;

and also provided that:

- (a) neither the Partnership nor any of the foregoing persons or companies will be liable if it proves that the purchaser had knowledge of the misrepresentation;
- (b) in any action for damages, neither the Partnership nor any of the foregoing persons or companies will be liable for all or any portion of those damages that it proves do not represent the depreciation in value of the Interests as a result of the misrepresentation; and
- (c) in no case will the amount recoverable exceed the price at which the Interests were offered to the purchaser.

Nova Scotia

In the event that this Memorandum, a record incorporated by reference in or deemed incorporated into this Memorandum, any amendment to this Memorandum or any advertising or sales literature (as defined in the *Securities Act* (Nova Scotia)) contains a misrepresentation that was a misrepresentation at the time of a Nova Scotia investor's purchase, such purchaser of the Interests in Nova Scotia shall be deemed to have relied upon the misrepresentation and will have a right of action for damages against the Partnership and, subject to additional defenses, against every director of the Partnership at the date of this Memorandum and every person who signed this Memorandum. Alternatively, such purchaser may elect to exercise a right of rescission against the Partnership, in which case such purchaser shall have no right of action for damages. These rights are in addition to and not in derogation from any other rights such purchaser may have. No action shall be commenced to enforce a right of action more than:

- (a) in the case of an action for rescission, 180 days after the date of the transaction that gave rise to the cause of action; or
- (b) in the case of an action for damages, the earlier of:

- (i) 180 days after the purchaser first had knowledge of the facts giving rise to the cause of action, or
- (i) three years after the date of the transaction that gave rise to the cause of action;

provided that:

- (a) neither the Partnership nor any of the foregoing persons will be liable if it proves that the purchaser purchased the Interests with knowledge of the misrepresentation;
- (b) in any action for damages, neither the Partnership nor any of the foregoing persons will be liable for all or any portion of those damages that it proves do not represent the depreciation in value of the Interests as a result of the misrepresentation; and
- (c) in no case will the amount recoverable exceed the price at which the Interests were offered to the purchaser.

Ontario

Every Ontario purchaser of the Interests shall have a statutory right of action for damages or rescission against the Partnership if this Memorandum or any amendment hereto contains a misrepresentation. This right of action for rescission or damages is in addition to and without derogation from any other right such purchaser may have at law. In particular, if this Memorandum or any amendments hereto contain a misrepresentation, a purchaser who subscribes for and acquires the Interests during the period of distribution has, without regard to whether such purchaser relied on the misrepresentation, a right of action for damages or, alternatively, may elect to exercise a right of rescission against the Partnership (in which case such purchaser ceases to have a right of action for damages), provided that no action shall be commenced to enforce a right of action more than:

- (a) in the case of an action for rescission, 180 days after the date of the transaction that gave rise to the cause of action; or
- (b) in the case of an action for damages, the earlier of:
 - (i) 180 days after the purchaser first had knowledge of the fact giving rise to the cause of action; or
 - (i) three years after the date of the transaction that gave rise to the cause of action;

and also provided that:

- (a) the Partnership will not be liable if it proves that the purchaser purchased the Interests with knowledge of the misrepresentation;
- (b) in an action for damages, the Partnership is not liable for all or any portion of the damages that the Partnership proves does not represent the depreciation in value of the Interests as a result of the misrepresentation relied upon; and
- (c) in no case shall the amount recoverable exceed the price at which the Interests were offered.

Prince Edward Island

In the event that this Memorandum or a record incorporated by reference in, or deemed to be incorporated into, this Memorandum contain a misrepresentation, a purchaser of the Interests in Prince Edward Island that purchases the Interests during the period of distribution has, without regard to whether such purchaser relied on the misrepresentation and in addition to and without derogation from any other right such

purchaser may have at law, a right of action for damages against the Partnership and, subject to additional defenses, against every director of the Partnership at the date of this Memorandum and every person who signed this Memorandum or, alternatively, may elect to exercise a right of rescission against the Partnership (in which case such purchaser ceases to have a right of action for damages), provided that no action shall be commenced to enforce a right of action more than:

- (a) in the case of an action for rescission, 180 days after the date of the transaction that gave rise to the cause of action; or
- (b) in the case of an action for damages, the earlier of:
 - (i) 180 days after the purchaser first had knowledge of the facts giving rise to the cause of action, or
 - (i) three years after the date of the transaction that gave rise to the cause of action;

and also provided that:

- (a) neither the Partnership nor any of the foregoing persons will be liable if it proves that the purchaser purchased the Interests with knowledge of the misrepresentation;
- (b) in any action for damages, neither the Partnership nor any of the foregoing persons will be liable for all or any portion of those damages that it proves do not represent the depreciation in value of the Interests as a result of the misrepresentation; and
- (c) in no case will the amount recoverable exceed the price at which the Interests were offered to the purchaser.

Saskatchewan

In the event that this Memorandum or any amendments hereto that are sent or delivered to a purchaser of Interests in Saskatchewan contain a misrepresentation, such purchaser has, without regard to whether such purchaser relied on the misrepresentation and in addition to and without derogation from any other right such purchaser may have at law, a right of action for damages against the Partnership and, subject to additional defenses, against every promoter and director of the Partnership at the time this Memorandum or any amendments hereto was sent or delivered, every person or company whose consent has been filed respecting the offering (but only with respect to reports, opinions and statements made by that person), every person or company who signs this Memorandum or any amendments hereto and every person or company who sells Interests on behalf of the Partnership under this Memorandum or any amendment hereto or, alternatively, may elect to exercise a right of rescission against the Partnership (in which case such purchaser ceases to have a right of action for damages), provided that no action shall be commenced to enforce a right of action more than:

- (a) in the case of an action for rescission, 180 days after the date of the transactions that gave rise to the cause of action; or
- (b) in the case of an action for damages, the earlier of:
 - (i) one year after the purchaser first had knowledge of the facts giving rise to the cause of action, and
 - (i) six years after the date of the transaction that gave rise to the cause of action;

and also provided that:

- (a) neither the Partnership nor any of the foregoing persons or companies will be liable if it proves that the purchaser purchased the Interests with knowledge of the misrepresentation;
- (b) in any action for damages, neither the Partnership nor any of the foregoing persons or companies will be liable for all or any portion of those damages that it proves do not represent the depreciation in value of the Interests as a result of the misrepresentation relied on; and
- (c) in no case will the amount recoverable exceed the price at which the Interests were offered to the purchaser.

THE FOREGOING SUMMARY IS SUBJECT TO THE EXPRESS PROVISIONS OF THE SECURITIES LEGISLATION OF THE RELEVANT PROVINCES AND THE REGULATIONS, RULES AND POLICY STATEMENTS THEREUNDER AND REFERENCE IS MADE THERETO FOR THE COMPLETE TEXT OF SUCH PROVISIONS.

CERTAIN CANADIAN INCOME TAX CONSIDERATIONS

Any discussion of taxation and related matters contained in this Memorandum is not a comprehensive description of all the tax considerations that may be relevant to a decision to purchase these securities. Prospective Canadian purchasers of the Interests should consult their own tax advisers with respect to any taxes payable in connection with an investment in the Partnership. It is recommended that tax advisers be employed in Canada, as there are a number of substantive Canadian tax compliance requirements for Canadian investors.

CONVERSION OF AMOUNTS INTO CANADIAN DOLLAR EQUIVALENT

Unless specifically stated otherwise, all dollar amounts contained in this Memorandum are in U.S. dollars and must be converted into Canadian dollars based on the prevailing relevant foreign exchange rate at the time such amounts arise.

FINANCIAL INFORMATION

Financial information contained in this Memorandum has been prepared in accordance with GAAP, which differ in certain respects from those accounting principles used in other jurisdictions, including Canada. Prospective purchasers should conduct their own investigation and analysis of the business, data and transaction described herein and consult their own financial advisers.

RESALE RESTRICTIONS IN CANADA

The distribution of Interests in Canada is being made on a private placement basis only and is exempt from the requirement that the Partnership prepare and file a prospectus with the relevant Canadian regulatory authorities. Accordingly, any resale of the Interests in Canada must be made in accordance with applicable securities laws which may require resales to be made in accordance with exemptions from registration and prospectus requirements. Purchasers in Canada are advised to seek legal advice prior to any resale of the Interests.

The Partnership is not a “reporting issuer”, as such term is defined under applicable Canadian securities legislation, in any province or territory of Canada in which the Interests will be offered. Under no circumstances will the Partnership be required to file a prospectus or similar document with any securities regulatory authority in Canada qualifying the resale of the Interests to the public in any province or territory of Canada. Canadian investors are advised that the Partnership currently does not intend to file a prospectus or similar document with any securities regulatory authority in Canada qualifying the resale of the Interests

to the public in any province or territory of Canada in connection with this offering of the Interests. Therefore, there will be no public market in Canada for the Interests and the resale or transfer of the Interests will be subject to restrictions. The Partnership has no plans to become a “reporting issuer”, and therefore, the hold period or restricted period applicable to the Interests in Canada may never expire.

CHOICE OF LANGUAGE

Upon receipt of this Memorandum, each investor in Canada hereby confirms that it has expressly requested that all documents evidencing or relating in any way to the sale of the Interests (including for greater certainty any purchase confirmation or any notice) be drawn up in the English language only. *Par la réception de ce document, chaque investisseur canadien confirme par les présentes qu’il a expressément exigé que tous les documents faisant foi ou se rapportant de quelque manière que ce soit à la vente des valeurs mobilières décrites aux présentes (incluant, pour plus de certitude, toute confirmation d’achat ou tout avis) soient rédigés en anglais seulement.*

NOTICE TO RESIDENTS OF THE CAYMAN ISLANDS:

The Partnership is prohibited from making any invitation to the public of the Cayman Islands to subscribe for the Interests. Non-resident or exempted companies and certain other non-resident or exempted entities established in the Cayman Islands and engaged in offshore business may however be permitted to subscribe.

NOTICE TO RESIDENTS OF CHILE:

This offer is subject to Norma de Caracter general n° 336 issued by the Superintendence of Securities and Insurance of Chile (SVS) and will commence on the date of this Memorandum. This offer is of Interests not registered in the Registry of Securities or in the Registry of Foreign Securities of the SVS, and therefore, it is not subject to the SVS oversight. The issuer is under no obligation to release information on the Interests in Chile. The Interests may not be the subject of a public offering if not previously registered in the relevant registry of securities.

ESTA OFERTA SE REALIZA CONFORME A LA NORMA DE CARÁCTER GENERAL N° 336 DE LA SUPERINTENDENCIA DE VALORES Y SEGUROS (SVS) Y COMIENZA EN LA FECHA DE ESTE. MEMORANDUM ESTA OFERTA VERSA SOBRE VALORES NO INSCRITOS EN EL REGISTRO DE VALORES O EN EL REGISTRO DE VALORES EXTRANJEROS QUE LLEVA LA SVS Y EN CONSECUENCIA, ESTOS VALORES NO ESTÁN SUJETOS A SU FISCALIZACIÓN. NO EXISTE DE PARTE DEL EMISOR OBLIGACIÓN DE ENTREGAR EN CHILE INFORMACIÓN PÚBLICA RESPECTO DE ESTOS VALORES. ESTOS VALORES NO PODRÁN SER OBJETO DE OFERTA PÚBLICA MIENTRAS NO SEAN INSCRITOS EN EL REGISTRO DE VALORES CORRESPONDIENTE.

NOTICE TO RESIDENTS OF THE PEOPLE’S REPUBLIC OF CHINA:

This Memorandum does not constitute a public offer of the Interests, whether by way of sale or subscription, in the People’s Republic of China (for the purpose of this Memorandum only, excluding Taiwan, the special administrative region of Hong Kong and the special administrative region of Macao, the “PRC”). This Memorandum or any other advertisement, invitation or document relating to the Interests shall not be distributed in the PRC or used in connection with any offer for subscription or sale of the Interests in the PRC, except to the extent consistent with applicable laws and regulations of the PRC. The offer or sale of the Interests has not been and will not be filed with any securities or other regulatory authorities or agencies of the PRC pursuant to relevant securities-related or other laws and regulations and may not be offered or sold within the PRC through a public offering or in circumstances which require an examination or approval

of or registration with any securities or other regulatory authorities or agencies in the PRC unless otherwise in accordance with the laws and regulations of the PRC.

PRC investors are responsible for obtaining all relevant government regulatory approvals or licenses, verification and/or registrations themselves, including, but not limited to, any which may be required from the China Securities Regulatory Commission, the State Administration of Foreign Exchange, the National Development and Reform Commission and/or the Ministry of Commerce, and complying with all relevant PRC regulations, including, but not limited to, all relevant foreign exchange regulations and/or foreign investment regulations.

NOTICE TO RESIDENTS OF THE EUROPEAN ECONOMIC AREA:

The Interests are not intended to be offered, sold or otherwise made available to and should not be offered, sold or otherwise made available to any retail investor in the European Economic Area (“**EEA**”). For these purposes, a retail investor means a person who is one (or more) of: (i) a retail client as defined in point (11) of Article 4(1) of Directive 2014/65/EU (as amended, “**MiFID II**”); or (ii) a customer within the meaning of Directive (EU) 2016/97, where that customer would not qualify as a professional client as defined in point (10) of Article 4(1) of MiFID II. The expression “offer” includes the communication in any form and by any means of sufficient information on the terms of the offer and the Interests to be offered so as to enable an investor to decide to purchase or subscribe for the Interests. This memorandum has been sent to you in the belief that you are a “qualified investor” as defined in the Regulation (EU) 2017/1129 and that this memorandum can be sent lawfully to you pursuant to all applicable securities law. You must return this document immediately if this is not the case.

Consequently, no key information document required by Regulation (EU) 1286/2014 (as amended, the “**PRIIPs Regulation**”) for offering or selling the Interests or otherwise making them available to retail investors in the EEA has been prepared and therefore offering or selling the Interests or otherwise making them available to any retail investor in the EEA may be unlawful under the PRIIPS Regulation.

This EEA selling restriction is in addition to any other selling restrictions set out in this memorandum.

NOTICE TO RESIDENTS OF HONG KONG:

WARNING:

This Memorandum is not an offer to sell any Interests other than: (i) to “professional investors” as defined in the Securities and Futures Ordinance (Cap. 571) of Hong Kong (“**SFO**”) and any rules made under that Ordinance; or (ii) in other circumstances that do not constitute an invitation to the public for the purposes of the SFO. By possession of this Memorandum, EnCap entities have not, and by issuing this Memorandum, the General Partner has not, issued or had in its possession for the purposes of issue, and will not issue or have in its possession for the purposes of issue, whether in Hong Kong or elsewhere, any advertisement, invitation or document relating to the Interests, which is directed at, or the contents of which are likely to be accessed or read by, the public of Hong Kong (except if permitted to do so under the securities laws of Hong Kong) other than with respect to Interests which are or are intended to be disposed of only to persons outside Hong Kong or only to “professional investors” as referred to above. The contents of this Memorandum have not been reviewed by any regulatory authority in Hong Kong. Investors are advised to exercise caution in relation to the offer and should obtain independent professional advice in relation to any of the contents of this Memorandum.

Client assets received or held outside Hong Kong are subject to the applicable laws and regulations of the relevant overseas jurisdiction which may be different from the SFO and the rules made thereunder.

Consequently, such client assets may not enjoy the same protection as that conferred on client assets received or held in Hong Kong.

NOTICE TO RESIDENTS OF ISRAEL:

The offering under this Memorandum does not constitute an “offer to the public” within the meaning of Section 15(a) of the Israeli Securities Law 5728-1968, and prospective investors in the Interests will not be able to rely on such securities law in many matters related to or deriving from this Memorandum and/or their investment in the Partnership. Accordingly, each Israeli purchaser of the Interests will be required to make certain representations and undertake that it is purchasing the Interests for investment purposes only, with no intention to sell or distribute them.

The General Partner is not registered and does not intend to register as an investment adviser or an investment portfolio manager under the Israeli regulation of investment advice and investment portfolio management law, 5755-1995 (the “**Investment Law**”). Furthermore, the Interests are not being offered by a licensed marketer of securities pursuant to the investment law. Therefore, all Israeli investors will be required to be “Qualified Clients” within the meaning of the Investment Law.

It is the responsibility of any prospective investor wishing to purchase Interests to satisfy themselves as to the full observance of the laws of Israel in connection with any such purchase, including obtaining any governmental or other consent, if required.

The information within this Memorandum does not constitute investment advice or investment marketing. In making an investment decision, investors must only rely on their own examination of the Partnership and the terms of the offering, including the merits and risks involved and should seek advice from appropriate advisors with respect to the legal, accounting, tax, and financial ramifications of purchasing Interests.

NOTICE TO RESIDENTS OF JAPAN:

Registration pursuant to Article 4, Paragraph 1 of the Financial Instruments and Exchange Act of Japan, as amended (the “**FIEA**”) has not been and will not be made with respect to the solicitation of an offer to purchase an interest in the Partnership on the ground that the solicitation qualifies as a “solicitation for a small number of investors” (as defined in Article 23-13, Paragraph 4 of the FIEA), and the Interests are “securities” as defined in Article 2, Paragraph 2, item 6 of the FIEA and being offered in accordance with Article 2, Paragraph 3, item 3 of the FIEA where the Interests are to be acquired by 499 or fewer investors.

Any transfer of all or any part of the Interests by the investor resident in Japan shall be prohibited except where:

- (a) in the case of a Japanese investor being a qualified institutional investor (tekikaku kikan toshika) (“**QII**”) under Article 10 of the Cabinet Office Ordinance concerning Definitions provided in Article 2 of the Financial Instruments and Exchange Act of Japan (the Ministry of Finance Ordinance No. 14, as amended), such Japanese investor transfers all or part of its Interests to a QII; and
- (b) in the case of a Japanese investor being a non QII, such Japanese investor transfers all of its Interests to one entity or one individual (i.e., partial transfer is prohibited).

NOTICE TO RESIDENTS OF KOREA:

The Interests described herein may not be offered, sold and delivered directly or indirectly, or offered or sold to any person for re-offering or resale, directly or indirectly, in Korea or to any resident of Korea except pursuant to the applicable laws and regulations of Korea, including the financial investment services

and capital markets act and its subordinate decrees and regulations (collectively “FSCMA”) and the foreign exchange transaction law of Korea and its subordinate decrees and regulations (collectively, “FETL”). The Partnership has not been registered with the financial services commission of Korea for a public offering in Korea including the FSCMA. Furthermore, the sale and purchase of Interests in the Partnership should comply with the requirements under the FETL. Neither the Partnership nor any placement agent makes any representation with respect to the eligibility of any resident of Korea to acquire the Interests under the laws of Korea, including but without limitation the FETL.

NOTICE TO RESIDENTS OF KUWAIT:

This Memorandum is not for general circulation to the public in Kuwait. The Partnership has not been licensed for offering in Kuwait by the Kuwait Capital Markets Authority or any other relevant Kuwaiti government agency. The offering of Interests the Partnership in Kuwait on the basis of a private placement or public offering is, therefore, restricted in accordance with decree law no. 31 of 1990 and the implementing regulations thereto (as amended) and law no. 7 of 2010 and the bylaws thereto (as amended). No private or public offering of Interests in the Partnership is being made in Kuwait, and no agreement relating to the sale of Interests in the Partnership will be concluded in Kuwait. No marketing or solicitation or inducement activities are being used to offer or market interest in the Partnership in Kuwait.

NOTICE TO RESIDENTS OF MALAYSIA:

Neither registration of the General Partner nor the prior authorisation/recognition of the Interests has been or will be made or obtained for the making available, offering for subscription or purchase of the Interests in Malaysia. Accordingly, the Interests have not been and will not be made available or offered for subscription or purchase in Malaysia. Neither this Memorandum nor any document or other material in connection therewith has been registered as a prospectus or deposited with the securities commission under the Malaysian Capital Markets and Services Act 2007. Accordingly:

- (a) this Memorandum and any document or other material in connection therewith may not be distributed, circulated, or made available directly or indirectly in Malaysia. The offeror has not and will not authorise and shall not be liable in any manner whatsoever in the event this Memorandum and any document or other material in connection therewith is distributed, circulated, or made available in Malaysia. Any person who comes into possession of this Memorandum or any document or other material in connection therewith in Malaysia shall immediately return or destroy the documents received;
- (b) the Interests have not been and will not be issued in Malaysia nor made available, offered for subscription or purchase directly or indirectly in Malaysia, and no invitation to subscribe for or purchase of the Interests may be made directly or indirectly to any person in Malaysia;
- (c) nothing in this Memorandum and any document or other material in connection therewith shall constitute in any manner whatsoever a proposal to make available, offer for subscription or purchase or to issue an invitation to subscribe for or purchase any securities in Malaysia; and
- (d) the Interests are being made available outside Malaysia on a reverse inquiry basis under a very limited and exclusive private placement.

If the recipient is in doubt as to the action it should take, it should consult its stockbroker, bank manager, solicitor, or other professional advisor immediately. It is the recipient’s sole responsibility to satisfy itself as to the full observance of the laws of Malaysia and to obtain all relevant government and regulatory

approvals including but not limited to exchange control laws as applicable for any subscription or purchase of the Interests.

NOTICE TO RESIDENTS OF MEXICO:

Interests have not been and will not be registered with the National Securities Registry (*Registro Nacional de Valores*), maintained by the Mexican National Banking and Securities Commission (*Comisión Nacional Bancaria y de Valores*, or CNBV), and therefore may not be offered or sold publicly in Mexico, except that Interests may be offered and sold in Mexico, pursuant to the private placement exemption set forth in Article 8 of the Mexican Securities Market Law (*Ley del Mercado de Valores*), to Institutional and Qualified Investors as defined under Mexican Law and Rules thereunder. The information contained herein is the exclusive responsibility of the issuer and has not been reviewed or authorized by the CNBV or any other governmental or self-regulatory authority. The Partnership accepts responsibility for the information contained herein. To the best of the Partnership's knowledge (having taken all reasonable care to ensure that such is the case), the information contained in this Memorandum as of the date hereof is in accordance with the facts and does not omit anything likely to affect the import of such information. Nothing herein shall be deemed to be a recommendation, opinion, or advice with respect to the convenience of the offer.

NOTICE TO RESIDENTS OF MONACO:

The addressees hereof are perfectly fluent in English and expressly waive the possibility of a French translation of the present document.

Les destinataires du présent document reconnaissent être à même d'en prendre connaissance en langue anglaise et renoncent expressément à une traduction française.

The Interests may not be offered or sold, directly or indirectly, to the public in Monaco other than by a Monaco duly authorized intermediary acting as a professional institutional investor which has such knowledge and experience in financial and business matters as to be capable of evaluating the risks and merits of an investment in the Interests of the Partnership. This Memorandum may only be communicated to banks duly licensed by the *Autorité de Contrôle Prudentiel et de Résolution* and fully licensed portfolio management companies by virtue of Law n° 1.144 of July 26, 1991 and Law 1.338 of September 7, 2007 duly licensed by the *Commission de Contrôle des Activités Financières*. Consequently, the General Partner may not offer Interests to prospective investors resident in Monaco.

NOTICE TO RESIDENTS OF OMAN:

By receiving this Memorandum, the person or entity to whom it has been issued understands, acknowledges and agrees that neither this Memorandum nor the Partnership have been registered or approved by the Central Bank of Oman, the Oman Ministry of Commerce and Industry, the Oman Capital Market Authority or any other authority in the Sultanate of Oman, nor is the General Partner authorised or licensed by the Central Bank of Oman, the Oman Ministry of Commerce and Industry, the Oman Capital Market Authority or any other authority in the Sultanate of Oman, to market or sell the Interests within the Sultanate of Oman. The Interests described under or sold pursuant to this Memorandum have not been and will not be listed on any stock exchange in the Sultanate of Oman. No marketing of any financial products or services has been or will be made from within the Sultanate of Oman and no subscription to any securities, products or financial services may or will be consummated within the Sultanate of Oman. The General Partner is not a licensed broker, dealer, financial adviser, or investment adviser licensed under the laws applicable in the Sultanate of Oman, and, as such, does not advise individuals resident in the Sultanate of Oman as to the appropriateness of investing in or purchasing or selling securities or other financial products. Nothing contained in this Memorandum is intended to constitute investment, legal, tax, accounting, or other professional advice in, or in respect of, the Sultanate of Oman. This Memorandum is confidential and for

information only and nothing in this Memorandum is intended to endorse or recommend a particular course of action. Each recipient should consult with an appropriate professional for specific advice rendered on the basis of their situation. Further, the information recipients have been provided with in relation to this Memorandum does not constitute “Marketing of Non-Omani Securities” as contemplated by the Oman Capital Market Authority decision No. 1/2009 issuing executive regulation of the Capital Market Law.

NOTICE TO RESIDENTS OF QATAR:

The offering of Interests has not been filed with, reviewed, or approved by the Qatar Central Bank, the Qatar Financial Markets Authority or any other relevant Qatar Governmental Body or Securities Exchange. This Memorandum and any other material relating to the Partnership is being issued to a limited number of prospective investors and should not be provided to any person other than the original recipient. They are not for general circulation in the state of Qatar and should not be reproduced or used for any other purpose.

NOTICE TO RESIDENTS OF SAUDI ARABIA:

No action has been or will be taken in the Kingdom of Saudi Arabia that would permit a public offering of any Interest in the Kingdom of Saudi Arabia. Any Interest may only be offered and sold in the Kingdom of Saudi Arabia through persons authorised to do so in accordance with Article 4 (Private Placement Requirements) of the Investment Funds Regulations issued by the Board of the Saudi Arabian Capital Market Authority (the “CMA”) pursuant to resolution number 1-219-2006 dated 3/12/1427H corresponding to 24/12/2006 (the “Regulations”) following a notification to the CMA under the Regulations. Any Interest will be offered to no more than 200 offerees in the Kingdom of Saudi Arabia with each such offeree paying an amount of not less than one million Saudi Riyals or an equivalent amount in another currency. Investors are informed that Article 4(g) of the Regulations places restrictions on secondary market activity with respect to Interests acquired by investors. Any resale or other transfer, or attempted resale or other transfer, of Interests, made other than in compliance with the above stated restrictions shall not be recognised.

This Memorandum may not be distributed in the Kingdom of Saudi Arabia except to such persons as are permitted under the offers of securities regulations issued by the CMA.

The CMA does not make any representations as to the accuracy or completeness of this Memorandum, and expressly disclaims any liability whatsoever for any loss arising from, or incurred in reliance upon, any part of this Memorandum. Prospective purchasers of the Interests offered hereby should conduct their own due diligence on the accuracy of the information relating to the Interests. If you do not understand the contents of this Memorandum you should consult an authorised financial adviser.

NOTICE TO RESIDENTS OF SINGAPORE:

This Memorandum has not been registered and will not be registered as a prospectus with the Monetary Authority of Singapore, and the Partnership is not authorised or recognised by the Monetary Authority of Singapore. Accordingly, this Memorandum and any other document or material in connection with the offer or sale, or invitation for subscription or purchase, of Interests in the Partnership may not be circulated or distributed, nor may Interests in the Partnership be offered and sold, or be made the subject of an invitation for subscription or purchase, whether directly or indirectly, to the public or any member of the public in Singapore unless permitted under any applicable exemption. Moreover, this Memorandum is not a prospectus as defined in the Securities and Futures Act, Cap 289 (“SFA”). Accordingly, statutory liability under the SFA in relation to the content of prospectuses would not apply. Investors should consider carefully whether the investment is suitable in light of their own personal circumstances.

This Memorandum does not constitute an offer or solicitation by anyone in any jurisdiction in which such an offer or solicitation is not authorized or to any person to whom it is unlawful to make such an offer or solicitation.

NOTICE TO RESIDENTS OF SOUTH AFRICA:

This Memorandum is not intended to be and does not constitute a solicitation for investments from members of the public in terms of the Collective Investment Schemes Control Act 45 of 2002 (as amended) and does not constitute an offer to the public as defined in the Companies Act 71 of 2008, (as amended). This Memorandum does not, nor is it intended to, constitute a prospectus prepared and registered under such companies act. This Memorandum is only distributed to South African investors for information purposes and subject to the following restrictions:

- (a) the South African investor is a bank; person whose ordinary business, or part of whose ordinary business, is to deal in securities (whether as principals or agents); the public investment corporation soc limited; an authorised financial services provider; a financial institution; a wholly owned subsidiary of a bank, a financial services provider or financial institution acting as agent in the capacity of an authorised portfolio manager for a registered pension fund or as manager of a registered collective investment scheme; or a combination of the abovementioned entities; or
- (b) the South African investor is a single addressee acting as principal who is willing to subscribe for Interests to the value of at least r1,000,000 (one million rand); or
- (c) this offer is a non-renounceable offer made only to South African investors who are existing holders of the Partnership's Interests or persons related to existing holders of the Partnership's Interests.

A South African investor who has received this Memorandum warrants that they have received the Memorandum on a reverse-solicitation basis.

Recipients who accept this offer warrant that they have obtained the relevant exchange control approval.

NOTICE TO RESIDENTS OF SWITZERLAND:

The Partnership has not been licensed for distribution to non-qualified investors with the Swiss Financial Market Supervisory Authority FINMA ("FINMA") as a foreign collective investment scheme pursuant to article 120 para. 1 of the Swiss Federal Act on Collective Investment Schemes of June 23, 2006, as amended (CISA). Accordingly, pursuant to article 120 para. 4 CISA, the Interests may only be distributed in the sense of CISA, directly or indirectly, in or from Switzerland and this memorandum and any other marketing or offering documents relating to the Partnership may only be distributed in or from Switzerland by way of distribution to qualified investors as defined in article 10 para. 3 CISA and its implementing ordinance, and provided that the Partnership has appointed or will appoint a duly licensed representative and duly licensed Swiss bank as paying agent in Switzerland. Investors in the Interests do not benefit from the specific investor protection provided by CISA and the supervision by the FINMA in connection with the licensing for distribution.

NOTICE TO RESIDENTS OF TAIWAN:

Interests cannot be offered, distributed, transferred, or resold in Taiwan without prior approval or registration from or with the R.O.C. Financial Supervisory Commission pursuant to the applicable laws or meeting the private placement exemption under the applicable laws.

Transfer of the Interests is limited to the following situations:

- (a) redemption of the Interests by foreign fund institutions;
- (b) transfer to another qualified institutional investor or qualified non-institutional investor as mentioned above;
- (c) where the transfer occurs by operation of laws; or
- (d) where otherwise approved by the R.O.C. Financial Supervisory Commission.

NOTICE TO RESIDENTS OF UNITED ARAB EMIRATES (ABU DHABI AND DUBAI, INCLUDING DUBAI INTERNATIONAL FINANCE CENTER):

For United Arab Emirates residents only: The Interests offered are not regulated under the laws of the United Arab Emirates (“UAE”) relating to funds, investments or otherwise. Neither the Partnership nor this Memorandum is approved by the UAE Central Bank, the UAE Securities and Commodities authority (“SCA”), the Dubai Financial Services Authority (the “DFSA”), the Abu Dhabi Global Market’s (the “ADGM”) Financial Services Regulatory Authority (“FSRA”) or any other regulatory authority in the UAE, which have no responsibility for them. Accordingly the offering of the Interests does not constitute a public offer of securities in the UAE (including the Dubai International Financial Centre (the “DIFC”) and the ADGM) in accordance with the commercial companies law (federal law no. 2 of 2015), SCA board of directors’ chairman decision no. (9/R.M) of 2016 concerning the regulations as to mutual funds (the “**regulations as to mutual funds**”), SCA chairman’s decision no. (3/R.M) of 2017 regulating the promotion and introduction (the “**promotion and introduction regulations**”) or otherwise. Accordingly, the Interests may not be offered to the public in the UAE (including the DIFC and the ADGM). No agreement relating to the sale of the Interests is intended to be consummated in the United Arab Emirates (including the DIFC and the ADGM). The Interests to which this Memorandum relates may be illiquid and/or subject to restrictions on their resale. Prospective investors should conduct their own due diligence on the Interests. Nothing contained in this Memorandum is intended to constitute investment, legal, tax, accounting, or other professional advice in, or in respect of, the UAE. This Memorandum is strictly private and confidential and is being issued to a limited number of institutional and individual investors:

- (a) who fall within the exempt entity criteria in accordance with Article (2)3c. of the regulations as to mutual funds;
- (b) who fall within the Exempt Entity Criteria in accordance with Article 2(3)(iii) of the Promotion And Introduction Regulations;
- (c) upon their request and confirmation that they understand that the Interests have not been approved or licensed by or registered with the UAE Central Bank, the SCA, the DFSA, the FSRA or any other relevant licensing Authorities or Governmental Agencies in the UAE (including the DIFC and the ADGM);
- (d) on the condition that it must not be provided to any person other than the original recipient, is not for general circulation in the United Arab Emirates (including the DIFC and the ADGM) and may not be reproduced or used for any other purpose; and
- (e) on the condition that no sale of Interests or other investment products in relation to or in connection with the Partnership is intended to be consummated within the UAE (including in the DIFC and the ADGM).

This Memorandum is confidential and for information only and nothing in this memorandum is intended to endorse or recommend a particular course of action. You should consult with an appropriate professional for specific advice rendered on the basis of your situation.

NOTICE TO RESIDENTS OF THE UNITED KINGDOM:

The Interests are not intended to be offered, sold or otherwise made available to and should not be offered, sold or otherwise made available to any retail investor in the United Kingdom (“UK”). For these purposes, a retail investor means a person who is one (or more) of: (i) a retail client, as defined in point (8) of Article 2 of Regulation (EU) No 2017/565 as it forms part of domestic law by virtue of the European Union (Withdrawal) Act 2018 (“EUWA”); (ii) a customer within the meaning of the provisions of the Financial Services and Markets Act 2000 (“FSMA”) and any rules or regulations made under the FSMA to implement Directive (EU) 2016/97, where that customer would not qualify as a professional client, as defined in point (8) of Article 2(1) of Regulation (EU) No 600/2014 as it forms part of domestic law by virtue of the EUWA; or (iii) not a qualified investor as defined in Article 2 of Regulation (EU) 2017/1129 as it forms part of domestic law by virtue of the EUWA (the “UK Prospectus Regulation”); and the expression an offer includes the communication in any form and by any means of sufficient information on the terms of the offer and the Interests to be offered so as to enable an investor to decide to purchase or subscribe for the Interests.

Consequently, no key information document required by Regulation (EU) No 1286/2014 as it forms part of domestic law by virtue of the EUWA (the “UK PRIIPs Regulation”) for offering or selling the Interests or otherwise making them available to retail investors in the UK has been prepared and therefore offering or selling the Interests or otherwise making them available to any retail investor in the UK may be unlawful under the UK PRIIPs Regulation.

An offer to the public of any Interests that are the subject of the offering contemplated by this memorandum may not be made in the UK, except that an offer to the public in the UK may be made at any time under the following exemptions under the UK Prospectus Regulation:

- (a) to legal entities which are qualified investors as defined in the UK Prospectus Regulation;
- (b) to fewer than 150 natural or legal persons (other than qualified investors as defined under Article 2 of the UK Prospectus Regulation); or
- (c) in any other circumstances falling within section 86 of the FSMA, provided that no such offer of Interests shall require the Partnership to publish a prospectus pursuant to section 85 of the FSMA.

For the purposes of this provision, the expression an “offer to the public” in relation to any Interests in the United Kingdom means the communication in any form and by any means of sufficient information on the terms of the offer of any Interests to be offered so as to enable an investor to decide to purchase any Interests.